Eris Lifesciences Ltd. (ERIS)

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Call: Mar 2023

Date: 23rd March , 2023
To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 To
National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai -400051
Security Code: 540596 Symbol: ERIS

SUBJECT: TRANSCRIPT OF CONFERENCE CALL SCHEDULED IN CONNECTION WITH THE ACQUISITION OF NINE DERMATOLOGY BRANDS FROM DR.REDDY 'S LABORATORIES LTD

Dear Sir/Madam,
This is to inform that the transcript of the conference c all which was held on Thursday, 16th March, 2023 in connection with the acquisition of nine dermatology brands from Dr. Reddy's Laboratories Ltd. is attached herewith.
You are requested to take this on record.

Thanking You ,
For Eris Lifesciences Limited

Milind Talegaonkar
Company Secretary and Compliance Officer
Mem. No. A26493

"Eris Lifesciences Limited
Conference Call"

March 16, 202 3

MANAGEMENT :

MR. AMIT BAKSHI , CHAIRMAN AND MANAGING DIRECTOR
MR. V KRISHNAKUMAR , CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH, CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL , INVESTOR RELATIONS

The transcript includes some forward -looking statements, expectations and assumptions of the Management.

Moderator: Ladies and gentlemen, good day and welcome to the conference call of Eris Lif esciences Limited. We have with us today on the call Mr. Amit

Bakshi - Chairman and Managing Director, and Mr. V. Krishnakumar - Executive Director and Chief Operating Officer.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. V. Krishnakumar - Executive Director and Chief Operating Officer. Thank you and over to you, sir.

V. Krishnakumar: Thank you, Neerav. I am Krishnakumar and I welcome you all to this call to discuss our latest acquisition. Before we get into the specifics of our latest deal , I wish to take a few minutes to recap the ethos of our inorganic strategy. As discussed several times in the past, the key thrust of our inorganic strategy is to leapfrog our presence in attractive therapy areas. We leveraged the Strides acquisition to e nter the CNS therapy , we entered the Insulin segment through an equity venture with MJ Bio pharm and we entered the Dermatology therapy through a series of deals starting with Oaknet. We have employed a "String of Pearls " approach in building our Dermatology portfolio this year with targeted acquisitions to fill specific portfolio gaps. This approach has helped us maximize business fit and minimize redundancies.

We employ a prudent screening approach to every deal that we evaluate , in order to ensur e evidence of early value creation opportunities,

specifically in terms of (i) Strategic fit with our specialty or sub -therapy requirements (ii) The presence of arbitrage opportunities by way of fundamentally good businesses which are sub -optimally run , and last but not the least, meeting our financial criteria like Gross Margin, Growth potential, YPM, Debt-to-EBITDA ratio and IRR. We approach every deal with an "Owner Manager " mindset, wherein we are happy to "roll up our sleeves and do the hard work " to create value.

This discipline has enabled us to create value from deals like Strides, Zomelis and Oaknet. Starting with our inception in the year 2007, it took us nearly 13 years to add the "first Rs. 1,000 crores " of revenue. However, we are adding the "next Rs. 1,000 crores " of revenue in just 4 years by deploying our internal cashflows along with external funding to drive a mix of organic and inorganic growth. We have traversed the journey from Rs. 200 crores to Rs. 2,000 crores while largely preserving our Gross Margin at the 80% level. We expe ct that this will continue to be a way of life at Eris going forward.

Coming to the deal specifics, today we have announced the acquisition of 9 Cosmetic Dermatology brands from Dr. Reddy's Laboratories for a consideration of Rs. 275 crores. This portfoli o includes well -known brands such as Hydro heal, Revibra, Aquaderm, Avarta and Acrofy. The brands are largely in Cosmetology segments like anti-acne, moisturi sers, cleansers, anti -ageing, hair -health, melasma etc. and have a combined primary sales of Rs. 50 crore s per annum.

This deal is in line with our stated intent of building a strong Dermatology franchise. We kick -started this process with the acquisition of Oaknet Healthcare for Rs. 650 crores in May'22 and we strengthened this franchise with the acquisition of 9 Dermatology brands from Glenmark in January of this

year for Rs. 340 crores. While the Glenmark deal helped us strengthen our Medical Dermatology franchise, the latest deal helps us augment our Cosmetic Dermatology franchise. Post this deal, Eris will rank number 3 in its Dermatology covered market with a market share of 7%.

Inclusive of this deal, we have invested Rs. 1,265 crores in acquisitions in this financial year, primarily in building up our Dermatology franchise. The aggregate revenue of the business and brands thus acquired is expected to exceed Rs. 400 crores in the coming financial year FY24. This would translate into a YPM of Rs. 5 lakhs for Oaknet, which is double the YPM of Rs. 2.5 lakhs it had at the time of acquisition less than a year ago. Further, we know that a YPM of Rs. 5 lakhs can transl ate into an EBITDA margin that is very close to our corporate EBITDA margin, which is where we expect Oaknet to be next year. This is a massive uptick from the 10% EBITDA margin which the Oaknet business had at the time of acquisition. The series of deals done in this financial year has also resulted in a significant diversification of our therapeutic mix. Pre -Oaknet, Eris derived 80% of its revenues from the Cardio metabolic and VMN segments. Notwithstanding a 13% growth in these segments, the concentratio n of the Cardio metabolic and VMN segments is now down to 65%. The contribution of our 3 emerging therapies , namely Dermatology, CNS and Women's Health has increased from 12% to 28%, with Dermatology having emerged as our fourth largest therapy with a 15% s hare in overall revenue. We expect this process of therapeutic diversification to continue as we continue to invest in our emerging therapies of Insulin s, Dermatology, CNS and Women's Health , alongside our flagship Cardiometabolic business.

This transacti on will be financed through borrowings and will achieve financial closure in the next few days. We can now open up for Q&A.

Moderator: The first question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Hi. Good evening and thank you for the opportunity. A couple of questions from me. One, when you say that you are 7% of the covered market in Derma and you are number 3 therein, if you could give us a sense in terms of how big is your covered market versus the overall D erma market, what do you mean when you are giving this stratification?

V. Krishnakumar: The concept of covered market is a very standard thing that is followed in our industry. That is not a new point. It's just a term that is used to denote the particular segments of the market that we play in. Out of the total Dermatology therapy, our covered market is around 45% of the total Derma therapy. When we say we are number 3 with a 7% market share, we are essentially talking of that 45% footprint, which represents the molecules and the segments that we are present in.

Amit Bakshi: At an overall level, we are maybe at 10 -11, right

Tarang Agrawal: Got it. Like for instance, if I were to understand the diabetes market, right? I mean of Rs. 12,000 crores , Rs. 3,000-3,500 crores is Insulin , right? And then you have Sulfonylurea and you've got everything else within the Rs. 12,000 crores. When you say you are 45% of the covered mar ket, are there any specific sub -categories within Derma that you're covering? Or this is just, some more details into this would be helpful?

Amit Bakshi: Please pardon me as we're still getting more well-versed with the market. But as far as I understand, there are two parts of the market , broadly speaking. One is Medical Dermatology, which is more abou

t the Psoriasis, the fungal infections. The other piece is a little bit tilted on the Cosmetology si de.

Through our first two acquisitions, our Medical Dermatology piece has got very strong and in that particular context, we were talking about number 3 rank, which is almost 50% of the coverage. Now, large markets where we are not covered. for example, t he number one market in Cosmetology is acne and acne-care. Our presence in acne and acne-care is still very small. Hair care, for example . Hair care again is a large market, but our presence there is very small. These are some areas we have a smaller presence .
Emollients , for example . One of the largest markets . But we have a very small presence in that Emollients market. These brands, if you look at are a pinhole opening for us to really build brands around that one brand which we have acquir ed to make sure that we are able to get a higher market share in these markets where we are not present.
Tarang Agrawal: Got it. That's helpful. Thanks. Current GCs of the brands that you've acquired between Glenmark and Dr. Reddy's, would the GCs be simil ar to Oaknet?
Amit Bakshi: Yes, they are similar to Oaknet. We are in the same vicinity of 78 to 80%.
Tarang Agrawal: Ok. And my sense is, these products could be manufactured internally, whether in Sikkim or Gujarat , right?
V. Krishnakumar: Yes, we are evaluating that because as of now, most of these products are done by third parties. But given that we have put together a fairly sizable derma basket now, we are evaluating the business case to manufacture these products in our Gujarat plant. We should have some update on that the next time we meet up.
Tarang Agrawal: Sure. And the last is its going to be 100% debt funded. If so, what's the cost of funding that you're looking at? Will it be fixed or variable?

V. Krishnakumar: It is variable in the range of 8% to 8.5%.
Tarang Agrawal: Ok. Thanks . All the best.
Moderator: Next question is from the line of Prakash from Axis Bank. Please go ahead.
Prakash: Hi, good evening. Just trying to understand, so we have been fairly aggressive especially in the Derm side and getting the fair share of the market now. You said that there's a white space of acne within the Derm. We would still be open to looking at more a ssets?
Amit Bakshi: Yes, Prakash, makes sense. If we get something which will fill the gap. There are two answers to this Prakash. One is that, now it's time for us to consolidate, right? We've got three acquisitions in a year. We clearly believe that now it's the execution time, the consolidation time. So, are we ready to do something big in Derma? The answer is a clear no. But if there is something which is useful and still in that range, which gives us comfort, we are still open to that.
Prakash: Ok and maybe I missed this, but the MRs, we acquired just the brand s, right? Is it fair to say that the MRs which came from Oaknet, but they were Medical Derma and other. So, these are enough MRs or you would need more specialized MR s for Cosmetic Derma ma rketing?
Amit Bakshi: We are adding . There some amount of re -distribution of people which we have done. We are adding one more division, which will be primarily Cosmetology and we are hiring 50 people from outside. Rest 50 of them have been moved from inside from the various divisions.
Between Derma and Cosmo, what happens, Prakash, it's not such a thick line when you do a promotion in front of a doctor. It's more about training and understanding the product. The team at Oaknet is a very good team

at the management and at the marketing level and they have had some
very good successes in the recent past also. I'm not worried from that
point of view.
V. Krishnakumar: I may just add to that. The expansion in the field force is to the tune of 40 -
50 reps, like Amit mentioned. The existing field force that handles Derma
at Oaknet is about 640. It's really a very incremental expansion that we
are looking at. Your earlier point that these brands that have come from
Glenmark as well as Reddy's are pure brand deals with very high GCs. It
gives us a very good arbitrage po tential in terms of, scaling up the YPM
of the business and hence also the margins of Oaknet.
Prakash: From a margin perspective, it would be fair to understand that there is a
lot of headroom, but currently it would be much below than the company
average and there is a potential to move to the company average is what
you're saying?
V. Krishnakumar: It is far better than a potential Prakash. It's pretty much a done deal .
Because this year we have been saying that our Oaknet EBITDA margin
for the year will b e around 25%. But once we put all of this together, as I
mentioned earlier, our YPM will be Rs. 5 lakhs per month right from 1st
April. That means we have clear line of sight on an EBITDA margin, which
is in the range of 36% to 38% for next year. It's not a potential, there is
clear line of sight.
Amit Bakshi: Yes, correct.
Prakash: Ok. This we are saying for the full basket of the Oaknet, the Glenmark and
the recent one , Dr. Reddy' s?
V. Krishnakumar: Yes, we are looking at the entire basket to be north of Rs. 400 crores in
revenue next year with an EBITDA margin in the range that I highlighted
to you.

Prakash: Ok. One more last question, if I may. We said that we are fairly open to
Acne and it makes sense to cover the entire Derm market. Just trying to
understand, wh ite spaces in Cardiometabolic, you see that as well?
Amit Bakshi: Sorry Prakash, say that again?
Prakash: For Acne , you mentioned that clearly you would be interested to complete
the franchise. But in the Cardiometabolic, which has been our key
segment, are there any w hite spaces and would you be interested in any?
Amit Bakshi: Prakash, number one, I can't see many where we are sitting at this point
of time. And second, historically, it has always been a difficult thing to hunt
for. Right now , in our minds, we do not have a sight of getting something
in Cardio -diabe to which is si gnificantly big.
V. Krishnakumar : So again, it goes back to the covered market ratio, right? Our presence in
Cardiometabolic is pretty expansive. Hence , the probability of finding
white spaces is limited to that extent.
Moderator: The next question is from the line of Tarun Shetty from Haitong Securities.
Please go ahead.
Tarun Shetty: Hi, thank you for the opportunity. I just have one question. What would be
the primary sales growth for this portfolio as o n FY22? And what would be
the sa les year-to-date?
V. Krishnakumar: The primary sale this year was to the tune of Rs. 50 crores, that's, the
number. The CAGR over the last two years has been around 8%. This is
despite the fact that these brands were very strong brands, they were not
promoted. But in our hands, when we look at the kind of focus and go -to-
market that we are bringing, creating a new division, and provid ing focus
on these brands , we believe that a 15% to 20% kind of a growth in the first
three years, is a doable proposition.

Tarun Shetty: Ok, just for clarification,

by Rs. 50 crores this year, you mean a year -to-
date FY23 or FY22?
V. Krishnakumar: Year ending March'23.
Moderator: The next question is from Aarti Rao from Anand Rathi. Please go ahead.
Aarti Rao: Sir I just missed out on the brand names that w ere disclosed and any top
two or top three brands that crosses...
Moderator: I'm sorry to interrupt you. I can hear a slight echo from the management's
line. Participants, please stay co nnected while we re -join the management
line back to the call. Ladies and gentlemen, thank you for your patience.
We have the line for the management reconnected.
Aarti Rao: I had questions regarding the brand s that you disclosed. What are those
nine brands and any brand that probably clocks more than Rs. 10 crores
or Rs. 20 crores singlehanded?
V. Krishnakumar: Yes, there are brand names. The key brands are; Acrofy, Aquaderm,
Avarta, Hydroheal, Revibra, these are some of the key brands. In terms
of revenues, there are at least three brands in this portfolio which are north
of Rs. 10 crores and there are a couple in the Rs. 20 crore s bracket. In
terms of leadership positions, three of these brands are ranked amo ng
the top three in their respective segments and there are another three of
these brands which are ranked among the top five in their respective
segments. Six out of nine brands have some kind of a leadership position.
Aarti Rao: My next question is, wha t kind of growth the Cosmetic Derma segment
would be growing on an IPM basis?
V. Krishnakumar: The entire Derma segment has a growth of about 10 -11%. Cosmetic Derm
is growing slightly faster than the average.

Aarti Rao: Do we expect that the drugs that we have acquired or the brand s that we
have acquired would grow better than the industry rate?
V. Krishnakumar: Yes, that is the expectation. As I mentioned earlier, once we are able to
take the brands in and they get settled down within our system, 15 -20%
per annum kind of a growth rate is what we can expect.
Moderator: The next question is from the line of Parag Thakkar from Anvil Wealth
Management. Please go ahead.
Parag Thakkar: Thanks a lot for the opportunity. Basically, now what will be your total ne t
debt position after th is acquisition?
V. Krishnakumar: At the end of March, we will be at around Rs. 850 crores of debt.
Parag Thakkar: And our EBITDA will be in the vicinity of Rs. 600 crores?
V. Krishnakumar: From a net debt -to-EBITDA standpoint, we expect we should be at around
1.5 times this year, which will obviously significantly reduce when we look
at what numbers we are looking at for next year.
Parag Thakkar: Any upside cap we can expect that if suppose something else also comes
up for acquisition, what kind of upside cap we have in our mind for net
debt-to-EBITDA number?
V. Krishnakumar: We will be comfortable. The banks require you to stick to 3 times . So, we
will be comfortable holding the 2x mark. That is the internal benchmark
that we have for ourselves.
Parag Thakkar: From shareholder perspective, I would also recommend that only , not to
cross beyond 2. Although your scalability and the way you have turned
around Oaknet and your margins have improved, that tells us ab out your
capability to sho re up the margins. But then too, I think ne t debt-to-
EBITDA of about 2x will be slightly more dangerous. That is our

suggestion also. The other thing is that, in all the se brands, basically you expect the entire Rs. 400 crores to go up to your 36 -38% margin which you said, right?
V. Krishnakumar: That is right.
Parag Thakkar: By FY 24 or 25?
V. Krishnakumar: FY24.
Parag T

hakkar: You are saying Rs. 140 crores EBITDA and you will have a debt of Rs. 800 crores which you have taken at 8.5%. So, Rs. 70 crores will be the interest cost?
V. Krishnakumar: Yes.
Parag Thakkar: Ok. What growth we should expect from our organic business?
V. Krishnakumar: We can come back to you on that because we will be meet ing you again in seven -eight weeks when we talk about our results. We will give you a completely comprehensive picture about the next year.
Parag Thakkar: Ok. Any dividend pay -out kind of thing in your mind which after all this, because we will be, the first priority is to reduce debt, right?
V. Krishnakumar: As I said, all of this stuff we will pick up, when we come to talk to you about the year -end results. Right now, we would like to focus more about Dermatology and Oaknet.
Moderator: The next questio n is from the line of Prashant Nair from Ambit Capital. Please go ahead.
Prashant Nair: Hi, good evening. Just wanted to clarify a couple of things. Firstly, the incremental spend for you on these products would be the 50 MRs and

additional sales promotion activity that you would have to do, right? Is that the right way to look at it?
V. Krishnakumar : Yes, Prashant. That's right.
Prashant Nair: Typically, when you acquire such brands, which have not been core to the seller, how do you see, how much do you have to step up intensity, related to what you would be normally doing in a product of yours? Is there any sense you can give which helps us understand th is upfront?
Amit Bakshi: Yes, Prashant . Generally, if you ask us, we find it a little convenient t o say tail brands and all those things. But when we look at the brand from a personality point of view and what is the kind of image it has in front of the HCPs. All these brands which we are talking about, and also the Glenmark brands, they really stand o ut. The Onabet, the Halobate of the world, the Sorvate of the world are really leaders in their own therapies.
What happens over a period of time when you have a very large basket you can't help, but it comes into some kind of a chronological order. When it comes to some fresh hands , the energy all of a sudden increases. Because there are lot of therapy gaps available in the acquirer in case of us. The focus and the energy increases very, very rapidly. And just t he fact th at when a brand is promoted as number four and when it is promoted as number one or two, makes a significant difference.
Let's not talk about what will happen to these brands . Take Oaknet for an example. It is just about the energy, the positioning of the br ands and that's how the whole difference is made. In our plan we have a very fresh and energetic way to look into these brands in different therapies and I believe that energy gives it a flip for growth.
Prashant Nair: Just one more clarification. KK, when you mentioned the revenue number for a few of these brands, north of R s. 10 crore, couple which are in the

Rs. 20 crore s bracket, these are at A WACS level, right ? or are these primary?
Amit Bakshi : Yes, these are AWACS number and so me of them are a little exaggerated also. I think offline Kruti can tell you exactly what the brands size are .
Moderator: The next question is from the line of Niharika from Aequitas Investments. Please go ahead.
Niharika: Considering the cost of acquisition of R s. 275 crores and the turnover of around R s. 50 crores, it's a value of around upwards of like 5.5 times . You must have done some market research. According to you, what justifies this high value which you have given for it? And what r

evenu e potential
does th is portfolio holds say in next three -four years based on your research?
Amit Bakshi: Yes, that's a nice question. As we were alluding to , that Cosmetology is a little premium to Dermatology and the growth also in the last five years has always ebbed the Dermatology growth. Cosmetology as a segment is a little more r evered than Dermatology. That's number one.
Then you look at what is the category you're looking at. A product like a n Aquaderm, which is like Rs. 5-7 crore revenue if I'm not wrong. But the category is Emollient and it is the perception on that category has been very nice. We do run th is perception analysis among the HCP , brand -wise just to see how the brand is positioned in their head.
So, because number one, it is Cosmetology. Number two, it is ticking the right boxes as far as the therapy is concerned and historically, Cosmetology has been a little more revered and growth has also been better than Dermatology. That put together makes that premium which goes along.

Niharika: Any revenue potential that you must have assessed in say next four years, five years on a long -term basis these nine brands can go up to this level from R s. 50 crores to say some number?
Amit Bakshi: 15% to 20% growth in these products because they are early brands, the average size is between Rs. 5-9 crores. Therefore, we find the headroom is quite good. We assume a 15% to 20% growth over the next four years.
Moderator: Next question is from the line of Harshal Patil from Mirae Asset. Please go ahead.
Harshal Patil: Just had one question to ask you. Basically, this was with respect to the margins for Oaknet. If we see the Q3 margins as of December quarter, I guess Oaknet was at around 27% and right now we are expecting about 25% for FY24. Am I missing something out here?
V. Krishnakumar: Yes, I menti oned that 25% would be the margin for this year that is FY23 full year approximately. The margin for FY24 will be in the range of 36% to 38%.
Harshal Patil: The lever age would effectively be the ramp up in the new portfolio of Derma. That's Glenmark plus Oaknet plus Dr. Reddy's portfolio?
Amit Bakshi: Yes, the ramp up will always be a leverage. But what is important here when you get brands and you make them sit on the s ame people that is where the productivity thing kicks in. At a thumb rule level, if you are in the vicinity of 78 -80% Gross Margins and are hitting a Rs. 5 lakh, close to Rs. 5 lakh kind of a YPM, then it results in these kinds of margins . When we are giving you these numbers, we have really not incorporated, substantial growth in the whole Oaknet system.
We are giving you a very nominal kind of a growth because we have to get things together. But it's just the function of a Rs. 5 lakh produ ctivity

and a huge Gross Margin between 78 % to 80%. Largely, when these two things are there, the EBITDA margins will fall in between that 36% to 40%.
Moderator: Next question is from the line of Shalabh Agarwal from Snowball Capital. Shalabh, may I reques t you to unmute your line from your side and go ahead with your question, please? Shalabh, if you can hear us, may I request you to unmute your line from your side and go ahead with the question please?
Due to no response, we move to the next participant. Next follow -up question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.
Tarang Agrawal: Hi, just wanted to check . You mentioned that you are number 3 in the covered market for Derma. Would the top two players be t he same players who are the leaders in overall Derma therapy for this cov

ered market as well?
V. Krishnakumar: GSK and Sun , in this particular case, for the covered market, they are ahead of us.
Moderator: Next question is from the line of Ayush Vim al from Clearview Capital. Please go ahead.
Ayush Vimal: Thanks for taking my question. I think a key part of the strategy to show the Gross Margins is to ultimately make these products in -house, these acquired brands in -house. Just wanted to check what is the maximum turnover that we can generate out of the R s. 300 crore gross block that we have currently? And whether there will be an imminent need for creating new capacity going forward if we were to in-source these products?

V. Krishnakumar: I'll answer those two questions one by one. The potential for Fixed Asset Turnover in our industry is very high. We are seeing a Fixed Asset Turnover of more than 10 times for our Guwahati plant. We expect you should see at least that if not more for the new facility.
In terms of bringing the Derma operations in -house, that is actively being evaluated. At present, our second facility is configured for oral solid dose and injectables, not for Derma. If we do bring these products in -house, there will be some incremental investment, which we can quantify as soon as we make that decision. But your point is right that there will definitely be an arbitrage in terms of improvement in Gross Margin if they are brought in -house.
Amit Bakshi: Am I wrong in saying that we will not need any land and building because we already have blocks in place. So , it will all be plan t and machinery.
V. Krishnakumar: Yes. We won't need to spend on civil and utilities.
Ayush Vimal: Any timeline that you have in mind to get these brands in-house ?
V. Krishnakumar: That's being evaluated right now. We haven't crystallized on anything, but the next time we have a chat I am sure we will have some kind of an update.
Ayush Vimal: What is the percentage of products that are manufactured through third parties, if I can get that number from you?
V. Krishnakumar: Was this question for the Derma portfolio or for company as a whole?
Ayush Vimal: Company as a whole.
V. Krishnakumar: Third party percentage is 15% to 20%.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. On b ehalf of Eris Lifesciences, that concludes this conference.
Thank you for joining us. You may now disconnect your lines. Thank you.
This document has been revised to improve readability.

Call: May 2023

"Eris Lifesciences Limited
Q4 & FY23 Earnings Conference Call"

May 17 , 202 3

MANAGEMENT :

MR. AMIT BAKSHI , CHAIRMAN AND MANAGING DIRECTOR
MR. V KRISHNAKUMAR , CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH, CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL , INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day and welcome to the Q4 and FY23 Earnings Conference Call of Eris Lifesciences Limited. We have with us on the call today Mr. Amit Bakshi – Chairman and Managing Director; and Mr. V. Krishnakumar - Chief Operating Officer and Executive Director.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. V. Krishnakumar – Chief Operating Officer and Executive Director of the company. Thank you and over to you, sir.
V. Krishnakumar: Thank you. Good afternoon and welcome to our fourth quarter conference call. I am Krishnakumar and I will be sharing the highlights of the qu arter and full year with you.
We have reported standalone revenues of Rs. 315 crores in Q4, which represents a growth of 11.5%. Our standalone revenue s for FY23 stand at Rs. 1,331 crores, which represents a growth of 9.5%. This has been lower than our guidance due to a couple of factors. First, we had launched an immunity boosting supplement called during the wave -2 of Covid which did exceedingly well during the pandemic. However, given its strong association with C ovid, the sales fell off a cliff post the pandemic wherein we discontinued the product ; in addition , we had to take returns and write -offs in FY23. While we did not discuss this as a major po int in our commentary during the year, the fact remains that this has impacted some part of our standalone growth for the year. Secondly, there were a couple of significant brands in FY23, Zayo being one of them - we cannot

talk much about them since the m atter is still sub-judice , but where we

took extended periods of primary sale disruption s that were unforeseen. Adjusted for these two one-time factors, our standalone revenue growth for the year from our continuing business stood at 15.6%.
In fact, our base business continues to perform stronger than ever. Our Diabetes franchise has grown by 25% and we have gained a rank in the therapy with Glimisave having become a Rs. 300 -plus crore revenue mother brand. Our Cardiac franchise has grown by 16% excluding the impact of Zayo and our VMN franchise has grown by 16% excluding the impact o f .
We invested Rs. 1,265 crores in consummating 3 Dermatology acquisitions in FY23. This has been our largest single -year investment , and that to o in a single therapy. Notwithstanding that Dermatology is a large and attractive therapy, we need to acknowledge that this investment was not an easy decision, and it took a lot of heart and conviction on our part. This conviction came from three aspects of our business understanding : (1) Our long-standing experience in Chronic therap ies (2) Our ability to forge lasting relationships with Super-specialist s (3) The stickiness of “old gold ” brands and our ability to build them further.
Post the a cquisition of Oaknet, we approached the business with an “owner -manager ” mindset and with a complete willingness to roll up our sleeves and do the hard work to create value. We took a slew of value creation initiatives focused on product range expansion, driving sales and marketing excellence and expansion of specialist coverage.
Within six months of the acquisition, we could start seeing early impact in terms of an acceleration in organic growth and margin expansion and we started getting the conviction that we have a strong base there which we

can build on. Hence, when we got the opportunity to bring in complementary products through the Glenmark and the Dr.Reddy's bolt - on deal s in Q4, we had the confidence to go ahead. I am happy to note that our thesis has delivered tangible results in Oaknet’s very first year with us , with the business clocking a 22% organic growth in FY23 after a spell of three flat years during FY20 to FY22. The EBITDA margin has expanded from 10% in FY22 to 24% in FY23, and we are confident of a further expansion in FY24.
On a standalone basis, our EBITDA margin for FY23 was 38%, down by 185 bps from FY22, largely driven by a 134 bps increase in standalone COG S. The l ost sales on account of C ovid products and “at risk” launches that I just spoke about have also played their part. However, we continue d to maintain a consolidated gross margin of close to 80% despite the dilution in margins caused by the amalgamation of the new businesses, specifically Oaknet and our greenfield Insulin piece. With Oaknet performance becoming stronger and our insulin volume s scaling up, we expect a significant uptick in consolida ted Gross Margin as well as EBITDA margin in FY24. Preservation of a consolidated gross margin of 80% has been an integral component of our growth strategy all these years and will continue to remain so in future as well.
Eris M .J., which houses our greenfield Insulin Business , has organically clocked a revenue of Rs. 17 crores in its first full year of commercial operations. We have two commercial products at present - Human Insulin and Glargine. We are expecting this business to scale up significantly in the coming year with a narrowing of operating losses.
In order to simplify our corporate structure and unlock synergies among our business units, effective 1st April 2024, we propose to demerge the

Domestic Formulation s business of Oaknet and amalgamate it with the parent company, Eris Lifesciences. Through this merger, we will strengthen our overall “go-to-market ” alongside reali sing better operating efficiency, scale benefits and business synergies. We have already commenced the operational integration of the businesses from 1st of April

and this is expected to be completed by the end of June 2023.
Our detailed standalone and consolidated financial information is available in our investor presentation uploaded earlier today.
These were the highlights for the quarter and the year. We are now happy to open up for questions.
Moderator : Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha : The first one is on the amalgamation of Oaknet 's domestic business. What kind of synergies are we looking at on that front? Would we be able to generate some cost savings from there? What's the thought process there?
Second, on the Insulin side . I think last quarter we said that this quarter we were expect ed to do around Rs. 7 crores to Rs. 8 crores revenue. But again, we are coming at around Rs. 6 crore s and that's been flat for two quarters. The burn has also increased a little bit. What are our expectations ? What different things we are trying to do to see the uptick there?
Amit Bakshi : Insulin first . We had some supply issues in the last quarter. Therefore, the sales were a little slow. Otherwise , Glargine has done well when we look

at April. Our plan for the next year remains intact and we do not see any significant movement from what we have spoken. We are aiming for no loss in this year from (Eris) M.J. So we maintain that number , both on the top line and bottom line.
Synergies from the two things ; we are looking to cross -sell betwe

en
Women 's Health, Dermatology, and some Endocrinology. We have been a strong player in Endocrinology and there are two indications which are very good when it comes to Dermatology also. One is the PCOS in girls ; which is our mainstay narrative in the Women's Health business within Eris; and PCOS has a manifestation of skin problems. We see that we can cross -sell at that level, and we are also looking at a postmenopausal kind of a scenario, which basically again is an interface between Hormone and Dermatology. So , Women 's Health, Endocrinology and Dermatology, we are trying to put this together and cross -sell.
Kunal Dhamesha : What will it do? Will it increase our doctor coverage or the product that we take to doctors ? In terms of benefit s, how should we think about the benefit s going through for us?
Amit Bakshi : Yes. Higher penetration. Oaknet has been selling Dermatology only to Dermatologists at this point of time. We will extend that Dermatology bouquet to Endocrinologist s and Gynaecologist s. So you will see a greater reach in the coming time.
Kunal Dhamesha : Second one, on the Oaknet . I think we have seen a very good gr owth. That's great for this year and we kind of remain confident. But I think we have operated multiple levers like increasing the penetration to around 90% of Dermatologist s and then , also launching products. But do you see enough runway going into FY24 -25 where we can continue to see similar growth that we have seen in FY23 for Oaknet? Or would you say the low -

hanging fruits are already there and it's more about building the existing brands?
Amit Bakshi : Kunal, there is room. There's too much in hand as of now. I don't know how far it goes, but we have 24 products lined up for new launches which we are holding up at least for the first two quarters. We have been working on some Formula tion Development throughout the last year. Some of them are now coming through. There are one or two things which we are talking for International licensing, which is also in progress. The new brands which we have taken from Glenmark and Dr. Reddy 's are showing us a completely new phase of growth. The opportunities are quite high,

but we are not taking everything together. We are just walking one step at a time . First six months would be consolidation and getting the sales together with increasing the reach in the special ty which I was talking about and in the second half we will look at expansion. We have got three divisions. I can comfortably tell you that post the second half, we will be having a fourth division also.
I have been talking to you that the sales look good. If you look at the presentation, i t says we are #3 in our covered market but there is a large market which we a re not present in and that is typically the Acne market, which is very large, and the Hair-care market and we have got everything aligned there from a product narrative. So, there is too much in hand, but we will take it , one by one. That is how the plan is. Oaknet and Dermatology is going to keep us very busy for the next two years.
Moderator : The next question is from the line of Punit Pujara from Helios Capital. Please go ahead.
Punit Pujara : I had a question on Insulin Glargine . You referred to the supply issue. Was that from Biocon ?

Amit Bakshi : Not Glargine issue. It was Human Insulin issue, the M .J. piece .
Punit Pujara : Can you give us an update about the Insulin Glargine product that was in clinical trials, which is targeted to be launched in the current calendar year?
Amit Bakshi : Yes, it's going on time Mr. Pujara . We see the studies are closed. We have to get them to the DCGI. We are running on -time as far as Glargine and also the GLP is concerned. We are very hopeful that we will see the laun

ch in this year. Nothing changes on that standard; it is going as per the plan.
Punit Pujara : Once we submit the clinical trial data, it will take around six months of time. Is that understanding right?
Amit Bakshi : Yes, you are right. Generally, in the last couple of months, there is a little bit of slowness in the movement in the department. We expect that to get all right. We are expecting a June or a July hearing. Let's see how it pans out. But the study has been completed.
Moderator : The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane : Just a clarity, adjusting for Zayo and for 4Q FY23, what would be the standalone year -on-year growth?
Amit Bakshi : Not done that math.
Amit Bakshi : There will be no effect in the fourth quarter , but it will be the at-risk product.
V. Krishnakumar: We will look into it and get back to you .

Amit Bakshi : It should be around 300 basis points. Largely saying , I have not done the math, but from the gut. So , doesn't have an effect because we had finished by that time ; was al most up . So, it's only about the at-risk which would be in the question.
Tushar Manudhane : Same quarter last year, did we have and Zayo sale?
Amit Bakshi : Zayo, yes, but not . I have to check Tushar but would be very minimal. But anecdotally I can tell you we are talking about around 300 basis and we are talking of 11.5%. Take it, 14.5% -15%. That's what it looks like.
Tushar Manudhane : Secondly, just to understand how much would be the operational costs related to the Gujarat facility which will come up in FY24?
V. Krishnakumar: That will come in the books in FY24, from a full year standpoint and it should be similar to the Guwahati plant level.
Tushar Manudhane : Considering the significant launches and the operational cost for this facility , the profitability / margin can still look north for FY23. Is that understanding right?

V. Krishnakumar: Yes, Tushar. Factoring in everything, we are still expecting a meaningful jump in EBITDA margin in t his financial year.
Moderator : The next question is from the line of Prakash Agarwal from Axis Capital. Please go ahead.
Prakash Agarwal : Trying to understand the slide four better. Aprica and this trade generic s-EHPL, both have made some losses. What are we thinking about these two small ones ? Your statement o n organic standalone growth was taken well. But I am trying to understand how should we see the margins going?

Because I understand Insulin business can turn EBITDA neutral and Eris Therapeutics also. If you could give some colour on the se segments that you have described, how does that look for FY24 and FY25?
Amit Bakshi : EHPL was always a drag on the EBITDA, right? I remember telling in one of the calls that we are not very gung -ho about the trade generics so the sentiment continues. We will try and not lose this Rs. 4 crore s in this year, which we lost in the last year. I see no upside on the top line. The plan is simply to have no loss at an EBITDA level.
Regarding Aprica, it was a bad year for Aprica. Aprica is not a bad business. We have been doing well over a period of time, but we had some one of-its-kind situations in Apr ica. So Aprica, I remain positive. I see Aprica doing well in this year and getting back both into EBITDA as well as the top line growth.
Prakash Agarwal : Some colour on the Eris M .J. and Therapeutics?
Amit Bakshi : Eris M .J. you know. We expected Rs. 20 crores down by the end of the year when we started, and we are almost there. We wanted it to do Rs. 20 crores - Rs. 21 crores but we ended up Rs. 17 crores, some plan s did not work out and there were some deficiencies in supplies from M .J., especially in the last quarter. We are aiming for a 0 EBITDA there, which you said, and Eris Therapeutics is basically where the Gujarat facility is. The expense which you see is on the facility piece.
V. Krishnakumar: The plant has commercialized in Mar ch, Prakash. This will be the first full year where Eris Therapeutics will start booking revenue. Once that starts happening, which has already started happening from April, then you will see the numbers falling in place. For all practical purposes, you sh ould see Eris Therapeutics as part of standalone. It's just a different operating

plant because of which it is in a separate company, but it is part of standalone.
Prakash Agarwal : Moving forward, the drag we had of these one -off products you mentioned and the new initiatives, how do you see the base business growth and margins for you? Just a very broad colour guidance. I am not sure if you have already said, I joined a little late.
Amit Bakshi : Yes, Prakash . We thought that we will give you guidance after the end of the first quarter because Oaknet has now become a prominent part of the entire piece, both from the top line and also expected at the bottom lin e and this was the first m onth when everything was getting together, not the first one technically, but we booked only Rs. 12 crore s sales of Glenmark & Dr. Reddy 's in the first quarter. That was expected because of the pipeline filling and all those things. But April has come out well. Because Oaknet was a considerable and significant piece, we would wait for a quarter to give you the guidance for the next year. That's our ba d. It takes a little more time than that.
Regarding the standalone, we just told you, we grew 9.5% on the book s and we wanted to grow 15% at the start of the year and we told you why it got a little jarred . The margins have never troubled us in the standalone. We continue to be at 38% - 40% margin.
The growth in our terms internally has been quite good . Last year has been one of the best years for us internally, but because of all these issues , on the financial s you have a stress. We believe that we can continue this kind of trajectory, especially because of the new launches,

which are shaping up well. If you look at our new Diabetes launches, they
have shaped well. Glimisave , which has seen a concern about the growth,
and we have be en telling that it's a big product , has now hit more than Rs.

300 crores at the refl

ection level. I have no problems in the standalone
business other than the se moving parts and I believe the journey would
be like that.
Prakash Agarwal : Lastly on the strategy. For fiscal '24, you have 2 to 3 assets to turnaround,
and you have some debt. Is it fair to assume that the focus will be largely
to pay off the debt or you would be open to any opportunistic asset as
well?
Amit Bakshi : First two quarters, we want to pay it back. That's the idea which we are
working on. Nothing in six months' time, hopefully, that is how we are
preparing ourselves. So, six months is consolidation and putting
everything together. Post six months is the time when we will look at it.
Having said that, if there is something which is very mouth -watering and
one of a kind, kind of a thing, then we might change the view.
Prakash A garwal : I have one more if you allow me on the working capital side. It is largely
due to the acquisition last month and having full balance sheet impact?
Or is it that going forward also we will see this? Or it will come down?
V. Krishnakumar: It will com e down, Prakash. By the end of the financial year, you will see
that a lot of it will get normalized. I think standalone debtor days of 35 to
40 or around 35, I think that is still something that is the normal for the
business. There have been too many one time events that have happened
in the financial year because of which you see this number being slightly
different, but it will fall in line.
Moderator : The next question is from the line of Bino from Elara Capital. Please go
ahead.

Bino Pathiparampil : Most of my questions were answered. Just one clarification. If I remember
correctly , earlier you had given a guidance of your tax rate being about
25% in F Y25. Now with substantial acquisitions, would there be any
change in that at a blended level, overall level?
V. Krishnakumar : No, there is no significant change because of the acquisitions. The trigger
for the tax rate was related to our Guwahati facility. That still remains to
be the case.
Amit Bakshi : Having said that, we are able to get some or a lot of the Dermatology
products in our own plant, which is a little ambitious for this year, but if we
are able to get it, then we will see some benefits rolling out from there.
Bino Pathiparampil : But how would that be because the plant is coming out of the tax holiday,
then how would that benefit?
V. Krishnakumar: Currently the Dermatology Formulations are all manufactured by third
parties. When we get it in and we are working on getting it into our Gujarat
facility, which is at a 15% tax rate.
Moderato r: The next question is from the line of Prashant Nair from A mbit Capital.
Please go ahead.
Prashant Nair: Can you share the share of Sulfonylurea products in the Diabetes portfolio
for this fiscal? That's number one. Secondly, how have you seen the
Diabet es market overall evolve after the Sitagliptin launch ? Has there
been any acceleration shift of the market to Sitagliptin away from either
Sulfonylureas or also you have Vildagliptin. How have these products kind
of played out with generic version of Sitagliptin coming?
Amit Bakshi : Kruti will just fetch out the data for Sulfonylureas. 60% is what KK tells
me. There has been a lot of changes. Let me tell you we have grown by

25% in the Diabetes therapy in this fiscal year. A lot of that growth has

been driven by the newer products. We already articulated that from a SGLT and DPP4 point of view, the contribution has gone up to 41%. This was as per the last time it ha d been discussed.
The changes are happening quite rapidly actually. We see that Teneligliptin which became very big in the first four years, then got shifted to Vildagliptin and slowed down. We are seeing a similar trend in plain Vil

dagliptin. But Vildaglip tin is now driven by the combination of Vildagliptin with Dapagliflozin. The change is actually swift because we have not had a time in four years when so many products had come out of patent s.
As far as our position, you know our position. We still feel t hat the market is shaping up when it comes to Sitagliptin and combinations . We hold a #3 or #4 rank when we put both products together. But we still feel that the report is not out yet, the market is still evolving. That's the overview of how the newer markets are behaving.
Prashant Nair : On an overall basis, putting all these things together, how do you see this therapy growing for you over the next year or couple of years?
Amit Bakshi : We did an internal analysis, wh ich we do for our reviews and we are happy to share it with you at some point of time that last year in Gliptins we were #1 company in terms of gains in Gliptins and combinations. We continue to have a good share between the new therapies. If you look at Diabetes growth, Diabetes has been our strength. At no point of time, I remember Diabetes is not growing far, far ahead of the market and because this is sticky, we believe that we have some kind of a grip in that market. So the growth rates will continue i n the same trajectory.

Moderator : The next question is from the line of Tarang from Old Bridge Capital. Please go ahead.
Tarang : KK, I just wanted to double check, in FY23, there are no revenues flowing from or Zayo? Would that be a right assertion?
V. Krishnakumar: Yes not from . There were returns that we took, as I mentioned.
Tarang Agrawal : The growth numbers that you enumerated in your opening address, these are all on the business, right? These are not AIOCD numbers. These are on your P&L, correct?
V. Krishnakumar: All these are from our P&L.
Amit Bakshi : No. But AIOCD also reports a 15% growth for us, 14.5% growth.
V. Krishnakumar: It does, but in the first para that we spoke about, we only spoke about primary numbers. We did not refer to AIOCD numbers.
Moderator : The next question is from the line of Ankur Shah from Quasar Capital. Please go ahead.
Ankur Shah : I was referring to slide #15. Considering that Top-20 brands now account for almost 70% of the revenues and considering the acquisitions which we have done in the last 1 -1.5 years, can you provide us sort of a consolidated view on how the company will look six months down the l ine with that kind of revenues? And once we have set that base, how do we plan to grow this organically, what will be a sustainable growth rate? Can you throw some light on that?
Amit Bakshi : One of the most frequented words in the entire presentation is organic. It's all over the place . We will take one more quarter . We understand

where you are coming from. Just give us one quarter . As I already said that Oaknet has become a big piece for us a nd it's just kind of forming up in the new year. Maybe when we talk about the first quarter numbers, we will have a much better grip on where the numbers are looking like to go.
Ankur Shah : The second follow -up question . Some of the brands are reaching ver y good scale. Do we plan to increase our coverage, our distribution, how do we tend to take these brands at a mega scale, if you have some thoughts on that?

Amit Bakshi : Last year there has been a significant improvement in the standalone HR also, which means that we have added people by the end of the year. As per the brand and as per the reach, we keep on adding people wherever required. In the Diabetes where the brands a re getting bigger, we added some people by the end of the last year. That's a continuous process, which we keep on undertaking depending upon what is the reach which is reported in prescription markets and other surveys. We are behind the big brands . At most of the given point , the bigger brands have grown more than the market. We continue to have a very sharp view on expansion, whether it is people expansion, coverage expansion or the portfolio expansion.
Ankur Shah : The last question on the manufacturing side. You mentioned that you are trying to transfer a lot of the Derma products into the Ahmedabad facility. I was just thinking that the acquisitions have been done in the last year and whereas our facility was planned since quite some time. Is there any additional capex which you will be undertaking to make this facility viable to manufacture Derma products?
Amit Bakshi : There will be some incremental capex. Right now, we are just talking to you on the possibility side. We really don't have the plan as of now, but

there is an intent to make it possible and what happens because we have the basic infrastructure done, it's only the bolt -on planned machinery which is required. The chances are that we should be able to turn around. Once we get there, we will let you know what is the kind of capex which we are looking for to get these things inside.
Ankur Shah : The major cost benefit analysis for this particular Derma manufacturing is the tax which we will be saving on this, right? Otherwise, it doesn't make sense, right?
V. Krishnakumar: There is a gross margin benefit also which we get whenever we bring products from third -party to internal manufacturing. The se insourcing initiatives usually pay for themselves on a Gross Margin improvement basis. The tax thing is a top up kind of a benefit.
Ankur Shah : For Gross Margin, we will be paying for capex and working capital, right?
V. Krishnakumar: Yes. But they usually help you and you typically don't recove r this in one year, right? That's not the intent. But over an acceptable period of time, 3 to 5 years, the project usually pays for itself. That's how we think about it.
Moderator : The next question is from the line of Gagan Thareja from ASK. Please go ahead.
Gagan Thareja : First question is simply around your accounts. What should we pencil -in for your effective P&L tax rate in FY24? And second, what sort of debt repayment are you b udgeting for FY24?
Sachin Shah : The tax rate for this year should be in the range of 14% to 15% and we intend to pay off around Rs. 400 crores to Rs. 500 crores of debt this year.

Gagan Thareja : On the Oaknet piece, while it has worked out splendidly for you in FY23 , is it possible for you to give us some broad -based idea of how should we think of the Oaknet piece in terms of its scale and in terms of its margin profile for the next couple of years? What are your plans in terms o f

operating adjacencies, if possible in the Oaknet piece ? Also, you have acquired brands from Glenmark and Dr. Reddy's. How should we think about the scale of these two? In terms of margins, what's the profile currently and how you will stack up in the nex t 2-3 years?
Amit Bakshi : I am sorry, but I will have to repeat that we will be able to give you broad colours once the quarter is over. But if you insist, I will touch upon a couple of things. #1 is very important. You see the Gross Margins of the Oaknet business, entire Derma business will be closer to 80%. It will be in the range of 78% to 80%, which gives us a headroom for margin expansion. Even if you see, we have Rs. 12 crores of sales from these two products (Glenmark and DRL) coming in the last quarter and the margins where

they are intact. There has been a good recovery. When I say recovery, I
mean the sales which was there outside when we bought and how much
of that we are able to get inside. There has been a very good recovery in
the Glenmark brands. Dr. Reddy 's because it came in March, we still need
one more month to get in. Fairly positive on Dermatology. Also, remember
that if we wouldn't have got these two bolt-on acquisitions, we were ready
with a large number of new intr oductions, which now we are postponing
to the second half. There is quite a lot which is happening in the
Dermatology business and as a company, we are very keen because it's
a very large therapy. We are #3 in our covered market. Overall, we are
#10 or 11 between that. We have a lot of spaces which are completely
empty. There is a lot of excitement in the organization, but to give you
more colour , give me one quarter.

Gagan Thareja : I am just sort of trying to understand that at the optimal level, would Oaknet
margins be comparable or similar to what you have on your standalone
piece? Or is that going to be a different sort of a sustainable number? And
if you could sort of enumerate what that possibly could be once you've
stabilized and optimized it? Secondly, obviously, there will be operating
leverage and you are talking of improvement in overall margins as well. Is
it possible to give us some sort of a broa d band to work with? I mean,
conservatively, if there is a number or a range that you think can safely be
given by you at this point in time?
Amit Bakshi : If you want to really scratch that. Eris is 82% Gross Margin roughly and is
5 lakh YPM and is 38% of EBITDA. This is the metric fo r the standalone
Eris. Now , Oaknet is around 80% of gross margin , between 78% to 80%
of margin, again 5 lakh of YPM. When these 2 metrics are there, there is
a strong chance that the bottom line could be close to the standalone
margin. I am just giving you these three metrics. It's just a matter of time
when everything comes together. Give us a quarter , we will get back to
you. We are excited about this.
Moderator : We move on to the next question from the line of Kunal Dhamesha from
Macquarie. Please go ahead.
Kunal Dhamesha : Just one bookkeeping question on the write -off that we have taken for
________ and Zayo in this year, what would be the cumulative amount
for FY23?
Amit Bakshi : Zayo, there is no stocks which we have taken back. Zayo is something
which fell short. There was no supplies with us. We couldn't supply it.
Kunal Dhamesha : But was there any inventory on our books?

Amit Bakshi : No, we finished off the inventories. We ran out of stock. There were no
stocks. That's where the sale got disrupted. If you look at AI OCD, at the
peak, it shot up to Rs. 50 crore , last to last year a nd then fell to Rs. 17
crore s. If you look at the data, within this data, you will find that AI OCD
reports from Rs. 50 crore s of peak last to last year, it went to Rs. 17 crores
this year. So clearly, we ran short of the inventory, and we couldn’t service
that demand. So that's where that loss comes in.
V. Krishnakumar: is to the tune of Rs. 20 crores, Rs. 22 crores.
Amit Bakshi : What?
V. Krishnakumar: Combination of everything put together.
Amit Bakshi : is not Rs. 20 crores. Some of the we destroyed
even without putting them in the market. That piece will only be taken at
the COG S level. You consider Rs. 7 crores to Rs. 8 crores from that point
of view, not from sale point of view.
Kunal Dhamesha : Secondly, while you are not guiding for an E BITDA margin as of now,
would you say the improvement in FY24, would start seeing from quarter
one itself or it would be more towards the end or in the second half of
FY24?
Amit Bakshi : The big movement will come from Oaknet. We believe that around 75%
of the movement will be caught in quarter one itself. If we reach 75% of

what we are thinking, we are up and running.
Moderator : The next question is from the line of Harshal Patil from Mira e Asset.
Please go ahead.

Harshal Patil : One of my questions has already been answered on the margins. Yes, we will wait for the input from you next quarter. Sir, just one clarification I wanted from you. You definitely said that there is some postponement of new launches that was new product launches that was planned in FY23 on to FY24. Can you just let us know what could be the number of launches that are then lined up for FY24?
Amit Bakshi : I was talking about the Dermatology piece. I was not talking about the entire piece. What we are saying is when the acquisitions were not planned, we were already developing formulations and talking to some of the international guys to introduce newer prod ucts in the current financial year, which we are now postponing to the second half of the year. The first half focus is to put whatever we have acquired together and consolidate on that. The total number of products which we had discussed and had reached s ome kind of a conclusion for almost 20 to 24. But don't confuse it with Diabetes kind of launches. Diabetes kind of launches are very bulky. They are far and few, but they are very bulky. In Dermatology, it is far more fragmented and the brand sizes are no t as big as Diabetes. So 24 might look like a very big number. But here, you don't plan to make a brand Rs. 50 crores, Rs. 100 crores all the time.
Moderator : The next question is from the line of Prakash Agarwal from Axis Capital.
Please go ahead.
Prakas h Agarwal : Just wanted to know the MR number for fiscal '23 and likely addition for fiscal '24?
Amit Bakshi : What we can see as of now Prakash is we might need one more division in Dermatology, but that will happen in the second half. A division in Dermatology means roughly around 100 people, take some and leave some. That is the visibility as of now.

Prakash Agarwal : What is the current status as of now?
Amit Bakshi : Some 700 in Oakn et close to.
V. Krishnakumar: That's including Dermatology and one Gynaecology , total.
Amit Bakshi : Yes. 700 in Oaknet as of now, might go to 800 by the end of this year.
Prakash Agarwal : And in total?
V. Krishnakumar: Standalone is 2,200 and Oaknet is 700 . That is largely the total number.
Prakash Agarwal : The max you will add about 100 more.
Amit Bakshi: Yes, it looks like Prakash.
Moderator : The next question is from the line of Punit Pujara from Helios Capital.
Please go ahead.
Punit Pujara : Just one clarification. On slide 4 and slide 6, numbers for Oaknet revenue and EBITDA are slightly different. Could you clarify, please?
V. Krishnakumar: The slide 4 shows the numbers that are on our boo ks because the acquisition happened in mid -May. So , Oaknet full year revenues are Rs. 250 crores but because Oaknet was with us for 10.5 months of the year, so what is in our books is Rs. 226 crore s.
Punit Pujara : Okay. So slide six is pro -forma numbers?
V. Krishnakumar: Yes. Full year. What Oaknet actually did for the full year.
Moderator : There are no further questions. I now hand the conference over to Mr. V. Krishnakumar for his closing comments.

V. Krishnakumar: Thank you. F Y23 has been a year of massi ve investment for us starting with the Oaknet deal in May '22, right through to the DRL brands deal in March '23. However, we are happy to note that things have started coming together well as early as starting this April.

We are in the midst of operationally integrating Eris and Oaknet, and we are confident that the combined entity will deliver industry -leading growth, along with significant margin expansion.
We will continue to focus on good quality growth, which for us me ans growth achieved without the dilution of Gross Margin and Cash Conversion Ratio. We will continue to be guided by

th is thesis as we
execute on our multiple growth levers such as Power Brands Expansion, New Product Pipeline and Acquisitions. Thank you an d have a good day.
Moderator : Thank you, members of the management team. Ladies and gentlemen, on behalf of Eris Lifesciences Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

This document has been revised to improve readability.

Call: Aug 2023

"Eris Lifesciences Limited
Q1 FY24 Earnings Conference Call "

August 0 7, 202 3

MANAGEMENT :

MR. AMIT BAKSHI , CHAIRMAN AND MANAGING DIRECTOR
MR. V KRISHNAKUMAR , CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH, CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL , INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Eris Lifesciences Limited .

We have with us on call today, Mr. Amit Bakshi – Chairman and Managing Director ; and Mr. V . Krishnakumar – Chief Operating Officer and Executive Director.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. V . Krishnakumar – Chief Operating Officer and Executive Director of the company . Thank you and over to you, sir.

V. Krishnakumar: Thank you. Good afternoon and welcome to our conference call for the first quarter of FY24 .

Our Branded Formulations business account s for 97% of our consolidated revenue and th is includes the standalone entity Eris Lifesciences , Oaknet Healthcare , our Insulin business Eris M .J, Eris Therapeutics which houses our Gujarat facility commercialized in March, and Aprica. This segment excludes EHPL.

The operating revenue for our Branded Formulation s segment grew by 21% year-on-year to INR 4 55 crore s in quarter one. The segment EBITDA was Rs. 168 crore which represent s a 37% margin and a 30% year -on-year growth. Our consolidated operating revenue grew by 17% to Rs. 467 crore s, this includes our Trade Generics business, EHPL as well.

The consolidated EBITDA margin has bounce d back to 36% plus in the first

quarter, up from 32% last year. During the quarter, we have reduced our net debt by Rs. 102 crore s resulting in a net debt position of Rs. 672 crore s as on 30th June, down from Rs. 774 crore s as on 31st March. Our business model continues to be highly cash accretive with an Operating Cash Flow to EBITDA ratio of around 70% for the quarter.
I wish to recap how the strategic investments we made in FY23 and prior have started demonstrating impact this year. Last ye ar we had invested Rs. 1,265 crore s in the acquisitions of Oaknet, Glenmark brands and Dr Reddy's brands all of which were margin dilut ive last year. Happy to report that we have turned this around in less than a year, with the Q1 EBITDA margin of the acquired business getting close to our overall Branded Formulations segment margin. We expect a 35% EBITDA margin for this piece in FY24 up from 24% last year and 10% at the time of acquisition.
Our second major investment in the last financial year was our Injectable Diabetes franchise which clocked a first-year revenue of Rs. 17 crore s along with an EBITDA burn of Rs. 20 crore s. This business is on track for a revenue of Rs. 50 crore s this year and we expect EBITDA breakeven by quarter four of this FY. Phase -III clinical trials of Glargine and Liraglutide from MJ's pipeline are complete, and we expect a commercial launch in Q4 of this year.
Last year we also launched our own R&D program me, focused on developing first -in-market combina tions with an initial identified investment of Rs. 30 crore s. We now have an active pipeline of 10 combinations in Diabetes, Cardiology and Neurology. Four of these are in clinical trials and will be launched later this year. The remaining six will be launched in FY25 .
We also took calculated decisions to participate in “at risk” opportunities like Sacubitril -Valsartan, FCM injection and Linagl iptin. Of these , Zayo our brand

of Sacubitril -Valsartan has already been relaunched in January and FCM and Linagliptin are opening up for relaunch in Q2.
Our investment of Rs. 230 plus crore s in the Gujarat * facility and

the
commercialization of our Derma block in Q4 will start delivering significant margin benefits later this year.
We have successfully completed the operational integration of Oaknet into our mainstream. This has started demonstrating tangible benefits from Q1 itself. You might recall that we had acquired the Glenmark and Reddy's brands without any field force . Q1 mark s the first quarter of these brands being hand led by Eris' field force and Eris' stockist network and we have retained 75% of the sales through t his transition. We expect to capture 100% of the sales from these brands starting Q2. We remain excited about the growth prospects from the Dermatology business in this financial year and beyond.
Our strategic priority for this financial year is to acceler ate our organic growth trajectory and expand our covered market. The detailed initiatives in this regard are available in our investor presentation.
We are now happy to open up for questions.
Moderator : Thank you very much. We will now begin the question -and-answer session.
We have the first question from the line of Mitesh Shah from Nirmal Bang Securities. Please go ahead.
* Please note that “Gujarat” was incorrectly mentioned as “Guwahati” on the call; the same has been corrected in this document.

Mitesh Shah : Thank you for taking my question and congratulations for the strong numbers. My question is mainly o n your operations . I think one of the best Gross Margin you have reported which will be 83% . The staff cost was substantially high, and the other expenditure has reduced. Can you guide us how we would see over a period of time and strategically for FY24. Also, the interest rate has substantially increased, what would be your target net debt for the end of FY24 ? I think this depreciation would be right numbers to look

at for the entire year?
V. Krishnakumar : Depreciation will be to the tune of Rs. 40 - 41 crore s per quarter , as you have seen this quarter . That will be consistent so you can look at the de preciation plus amortization of around Rs. 160 crore s for the year. As regards our position on debt repayment, it remains the same as what we said last quarter. We are targeting to get to below Rs. 400 crore s net debt by the end o f the year. As far as margins are concerned , we are looking at an EBITDA margin of 35% or thereabouts this year.
Mitesh Shah : I just want to understand about the strong Gross Margin . Can we expect a similar Gross Margin going forward? And what is t he reason for the strong growth?
V. Krishnakumar : The gross margin is an outcome of product mix .
Amit Baks hi: And some softening of cost.
V. Krishnakumar : There is some softening of cost . Some of the new products that were launched at lower gross margins , they scale up, so the gross margin improve s. There are a lot of those factors playing out.
Amit Baks hi: Mitesh we don't expect it to be at 84% by the end of the year. We are more comfortable at around 82%.

Mitesh Shah : This 36% already we achieved this margin that we are still believing that the contribution of acquired portfolio will be coming fully from 2H . Can we expect more than 35% margin by the end of FY24?
Amit Bakshi : Mitesh, this year will be an unprecedented year for us in terms of new launches. If you go through the slides, we have just mentioned how many new launches have been planned. Our R&D is kicking up the products now. We are having two mother brands coming in. Plus, there is a lot of investment which will happen in the Dermatology business. We just launched two very exciting products, actually first in time. I am keeping that margin with us, because there will be new products and new investments going in. That's the thinking as of now but it will evolve as we go forward in the

year.
Moderator : Thank you. The next question is from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.
Rahul Jeewani : Can you comment on how our organic portfolio would h ave done in terms of growth during the quarter excluding the Derma acquisitions which we did?
Amit Bakshi : Rahul we had market beating g rowth again. The CVM was quite depressed in the first quarter. What is happening , when most of the growth is coming from the price hike as well as NI **, we will progressively see the first quarter as being depressed across . Last year also if you remember the first quarter was in the vicinity of 2% to 3%, am I right KK.
V. Krishnakumar : Yes, as per AWA CS.
Amit Bakshi : Of course , as per AWACS. The first quarter remain ed depressed, but we were quite high on our growth. We are like a high single digit growth, very close to the double digit on an organic piece. We will continue to maintain that we should be 400 basis points above the market.
** NI – New Introductions

Rahul Jeewani : High single digit to low double -digit growth you are saying we achieved during the quarter.
Amit Bakshi : Yes, I am saying the low single digit w as the market and we did a high single digit so there was a good gap in the first quarter, a nd we expect this to keep up. Also , remember post Q2 when the "at-risk" launches get regularized , there is a lot of primary sales which will start coming which we had not been booking in the last couple of quar ters.
Rahul Jeewani : Maybe guidance for the full year in terms of how you are looking at the growth on the organic business. Should we start inching up towards a low double - digit kind of a number by the end of the year, with the launches you have in terms of Glargine, Liraglutide and own R&D products also which you are targeting.
Amit Bakshi : Yes, Rahul that will be fair to assume. The only caveat is we have to see as

always is how the market behaves. But this year we should be at least 400 basis point s ahead of the market. The market in our view would end up at around 8% at least, 8% to 9%. So what you are saying is actually true.
Rahul Jeewani : We are having a very strong pipeline of launches going into second half of this year and typically we are see ing that in the past whenever we do these new launches our gross margins tend to be on the lower side. So, in second half our EBITDA margin profile could be slightly lower than what we do in the first half of this year.
Amit Bakshi : That is what we expect as of now , that is the reason the guidance is more at 35% by the end of the year and th e gross margin maybe at 200 basis point s lower than the first quarter. That is what we expect.
Moderator : Thank you. We will take the next question from the line of Mehul Sheth from Axis Capital. Please go ahead.

Mehul Sheth : First question is on the 10 molecules that you have highlighted that will be getting launched over next two years and your investment of around Rs. 30 crore s on an aggregate basis. Can you talk s omething more on which all molecules you are targeting across like Diabetes and all?
Amit Bakshi : Yes. There is a slide where we are talking in a little bit of detail . Though it is in public domain, but we still can’t talk about it. There are a couple in Diabetes, there are a couple in Diabetes complication, there are a couple in Cardio -vascular and there are some in Dermatology. But the products are quite exciting, and we feel that we will have some kind of exclusivity for some time because we have been filing from our side. The good thing is that for two of our products , Phase -III is now completed and we are going towards submission.
Mehul Sheth : On this Rs. 30 crore s of investments what would be your expectation over mid-to-long term ba

sis? What kind of revenue you can generate from this?
Amit Bakshi : We haven’t thought that way . Because typically this is a long cycle . The brands keep on growing over a period of time. We have really not thought about that. But if I have to tell you something , I think all these brand s that you are talking about have a runway of at least Rs. 8 crore s to Rs. 10 crore s in the first 12 to 18 months.
Mehul Sheth : One more question more of a book -keeping kind . What would be your tax rate guidance ? Right now, you are at 17% but what would be for next say at least two years , FY25 and FY 26, your tax rate?
Sachin Shah : For this year it will be around 14% to 16% , for the current year. For n ext yea r we will update you later.
Moderator : Thank you. We will take the next question from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Nikhil Mathur : This Rs. 30 crore s spend that you are talking about , just wanted to check in a normal year what is the spend like , comparable spend?
Amit Bakshi : We don’t have a comparable as of now. But it is little difficult to kind of put a number to it because we had been putting money on outside manufacturers also. It is not that we were not doing it , but we were not doing it on our own. Right now , you don’t expect that this Rs. 30 crore s will be out of what we have been doing. This is very much a part of what we do organically.
Nikhil Mathur : Looking ahead , this sort of spend should continue, right ? As you will keep doing R&D on multiple products and segments?
Amit Bakshi : Yes. We always had the strength . When we went to IPO, we were talking about a pplied research and we have to our credit a lot of product s which we brought first time . They are not novel, but they are good, reasonably good, clinically effective FDCs and we are kind of putting an accelerat or on that. Right now , we have 10 candidates , out of which five have already been submitted and five will be submitted over a period of time. Yes, we are hiring more people . We want to strengthen this piece because in the era where the unit growth is a little sober if I could use that word, we would need more and more NIs in the future, so recognizing that last year we actually had a good,

committed team on this.
Nikhil Mathur : Can you give some sense on the combined market size of th ese 10 opportunities and in how many years or months do you tend to achieve the optimum mar ket share?
Amit Bakshi : Typically, if you look at the cycle of the brand , it is the third year where it basically gets to a good reasonable size and from there the growth is more or less linked to the market. So, the first three years will be a little unconventional.

What we are launching in the next two months, say September and October is a combination of Anti-Diabetic ; it's a Dapa combination wit h a Sulfonylurea which we have put in and we have got the approval also. Typically speaking , Dapa is a Rs. 1,000 crore s market, the SU has another Rs. 500 crore s to Rs. 600 crore s market. Now we think there is a lot of s ense in putting it together. As I said in the last call , it will be fair to expect Rs. 8 crore s to Rs. 10 crore s per brand , because we don't take the brand unless and until at least we are sure that it will give us Rs. 8 crore s to Rs. 10 crore s during the 12 to 18 months period.
All these products have been planned for that number at least. Of course, we will go to the market and see what happen s but as per our plan it will all be Rs. 8 crore s to Rs. 10 crore s. We wi ll possibly be having them in a better gross margin situation , because they are develop ed inside. Therefore, that premium which you pay for the first six -month, nine -month would be reduced. All put together , from a c

ommercial point of view we find this very interesting when we compare it to in -licensing, or we compare it to acquisition or anything where you have to pay an upfront fee.
Nikhil Mathur : On the margin front, Oaknet is still in a situation where th e margins will continue to improve . Last year you did 25%, this year guidance is I think 35% - 36%. I believe that in 1Q it would not, the Derma business would not have still reach ed the optimum margin s because the acquired brands have to be fully integrated yet. A lso, you are pointing towards standalone organic growth being better in the coming quarter. I am just wondering ; both these tailwinds will get fully offset by the Rs. 30 crore s spen d and some b it of gross margin dilution which you are saying will happen in the coming quarters. So, it will get fully offset ? I am trying to understand.
Amit Bakshi : Are you asking me that this Rs. 30 crore s, will it poke a hole in the overall EBITDA, is that your question?

Nikhil Mathur : Yes. Rs. 30 crore s plus some bit of gross margin dilution by a few percentage point s, both these factors will fully offset the margin gains that we will be getting from the Derma business ramp up and all those standalone group ing?
Amit Bakshi : We haven't thought it as deep, but what will happen is actually our Derma piece will start … Let me give you a number . In July , the Oaknet piece actually grew by 6% . It was degrowing in the first quarter and in July it has grown by 6%. Without being passionate, let me tell you when we take brands without people and without distribution , this is a good performance in my view getting business back in three months' time because both of these acquisition s were last year , last quarter.
Why am I not committing to a higher number is because I am very clear on growth. We feel that we can gobble up a lot of growth. Therefore, we don't want to commit too much on the margins. We wo uld stick to a 35% kind of margin and look for more growth avenues. Because by now all of us understand that once the growth is in place, the margins do follow. Last year you saw we were 32% and then many of us were a little kind of hesitant in believing that it could be turn ed around in a small period of time. We are following growth with a very good margin . There is an upside, but we would like to use that for growth rather than getting a higher margin.
Nikhil Mathur : One final question . Slightly book -keeping in nature . For the past acquisitions , amortization would still be sitting in the P&L right, I mean are we close to a

bit of amortization going off the books and some asset s getting fully
amortized?
Sachin Shah : The amortization is entirely in the books of Eris for brand s.
Kruti Raval : The amortization and depreciation we are not expecting to go down in the
next couple of years. So, the run rate for Q1 and FY24 that we just told you
is expected to continue for FY25 and FY26 also.

Nikhil Mathur : What are the capex needs for this year?
V. Krishnakumar : There are no capex needs for this year . It will be just routine maintenance
capex which is 2% to 3% of gross block otherwise all capex has gone in.
Moderator : Thank you. The next question is from the line of Bino Pathiparampil from
Elara Capital. Please go ahead.
Bino Pathiparampil : Just on this depreciation and amortization . It's a pretty large YoY and QoQ
jump, is it all because of the amortization of acquisitions?
V. Krishnakumar : Yes, that is right . There are two components just to be completely complete.
One, there is a new manufacturing facility that got commissioned in March,
but that's the minor component of the jump. The major component of the
jump is from the acquisitions.
Moderator : Thank you. Th e next question is from the line of Neel

am Punjabi from
Perpetuity Ventures. Please go ahead.
Neelam Punjabi : Thanks for the opportunity and congratulations on a good set of numbers.
My first question is on the YPM . On a per month basis, it's at about 5 la kh for
Q1, and if I look at your chronic focused peers , the YPM goes as high as 7
lakhs to 8 lakhs . Over the next three to four years are we looking to bridge
this gap or is this number the sustainable number?
Amit Bakshi : The YPM depends upon the addition of number of people . If we add more
number of people it dilutes and while you are absolutely right, there are a lot
of chronic p eers whose YPM is much higher ; they are even at around Rs. 8
lakhs, Rs. 9 lakh s, Rs. 10 lakhs also , but that is also a factor of time . We are
still a relatively younger company; we have more divisions and because there
are a lot of products which we are planning to launch so that basically will
build up YPM. We are planning to get to the same level of YPM at some point
in time and these new products will only help to aid that .

Neelam Punjabi : Secondly , my question is on y our PAT. If I look at the last 8 quarters on a
trailing 12-month basis , our PAT has been la rgely flat. Of course, this is due
to the acquisitions and the cost s that have been associated with it . But going
forward over the next two to three years, can we start seeing some PAT
growth with the top -line growth and margin expansion playing out?
V. Krishnakumar : Yes. In fact as you pointed out the acquisitions were dilutive last year. But
they are not supposed to be dilutive this year. We can look forward to a PAT
growth by the end of the year and which will only continue and accelerate in
the coming years.
Neelam Punjabi : Last question is on trade generics . If you could highlight what was the trade
generics revenue during the quarter?
Amit Bakshi : You see a better growth in the branded business th an the consol , which
basically excludes EHPL . So, the trade generic growth had been
compromised in the first quarter and that is what we have kind of given a
heads up to everybody also.
Moderator : Thank you. The next question is from the line of Harshal Patil from Mirae
Asset. Please go ahead.
Harshil Pat il: Just need one clarification with respect to the interest cost . We did s ay that
the net debt has come down but our overall finance cost for the quarter has
gone up . If there is anything that I have missed in the commentary?
Sachin Shah : The net debt has gone down because the payment s would have happened
at the end of the quarter. Whatever the collection is, the interest cost by and
large compare d to last year is high. But if you compare it to the last quarter,
it's the same.

Harshil Patil : The rate of interest you say is the same because I guess last quarter, we had about Rs. 88 million and I think this quarter we are almost like Rs. 173 odd million.
Sachin Shah : Yes, because th is happens at the end of March and that would not have the component of that acquisition.
Moderator : Thank you. The next question is from the line of Ankur from Quasar Capital. Please go ahead.
Ankur : Just one question . How would you think about the rest of the portfolio , some of the elements of the portfolio related to Diabetes and Cardio are obviously doing very well. Can you just take out some time to explain therapeutic area wise that how are we doing, are there areas where we need to consolidate, are there areas we nee d to focus more, if that could be explained, it could be great.
Amit Bakshi : Yes. That's a little broad -based question , but I will try and answer as briefly I can. We basically have our therapy area s divided into the conventional one and the newer therapy areas which we call the emerging therapy area s. As of now, Dermatology

has become a very important area for us, just standing next to Diabetes , Cardio and VMN and that's one area which we are positive about specially we have some good launches, and we are seeing a good traction in a couple of brands which we had bought .
So, Derma becomes the new segment for us. Having said that , this year we expect VM N to do better than it has been doing because there are a couple of launches which are exciting in that area also. Put together , we would rather like to see all segments growing up, but the speed depending upon the bas e - Dermatology, VM N and Women 's Health will right be at the top.

Ankur : Just one follow up . On a strategy basis , is the focus to develop mother brands for each therapeutic area and focus on them or it is to take each and every therapeutic area and go with a widespread portfolio?
Amit Bakshi : We have been focused on mother brand s generally because we have been lot chr onic. Chronic is a progressive disease situation . You need one combination then you need a double drug combination. It has always been good to focus on the mother brand and we continue to do that because we feel the spillover of the mother brand into the n ew SKUs also . So, that continues.
Ankur : This wouldn't be the same in Derma, because like you mentioned in the last call that the products will have big market size, there will be small market size products, so you will have to have a big variety of portfolio, right?
Amit Bakshi : What you are saying is right, the size of the brands are very different from in Diabetes and in Dermatology, but the mother brand theory still rem ains.
Ankur : It's like an ex tension. The brand will continue and then it will be serving related thing s. I am just asking it from the point of view that whether this can help us in increasing the yield per employee?
Amit Baks hi: I will give you an example . You will be able to better understand that . We had taken a brand called Demelan from Glenmark. Demelan came with one SKU. It is a Demelanizing agent. Then we launch ed one more SKU last month, calling it LSA ; basically, for Trunc al Melasma, the Large Surface Area. We will be launching a Demelan Face Wash in the next quarter. We keep on harping on the mother brand and then spreading it to different disease areas or problem areas. That's how generally the industry is.
Moderator : Thank you. The next question is from the line of Prashant Nair from Ambit Capital. Please go ahead.

Prashant Nair : Just had a question on your M&A strategy or your thoughts going forward . Last year was quite busy on this front. Do you feel now you are where you want to be in terms of portfolio spread or key segments that you want to be

in, or are there still gaps that you would like to look at?
Amit Bakshi : We are a little easy now on the M&A because the sum total of all the launches which we think we w ill be doing is quite a bit. It will also be sitting on the already acquired businesses. In a way the plate is full from a brand perspective and beyond a point we would not like to dilute the bandwidth also. This year we would be easy on the acquisition, and this might extend to early next year also. The caveat is always there that if there is something which is path breaking , which doesn't happen usually . With that caveat, but yes, we are more or less done in the acquisition in the near future time.
Prashant Nair : How do you see, with that in mind balance sheet or debt levels change or do you have any targets in mind , by when you would expect to pay down?
Amit Bakshi : We are simply working . The first priority is to pay the debt and we have always maintained that every time we have declared a dividend, we have always maintained that if there is a debt that becomes the first pri

ority from the organization point of view. Most of the free cash would be going there . As KK just alluded to you, we don't have a lot of capex coming in this year. Last year was an investment year for us. With little capex , the routine capex and no acquisition in sight and not very willing also . Most of the money will go into serving the debt. We believe we should be in the vicinity of Rs. 7 00 to Rs. 720 crore EBITDA this year. So whatever free cash comes in will go in servicing the debt.
Moderator : Thank you. The next question is from the line of Neelam Punjabi from Perpetuity Ventures. Please go ahead.

Neelam Punjabi : For our Oaknet business last year our full year number in terms of top line was Rs. 250 crore s, and we had alluded to in our previous calls that this financial year we want to cross Rs. 400 crore s for our Derma franchise. Are we on track to achieve the same?
Amit Bakshi : We are not giving individual numbers as of now, we are only giving consolidated numbers because all this has now become one. A lot of launches and everything is happening . We haven't really kind of taken it that way. The overall revenue number with the guidance is around Rs. 2,000 crore s to Rs. 2,100 crore and that would include everything actually.
Neelam Punjabi : But over the medium term if you could give some outlook on how fast can the Derma business as a whole grow, is it a mid-teens kind of growth for us?
Amit Bakshi : Please give us some time. We are putting everything together. As I told you , July was a good place . We had a 6% growth as per the AWACS . Moving from here , double -digit growth is given . We are trying to see if we can improve on that.
Neelam Punjabi : One last question on the EBITDA margin . You mention ed that this year we are targeting about 35% EBITDA margins . Is this like a sustainable number or over the medium term with top -line growth can we expect some operating leverage to play out?
Amit Bakshi : You look at the past numbers . We have always been on that kind of number . It was only a blip last year because of acquisition and investment cycles. It's nothing new to the company . We have always been on those margins. Once productivity goes in , the margins do inch up. More than margins , we are interested in expansion of EBITDA, I think that's way we are focused now.
Moderator : Thank you. The next ques tion is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane : Just to know therapy wise number of MRs now, with Derma, Cardiac separately and Diabetes?
V. Krishnakumar : Tushar, the Derma number remains at similar levels . Actually, we haven't added any MRs in Q1. Whatever numbers that you are running with they pretty much remain at similar levels.
Tushar Manudhane : If you could break the growth into price, volume, new launches.
V. Krishnakumar : We can have Kruti discuss that with you offline, we don't have the numbers handy.

Tushar Manudhane : Okay alright, that's it from my side.
Amit Bakshi : But Tushar, largely the growth will be on new product and price. The first five months are not very kind of encouraging from a volume growth perspective. But also remember there is a trend in the last two years where in the second quarter onwards the growth is picking up, largely because the price growth is generally coming up more in the second quarter onwards . Volume wise if you look at the first five months , it is not an encouraging sign in the IPM . If you ask us, we have been doing better than the IPM, but the details I think Kruti will give you offline.
Tushar Manudhane : In fact, on the base portfolio , I would like to have your thoughts in terms of both, at the industry as well as the company level ; the volume growth is relatively mut

ed or subdued . Any specific reasons to highlight that?
Amit Bakshi : We can't say really . It's strange that even we don't have a complete answer . We can kind of peripherally tell you something , but we don't have a concrete answer . We know why the first quarter has not been doing well. We have seen that; we have kind of charte d that data right from p re-covid level. So, we understand th at Q1 is going to be a problem, it might be a problem even next year and then it kind of eases out.

There is a little bit of a skew in terms of growth, quarter -on-quarter , but volume growth not coming in is a sign which we are all trying to sort out. But in the short and the medium term we want the other, the NIs and the other things to do well . But having said that , chronic has still been faring better than everything else. That's a good place to be in . Chronic Derma which is also largely chronic, has been doing better than the rest of the industry.
Moderator : Thank you. The next question is from the line of Miten Lathia from Fractal Capital Investments. Please go ahead.
Miten Lathia : Just wanted to understand if th ere was a fair bit of seasonality to the Derma portfolio or all four quarters broadly are same ?
Amit Bakshi : Yes. There is a substance of seasonality . Generally, the rainy season and post the rainy season, the fungal infections are on a rise. But then what happens when you get into the winter season, it is the moisturizer and the dry skin which kind of balances this out. But technically speaking the second quarter, that is July, August, September, has typically been the biggest quarter for Dermatology , overall industry.
Miten Lathia : That would hold true for our p ortfolio as it stands right now?
Amit Bakshi : Yes, it would because we have a large contribution from Anti-fungal as of now. So, it should hold true.
Moderator : Thank you. The next question is from the line of Harshal Patil from Mirae Asset. Please go ahead.
Harshil Patil : Since we are kind of focusing more on the three new emerging areas , the Derma, the CNS, and Women's Health. We have seen a n increase in revenue contribution of these three new therapy areas so is there any aspirational level like maybe 35%, 30% something that we have in our mind over the next two years from these new emerging areas ?

Amit Bakshi : From a growth perspective?
Hars hil Patil : Probabl y from the revenue contribution?
Amit Bakshi : Revenue contribution ? So, the lower base will do better , that is for given . We haven't actually jot ted down that over the years what will be the contribution. Currently we are at 26%. So, the contribution will inch up, but we haven't really put that number into the block, to give you an accurate answer.
Harshil Patil : Amongst the three , Derma I guess wou ld be the fastest growing segment?
Amit Bakshi : Yes, we wish, and we w ant; both. The first quarter had this acquisition kind of an overhan g. Once it is done, we expect Derma to… In fact , we are quite excited for Derma to be very frank with you and we have had a couple of very good launches. We just launched something for the first time in India, three of us and that is a Minoxidil Booster. Minoxidil is a very large market for alopecia, ie hair loss. 60% of the people were not getting gain s from Minoxidil

because of enzyme lacking so we just launch ed an innovative product,
coming from U.S. We just hit the market. We are quite excited, and we are
hitting with a very good moisturizer by the month end again. So, our plate is
quite full on that side and we are enjoying Dermatology as of now.
Moderator : Thank you. The next question is from the line of Mehul Sheth from Axis
Capital. Please go ahead.
Mehul Sheth : My question was on other expenses side, which is lower on a s

equential
basis . Any specific reason for this? What would be the quarterly run -rate?
Amit Bakshi : First quarter , lower number of launches, little sluggish market . So you would
like to put it together . The expenditure has been very linear with the number
of new introductions . In the first quarter there were not so many, they started
in July so that's a clear -cut reason.

Mehul Sheth : One last question on your Linagliptin launch post the patent expiry . What are
the expectation s on that? Any other such pipeline or opportunity, you have
any visibility on that in such products.
Amit Bakshi : We can't talk about this . There is nothing as of now , but even if there is
something , we can't talk about it. But what I would request is please
understand the model, how do we approach it. Even I w ill not be able to say
anything on Lina because as of now it remains the way it is. But I can just tell
you that FCM, we got a favorable order yesterday or the day before
yesterday. Out of four what we have attempted, in two such things we have
got a favorable judgment . One is the Dapagliflozin and now the Dapagliflozin
franchise is like Rs. 50 crore s, Rs. 60 crore s for us on a run -rate basis, bi gger
than that. Second is FCM , which we launch ed with that risk, but we have got
the judgment in our favor. This market will now open up. That's the nature of
this piece.
Moderator : Thank you. We will take the next question from the line of Ankur from Quas ar
Capital. Please go ahead.
Ankur : I was just going through this first -in-market combination, R&D pipeline. Can
you explain whether this is going to be like we will enjoy any three -year patent
period or because of the combination that won't be possible . It is just that the
first mover advantage will be that to us.
Amit Bakshi : Yes, the first mover advantage is a little elongated now . It takes a couple of
months for the other people to join the queue. The first mover gets a little bit
elongated advantage . But it is not that three -year period where we have done
a study to patent so that's not the case here. They are all replicable . It will
take some time, the advantage could be as less as three months and
sometimes as big as six months, depending upon what the other people have
to do.

Ankur : This Rs. 30 crore s investment goes into the team, the filings or is it a yearly
setup that this is now year marked every year for the R&D pipeline?
Amit Bakshi : No, it's like Rs. 3 crore s a product , generally speaking . Rs. 3 crore s a
product . Most of the money goes into a Phase -III clinical trial. Generally, in
the FDCs we do get around 250 to 300 patients to be on the trial . The major
cost is in Phas e-III.
Moderator : Thank you. We will take the next question from the line of Jainil Shah from
JM Financials. Please go ahead.
Jainil Shah : I just need a clarification on the Insulin guidance that we have given for FY24 .
The Rs. 50 crore s number, will it include Liraglutide combination launch in
4Q?
Amit Bakshi : Yes. As of now we have considered that and as of now what we can see
today , it should happen. But always there could be, these are new products,
there are certain things which happ en at the last moment. We do estimate a
slip here and there. But as of now the visibility is yes.
Jainil Shah : What's the outlook for FY25? What is the strategy around Insulin Glargine
given that we also have a licensing deal with Biocon ?
Amit Bakshi : Give us some time for FY25 . We haven't really put our head together there ,

because the Glargine when it comes from M .J is going to be very different for us, and that is the time we need to just go back to the drawing board and plan ourselves . But you know Glargine is a very big opportunity. Till this point in time, we have been doing

a very reasonable kind of number and our margins are quiet stiff actually. Once the M .J happens , then we would rather kind of put the foot on the accelerator. It will take some time . FY25 is little far in our head , we need to sit and do.

Moderator : Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. V. Krish nakumar for closing comments. Over to you, sir.

V. Krishnakumar : Thank you. By way of summary, our Branded Formulations revenue grew at 21% this quarter with a 30% growth in EBITDA. Our consolidated revenue grew at 17% this quarter with a 31% growth in EBITDA. All strategic investments made in the last financial year have started delivering tangible and measurable results starting with Q1 of this year. Our strategic priority for this year is to accelerate our organic growth and expand our covered market. Thank you for your participation in the call and have a good evening.

Moderator : Thank you very much sir. Thank you, members of the management . Ladies and gentlemen, on behalf of Eris Lifesciences Limited, that concludes this conference. We thank you for joining us and you may now disconnect you r lines. Thank you.

This document has been revised to improve readability.

Call: Nov 2023

"Eris Lifesciences Limited
Q2 & H1 FY24 Earnings Conference Call "

November 8, 2023

MANAGEMENT :

MR. AMIT BAKSHI , CHAIRMAN AND MANAGING DIRECTOR
MR. V. KRISHNAKUMAR , CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH, CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL , INVESTOR RELATIONS

Moderator : Ladies and gentlemen , good day, and welcome to Q 2 and H1 FY24 Earnings Conference Call of Eris Lifesciences Limited .
We have with us on the call today, Mr. Amit Bakshi – Chairman and Managing Director; and Mr. V. Krishnakumar – Chief Operating Officer and Executive Director.
As a reminder, all participant lines will be in the listen -only mode, an d there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference i s being recorded.
I now hand the conference over to Mr. V. Krishnakumar – Chief Operating Officer and Executive Director of the company. Thank you and over to you, sir.
V. Krishnakumar: Thank you. Good afternoon and welcome to our conference call for the second quarter of FY24 .
Earlier today , we have announced the execution of definitive agreements for the acquisition of Biocon's Nephrology and Dermatology businesses for a consideration of Rs. 366 crores inclusive of working capital that will be conveyed to us as part of the business . This business is currently operating at a revenue run rate of Rs. 100 crores per annum.
The key leadership and entire field force of this business consisting of over 120 personnel are expected to move to Eris post deal. We expect the transaction to achieve financial closure by the end of 2023 . This acquisition is in line with our strategy of continued expansion in chronic and sub -chronic therapies through a mix of organic and inorganic ro utes and delivering market -leading growth .

We have historically leveraged acquisitions to enter and quickly scale up our

presence in new therapies. In addition , we have established our credentials in quick turnaround of under -optimized businesses , including the Dermatology businesses acquired last year which have recorded a significant uptick in margins since acquisition .
The acquisition of the Biocon business marks our entry into the Nephrology segment . This is a logical extension of our market leading position in the Cardiometabolic segment given that diabetes and hypertension are among the key drivers of Chronic Kidney Disease or CKD . Post deal, we will be able to offer end-to-end care to patients starting with diabetes , hypertension , and all the way to CKD .
The market for Nephrology drugs is presently worth around Rs. 3,000 cror es per annu m and is growing at 11% per annu m. Given the rapid progression being seen in the onset of diabetes and hypertension cases , we foresee a rapid increase in the number of patients who will require treatment for CKD and kidney transplants in the year to come .
Biocon's Nephrology business brings to us power brands like Tacrograf and Renodapt, which will give us a strong entry into the Organ Transplants category . The portfolio also includes Cytosorb, a USFDA -approved device , which has a wide range of potential applications including Cardiac Surgery , Septic Shock , and Acute Respiratory Distress Syndrome . The portfolio has emerging brands like Bionesp and Erypro for trea ting CKD -induced anemia . This business gives us an established base to deepen our presence in the therapy through the launch of other anti -anemia products and VMN products with the sub -play of hypertension .
The Biocon acquisition also enables us to consolidate our position in Dermatology . The business brings us leading brands like Psorid, Tbis, and Picon, which significantly augment our position in Medical Dermatology,

especially in Psoriasis. Post deal, Eris would become the second largest player in

Psoriasis with an 11% market share .
Dermatology is well on its way to becom e our third largest therapy soon , after Diabetes and Cardiovascular . With dominant market positions in three out of the top five chronic therapies , we are well -positioned to deliv er market leading growth in the years to come .
We will have over 120 professionals joining us from Biocon post deal ; this includes 90 Medical Reps. We are happy to welcome these domain experts in Nephrology and Dermatology . We look forward to us working together to build a large franchise that will deliver immense value to patients .
Now I would like to update you on the progress we have made on our strategic priorities for FY24.
The first strategic objective we had outlined was the successful commercialization of our new product pipeline . Towards this, I am happy to inform you that 2 out of our own R&D products have received DCGI approvals for launch in the current quarter - these are Gliclazide -Dapagliflozin and Gliclazide -Sitagliptin first-in-market combinations . In addition , we have relaunched two of our “at-risk” products ; Linares & FCM injection in the end of Q2. We have also expanded our own R&D pipeline from 10 candidates to 14.
Our second strategic objective is to deepen our presence in the Medical and Cosmetic Dermatology segment through new launches . We launched 4 new Cosmetic Derma products in Q2 including Hydroheal Nova, Efatop Hydra and Crisanew. We had also outlined an objective of in -sourcing Derma manufacturing starting Q4 of this year . Towards this, we have equipment installation underway in our Derma block at the Ahmedabad facility , and we are on track for commercial production starting Q4 of this year .

The third objective , which is the sca ling up of our injectable Anti-Diabetes franchise is also well on track to achieve Rs. 50 crores of revenue in this financial year . We clocked Rs. 19 crores of revenue for the first half with the

EBITDA burnt down to Rs. 4.3 crores .
Overall, we reaffirm our FY24 guidance of Revenue Rs. 2,000 to 2,100 crores, EBITDA of Rs. 700 to 710 crores, and profit after tax of Rs. 410 to 415 crores.
Coming to the Q2 financials . We clocked a Branded Formulations revenue of Rs. 492 crores in Q2 and Rs. 947 crores in H1 representing a growth of 13% in Q2 and 17% in H1 respectively . This business accounts for 97% of our consolidated revenue and excludes EHPL.
The YPM of this segment was Rs. 5 lakhs in H1 which represents a growth of 17%. The Gross Margin increased to 83% in H1 and represents a 21% growth . The EBITDA margin increased to 37% in H1 and represents a 24% growth .
Our consolidated operating revenue was Rs. 505 crores in Q2 and Rs. 972 crores in H1 representing a growth of 10% in Q2 and 13% in H1 respectively .
The Gross Margin increased by 440 basis points to 82% in H1 and represents a 20% growth . The EBITDA margin for H1 has expanded by 340 basis points . The EBITDA for H1 was Rs. 351 crores , which represents a 36% margin and 25% growth .
Operating cash flow stood at 82% of EBITDA in Q2 and 75% of EBITDA in H1. Profit after tax was Rs. 122 crores in Q2 and Rs. 216 crores in H1 and reflects the impact of last year's acquisitions.

We delivered a Cash Earnings Per Share of Rs. 20.2 in H1 which represents a growth of 9 .5%. Net Debt stood at Rs. 618 crores as on 30th September 2023 . These were the highlights for the quarter and the half year .
We are now happy to open up for questions .
Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Kunal from Macquarie . Please go ahead.
Kunal: The first one on the acquisition that we have proposed . I am not sure if you have provided any profitability aspect of this business . If you could provide that, that would be great . Secondly , we have said that it's going to be partly financed through debt, but if you can give the ex act proportion of what would be the financing from internal accruals and what would be from debt, that would be great .
V. Krishnakumar: Kunal , I will start with the second answer first . The debt component is Rs. 280 crores and the remaining is being funded through internal accruals. I will request Amit to step -in to answer the bigger question .
Amit Bakshi: Kunal, the good thing about this if you just heard the brief, the YPM in this business is very high . We are talking about Rs. 9 lakhs YPM. There are a couple of levers which we have . We haven't still been able to talk to the larger team . There are some deficienci es on that side , but typically I see this business at around 30% EBITDA margin in the next year . That's the general guidance .
Kunal: Does it mean that it's at a meaningfully lower margin right now?
Amit Bakshi: Right now, it is 20 %-22%.

V. Krishnakumar: Right now , it is at about 20% and we believe that we can make a difference to various things across the board and that is the reason why we have a target of 30% for next year.
Kunal: Next fiscal year or year -one post closure?
V. Krishnakumar: Over the next fiscal year . But typically, you know that we have to spend some time with these businesses because at this point , they are a bit under -optimized . So, it will take some time .
Kunal: From synergies perspective , you also highlighted that there is an opportunity to cross sell VMN. Would that kind of upside be baked into this 30% margin expectation or that would be over and above?
Amit Bakshi: Kunal , typically in this acquisition thing , when we acquire brand s and not the people , it takes a couple of quarters to get the whole thing transitioned . When the people are coming and joining us , it becomes a real growth game .

From my understanding , it is a little premature, because as I said , I haven't really sat with the team . But I think this is a big growth delta, which we are talking of at this point in time. I am a little conservative when I said 30% , and why I am saying this ? Because if you look at the Nephrology portfolio , it is basically transplant at this point of time . Largely, it is going in the transplant . The entire Anemia piece , whether it is from Biologics or Non-Biologics , is more or less vacant . Then there is a good scope of Prebiotics , Probiotics and other VMN which could be added , sodium bicarbonate . There is a lot of stuff there .
The good thing is that transplant is at the core of Nephrology . Generally , when you have brands at the core of any business , it is easier to build peripheral brands. That's the plan on the Nephro side .

On the Derma side, Psoriasis is one of the largest therapy area s within Dermatology and we have been telling everybody that we are quite excited about the Clinical Dermatology. This actually strengthens our Clinical Dermatology and there is no meaningful overlap .
On the Dermatology side, I was speaking about Psoriasis which is one of the largest therapy area s in the Clinical Derma and the first brand is almost Rs. 20-25 crores . Psorid is Rs. 25 crores and it's a very good market to be in . So, both side the synergies are quite good . The Derma piece in Biocon is clearly focused into Psoriasis only.
We were having a little bit of limitation in our Oaknet piece . There were too many brands which we had acquired . We were looking for one more team where we can do some cross -selling .
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rom that point of view, I see a good synergy from a productivity point of view. That is how I am seeing the business as of now . But you need to give me some time to really get into the depth and be more strategic about this.
Kunal: One more on the guidance part . We have guided for Rs. 2,000 to 2 ,100 crore revenue, which means you would be doing slightly better per quarter in the second half , probably also due to the acquisition as well . But then our EBITDA is around Rs. 710, which is basically at midpoint at least there would be some form of margin compression in second half . Is that correct way of looking at it or is it more conservative ? Generally, I am sure that in Q4 there is a margin compression , but over and above that, anything that we should factor in ?
Amit Bakshi: Kunal, if you see the trend of the industry in the last two to three years post-Covid, generally , H1 is suppressed compared to H2 . Typically , what you said was right for decades together , but if you see the trend last year also , H1 was quite depressed , and then H2 kind of made it up for that . I think we are

moving towards a time where the last H2 is going to be at least like H1 , if not better .
When we say this guidance , we haven't really included the Biocon product at this point of time . Whatever happens in Biocon will be a plus over and above what we are talking about . Whether 710 could become 720 or 730 something it's too kind of difficult to say at this point of time , but we continue to put our best effort s. So, let's see how it comes up .
Kunal: Not in revenue and not in EBITDA guidance , the Biocon is not in to it.
Amit Bakshi: No, it's not there .
Kunal: When is this acquisition expected to close ?
Amit Bakshi: We are trying to close it sooner , but you know how it is. But we are trying to close it sooner . We will let you know whenever it is closed .
Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.
Tushar Manudhane: Sir, on the Nephrology part again . At what rate this business has grown over past two years ?
V. Krishnakumar: It has registered a CAGR of more than 10% in the last 2 years . In fact, from FY23 to FY24 also, its run rating at around 10%.

Tushar Manudhane: Secondly , for this acquisition how much is to be taken as the amortization rate?
V. Krishnakumar: It will be around Rs. 17 to 18 crores per annum. We will have a 20 -year window .

Tushar Manudhane: Effectively , even if I take Rs. 30 crore EBITDA one year down the line , Rs. 17 to 18 crores as an amortization , and then assuming 25% tax rate , so from that point of view, the incremental earnings given the size is not so meaningful , correct ?
V. Krishnakumar: If you are looking at EPS dilution or accretion , this is definitely going to be EPS accretive in FY26. As far as FY25 is concerned , as Amit said, we have to put our numbers together and come back to you.
Tushar Manudhane: Lastly, considering the cash flows from the existing business and considering the Net Debt of Rs. 618 crores, overall by end of FY24, what kind of Net Debt figure one should look at?
V. Krishnakumar: Tushar , you can do the math . Rs. 620 crores plus we are adding 280 and then we will pay down at least a couple of hundred . We believe that by the end of the year , we will be in the 700 -720 kind of zone. So, you are looking at 1x EBITDA or thereabouts .
Moderator: Thank you. Next question is from the line of Nikhil Mathur from HDFC Mutual Fund . Please go ahead.
Nikhil Mathur: Just a quick couple of follow -ups on th is acquisition. Can you talk about the return on capital expectations three years out from this particular transaction

?
V. Krishnakumar: Nikhil, we are targeting 25 % to 30% . That's the kind of hurdle that we put on any transaction that comes to our table . Yes, I think we can see a good line of sight to get there .
Nikhil Mathur: With 30% EBITDA margins in year one , what are you most bullish on in this particular acquisition ? Is it going to be elevated growth ? Past two-years CAGR has been 10% . Can the growth be much better in three, four years or do you believe that the margins can go up to, let's say , 40-45%? Because

unless one of these levers picks up, don't you think it's pretty hard to achieve this particular hurdle rate that you are talking about ?
Amit Bakshi: Nikhil both the things will work out. At this point in time, we see a 600 to 800 basis point s improvement in the Gross Margins . At this point in time our homework tells us there will be 600 to 800 points improvement there plus there will be good number of launches which would happen plus the team size of Derma is only 50 . Nephro 40 is not a bad number , but Derma 50 is a little sub-optimal . We will have some opportunity of cross -selling through other division where we don't operate through the new brand .
So, there are multiple le vers as I told. Nephrology is quite a big business . This is a little bulky business . Considering all these things , I think both will work , but if you ask me to choose one , Gross Margins will come automatically . That's been the play . But the real game here is growth and that is where we are quite bullish about .
Nikhil Mathur: On some of the softer aspects of this acquisition . The team that will be coming on board , where is this team largely based out of in the country ? Are they more south oriented , west oriented ? I am just trying to figure out what kind of natural fit would the incoming team have with your existing operations ?
Amit Bakshi: Nikhil, what happens is if there are 40 people , general rule of thumb is there are metros and state capitals . That is where generally people are put . But if you ask me how is the mix of the business ? The mix of business is more skewed towards east and south . North excluding Delhi , north and west are areas which could be worked up better . That's how the business is split at this point of time.
Nikhil Mathur: What is the sourc ing of these brands? Are they third-party sourced, or you will be manufacturing them in -house, transfe rring them in -house ? What is the

sourcing arrangement today of these brands? How will it change once the products are with Eris?
Amit Bakshi: Right now , I think all of this is third-party KK?
V. Krishnakumar: Yes, all of these are third party . For the time being , we will continue with third party sources . They may be existing third party sources, or we might look at other third -party sources , but these will not be part of the first crop of products that we bring in-house .
Amit Bakshi: Now our existing Derma piece is like Rs. 300-350 crores , the relationship with the supplie rs is deeper because there is a bigger volume . That becomes an advantage when you add products .
Nikhil Mathur: One final question on business . The growth is 9.7% . How much of this is organic and what component of this 9.7% is coming from acquisitions that we have done in the past ?
V. Krishnakumar: Nikhil, organic growth was in the high single digits . Our covered market growth for the half year was 2 .5%. We have grown at more than 400 -500 bps over the covered market. That is where it is landed .
Nikhil Mathur: 6%-7% is organic growth and the remainder is acquisition?
V. Krishnakumar: Yes. High single -digit, you can take 7 % - 8% as the organic growth . The remaining is from the acquisition s.
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oderator: Thank you. Next question is from the line of Dhruv Maheshwari. Please go ahead.
Dhruv Maheshwari: Out of the Rs. 366 crores of consideration for the acquisition , how much is the working capital ?

Kruti Raval : Dhruv, we are waiting for the purchase price allocation report to come . We will update you after that.
Dhruv Maheshwari: Noted. Just one quick clarification on the guidance of the Rs. 2,000 crore s revenue , 700 to 710 EBITDA. Is the Biocon portfolio acquisition included in that?
Amit Bakshi : No.
Moderator: Thank you. The next question is from the line of Harith Ahamed from Avendus Spark . Please go ahead.
Harith Ahamed: In recent months , there has been a lot of excitement around GLP-1 agonists , and we have also indicated plans to launch Liraglutide through our MJ partnership . I am trying to understand , for the other GLP-1 agonists which probably will see getting expir ed in the coming years , for instance , Semaglutide.
On other GLP-1 agonists like Semaglutide, do we have any plans formed up as of now ? I am also trying to understand the impact of GLP-1 agonists on other Anti-Diabetic therapies , like Oral Anti-Diabetic drugs and probably Insulins ? Will there be a shift in volumes from these therapies towards GLP-1 agonists? Do you see an impact of this for our business ?
Amit Bakshi: Yes. I will answer the second question first . GLPs have been around for a couple of years now whether it is the Oral Semaglutide or Liraglutide and the combinations have been available for , I think , 4 years now, and we have seen the kind of market which they have take n. They have not really disrupted the other Oral OAD s as well as Insulin . About Semaglutide, if I remember correctly, Semaglutide is out of pa tent in 26 .
V. Krishnakumar: 2030 .

Amit Bakshi: No, no, that is Oral. This is injectable . Injectable is out in 2026 in my view. Of course , if Sema glutide is out , there will be a big play in India because the global data on Sema glutide is very nice , and we will surely participate in that product whenever it happens . Right now , we see 26 . Liraglutide will set the tone for the Indian companies . It might not go as far as Semaglutide. Of course , the product is different , but that's what seems to most likely happen from here.

Harith Ahamed: You have talked about three emerging therapies for you ; Derma , CNS , and Women 's Health and I am assuming that we are adding Nephrology to that list of emerging therapies . How should we think about our in tent to get into new therapies from here on ? For the next few years , are we going to consolidate these newly entered therapies before we think about getting into newer therapies or are we open to expanding our therapeutic exposure further ?

Amit Bakshi: Yes, things have been a little dynamic in the past couple of years . As of now , technically , in the Chronic space , we have almost covered everything other than Respiratory with Nephrology coming in . I think the top five other than Respirator y is all covered . So, we are good at that . The immediate thing would be to scale this up because Derma is seeing good traction . Nephrology, we are just getting into . Neurology is also showing good traction . Let's see. There are a couple of products to be launched on that side also . Right now, we have all these therapies which are ready to be scaled up. Now what will happen in future ? Little difficult to tell. Let us see how it goes , but yes , we have been open to any good proposal , any good business which makes sense and does not really depart us from our core thinking . That's the line which we have always maintained .

Moderator: Thank you. Next question is from the line of An

kur Shah from Quasar Capital . Please go ahead.

Ankur Shah: Can you just throw some light on organic growth ? Because I think that is coming off quite a bit . The second question is , just from a thought process point of view, we have been doing acquisitions, and I think now we have spent close to Rs. 1,500 crores after I consider the Biocon acquisition. What is the thought process ? Aren't we spreading ourselves too thin without getting the organic growth in -line? That's a concern from an investor’s point of view.

V. Krishnakumar: The way we think about growth is as follows , which is that one of the key features of our business model has been that it has always been a high margin and a high cash flow model . In fact , you mentioned Rs. 1,500 crores . I will just recap the journey of the last six, seven years . If I look at the cash generation that has happened in the last 6 years , it's been north of Rs. 2,000 crores , right? As a company , we have a strategic choice of where we are going to deploy this . We have chosen to deploy it to get into therapies where we are not present . We got into Neurology with the Strides acquisition . Then we had an acquisition in 2019 where we got into the DPP-4 segment . We acquired a brand from Novartis. Then more recently , we have gotten into Dermatology and now Nephrology.

When we think about our capital allocation strategy , it's always about looking at cash that is thrown up by the business and seeing how we can deploy it meaningfully to del iver high returns . When we look at it in that framework , this approach seems to be making sense to us because these acquisitions are being done without taking unnecessary pressure on the balance sheet , without betting the house . Sitting from where we are and looking at it from where we are looking , it looks like a coherent and balanced growth approach to us .

I don't see any change in the business model . We expect to continue to be a high margin business . We expect to continue to be a high cash flow business .

This balance of organic and inorganic will continue to be a feature at Eris going forward as well . The one thing I can say is that we will continue to be very disciplined about it . Strategic discipline and financial discipline , I don't think that will be ever diluted .

As far as execution is concerned, I will let Amit talk about the people point because I think that is a very significant point . We are getting a team from

Biocon. The whole leadership of the Nephrology and Dermatology teams and the field force is going to transition to Eris, right? That should take care of your execution question . That doesn't necessarily dilute any bandwidth from the current operations . If that's what you are asking .
Ankur Shah: Yes. I appreciate the financial strength and the balance sheet , but just from a thought process angle , I think , incrementally , when I look at the portfolio which we are leaving , like, now Derma is the focus area , but the areas where we have established brands and maybe they might have sc ope for growth or however I want to think about it , I am just seeing the organic growth waning off.
That's a bit of a concern for me in the sense , it will be cash flow generative and all , but, is our competitive strength built in that particular segment , is it waning off ? That is my overall concern . I obviously appreciate how you all have undertaken on acquisition with the prudent approach , but whatever we are building , is it sustainable growth from an organic point of view ? That is something which concerns me .
V. Krishnakumar: There are a couple of data points I will share with you . If you look at how our established brand s portfolio is perfor

ming, we have Top-20 mother brands that account for 70% of our revenue, right? This group has grown at 11% if you look at the most recent data , and 13 out of these top 20 brands rank among the top five in their respective categories . As far as our power brand

portfolio is concerned , we have absolutely no challenge there . They continue to grow .
The second point I would like to make is that , at the end of the day , our growth is not di sconnected from the market . Amit made the point earlier on in the discussion that for the last couple of years , H1 has been a bit of a low growth phenomenon in the market , and H 2 has picked up . The covered market growth , the market that we operate in , that market has grown at 2.5% for the first half of this year . The best we can do is to beat that market , which we have done , which is why our organic growth is 7 % to 8%.
Ankur Shah: On the 20 mother brand s portfolio , what you mean to say is that we have maintained or increased our market share in the covered markets where we are operating.
Amit Bakshi: Yes. If the market grows by 2.5% and you grow by 8%, then, of course , you gain market share , but to give a perspective to what KK is saying , let's talk about our Diabetes market, which is the number one market . I am happy to tell you that we have moved to number four in our covered market and just digest this data point .
On a MAT basis , the market has grown by Rs. 500 crores . New growth is Rs. 500 crores , and we have garnered 15% of that growth . Not only the existing market share but also the incremental market share . At a 4 .5% or 4.8% market share , we have gained 15% incremental market share . That's how it is happening .
The only caveat here is there are a couple of brands which we are selling but not reflecting in our primary sales . KK just spoke about the two brands , which are Linares and FCM which were “at-risk” launch es. What would happen now that we have relaunched it , I expect 300 to 400 basis point growth coming in only from this product when we start selling it again .

That's the nutshell . But 2.5% versus 8%, you are always gaining market share . Most part of our large brands are gaining market share , but yes , if it could have been 10 %, it would have been better . Of course , 10% would have been better , 12% would have been better , but we are getting there . I think once we get these new products primaries , we should be getting there , and you see the H2 to become quite different from H1.
Moderator: Thank you. Next question is from the line of Rahul Jeewani from I IFL Securities . Please go ahead.
Rahul Jeewani: If you see for the second quarter while our standalone branded pharma

business has grown at a 13% kind of a ra te, the consol growth for us is only around 10% . It is likely that the tra de generics business is having an impact as far as our consol growth is concerned . When do you see this impact waning off and the standalone growth to start mirroring on the consol growth as well?

Amit Bakshi: We are talking about branded which is 97% of the whole thing . Now what we are talking about is the remaining 3% , and we have been quite clear . We have been talking about this from a couple of quarters now , that trade generic s is something which we don't think is picking up the way we would have wanted . The growth will again come from the 97% of the business . This 97% of the business is our core business, and that is where we expect more growth to come in H2 , and especially when the other products come in , that will start showing up in the primary numbers .

Rahul Jeewani: This organic growth of 7% to 8% which you indicated is for this 97% of the business ?

Amit Bakshi: Y

es.

Rahul Jeewani: You indicated that the covered market growth for us is around 2 .5%, but if we look at the Chronic segment , the Chronic segment in first half would have still grown at a 9 % to 10% rate . What is leading to this muted growth for our covered market in terms of any specific therapy segments where the market growth has been lackluster apart from , let's say , the Oral Anti-diabetes segment ?

Amit Bakshi: We are on a little different page . I think you are talking about the IMS data. We subscribe to the AWACS data. Am I right on that ?

Kruti Raval : Yes.

Amit Bakshi: If you look at the IMS data, our growths are different there . They are much higher than what is reported here , and so the data which we refer to the market data is showing 4% growth in Chronic and 2 .5% overall .

Kruti Raval : Covered market.

Amit Bakshi: Covered market . What you are looking , I don't have our numbers in IMS , since we don't subscribe to it , but my decent guess is that our numbers would be quite fair in that data.

Moderator: Thank you. Next question is from the line of Prashant Nair from Ambit Capital . Please go ahead.

Prashant Nair: My first question is the revenue number that you have provided for the acquired business from Biocon , are those revenues at company level or do we have to mark them down to get the revenues that you would approve ?

V. Krishnakumar: These are primary revenues , Prashant .

Amit Bakshi: Company level.

V. Krishnakumar: Company, yes.

Prashant Nair: Second question is, if you take your main therapy , say, Diabetes , Cardiac , Dermatology now and maybe VMN, would you have a sense of how much of these markets would you be covering now ? What is the proportion of your covered market to the overall market just to get a sense of how much more you have in terms of gaps to fill?

Amit Bakshi: I'll answer this. I have seen this data . Diabetes we are 83%, Cardiovascular we are 54%. VMN is a very large market . It will be little difficult to guess that right. Dermatology we are 50% . We have 50 -52%. That's about the larger market , Prashant.

Prashant Nair: Dermat ology after including this acquisition you have done, or this is before that?

Amit Bakshi: After including this, we are close to 50% . 50-52%, give and take 2% here and there .

Prashant Nair: Just one follow -up on that . Given Cardiac and Dermatology are still in that 50% range , are these areas where you would be looking to cover up any more of the gaps or do you feel you are present in the segment that you want to be?

Amit Bakshi: Yes, there are certain gaps . Prashant, there are some markets which are really old like the Amlodipine market , plain Amlo, they are still big market, but they are v ery old market.

The way we will enhance our presence in Cardiology is through new products . Out of these 14 products which we have been talking about almost five to six are in the Cardiology hypertension space , and that will start rolling in I think from Jan -Feb next year , and then every quarter we have one or two products coming in .

The new launches will be skewed towards Cardiology because the coverage has been quite good in Diabetes already . We will see a lot of launches in Cardiology . Dermatology, of course , it's going to be a process which will happen for the next 2 -3 years . We would like to get into more contemporary markets and try to have an indirect effect . Indirect means , Amlodipine - Cilnidipine. So, Cilnidipine will replace Amlodipine at some point of time . That's the guess . These are the market which would replace the older markets a nd those markets where we will play the big gam

e .

Moderator: Thank you. Next question is from line of Harshal from Mirae Asset . Please go ahead.

Harshal Patil: Most of my questions are answered . I just need one clarification from you . In quarter one call , this is with respect to the brands in Derma which we acquired from Dr . Reddy's and Glenmark . We had said that we are like close to 75% of the full potential and we are expecting to reach the full thing in Q2 . Sir, where are we on that?

Amit Bakshi: Not completely on board in Q2 . We are more likely at 90%. Between the two , the brand s which we acquired from Glenmark, we have almost reached . We have reached 100% rather . It is the Dr . Reddy's brand s where we have a little bit of a struggle . A Q2 number is more like 90 -92%.

Harshal Patil: In the subsequent quarters , we can probably expect to reach the full thing .

Amit Bakshi: Yes, we would reach there . What might happen is we might not reach everything say in what we acquired brand to brand , but an overall level , we will definitely reach there.

Moderator: Thank you. As there are no further questions , I will now hand the conference over to Mr . V. Krishnakumar for closing comments .

V. Krishnakumar: Thank you. In closing , we have announced the execution of definitive agreements for the acquisition of Biocon's Nephrology and Dermatology businesses for Rs. 366 cror es inclusive of working capital . The business has a current revenue run-rate of Rs. 100 crore per annu m. The key leadership and entire field force of this business are expected to move to Eris post deal.

For the first half of this financial year , our consolidated operating revenue grew by 13% to Rs. 972 crores , our consolidated EBITDA grew by 25% to Rs. 351 crores and our consolidated profit after tax grew by 1.7% to Rs. 216 crores. Our operating cash flow for H1 stood at 75% of EBITDA.

We reaffirm our FY24 guidance of Revenue Rs. 2,000 to 2,100 crores , EBITDA Rs. 700 to 710 crores, and profit after tax Rs. 410 to 415 crores.

On behalf of Eris, we send our best wishes to you and your loved ones for the upcoming festival season . Thank you and have a good evening .

Moderator: Thank you very much . On behalf of Eris Lifesciences Limited, that concludes this conference . Thank you for joining us . You may now disconnect your lines.

This document has been revised to improve readability.

Call: Feb 2024

“Eris Lifes ciences Limited
Q3 & 9M FY24 Earnings Conference Call ”
February 13, 202 4

MANAGEMENT :

MR. AMIT BAKSHI , CHAIRMAN AND MANAGING DIRECTOR
MR. V. KRISHNAKUMAR , CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. NAISHADH SHAH – DIRECTOR – SWISS PARENTERALS LTD
MR. SACHIN SHAH, CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL , INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY24 Earnings Conference Call of Eris Life sciences Limited.
We have with us on the call today , Mr. Amit Bakshi - Chairman and Managing Director; and Mr. V. Krishnakumar - Chief Operating Officer and Executive Director.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded.
I now hand the conference over to Mr. V. Krishnakumar - Chief Operating Officer and Executive Director of the company. Thank you , and over to you, sir. Please go ahead.
V. Krishnakumar: Welcome everybody, to our quarter three conference call. As we start today's conversation, we will start with recapping our journey since the public listing till date. We had our public listing in FY17. If we look at where we've travel led over the last 6 years, our market rank at the time was number 29 and we were address ing a covered market of around R s. 35,000 crores. Over a period of 6 years, we have evolved to market rank number 21, and now we address a covered market of around Rs. 90,000 crores.
Over this period, we have generated an operating cash flow of around Rs. 2,100 crores and secured external funding at competitive rates. In terms of capital deployment, we have invested around Rs. 1,900 crores in inorganic growth. We have deployed another Rs. 400 crores by way of capex and another Rs. 400 crores by way of dividend and buyback.
We have expanded our market share in Diabetes, which is our core therapy area, from 3.5% to 5% and in VMN from 1% to 2.5%. We have successfully diversified into new therapies, which include Dermatology, CNS, Women's health, Nephrology, and Insulins. All of this has been achieved , while keeping

the fundamental strength of our business model intact. Our 6 -year average Gross margin continues to be more than 80% , EBITDA margin of more than

35% and operating cash flow to EBITDA ratio of more than 75%.
We have achieved significant diversification in our specialty mix over the last two years. Our core therapies o f Diabetes, CVD and VMN, which used to account for 76% of our revenue now account for 63% and our Emerging Therapies, consisting of Derma, CNS, Women's health, and Nephro, now account for nearly 30% of our revenue.
There has been a clear -cut value creation through our Dermatology acquisitions. As you all know, we deployed Rs. 1,265 crores across 3 deals in FY23, primarily to build up our Dermatology franchise and we are happy to share that the expected revenue of this business in the current financial year is to the tune of Rs. 375 crores, with an EBITDA of Rs. 130 crores. This marks significant value creation over a period of less than a year, where we have an FY24 EBITDA margin of 35%, which is up from 24% in FY23 and 10% in FY22. So effectively, we have paid a one-year forward multiple of 10x EBITDA for this acquisition, which represents the financial discipline that we exercise when we evaluate deals. This experience has also helped us realize that we might be good at turning around under -optimized businesses.
We expect strong cash generation and significant growth ahead. The projected operating cash flow from our business during the next three financial years is expected to be in excess of Rs. 1,800 crores and the projected operating cash flow for the next 4 to 5 years is expected to be in excess of Rs. 6,000 crores. As we look ahead in terms of where we want to be over the next 4 to 5 years, we clearly articulate our vision 2029, which is that we want to be a Rs. 5,000 crores revenue company in FY29.
In terms of initiatives to get there, we wou

ld like to announce our acquisition
of Swiss Parenterals, which is a segue for us into the Sterile Injectable s

space. Swiss Parenterals is a dossier -driven business in generic and specialty injectables focused on emerging or RoW markets.
What makes Swiss Parenterals attractive to us ? To walk you through some of the key points, Swiss , currently derives 100% of its business from the export of Sterile Injectable products to more than 80 RoW markets in Africa, Asia Pacific, Middle East, and Latin America. We find this a very exciting platform to build an India Sterile Injectables play.
With a strong product portfolio and manufacturing capability that Swiss brings to the table, it provides the ideal platform for us to launch an India -focused Sterile Injectables business. Swiss manufactures the widest range of SVPs in its two manufacturing units in Gujarat. These are accredited by more than 50 regulatory agencies, including some of the more stringent regulatory bodies like EU -GMP, Brazilian Anvisa, Mexican Cofepris and Australian TGA.
We find Swiss' business model very interesting. It's a dossier -driven model, which is techni cally an IP -driven business. Th e existing product range comprises of more than 1,000 active dossiers across nearly 200 molecules, and the growth pipeline consists of another 1,000 + dossiers across existing molecules and more than 40 new molecules.
Swiss has an R&D team with significant sterile development capability, including complex technologies such as liposomal, microsphere, oil -based and depot injections. Swiss has a strong set of financials, with the FY23 revenue of Rs. 280 crores, a 37% EBITDA margin and a 25% Profit after tax margin. The business model of Swiss is debt free and cash accretive.
Looking ahead, the combination of Eris and Swiss Parenterals throws up some new and very exciting growth opportunities. To walk you through these opportunities, Eris is presently focused on the Indian market and Swiss is

presently focused on the RoW market. The core competence for us today is that we have a strong platform as a leading domestic pharmaco, and we are

present at more than 8,000 mid -sized hospital OPDs across India.
The platform that is provided by Swiss gives us a direct entry into the Small Volume Parenterals market in India . So, we will leverage the Eris platform and Swiss product range to establish an SVP Branded Formulations business in India. This is an additional addressable market for us of more than USD 3.5 billion per annum.
Swiss ' business is predominantly an Injectables business now, but the channel presence and the distribution reach of Swiss in the RoW markets gives us the opportunity to build an oral solid dos age business in the RoW markets. Towards this, we will leverage the Eris oral solid manufacturing capability, Swiss' RoW channels and distribution presence and the marketing expertise of Eris Lifesciences.
As far as the core business of Swiss, i.e of small volume parenterals, we will continue investing in expanding Swiss' product ra nge, dossier portfolio and market coverage. The addressable market here is a significant opportunity. Because RoW generics has a market size of more than USD 120 billion, where Steriles account for about USD 12 billion and Orals account for more than USD 100 billion.
To give you a quick overview of the manufacturing footprint of Swiss Parenterals , Swiss has 2 manufacturing units based in Gujarat. Unit 1 is for General injectables and Unit 2 is for Betalactams and Antibiotics. As you can see, these units are capable of manufacturing the widest range of sterile dosage forms, including liquid vials and ampoules, lyophilize d, pre -filled syringes, dry powder injections, inhalation anaesthetics and so on. Unit

2 has
dedicated blocks for Betalactams, Penicillins , Cephalosporins and

Carbapenems. Both these units are presently being run as a single shift operation s, providing significant additional capacity for growth.
To take you through some of the details around R&D capabilities and regulatory accreditations , Swiss operates an R&D lab which includes state -of-the-art formulation development, analytical development, and pilot plant infrastructure. It has a team of 15 R&D professionals, with a track record of having developed complex dosage forms. Swiss facilities are accredited by more than 50 agencies worldwide. Some of the illustrative ones being EU -GMP, Brazilian Anvisa, Mexican Cofepris and Australia TGA.
Swiss brings an impressive collection of intellectual property, with a product portfolio of more than 1,000 active dossiers across nearly 200 unique molecules in 80 + countries and a pipeline compassing another 1,000 dossiers across existing and 40 + new molecules. All in all, we believe this is an ideal platform for Eris to leapfrog into Sterile Injectables and the RoW markets.
To also remind ourselves of Eris' oral solid manufacturing capability , we have two manufacturing units at Guwahati and Ahmedabad, which are capable of a wide range of oral solid dosage forms, including tablets, capsules, and soft gels. The Ahmedabad unit also has the ability to manufacture ointments. Both these units are WHO -GMP compliant. Going forward, we propose to secure PIC/s approvals for these facilities and jump start RoW exports by leveraging Swiss' channel relationships.
To give you an overview of the deal contours, Swiss Parenterals has been valued at Rs. 1,250 crores, which implies 1 1-12x EBITDA multiple of FY24 expected Ebitda . Eris has signed a definitive agreement for acquisition of 51% equity stake in Swiss Parenterals Limited for a consideration of Rs. 637.50 crores. Out of this Rs. 200 crores will be paid at closing and the remaining Rs. 437.50 crores will be paid after 12 months from closing.

An additional 19% stake in Swiss Parenterals will be acquired at closing by the Eris Promoter Group for Rs. 237.50 crores. Hence, collectively, 70%

equity stake will be acquired by Eris and its Promoter Group, thereby minimizing the additional debt on Eris' balance sheet. The remaining 30% stake will be held by Naishadh Shah, Director of Swiss Parenterals, who w ill be a long -term equity partner in the business and in charge of day -to-day operations and growth. The purchase consideration payable by Eris at closing, which is Rs. 200 crores will be funded through debt financing. This transaction is expected to achieve financial closure before 31st March 2024.
Now we move to the quarter three performance highlights. I'm happy to share with you that Eris continues to be ranked among the top 10 fastest -growing companies as of December MAT 2023. The IPM growth during this period was 6.8%, and Eris has registered a growth of 12.8%, which is 600 ba sis points ahead of the market.
This has been driven by market -leading growth in both our core therapies as well as emerging therapies. Our core therapies, which constitute 63% of our revenue consist of Diabetes, Cardiovascular and VMN. The market growth in this segment was 4% and Eris clocked a growth of 7%, which is 300 bps ahead of the market. Our emerging therapies, which constitute nearly 30% of our revenue consists of Dermatology, CNS, Women's health, and Nephrology. Here, the market growth was around 7%, and Eris portfolio clocked a growth of 28%, thereby outperforming the market by a factor of 4x.
Coming to the strategic priorities for FY24 and where we stand at the end of Q3. We had articulated 4 key priorities at the start of the year . The fi

rst of
them being successful commercialization of our new product pipeline. I'm happy to inform you that the first 2 FDCs from our own R&D pipeline, Sitagliptin -Gliclazide and Dapagliflozin -Gliclazide have been launched in

December'23, and we have also undertaken a strategic launch of a new FDC, which is Empagliflozin + Linagliptin combination.
We have also continued to launch new products in Dermatology, and we have more launches planned for Q4. Margin improvement through Derma in - sourcing was a key objective that we had outlined, and I'm happy to share that we have initiated commercial production in our Gujarat facility in the month of December, ahead of target, and this is expected to ramp up in the coming months. Last but not the least, our Injectable Anti-diabetes franchise has scaled up, with a Q3 revenue of more than Rs. 12 crores and YTD revenue of more than Rs. 31 crores. The current revenue run rate is nearly Rs. 5 crores per month. This business has registered an impressive YPM gain in the span of 1 year. Q3 YPM is trending at nearly Rs. 3.5 lakh, and this represents a YPM gain of nearly Rs. 1.8 lakhs during this year. We have secured approvals for Liraglutide and Glargine from MJ's pipeline and these are lined up for a Q4 launch, with consequent margin improvement .
We continue to be focused on building our own R&D program. Since the last time we spoke to you on this, we have expanded our R&D pipeline to 26 candidates, which include s 2 categories of products - fixed dose combinations, which are first in Indian market [and not so far approved in any of the other significant regulatory jurisdictions] , and drugs which are commercially approved in the U.S., which will be launched for the first time in the Indian market. We have an active pipeline of 26 candidates, which a re targeted to be commercialized over the course of the next financial year.
Our new launches consisting of line extensions and combinations have done exceedingly well in the first nine months of this financial year, with the extent that three mother brands, Tayo, Gluxit and Remylin, where we have launched several line extensions and combinations, are all set to join the Rs. 100 crores club very soon.

Tayo is currently at a MAT value of Rs. 80 crores in sales and has registered a Q3 growth of 45%. Gluxit is at a MAT value of Rs. 75 crores with a Q3

growth of 21% and Remylin is at a MAT value of nearly Rs. 70 crores with a Q3 growth of 51%. By the end of FY25, we are set to have seven mother brands in our Rs. 100 crores club.
Now coming to the key numbers for the quarter and the nine-month period. Our Branded Formulations segment continues to account for 97% of our total revenue and we registered a 16% growth in our Branded Formulations revenue in Q3 as well as for the nine-month period. We registered a growth of 13% in the Branded Formulations YPM.
Q3 gross margins stood at 83%, which were up by nearly 200 basis points and represents a growth of nearly 20% year -on-year. Our Q3 EBITDA margin stood at 37% which represents a growth of more than 300 basis points and a year -on-year growth of 27%. Nine -month Insulin sales stood at R s. 31 crores, with a latest monthly run rate of nearly Rs. 5 crores.
In terms of the consolidated picture, Q3 consolidated revenue was up by 15% to Rs. 486 crores and YTD operating revenue grew by 14% to Rs. 1,458 crores. Gross margin was up by 270 bps in Q3 and nearly 400 bps for the nine-month period, demonstrating a year -on-year growth of 20%. EBITDA for the quarter stood at Rs. 175 crores, representing a 36% margin. The year - on-year growth for EBITDA was 28% in Q3 and 26% YTD.
Operating cash flows continue to be robust, with around 70% of EBITDA in Q3 and at 73% of EBITDA f

or the 9 -month period. Profit after tax for the quarter stood at Rs. 101 crores and Rs. 317 crores for the nine-month period. Cash EPS for the nine-month period stood at Rs. 30, which represents a year-on-year growth of 9% and net debt at the end of the quarter stood at Rs. 887 crores. This brings me to the end of this presentation.

Moderator: Thank you very much. We'll take our first question from Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha Thank you for the opportunity. Good afternoon. The first one on the financing of the Swiss Parenterals deal. I think I missed some part as to how the deal would be financed. If you can just help me with that.
Amit Bakshi: Kunal , just a moment. I want to introduce Naishadh who is with me. Naishadh, if you can come close, please.
Naishadh Shah: Yes. Thank you.
Amit Bakshi: Naishadh has been responsible for pivoting the entire export business ie parenteral business from Swiss. He's the person wh o motivated us basically beyond numbers and beyond the character of the business. We are committed to help each other to make sure that all that we said in the presentation comes to light. If there's any question to Naishadh, he's there with us. I welcome you from my side and also from the team Eris.
Naishadh Shah: Thank you.
Amit Bakshi: KK, you take this obviously.
V. Krishnakumar: Kunal, am I audible?
Kunal Dhamesha: Yes.
V. Krishnakumar: Ok. The consideration payable at closing is Rs. 200 crores from Eris Lifesciences, which will be funded through debt financing.
Kunal Dhamesha: Ok. The Rs. 475 crores will be paid...
Moderator: Please go ahead with your question.

Kunal Dhamesha: The Rs. 475 crores NCD will be sitting on the Swiss Parenterals balance sheet?
Sachin Shah : No. R s. 437.5 crores of NCD is being issued by Eris Lifesciences to the sellers in lieu of the shares that we are acquiring. R s. 200 crores is cash and Rs. 437.5 crore is one-year NCD with a coupon rate of 8%, redeemable after one year.
Kunal Dhamesha: Perfect. The second question is on our standalone performance. When I look at our standalone performance, there has been a drop on a Q -o-Q basis, a

meaningful drop, but the consolidated seems kind of ok. What's the disparity on the standalone versus consolidated?

V. Krishnakumar: Yes. Kunal, there is one important thing to realize ever since we commenced our Gujarat facility . The Gujarat facility doesn't sit in the standalone b usiness , it sits in a wholly owned subsidiary called Eris Therapeutics Ltd, which doesn't reflect in the standalone numbers . So, a lot of the incremental growth, a lot of the new products, which is very much part of the core Eris Lifesciences base business, is actually sitting in Eris Therapeutics.

That is the reason why you see that it has not been completely reflected in standalone. Which is why, going forward, standalone would not be an adequate reflection of our base business. I would encourage you to look at the domestic Branded Formulations segment reporting that we do, because that is really reflective of our Branded Formulations business.

Kunal Dhamesha: Sure. The third question on the Swiss Parenterals acquisition, while you have highlighted that you will be utilizing the platforms both ways, right, Swiss Parenterals products in India. Have you put any numbers around as to how much you can, let's say, achieve , because the acquisition would probably close very soon . Let's say, in year one, year two or year three targets of how

much you can build in India and then how much o ral solid franchise you can build in RoW, if you can provide some color would be great .

Amit Bakshi : Kunal, the or

al solid piece, which we need to build from the Swiss channel, will take some time. I don't really have a colour . Naishadh has told us that it will be R s. 30 crores to Rs. 40 crores for this year. But on the Indian business, we are addressing a very, very large market in India. We just showed you USD 3.5 billion, but these data are not reflective of the company's future, because a lot of it is supply also. We have taken a target of around R s. 100 crores for the first year on the domestic inject ables side.

Kunal Dhamesha: Perfect. Let's say, aspirationally, three years, medium -term targets, where do we see ? Let's say, the Rs. 5,000 crores revenue target that we have given for FY29, where do you see the contribution of the RoW or India? In FY29, what would be the mix of RoW versus India business? How should we look at it?

Amit Bakshi : Kunal, we haven't really taken a lot of growth in the RoW business as of now because we have to still go through the ropes. We and Naishadh will now sit and plan the entire five -year thing. It has a lot of products and dossier. We haven't really kind of taken those upsides. For example, starting our own marketing in a couple of RoW countries, w hich some of our peers have really pulled up very well. We haven't taken those into account. Most of the growth which you see here has been on the domestic piece.

I don't feel that a 2% to 3% market share in injectable is a very difficult thing. Also, Kunal, understand that at least, in my view, there is around Rs. 10,000 crores to Rs. 15,000 crores of market, which needs to be backward integrated. Whether it is complex injectables or PFS or some kind of liposomal and that is where the competition has always been limited in the Indian market also. Right now, we are thinking that if it is like R s. 40,000 crores, we feel that we can pull out a 2% market share over a pe riod of time.

That's a broad thinking. But Rs. 100 crores number, which I'm telling you is for next year. And Kunal, these are not businesses which will scale up prescription -on-prescription. When I say R s. 100 crores don’t be taken aback as if it’s too much. So , you see the only insulin piece we would be kind of consolidating by Rs. 35 crores - Rs. 36 crores in this year, which is very niche compared to the overall market. That's how the overall thinking going on.

Rs. 100 crores, we have done our numbers, and we have a broader understanding that we will aim for 2%; large part of it will come from products which are a little difficult to enter.

Kunal Dhamesha: Ok. Just one more with your permission. We had kind of a target of doing a revenue of around Rs. 2,600 crores by FY26. Would that target include the Swiss Parenterals number? Or we still stick with our - whatever we had at that point in time, we can achieve Rs. 2,600 crores, and the Swiss number would be additional?
Amit Bakshi : Kunal, I don't have that thought in my mind. R s. 2,600 crore is coming where from; I don't have a handle, but I can tell you, Kunal, that if everything goes well, we should be in the range of Rs. 2,700 crores + in the next year.
Kunal Dhamesha: Ok. Perfect. Thank you and all the best.
Moderator: Thank you. We'll take the next question from Sumit Gupta from Motilal Oswal. Please go ahead. Mr. Sumit Gupta your line is unmuted please go ahead with your question. Mr. Sumit Gupta?
Sumit Gupta: Hello?
Moderator: Yes, we can hear you now. Please go ahead.
Sumit Gupta: Thank you for the opportunity. I just want to know what is the gross block addition for this deal in FY25.

Kruti Raval: Sorry, we couldn't hear you very clearly, Sumit.
Sumit Gupta: What will be the gross block addition for this deal?
Kruti Raval: Gross block addition.
Sachin Shah : I think tangi

bles and intangibles in total will be around Rs. 600 crores. R s. 600 crores to Rs. 625 crores.
Sumit Gupta: Ok. What w ill be the depreciation ? It is including both tangible and intangible , right?
Sachin Shah : Both. They have tangibles also because all the dossiers will be intangibles as IPs, and the factory and everything will be tangible. Approximately, averaged out it will be 20 years.
Sumit Gupta: Ok. What w ill be the likely depreciation rate overall , for the next two years, FY25, FY26 going forward?
Sachin Shah : It's a straight -line method. So , everything is equal for 20 years.
Sumit Gupta: Ok. Thank you.
Moderator: Thank you. We'll take our next question from Harith Ahmad from Avendus Spark. Please go ahead.
Harith Ahmad: Hi.
Moderator: We can't hear you clearly, sir.
Harith Ahmad: Am I audible now? I'll try to be louder.
Moderator: Yes, please go ahead.

Harith Ahmad: Thanks for the opportunity . I'm looking at Eris' history over the years, and I see that, so far, we focused on the domestic market exclusively. What prompted this change in strategy to acquire an asset which is...
Amit Bakshi : Yes. If I hear you right, you're saying looking at history, you always wanted to be a domestic focused and what prompted is to get into this asset. Am I right?
Harith Ahmad: Yes.
Amit Bakshi : Look at a broader term, fairly it's about growth. There will be a point of time in the growth trajectory where you will have to move into other geographies, and this is a path which has been taken by everybody, I think, in the industry, if you count all of us who have moved up the value chain. Number one, we were now looking at a Rs. 5,000 crores, and this was in our head for quite some time, that what will be the time when we will look for opportunities, which are other than the Indian opportunity.
In my view, RoW is the best fit after the Branded Formulations business and even in RoW, having a business which is parenteral, with 1,000 dossiers and at this kind of a n EBITDA level, is something which we found very, very difficult to get. We might have taken one more year to really get very intensive in terms of looking out. But because this asset we like d so much , Because if

you see the parallels, it is difficult to find a parallel of a Rs. 300 crores business, all export and all parenteral and with so many dossiers.
So, number one, it had to happen one day. That's the general way, natural progression of a pharmaceutical company based out of India and second, we just fell in love with both the business and w ith Naishadh, when we spoke about everything. Put together, we found this is a good time for us to get in.
Harith Ahmad: Ok. My second question is on the business mix of Swiss Parenterals. Can you throw some light in terms of key markets of the company. Revenue mix

in terms of Anti-biotics versus other Injectable products. Also , some colour on B2B versus any front -end presence that you have in your current market. Some colour on the overall quality of the business.
Moderator: Mr. Harith, can you please mute your line when you're not speaking, there's some background noise coming from your line.
Amit Bakshi : Yes. I'll pass this to Naishadh. I think he's the most qualified among us to talk about this. Yes, Naishadh.
Naishadh Shah: Thanks for speaking out. To answer your questions, Swiss has a mix of various products in the basket. Out of which , the biggest mix is of the Anti-biotics, what we do. I think the next question, I could not hear because of the noise, but if you can just .
Amit Bakshi : What about the geography ?
Naishadh Shah: Geographies, We are predominantly present up till now, in the South ern Asia and Africa, which are growing markets and which are expected to gr

ow much
more in the near future. Our focus is also right now on the European markets because that gives us an access to the reg ulated markets registrations with the non -regulated country presence.
To answer your last question, which was regarding the front-end. Swiss currently operates on a distribut or led model, where we are trying to be sure that if we have to go front -end through teams, that's where the domestic expertise of Eris will be taken and that's where I think Eris' partnership or JV with us will help us pivot our growth also, help us to change the trajectory of the growth. Last but not the least, although we are focusing on injectables, the same sales channels and the distributors can be used to also leverage or front -end the products what Eris has on its own basket. And to add on to that, the brand recognition of Eris products which are the re in the market right

now will play a very important role for us to also catapult that growth towards expanding the portfolio in these countries.
Amit Bakshi : Correct.
Harith Ahmed: Ok. The next one is on the acquired Biocon portfolio. Was there a contribution in the quarter, in 3Q, from the acquired business? Can you share some guidance on the expected growth from this portfolio for FY25?
Amit Bakshi : I think we acquired in November, in mid -November, right. Yes. So generally, there's nothing significant in this quarter, which is expected. But because we trace the secondary sales, I can give you a secondary f eel which we have got. We have this business, which was roughly around Rs. 7 crores to Rs.8 crores a month.
I'll tell you two things. The first and the important thing is when we took this business, our gross margins were in the range of 50s, right? Now when we have done the math and the new orders have been placed and we have negotiated and changed the product mix, we think that we can tell you clearly, in Q4 or the first quarter next year, it would be close to 70% gross margin. With the price rise kicking in, which will happen in the next year, it might move a little further. One of the targets which we had was to correct the gross margins. It's in line, and we are not there for any surprise. Now because we had people coming in with this purchase (deal) , that is the reason we have seen a strong ramp -up happening. While in the primary the sales expression

is quite little, but the secondary has started to come in.
We think in the last quarter, we will be completely in -line with what we had thought. At least Rs. 24 crores to Rs. 28 crores of revenue will come from there. We are expecting this to go to more by Rs. 10 crores to R s. 12 crores next year. That's what we could have figured out until this point of time.

Harith Ahmed: Ok. My last one with your permission. KK, you mentioned that the Derma business is now tracking around Rs. 375 crores of annualized sales. What would be the like -to-like basis growth that we have seen in this business? Obviously, you talked about some disruptions in the acquired clients from Glenmark and Dr. Reddy's. I was just trying to understand if both brands have addressed at least...
Moderator: Mr. Ahmed, we can't hear you clearly. Can you be a bit louder, please?
Harith Ahmed: Yes, I'll try that again. The Rs. 375-odd crores of Derma sales that we talked about, trying to understand if the acquired brands from Glenmark and Dr. Reddy's, we had some disruption in the initial quarters post the acquisition, so are we seeing some stability there?
Amit Bakshi : Yes, ok. If I get you right, you're trying to ask me what is happening to the acquisition in the Dermatology...
Moderator: Mr. Ahmed, I'm sorry to interrupt. Can you please mute your line? Please go ahead, sir.
Amit Bakshi : It was not very clea

r. There was a lot of disturbance in the line. But what I could have figured out is he's trying to ask what has happened to the Dermatology portfolio and how is it shaping up. We acquired both these assets in the last quarter of last financial year, if I'm not wrong, one was in Jan and the other was in March. So , Mr. Ahmed, we are quite happy with the progress it has done. You have seen the margins , the way the margins have panned out.
Now on the growth side, what has happened on the growth side? There are a couple of things which I would like to point out. These products were selling on some 3,000 stockists, and we actually got only 400 stockists out of them. This is not a 12 -month to a 12 -month kind of comparison. Because we got it late in the quarter, it took us some time to get the sales back. But on the run

rate basis, we are doing quite well. The good news is that though we have got some beating in the tail brands , when I talk to you about the major brands, which were Onabet, Demelan, Halovate and Sorvate all of the se brands are growing very well. A special mention of Demelan, we think it is going ahead - 60% ahead of what we ha d thought. There are two, three brands which we have missed out. There is one, Luliconazole, which Oaknet also had . So, we have lost around R s. 3 crores, R s. 4 crores there.
They have taken around R s. 15 crores to Rs. 18 crores of stock back this financial year, which is due to the chang e from one set of stockists to the other set of stockists. When I put everything together, the Derma business is doing quite well, and we have got a good grip on Derma business. You will see this Derma business next year doing pretty well.
Moderator: We'll take our next question from Abhishek Chauhan from Eklavya Capital Advisors.
Abhishek Chauhan: My question is over next 2 to 3 years, what is your guidance on your mergers and acquisition strategy? Is it going to go at the same pace or you're trying to consolidate whatever you have acquired so far?
Amit Bakshi : This answer is always a difficult answer. I am not in a position to say that we are done with everything. That's the reason we actually put out slides telling you how do we think about the cash flows, how it has been in the last 5 years and how will they pan out in the next 5 to 6 years. So , I will answer you r more controllable question, th at what will happen to the debt.
As of now, we want to have a hard stop at anything which is in the zone of 2

to 2.3. We would not like to exceed that. You see we are building that kind of a capability. That was one of the reasons you've seen the promoters also kind of putting up the cash, and the way we have structured the deal.

Whether we do one more deal, we are not sure at this point, as you know how these things are. Yes, the intent is there that if we get something good, we might as well get it. But the discipline on the EBITDA versus debt is something which we want to abide by.

Abhishek Chauhan: Yes. Other than the debt, my other concern is merger and acquisition . Eris has so far succeeded so well, it's because of the discipline. I like so many things -- for example, you mostly do brand on ly acquisition, not people - related acquisitions. But if you go at the same fast rate, as an investor, my fear always is whether that discipline will be there, or you will flow along with the speed?

Amit Bakshi : No. No, don't fear. It is limited fuel; you can't run beyond that. And again, I don't want to go to the past laurels that we have done this and that. We know that some things have to fall in place. But look at our history for so many years now. We have been quite prudent. There are a lot of guardrails within the system which will make us take prudent calls.

I can assure you there's no excitement and there's no adrenaline, which comes in from acquisition. It's only when we think it's a prudent capital allocation policy, we think this is something which we can drive, that's the only time we get into it. I must also tell you , we have said ‘no’ more often than we have said ‘yes’.

Abhishek Chauhan: All right. Thank you. I think that puts a rest to my concerns.

Moderator: Thank you. The next question is from Prashant Nair from Ambit Capital.

Prashant Nair: Yes. Good evening. A couple of questions on Swiss Parenterals. Firstly, would you need to invest anything more into the business to achieve what you want over the next, say, 3 to 4 years? Or is the business by itself, as it stands, is currently capable of taking it forward? I'm talking about capital investment in the b usiness.

Amit Bakshi : Yes. I'll ask Naishadh to do the final stuff. But till this point of time, we might have to put in one more plant, which should happen in the next 2 years, with the capex of some Rs. 40 crores. How much?

Naishadh Shah: Between R s. 40 crores to R s. 60 crores.

Amit Bakshi : Rs. 40 crores and Rs. 60 crores. Naishadh, you take it from there.

Naishadh Shah: Yes. Thanks Prashant, for bringing up this question. The whole idea to join hands and to do this JV or partnership was that Eris gets a strong domestic injectable presence where they were not predominantly present and to utilize Swiss' IP or manufacturing facilities to the best available extent.

Well, although Swiss will continue doing its export business, there's no restriction on that. In fact, the idea is to grow that, but also help Eris to establish a domestic injectable play. I think for that, if there is a capex requirement, it will be somewhere within a bracket of Rs. 40 crores to Rs. 60 crores , which will be predominantly used for capacity building and maybe front-end.

Amit Bakshi : But Prashant, to answer your question, when we have planned for our capital resources for the next 4 years, we have consistently put a Rs. 50 crores to Rs. 100 crores kind of number in front -end to back -end, which is not necessarily going in Swiss. There are a couple of things which we are looking forward in Women's health and all those things. Side by side, keeping our back -end strong is something which we think is going to be very important in the coming times. So, we do keep that money. How much of that could be used, we don't have an answer now. But there's one plant which Naishadh is putting up just behind the present one, which should be over in 2 years' time.

Naishadh Shah: Yes.

Prashant Nair: Yes. Also, all the revenues, investment, etc, that accrue from Swiss Parenterals, whether it is in India or RoW, would be in the 51% held entity as in Swiss Parenterals? Or would the India business be run through the Eris ' P&L? How do you see that being structured?

Amit Bakshi : Very interesting question. Two parts of the answer. Whatever is general segment will all be done through Swiss. If there is anything which is in the specialty side, that will be done by Eris. The simple reason is we need field force. We can't put unlimited field force in Swiss. Swiss will do the large part of the business, which is like the hospital business, and Eri s might do the specialty piece. For example, Women's health, there is some amount of biotech here and there. That will be done by Eris. Rest everything, which is the largest ch unk, would be done in Swiss.

Prashant Nair: Ok. Just one last question. Naishadh, if you could just once again elaborate on the product portfolio. I just heard that you mentioned it's largely Anti-biotics, but I probably missed the rest of your answer at that time.

Naishadh Shah: Happy to answer that. If I have to bifurcate the portfolio, we have probably 11 lines of sterile products which we manufacture. The larger chunk of sales is coming from Anti-biotics.

But as you know, they're pretty price competitive. The other chunk would be coming from the general injectables, where we do have specialty products, but only export focused.

Now with this JV of sorts coming into picture, we will be utilizing Eris' strength in the domestic market, in the dom form market, to focus those strengths on these high -value molecules, with very high margins on them to go with the domestic formulation. So , it will be a basket of value versus volumes.

Amit Bakshi : Prashant, we'll send you the list across. We have the list of what all we are doing. We also have the list of the geographies. We'll send it along. But it's

a good mix of specialty and lyophilized, vial, liposomal, everything. As Naishadh told 11 lines, there's a PFS, there is an inhalation anaesthesia also there. So , it's a very good mixture of specialty and high -end Anti-biotics -- difficult to make Anti-biotics and that is the reason you see the margins being there from the last 4 -5 years since we have been kind of looking at numbers.

Prashant Nair: Yes. Thank you. That's it from me.

Moderator: Thank you. We have a question from Gagan Thareja from ASK Investment Managers. Please go ahead. Mr. Thareja your line is unmuted. Please go ahead. Mr. Gagan Thareja from ASK investment managers, can you please unmute and go ahead with your question. There is no response from Mr. Gagan Thareja's line. I'll now hand the conference over to Mr. V. Krishnakumar for closing comments. Over to you, sir.

V. Krishnakumar: Thank you. With a 14% consolidated revenue growth and 26% consolidated EBITDA growth for the first 9 months of this financial year, we are on track to meet our guidance of R s. 2,000 crores revenue, Rs. 700 crores EBITDA and Rs. 410 crores of profit after tax for the year. On the back of our established specialty presence and strong cash generation, we look forward to achieving Rs. 5,000 crores in revenue by the financial year FY29.

Towards this objective, we have several exciting initiatives underway. We also look forward to harness the growth opportunities that are available to us on account of our acquisition of 51% stake in Swiss Parenterals. We look forward to your support in th is journey. Thank you very much and have a good evening.

Amit Bakshi : Thank you.

Moderator: Thank you. Thank you, members of the management. Ladies and gentlemen, on behalf of Eris Lifesciences Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting.

This document has been revised to improve readability.

Call: Mar 2024

“Eris Lifes ciences Limited
Q3 & 9M FY24 Earnings Conference Call ”
February 13, 202 4

MANAGEMENT :

MR. AMIT BAKSHI , CHAIRMAN AND MANAGING DIRECTOR
MR. V. KRISHNAKUMAR , CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. NAISHADH SHAH – DIRECTOR – SWISS PARENTERALS LTD
MR. SACHIN SHAH, CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL , INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY24 Earnings Conference Call of Eris Life sciences Limited.
We have with us on the call today , Mr. Amit Bakshi - Chairman and Managing Director; and Mr. V. Krishnakumar - Chief Operating Officer and Executive Director.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded.
I now hand the conference over to Mr. V. Krishnakumar - Chief Operating Officer and Executive Director of the company. Thank you , and over to you, sir. Please go ahead.
V. Krishnakumar: Welcome everybody, to our quarter three conference call. As we start today's conversation, we will start with recapping our journey since the public listing till date. We had our public listing in FY17. If we look at where we've travel led over the last 6 years, our market rank at the time was number 29 and we were address ing a covered market of around R s. 35,000 crores. Over a period of 6 years, we have evolved to market rank number 21, and now we address a covered market of around Rs. 90,000 crores.
Over this period, we have generated an operating cash flow of around Rs. 2,100 crores and secured external funding at competitive rates. In terms of capital deployment, we have invested around Rs. 1,900 crores in inorganic growth. We have deployed another Rs. 400 crores by way of capex and another Rs. 400 crores by way of dividend and buyback.
We have expanded our market share in Diabetes, which is our core therapy area, from 3.5% to 5% and in VMN from 1% to 2.5%. We have successfully diversified into new therapies, which include Dermatology, CNS, Women's health, Nephrology, and Insulins. All of this has been achieved , while keeping

the fundamental strength of our business model intact. Our 6 -year average Gross margin continues to be more than 80% , EBITDA margin of more than

35% and operating cash flow to EBITDA ratio of more than 75%.
We have achieved significant diversification in our specialty mix over the last two years. Our core therapies o f Diabetes, CVD and VMN, which used to account for 76% of our revenue now account for 63% and our Emerging Therapies, consisting of Derma, CNS, Women's health, and Nephro, now account for nearly 30% of our revenue.
There has been a clear -cut value creation through our Dermatology acquisitions. As you all know, we deployed Rs. 1,265 crores across 3 deals in FY23, primarily to build up our Dermatology franchise and we are happy to share that the expected revenue of this business in the current financial year is to the tune of Rs. 375 crores, with an EBITDA of Rs. 130 crores. This marks significant value creation over a period of less than a year, where we have an FY24 EBITDA margin of 35%, which is up from 24% in FY23 and 10% in FY22. So effectively, we have paid a one-year forward multiple of 10x EBITDA for this acquisition, which represents the financial discipline that we exercise when we evaluate deals. This experience has also helped us realize that we might be good at turning around under -optimized businesses.
We expect strong cash generation and significant growth ahead. The projected operating cash flow from our business during the next three financial years is expected to be in excess of Rs. 1,800 crores and the projected operating cash flow for the next 4 to 5 years is expected to be in excess of Rs. 6,000 crores. As we look ahead in terms of where we want to be over the next 4 to 5 years, we clearly articulate our vision 2029, which is that we want to be a Rs. 5,000 crores revenue company in FY29.
In terms of initiatives to get there, we wou

ld like to announce our acquisition
of Swiss Parenterals, which is a segue for us into the Sterile Injectable s

space. Swiss Parenterals is a dossier -driven business in generic and specialty injectables focused on emerging or RoW markets.
What makes Swiss Parenterals attractive to us ? To walk you through some of the key points, Swiss , currently derives 100% of its business from the export of Sterile Injectable products to more than 80 RoW markets in Africa, Asia Pacific, Middle East, and Latin America. We find this a very exciting platform to build an India Sterile Injectables play.
With a strong product portfolio and manufacturing capability that Swiss brings to the table, it provides the ideal platform for us to launch an India - focused Sterile Injectables business. Swiss manufactures the widest range of SVPs in its two manufacturing units in Gujarat. These are accredited by more than 50 regulatory agencies, including some of the more stringent regulatory bodies like EU -GMP, Brazilian Anvisa, Mexican Cofepris and Australian TGA.
We find Swiss' business model very interesting. It's a dossier -driven model, which is techni cally an IP -driven business. Th e existing product range comprises of more than 1,000 active dossiers across nearly 200 molecules, and the growth pipeline consists of another 1,000 + dossiers across existing molecules and more than 40 new molecules.
Swiss has an R&D team with significant sterile development capability, including complex technologies such as liposomal, microsphere, oil -based and depot injections. Swiss has a strong set of financials, with the FY23 revenue of Rs. 280 crores, a 37% EBITDA margin and a 25% Profit after tax margin. The business model of Swiss is debt free and cash accretive.
Looking ahead, the combination of Eris and Swiss Parenterals throws up some new and very exciting growth opportunities. To walk you through these opportunities, Eris is presently focused on the Indian market and Swiss is

presently focused on the RoW market. The core competence for us today is that we have a strong platform as a leading domestic pharmaco, and we are

present at more than 8,000 mid -sized hospital OPDs across India.
The platform that is provided by Swiss gives us a direct entry into the Small Volume Parenterals market in India . So, we will leverage the Eris platform and Swiss product range to establish an SVP Branded Formulations business in India. This is an additional addressable market for us of more than USD 3.5 billion per annum.
Swiss ' business is predominantly an Injectables business now, but the channel presence and the distribution reach of Swiss in the RoW markets gives us the opportunity to build an oral solid dos age business in the RoW markets. Towards this, we will leverage the Eris oral solid manufacturing capability, Swiss' RoW channels and distribution presence and the marketing expertise of Eris Lifesciences.
As far as the core business of Swiss, i.e of small volume parenterals, we will continue investing in expanding Swiss' product ra nge, dossier portfolio and market coverage. The addressable market here is a significant opportunity. Because RoW generics has a market size of more than USD 120 billion, where Steriles account for about USD 12 billion and Orals account for more than USD 100 billion.
To give you a quick overview of the manufacturing footprint of Swiss Parenterals , Swiss has 2 manufacturing units based in Gujarat. Unit 1 is for General injectables and Unit 2 is for Betalactams and Antibiotics. As you can see, these units are capable of manufacturing the widest range of sterile dosage forms, including liquid vials and ampoules, lyophilize d, pre -filled syringes, dry powder injections, inhalation anaesthetics and so on. Unit

2 has
dedicated blocks for Betalactams, Penicillins , Cephalosporins and

Carbapenems. Both these units are presently being run as a single shift operation s, providing significant additional capacity for growth.
To take you through some of the details around R&D capabilities and regulatory accreditations , Swiss operates an R&D lab which includes state -of-the-art formulation development, analytical development, and pilot plant infrastructure. It has a team of 15 R&D professionals, with a track record of having developed complex dosage forms. Swiss facilities are accredited by more than 50 agencies worldwide. Some of the illustrative ones being EU -GMP, Brazilian Anvisa, Mexican Cofepris and Australia TGA.
Swiss brings an impressive collection of intellectual property, with a product portfolio of more than 1,000 active dossiers across nearly 200 unique molecules in 80 + countries and a pipeline compassing another 1,000 dossiers across existing and 40 + new molecules. All in all, we believe this is an ideal platform for Eris to leapfrog into Sterile Injectables and the RoW markets.
To also remind ourselves of Eris' oral solid manufacturing capability , we have two manufacturing units at Guwahati and Ahmedabad, which are capable of a wide range of oral solid dosage forms, including tablets, capsules, and soft gels. The Ahmedabad unit also has the ability to manufacture ointments. Both these units are WHO -GMP compliant. Going forward, we propose to secure PIC/s approvals for these facilities and jump start RoW exports by leveraging Swiss' channel relationships.
To give you an overview of the deal contours, Swiss Parenterals has been valued at Rs. 1,250 crores, which implies 1 1-12x EBITDA multiple of FY24 expected Ebitda . Eris has signed a definitive agreement for acquisition of 51% equity stake in Swiss Parenterals Limited for a consideration of Rs. 637.50 crores. Out of this Rs. 200 crores will be paid at closing and the remaining Rs. 437.50 crores will be paid after 12 months from closing.

An additional 19% stake in Swiss Parenterals will be acquired at closing by the Eris Promoter Group for Rs. 237.50 crores. Hence, collectively, 70%

equity stake will be acquired by Eris and its Promoter Group, thereby minimizing the additional debt on Eris' balance sheet. The remaining 30% stake will be held by Naishadh Shah, Director of Swiss Parenterals, who w ill be a long -term equity partner in the business and in charge of day -to-day operations and growth. The purchase consideration payable by Eris at closing, which is Rs. 200 crores will be funded through debt financing. This transaction is expected to achieve financial closure before 31st March 2024. Now we move to the quarter three performance highlights. I'm happy to share with you that Eris continues to be ranked among the top 10 fastest -growing companies as of December MAT 2023. The IPM growth during this period was 6.8%, and Eris has registered a growth of 12.8%, which is 600 ba sis points ahead of the market.

This has been driven by market -leading growth in both our core therapies as well as emerging therapies. Our core therapies, which constitute 63% of our revenue consist of Diabetes, Cardiovascular and VMN. The market growth in this segment was 4% and Eris clocked a growth of 7%, which is 300 bps ahead of the market. Our emerging therapies, which constitute nearly 30% of our revenue consists of Dermatology, CNS, Women's health, and Nephrology. Here, the market growth was around 7%, and Eris portfolio clocked a growth of 28%, thereby outperforming the market by a factor of 4x. Coming to the strategic priorities for FY24 and where we stand at the end of Q3. We had articulated 4 key priorities at the start of the year . The fi

rst of
them being successful commercialization of our new product pipeline. I'm happy to inform you that the first 2 FDCs from our own R&D pipeline, Sitagliptin -Gliclazide and Dapagliflozin -Gliclazide have been launched in

December'23, and we have also undertaken a strategic launch of a new FDC, which is Empagliflozin + Linagliptin combination.

We have also continued to launch new products in Dermatology, and we have more launches planned for Q4. Margin improvement through Derma in -sourcing was a key objective that we had outlined, and I'm happy to share that we have initiated commercial production in our Gujarat facility in the month of December, ahead of target, and this is expected to ramp up in the coming months. Last but not the least, our Injectable Anti-diabetes franchise has scaled up, with a Q3 revenue of more than Rs. 12 crores and YTD revenue of more than Rs. 31 crores. The current revenue run rate is nearly Rs. 5 crores per month. This business has registered an impressive YPM gain in the span of 1 year. Q3 YPM is trending at nearly Rs. 3.5 lakh, and this represents a YPM gain of nearly Rs. 1.8 lakhs during this year. We have secured approvals for Liraglutide and Glargine from MJ's pipeline and these are lined up for a Q4 launch, with consequent margin improvement .

We continue to be focused on building our own R&D program. Since the last time we spoke to you on this, we have expanded our R&D pipeline to 26 candidates, which include s 2 categories of products - fixed dose combinations, which are first in Indian market [and not so far approved in any of the other significant regulatory jurisdictions] , and drugs which are commercially approved in the U.S., which will be launched for the first time in the Indian market. We have an active pipeline of 26 candidates, which a re targeted to be commercialized over the course of the next financial year.

Our new launches consisting of line extensions and combinations have done exceedingly well in the first nine months of this financial year, with the extent that three mother brands, Tayo, Gluxit and Remylin, where we have launched several line extensions and combinations, are all set to join the Rs. 100 crores club very soon.

Tayo is currently at a MAT value of Rs. 80 crores in sales and has registered a Q3 growth of 45%. Gluxit is at a MAT value of Rs. 75 crores with a Q3 growth of 21% and Remylin is at a MAT value of nearly Rs. 70 crores with a Q3 growth of 51%. By the end of FY25, we are set to have seven mother brands in our Rs. 100 crores club.

Now coming to the key numbers for the quarter and the nine-month period. Our Branded Formulations segment continues to account for 97% of our total revenue and we registered a 16% growth in our Branded Formulations revenue in Q3 as well as for the nine-month period. We registered a growth of 13% in the Branded Formulations YPM.

Q3 gross margins stood at 83%, which were up by nearly 200 basis points and represents a growth of nearly 20% year -on-year. Our Q3 EBITDA margin stood at 37% which represents a growth of more than 300 basis points and a year -on-year growth of 27%. Nine -month Insulin sales stood at R s. 31 crores, with a latest monthly run rate of nearly Rs. 5 crores.

In terms of the consolidated picture, Q3 consolidated revenue was up by 15% to Rs. 486 crores and YTD operating revenue grew by 14% to Rs. 1,458 crores. Gross margin was up by 270 bps in Q3 and nearly 400 bps for the nine-month period, demonstrating a year -on-year growth of 20%. EBITDA for the quarter stood at Rs. 175 crores, representing a 36% margin. The year -on-year growth for EBITDA was 28% in Q3 and 26% YTD.

Operating cash flows continue to be robust, with around 70% of EBITDA in Q3 and at 73% of EBITDA f

or the 9 -month period. Profit after tax for the quarter stood at Rs. 101 crores and Rs. 317 crores for the nine-month period. Cash EPS for the nine-month period stood at Rs. 30, which represents a year-on-year growth of 9% and net debt at the end of the quarter stood at Rs. 887 crores. This brings me to the end of this presentation.

Moderator: Thank you very much. We'll take our first question from Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha Thank you for the opportunity. Good afternoon. The first one on the financing of the Swiss Parenterals deal. I think I missed some part as to how the deal would be financed. If you can just help me with that.

Amit Bakshi: Kunal , just a moment. I want to introduce Naishadh who is with me. Naishadh, if you can come close, please.

Naishadh Shah: Yes. Thank you.

Amit Bakshi: Naishadh has been responsible for pivoting the entire export business ie parenteral business from Swiss. He's the person wh o motivated us basically beyond numbers and beyond the character of the business. We are committed to help each other to make sure that all that we said in the presentation comes to light. If there's any question to Naishadh, he's there with us. I welcome you from my side and also from the team Eris.

Naishadh Shah: Thank you.

Amit Bakshi: KK, you take this obviously.

V. Krishnakumar: Kunal, am I audible?

Kunal Dhamesha: Yes.

V. Krishnakumar: Ok. The consideration payable at closing is Rs. 200 crores from Eris Lifesciences, which will be funded through debt financing.

Kunal Dhamesha: Ok. The Rs. 475 crores will be paid...

Moderator: Please go ahead with your question.

Kunal Dhamesha: The Rs. 475 crores NCD will be sitting on the Swiss Parenterals balance sheet?

Sachin Shah : No. R s. 437.5 crores of NCD is being issued by Eris Lifesciences to the sellers in lieu of the shares that we are acquiring. R s. 200 crores is cash and Rs. 437.5 crore is one-year NCD with a coupon rate of 8%, redeemable after one year.

Kunal Dhamesha: Perfect. The second question is on our standalone performance. When I look at our standalone performance, there has been a drop on a Q -o-Q basis, a meaningful drop, but the consolidated seems kind of ok. What's the disparity on the standalone versus consolidated?

V. Krishnakumar: Yes. Kunal, there is one important thing to realize ever since we commenced our Gujarat facility . The Gujarat facility doesn't sit in the standalone b usiness , it sits in a wholly owned subsidiary called Eris Therapeutics Ltd, which doesn't reflect in the standalone numbers . So, a lot of the incremental growth, a lot of the new products, which is very much part of the core Eris Lifesciences base business, is actually sitting in Eris Therapeutics.

That is the reason why you see that it has not been completely reflected in standalone. Which is why, going forward, standalone would not be an adequate reflection of our base business. I would encourage you to look at the domestic Branded Formulations segment reporting that we do, because that is really reflective of our Branded Formulations business.

Kunal Dhamesha: Sure. The third question on the Swiss Parenterals acquisition, while you have highlighted that you will be utilizing the platforms both ways, right, Swiss Parenterals products in India. Have you put any numbers around as to how much you can, let's say, achieve , because the acquisition would probably close very soon . Let's say, in year one, year two or year three targets of how

much you can build in India and then how much o ral solid franchise you can build in RoW, if you can provide some color would be great .

Amit Bakshi : Kunal, the or

al solid piece, which we need to build from the Swiss channel, will take some time. I don't really have a colour . Naishadh has told us that it will be R s. 30 crores to Rs. 40 crores for this year. But on the Indian business, we are addressing a very, very large market in India. We just showed you USD 3.5 billion, but these data are not reflective of the company's future, because a lot of it is supply also. We have taken a target of around R s. 100 crores for the first year on the domestic inject ables side.

Kunal Dhamesha: Perfect. Let's say, aspirationally, three years, medium -term targets, where do we see ? Let's say, the Rs. 5,000 crores revenue target that we have given for FY29, where do you see the contribution of the RoW or India? In FY29, what would be the mix of RoW versus India business? How should we look at it?

Amit Bakshi : Kunal, we haven't really taken a lot of growth in the RoW business as of now because we have to still go through the ropes. We and Naishadh will now sit and plan the entire five -year thing. It has a lot of products and dossier. We haven't really kind of taken those upsides. For example, starting our own marketing in a couple of RoW countries, w hich some of our peers have really pulled up very well. We haven't taken those into account. Most of the growth which you see here has been on the domestic piece.

I don't feel that a 2% to 3% market share in injectable is a very difficult thing. Also, Kunal, understand that at least, in my view, there is around Rs. 10,000 crores to Rs. 15,000 crores of market, which needs to be backward integrated. Whether it is complex injectables or PFS or some kind of liposomal and that is where the competition has always been limited in the Indian market also. Right now, we are thinking that if it is like R s. 40,000 crores, we feel that we can pull out a 2% market share over a pe riod of time.

That's a broad thinking. But Rs. 100 crores number, which I'm telling you is for next year. And Kunal, these are not businesses which will scale up prescription -on-prescription. When I say R s. 100 crores don’t be taken aback as if it’s too much. So , you see the only insulin piece we would be kind of consolidating by Rs. 35 crores - Rs. 36 crores in this year, which is very niche compared to the overall market. That's how the overall thinking going on.

Rs. 100 crores, we have done our numbers, and we have a broader understanding that we will aim for 2%; large part of it will come from products which are a little difficult to enter.

Kunal Dhamesha: Ok. Just one more with your permission. We had kind of a target of doing a revenue of around Rs. 2,600 crores by FY26. Would that target include the Swiss Parenterals number? Or we still stick with our - whatever we had at that point in time, we can achieve Rs. 2,600 crores, and the Swiss number would be additional?
Amit Bakshi : Kunal, I don't have that thought in my mind. R s. 2,600 crore is coming where from; I don't have a handle, but I can tell you, Kunal, that if everything goes well, we should be in the range of Rs. 2,700 crores + in the next year.
Kunal Dhamesha: Ok. Perfect. Thank you and all the best.
Moderator: Thank you. We'll take the next question from Sumit Gupta from Motilal Oswal. Please go ahead. Mr. Sumit Gupta your line is unmuted please go ahead with your question. Mr. Sumit Gupta?
Sumit Gupta: Hello?
Moderator: Yes, we can hear you now. Please go ahead.
Sumit Gupta: Thank you for the opportunity. I just want to know what is the gross block addition for this deal in FY25.

Kruti Raval: Sorry, we couldn't hear you very clearly, Sumit.
Sumit Gupta: What will be the gross block addition for this deal?
Kruti Raval: Gross block addition.
Sachin Shah : I think tangi

bles and intangibles in total will be around Rs. 600 crores. R s. 600 crores to Rs. 625 crores.
Sumit Gupta: Ok. What w ill be the depreciation ? It is including both tangible and intangible , right?
Sachin Shah : Both. They have tangibles also because all the dossiers will be intangibles as IPs, and the factory and everything will be tangible. Approximately, averaged out it will be 20 years.
Sumit Gupta: Ok. What w ill be the likely depreciation rate overall , for the next two years, FY25, FY26 going forward?
Sachin Shah : It's a straight -line method. So , everything is equal for 20 years.
Sumit Gupta: Ok. Thank you.
Moderator: Thank you. We'll take our next question from Harith Ahmad from Avendus Spark. Please go ahead.
Harith Ahmad: Hi.
Moderator: We can't hear you clearly, sir.
Harith Ahmad: Am I audible now? I'll try to be louder.
Moderator: Yes, please go ahead.

Harith Ahmad: Thanks for the opportunity . I'm looking at Eris' history over the years, and I see that, so far, we focused on the domestic market exclusively. What prompted this change in strategy to acquire an asset which is...
Amit Bakshi : Yes. If I hear you right, you're saying looking at history, you always wanted to be a domestic focused and what prompted is to get into this asset. Am I right?
Harith Ahmad: Yes.
Amit Bakshi : Look at a broader term, fairly it's about growth. There will be a point of time in the growth trajectory where you will have to move into other geographies, and this is a path which has been taken by everybody, I think, in the industry, if you count all of us who have moved up the value chain. Number one, we were now looking at a Rs. 5,000 crores, and this was in our head for quite some time, that what will be the time when we will look for opportunities, which are other than the Indian opportunity.
In my view, RoW is the best fit after the Branded Formulations business and even in RoW, having a business which is parenteral, with 1,000 dossiers and at this kind of a n EBITDA level, is something which we found very, very difficult to get. We might have taken one more year to really get very intensive in terms of looking out. But because this asset we like d so much , Because if

you see the parallels, it is difficult to find a parallel of a Rs. 300 crores business, all export and all parenteral and with so many dossiers.

So, number one, it had to happen one day. That's the general way, natural progression of a pharmaceutical company based out of India and second, we just fell in love with both the business and w ith Naishadh, when we spoke about everything. Put together, we found this is a good time for us to get in.

Harith Ahmad: Ok. My second question is on the business mix of Swiss Parenterals. Can you throw some light in terms of key markets of the company. Revenue mix

in terms of Anti-biotics versus other Injectable products. Also , some colour on B2B versus any front -end presence that you have in your current market. Some colour on the overall quality of the business.

Moderator: Mr. Harith, can you please mute your line when you're not speaking, there's some background noise coming from your line.

Amit Bakshi : Yes. I'll pass this to Naishadh. I think he's the most qualified among us to talk about this. Yes, Naishadh.

Naishadh Shah: Thanks for speaking out. To answer your questions, Swiss has a mix of various products in the basket. Out of which , the biggest mix is of the Anti-biotics, what we do. I think the next question, I could not hear because of the noise, but if you can just .

Amit Bakshi : What about the geography ?

Naishadh Shah: Geographies, We are predominantly present up till now, in the South ern Asia and Africa, which are growing markets and which are expected to gr

ow much more in the near future. Our focus is also right now on the European markets because that gives us an access to the reg ulated markets registrations with the non -regulated country presence.

To answer your last question, which was regarding the front-end. Swiss currently operates on a distribut or led model, where we are trying to be sure that if we have to go front -end through teams, that's where the domestic expertise of Eris will be taken and that's where I think Eris' partnership or JV with us will help us pivot our growth also, help us to change the trajectory of the growth. Last but not the least, although we are focusing on injectables, the same sales channels and the distributors can be used to also leverage or front -end the products what Eris has on its own basket. And to add on to that, the brand recognition of Eris products which are the re in the market right

now will play a very important role for us to also catapult that growth towards expanding the portfolio in these countries.

Amit Bakshi : Correct.

Harith Ahmed: Ok. The next one is on the acquired Biocon portfolio. Was there a contribution in the quarter, in 3Q, from the acquired business? Can you share some guidance on the expected growth from this portfolio for FY25?

Amit Bakshi : I think we acquired in November, in mid -November, right. Yes. So generally, there's nothing significant in this quarter, which is expected. But because we trace the secondary sales, I can give you a secondary f eel which we have got. We have this business, which was roughly around Rs. 7 crores to Rs.8 crores a month.

I'll tell you two things. The first and the important thing is when we took this business, our gross margins were in the range of 50s, right? Now when we have done the math and the new orders have been placed and we have negotiated and changed the product mix, we think that we can tell you clearly, in Q4 or the first quarter next year, it would be close to 70% gross margin. With the price rise kicking in, which will happen in the next year, it might move a little further. One of the targets which we had was to correct the gross margins. It's in line, and we are not there for any surprise. Now because we had people coming in with this purchase (deal) , that is the reason we have seen a strong ramp -up happening. While in the primary the sales expression

is quite little, but the secondary has started to come in.
We think in the last quarter, we will be completely in -line with what we had thought. At least Rs. 24 crores to Rs. 28 crores of revenue will come from there. We are expecting this to go to more by Rs. 10 crores to R s. 12 crores next year. That's what we could have figured out until this point of time.

Harith Ahmed: Ok. My last one with your permission. KK, you mentioned that the Derma business is now tracking around Rs. 375 crores of annualized sales. What would be the like -to-like basis growth that we have seen in this business? Obviously, you talked about some disruptions in the acquired clients from Glenmark and Dr. Reddy's. I was just trying to understand if both brands have addressed at least...
Moderator: Mr. Ahmed, we can't hear you clearly. Can you be a bit louder, please?
Harith Ahmed: Yes, I'll try that again. The Rs. 375-odd crores of Derma sales that we talked about, trying to understand if the acquired brands from Glenmark and Dr. Reddy's, we had some disruption in the initial quarters post the acquisition, so are we seeing some stability there?
Amit Bakshi : Yes, ok. If I get you right, you're trying to ask me what is happening to the acquisition in the Dermatology...
Moderator: Mr. Ahmed, I'm sorry to interrupt. Can you please mute your line? Please go ahead, sir.
Amit Bakshi : It was not very clea

r. There was a lot of disturbance in the line. But what I could have figured out is he's trying to ask what has happened to the Dermatology portfolio and how is it shaping up. We acquired both these assets in the last quarter of last financial year, if I'm not wrong, one was in Jan and the other was in March. So , Mr. Ahmed, we are quite happy with the progress it has done. You have seen the margins , the way the margins have panned out.
Now on the growth side, what has happened on the growth side? There are a couple of things which I would like to point out. These products were selling on some 3,000 stockists, and we actually got only 400 stockists out of them. This is not a 12 -month to a 12 -month kind of comparison. Because we got it late in the quarter, it took us some time to get the sales back. But on the run

rate basis, we are doing quite well. The good news is that though we have got some beating in the tail brands , when I talk to you about the major brands, which were Onabet, Demelan, Halovate and Sorvate all of the se brands are growing very well. A special mention of Demelan, we think it is going ahead - 60% ahead of what we ha d thought. There are two, three brands which we have missed out. There is one, Luliconazole, which Oaknet also had . So, we have lost around R s. 3 crores, R s. 4 crores there.
They have taken around R s. 15 crores to Rs. 18 crores of stock back this financial year, which is due to the chang e from one set of stockists to the other set of stockists. When I put everything together, the Derma business is doing quite well, and we have got a good grip on Derma business. You will see this Derma business next year doing pretty well.
Moderator: We'll take our next question from Abhishek Chauhan from Eklavya Capital Advisors.
Abhishek Chauhan: My question is over next 2 to 3 years, what is your guidance on your mergers and acquisition strategy? Is it going to go at the same pace or you're trying to consolidate whatever you have acquired so far?
Amit Bakshi : This answer is always a difficult answer. I am not in a position to say that we are done with everything. That's the reason we actually put out slides telling you how do we think about the cash flows, how it has been in the last 5 years and how will they pan out in the next 5 to 6 years. So , I will answer you r more controllable question, th at what will happen to the debt.
As of now, we want to have a hard stop at anything which is in the zone of 2

to 2.3. We would not like to exceed that. You see we are building that kind of a capability. That was one of the reasons you've seen the promoters also kind of putting up the cash, and the way we have structured the deal.

Whether we do one more deal, we are not sure at this point, as you know how these things are. Yes, the intent is there that if we get something good, we might as well get it. But the discipline on the EBITDA versus debt is something which we want to abide by.

Abhishek Chauhan: Yes. Other than the debt, my other concern is merger and acquisition . Eris has so far succeeded so well, it's because of the discipline. I like so many things -- for example, you mostly do brand on ly acquisition, not people - related acquisitions. But if you go at the same fast rate, as an investor, my fear always is whether that discipline will be there, or you will flow along with the speed?

Amit Bakshi : No. No, don't fear. It is limited fuel; you can't run beyond that. And again, I don't want to go to the past laurels that we have done this and that. We know that some things have to fall in place. But look at our history for so many years now. We have been quite prudent. There are a lot of guardrails within the system which will make us take prudent calls.
I can assure

you there's no excitement and there's no adrenaline, which comes in from acquisition. It's only when we think it's a prudent capital allocation policy, we think this is something which we can drive, that's the only time we get into it. I must also tell you , we have said ‘no’ more often than we have said ‘yes’.

Abhishek Chauhan: All right. Thank you. I think that puts a rest to my concerns.

Moderator: Thank you. The next question is from Prashant Nair from Ambit Capital.

Prashant Nair: Yes. Good evening. A couple of questions on Swiss Parenterals. Firstly, would you need to invest anything more into the business to achieve what you want over the next, say, 3 to 4 years? Or is the business by itself, as it stands, is currently capable of taking it forward? I'm talking about capital investment in the b usiness.

Amit Bakshi : Yes. I'll ask Naishadh to do the final stuff. But till this point of time, we might have to put in one more plant, which should happen in the next 2 years, with the capex of some Rs. 40 crores. How much?

Naishadh Shah: Between R s. 40 crores to R s. 60 crores.

Amit Bakshi : Rs. 40 crores and Rs. 60 crores. Naishadh, you take it from there.

Naishadh Shah: Yes. Thanks Prashant, for bringing up this question. The whole idea to join hands and to do this JV or partnership was that Eris gets a strong domestic injectable presence where they were not predominantly present and to utilize Swiss' IP or manufacturing facilities to the best available extent.
Well, although Swiss will continue doing its export business, there's no restriction on that. In fact, the idea is to grow that, but also help Eris to establish a domestic injectable play. I think for that, if there is a capex requirement, it will be somewhere within a bracket of Rs. 40 crores to Rs. 60 crores , which will be predominantly used for capacity building and maybe front-end.

Amit Bakshi : But Prashant, to answer your question, when we have planned for our capital resources for the next 4 years, we have consistently put a Rs. 50 crores to Rs. 100 crores kind of number in front -end to back -end, which is not necessarily going in Swiss. There are a couple of things which we are looking forward in Women's health and all those things. Side by side, keeping our back -end strong is something which we think is going to be very important in the coming times. So, we do keep that money. How much of that could be used, we don't have an answer now. But there's one plant which Naishadh is putting up just behind the present one, which should be over in 2 years' time.

Naishadh Shah: Yes.

Prashant Nair: Yes. Also, all the revenues, investment, etc, that accrue from Swiss Parenterals, whether it is in India or RoW, would be in the 51% held entity as in Swiss Parenterals? Or would the India business be run through the Eris ' P&L? How do you see that being structured?
Amit Bakshi : Very interesting question. Two parts of the answer. Whatever is general segment will all be done through Swiss. If there is anything which is in the specialty side, that will be done by Eris. The simple reason is we need field force. We can't put unlimited field force in Swiss. Swiss will do the large part of the business, which is like the hospital business, and Eri s might do the specialty piece. For example, Women's health, there is some amount of biotech here and there. That will be done by Eris. Rest everything, which is the largest ch unk, would be done in Swiss.
Prashant Nair: Ok. Just one last question. Naishadh, if you could just once again elaborate on the product portfolio. I just heard that you mentioned it's largely Anti-biotics, but I probably missed the rest of your answer at that time.
Naishadh Shah: Happy to answer that. If I have to bifurcat

e the portfolio, we have probably 11 lines of sterile products which we manufacture. The larger chunk of sales is coming from Anti-biotics.
But as you know, they're pretty price competitive. The other chunk would be coming from the general injectables, where we do have specialty products, but only export focused.
Now with this JV of sorts coming into picture, we will be utilizing Eris' strength in the domestic market, in the dom form market, to focus those strengths on these high -value molecules, with very high margins on them to go with the domestic formulation. So , it will be a basket of value versus volumes.
Amit Bakshi : Prashant, we'll send you the list across. We have the list of what all we are doing. We also have the list of the geographies. We'll send it along. But it's

a good mix of specialty and lyophilized, vial, liposomal, everything. As Naishadh told 11 lines, there's a PFS, there is an inhalation anaesthesia also there. So , it's a very good mixture of specialty and high -end Anti-biotics -- difficult to make Anti-biotics and that is the reason you see the margins being there from the last 4 -5 years since we have been kind of looking at numbers.
Prashant Nair: Yes. Thank you. That's it from me.
Moderator: Thank you. We have a question from Gagan Thareja from ASK Investment Managers. Please go ahead. Mr. Thareja your line is unmuted. Please go ahead. Mr. Gagan Thareja from ASK investment managers, can you please unmute and go ahead with your question. There is no response from Mr. Gagan Thareja's line. I'll now hand the conference over to Mr. V. Krishnakumar for closing comments. Over to you, sir.
V. Krishnakumar: Thank you. With a 14% consolidated revenue growth and 26% consolidated EBITDA growth for the first 9 months of this financial year, we are on track to meet our guidance of R s. 2,000 crores revenue, Rs. 700 crores EBITDA and Rs. 410 crores of profit after tax for the year. On the back of our established specialty presence and strong cash generation, we look forward to achieving Rs. 5,000 crores in revenue by the financial year FY29.
Towards this objective, we have several exciting initiatives underway. We also look forward to harness the growth opportunities that are available to us on account of our acquisition of 51% stake in Swiss Parenterals. We look forward to your support in th is journey. Thank you very much and have a good evening.
Amit Bakshi : Thank you.
Moderator: Thank you. Thank you, members of the management. Ladies and gentlemen, on behalf of Eris Lifesciences Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting.

This document has been revised to improve readability.

Call: Jun 2024

"Eris Lifesciences Limited
Q4 & FY24 Earnings Conference Call"

May 21, 2024

MANAGEMENT :

MR. AMIT BAKSHI , CHAIRMAN AND MANAGING DIRECTOR
MR. V. KRISHNAKUMAR , CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH, CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL , INVESTOR RELATIONS

Moderator : Ladies and gentlemen , good day, and welcome to the Q 4 and FY24 Earnings Conference Call of Eris Lifesciences Limited.
We have with us today on the call, Mr. Amit Bakshi - Chairman and Managing Director; and Mr. V. Krishnakumar - Chief Operating Officer and Executive Director.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded.
I now hand the conference over to Mr. V. Krishnakumar - Chief Operating Officer and Executive Director of the company. Thank you, and over to you, sir. Please go ahead.
V. Krishnakumar: Good afternoon and welcome to our Q4 and FY24 business update. Before we get into the quarter, this is a good time to recap the journey that we have been through over the last 24 months or so. It's been nothing short of transformative as far as our business and footprint are concerned .
It all began with the acquisition of Oaknet in May '22, followed by the acquisition of a suite of brands from Glenmark and Dr. Reddy's later that year. So, we p ut together a Dermatology franchise in FY23 .
Then in the financial year that went by, we picked up the Biocon Nephro and Derma businesses in the month of November followed by two very pivotal and strategic deals in Q4 which kind of go hand -in-hand with each other.
Firstly, the Swiss Parenterals Limited acquisition and the n the acquisition of the Biocon Injectable s business , which was announced in March and completed in April.

A total investment of more than Rs. 3,500 crores was made in the last 24 months , a big part of which has happened in the last few months . I will articulate more about this as we go ahead.
A quick update for all of you in terms of what we have started doing on the

Q4 deals. Obviously, these are still early days . We will come back to you with a detailed update post the completion of Q1.
We acquired Swiss Parenterals, which had a F Y23 revenue of Rs. 280 crores and a 27% EBITDA margin. The Eris equity stake in Swiss has been augmented to 70%. We have kick started the business integration . The Eris corporate team now oversees core business activities at Swiss.
Also, this is something that we had highlighted when we had shared the deal with you that we see a lot of manufacturing synergies between the Biocon portfolio and the Swiss manufacturing capabilities. Happy to share that we have initiated the manufacture of Biocon Injectable products at the Swiss units and this will ramp up. Swiss has an active R&D pipeline of more than 90 products. We are in the process of strengthening go -to-market activities including business development and regulatory. The other important initiative where we have already started work is to get the Eris Ahmedabad unit inspected by international regulatory authorities later this year. Because you might recall that we had spoken about initiating the export of oral solid dose forms as a completely new revenue line for the company , whereby we would leverage the manufacturing footprint at our Ahmedabad unit, and we would leverage the channel r elationships of Swiss Parenterals . The first step in that direction has been taken where we are preparing the groundwork to get the plant inspected later this year.
As far as the Biocon Injectable business is concerned, we completed the acquisition in early April. It has brought power brands like Basalog, Insugen , Biomab , Canma b, Ivnex , and Biopiper to our portfolio. The revenue run rate

at the time of acquisition was to the tune of Rs. 30 crores per month. This acquisition has resulted in a significant expansion of our covered market. W

e
see that our covered market has expanded by more than Rs. 15,000 crores because of this acquisition.
We have added four divisions, Insulin s, Critical Care, Oncology and Market Access. Insulin s, Critical Care and Oncology is something that we have spoken to you before. Market Access is a n interesting new revenue line that we have added. Market Access division is basically engaged in supplying the same suite of products to various Central and State government institutions. We have an active sales and marketing team of around 650 personnel, which includes 435 reps.
Another thing that we are very excited about is the kind of diversification that we were seeking in our therapeutic mix in the Domestic Formulations business, which is still the mainstay of the company , has now come about . If we look at March'22 versus April'24 on a MAT basis, roughly a two -year period, our top three therapies, which are Oral Anti-Diabetes, Cardiovascular and VMN accounted for 80% of our business back then. Now, the concentration of these three therapies has been reduced to 54% after accounting for the fact that these therapies have delivered a 11% CAGR over this time period . Our emerging therapies, notably, Derma, Insulin s, Women's Health, CNS, Oncology, Critical Care and N ephro, they now account for 40% of our business. We are happy with the way this has all come together and we believe that it sets a very good base for secular organic growth going forward.
Next, let us talk about the Q4 data from AWACS in terms of growth versus peers . The IPM growth for Q4 was 9.5% and Eris' growth was t o the tune of 14.5%. So, happy to share that Eris continues to outperform the IPM and also continue s to rank among the top 10 players by growth .

Moving on to the Q4 update in terms of primary numbers. Domestic Branded Formulations, our flagship segment, clocked a revenue of Rs. 480 crores in Q4 of this financial year. This accounted for 87% of our consolidated revenue for the quarter.
In terms of Q4 growth, the overall growth in Branded Formulations ' revenue

was 23% and the organic growth in Q4 was 15%. We expect to see a sustained 12 % to 14% organic growth in our Domestic Formulations revenue in FY25 as well.
For the full financial year, Domestic Branded Formulations clocked a revenue of slightly over Rs. 1,900 crores. It accounted for 95% of our consolidated revenue and th at implies a growth of 18% over last year. Again, we expect to see a 12 % to 14% organic growth in this business in the current financial year and I am also happy to share that Eris MJ closed the year with Rs. 4 6 crores of revenue in its second year of operations and an exit run rate of Rs. 5 crores per month.
Coming to Domestic Formulations EBITDA . The Q4 EBITDA of the segment was Rs. 130 crores. This represents a 27% margin and a growth of 8% over Q4 of last year. There was a decline of 180 bps in Q4 gross margin due to the evolving product mix. There are new items that have been added to the portfolio including the Bioco n segment that we have picked up in November. This product mix is expected to stabilize by the first half of this year.
For the full year, the EBITDA of the business segment was Rs. 656 crores , which represents a margin of 34% and an increase of 100 basis points over last year. This increase was driven by a couple of factors.
One is something that we have already recap ped to you on previous occasions, which is the successful integration of and significant margin improvement in our Derma segment from 27 % to 35% . The second driver is

a major reduction in the EBITDA burn from Eris MJ. It was a Rs. 20 crore s burn in FY23 which is at Rs. 8 crore s burn this financial year, and we were looking to get to breakeven in Q4 and we are more or less t

here. Q4 EBITDA
was around minus Rs. 1 crore.
We would like to share some clarifications on the Domestic Branded Formulations EBITDA. Starting with our reported formulations EBITDA of Rs. 656 crores for the year and Rs. 130 crores for the quarter , there were a couple of one-time non -recurring items , which we would like to call out. There is a bucket of Rs. 21 crores , which includes a few items, like donations, SAP implementation costs and deals related expenses. This aggregated to Rs. 21 crores in Q4 and hence for the financial year .
The second factor we would like to call out here is what we see as the excess Opex that we spent on the Ahmedabad plant. We have spent Rs. 30.5 crores as operating expenses for this plant which represents pretty much a fully loaded cost. However, the capacity utilization for the year was less than 2 0%. So, on a pro -rata basis, we have overspent here to the tune of Rs. 17 crores and this situation will get normalized by Q4 of this year. But after adjusting for these two anomalies in the numbers, the adjusted domestic formulation s EBITDA is Rs. 695 crores , which represents a margin of 36 %.
So, if there is one message that I would like to leave you with regarding the EBIDTA profile of the DBF business , it is that the fundamental characteristic and the fundamental margin profile of our Domestic Formulation segment is intact. It continues to be a 36% margin business.
Moving to the consolidated picture for the quarter and the year. Consolidated operating revenue for the quarter was Rs. 551 crores. This represents a growth of 37% and consolidated operating revenue for the year was Rs. 2,009 crores, which represents a growth of 19%.

Post-deal closing, Swiss Parenterals clocked a revenue of Rs. 55 crores, which is part of Q4 consolidated numbers. Q4 EBITDA stood at Rs. 148 crores with a 27% margin and 25% growth year -on-year. FY24 EBITDA stood at Rs. 675 crores with a 34% margin and 26% growth year -on-year. This implies a margin expansion of 174 bps.
Q4 PAT stood at around Rs. 80 crores with a 30% growth year -on-year and FY24 PAT stood at Rs. 397 crores, which implies a growth of 6%. This includes the impact of all acquisitions and non -recurring items.

Adjusted EBITDA for FY24 was Rs. 713 crores on a consolidated basis. This represents a 36% margin and a 33% growth year -on-year. Adjusted profit after tax for the year was Rs. 432 crores, which represents a 22% margin and a 16% growth year -on-year.

A little bit of clarification on the adjusted profit after tax. It really flows through from the adjustment that we spoke about in the EBITDA a couple of slides ago. There was an adjustment of Rs. 38.4 crores to the EBITDA because of non-recurring items. This flows through to PAT as well and the impact at the PAT level is Rs. 35.4 crores. The consolidated PAT is Rs. 397 on a reported basis and the adjusted PAT is Rs. 432.

Coming to the other important metrics for the year. We report one more year of strong Operating Cash Flow conversion. Our Operating Cash Flow to EBITDA for the year was 72%. Earnings per share reported for the year stood at Rs. 29, which represents a growth of 6% year -on-year and cash EPS, which excludes the effect of amortization, stood at Rs. 38, which is a growth of 14% for the year.

In-house manufacturing, which is basically at our Guwahati and Ahmedabad sites accounted for around 60% of Domestic Branded Formulations revenue this year. This is primarily on account of the evolving product / business mix.

Consolidated debt on our balance sheet as of 31st March stood at around Rs. 2,700 crores. We expect that this will reduce by Rs. 400 crores in this financial year from internal accruals on the back of our continued healthy opera

ting margin and s trong OCF conversion.

In terms of return on capital employed, you can see that it was at 34% in FY22 and then in FY23 and FY24 , the numbers stood at 20% and 11%, which were clearly driven by acquisitions where the g ross-block impact has come into the base instantly , Amortization impact has also com e in. But the integration, the margin improvement, the earnings growth - all those things, they take time, which is why when you look at the FY24 return on capital employed on an adjusted basis, it is a number of 19%. This adjust ment is based on full year proforma EBIT of FY24 acquisitions and it excludes the impact of M&A related amortization.

Moving on to the guidance for the current financial year. As mentioned earlier, we reiterate an organic revenue growth guidance of 12 % to 14% on our Domestic Formulations base business of FY24 and we expect to maintain a Domestic Formulations EBITDA margin of 36%.

On Swiss Parenterals and the most recent Biocon Injectables acquisition, we will share the FY25 revenue and EBITDA guidance post completion of Q1. We are in the process of putting things together. We have good visibility of more than 20 first -in-market launches through our own R&D pipeline.

When we spoke to you last time, we spoke about the benefits that are to be gained by insourcing the manufacturing of some of the Biocon products, whether it is Insulin s or Oncology or Hormones. In order to achieve the insourcing, we are looking to set up these manufacturing blocks at our Ahmedabad facility and we estimate that we will have a capex o f Rs. 70 to 80 crores around the same.

In terms of key considerations for the financial year, again, we have depreciation to the tune of Rs. 60 crores, amortization to the tune of Rs. 225 crores . Interest expense, we estimate around Rs. 240 crores.

As articulated on numerous occasions, we will continue paying cash tax at the MAT rate of 17%. We have an accumulated MAT credit of around Rs. 460 crores as of 31st March. We will progressively leverage the accumulated MAT credit over the next few years because of which Operating Cash Flow is expected to be maintained at 70 % to 75% of EBITDA.

Debt reduction continues to be a very important strategic priority for us. The proforma EBITDA of FY24 of all the acquired businesses is more than Rs. 850 crores. On this basis and looking at an outstanding debt of around Rs.

3,000 crores, we are at a Debt to EBITDA ratio of 3.5 x now and our priority is to reduce this to less than 2x in the next 18 months.
Towards this, we expect Rs. 400 crores of repayment through internal accruals this year and Rs. 600 crores of repayment through internal accruals in the next financial year. So, by the end of next financial year, we will be at a ratio of around 1.5 x, which is something that we believe is a comfortable place to be in.
This concludes the presentation for this quarter. Now, we move on to Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Gagan Thareja from ASK Investment Managers . Please go ahead.
Gagan Thareja: I think you put out a filing on the stock exchange indicating that you intend to do a fund raise . Can you give us some idea of the magnitude of the fundraise and in what form you intend to do this and by what time?

Sachin Shah: We intend to raise N CDs of around Rs. 1,250 crores and repay the CPs which are due in first or second week of June .
Gagan Thareja: Is it also possible for you to apprise us of how the acquired brands from Reddy's and Glenmark have done for you this year ? What are your strategies or thought processes to scale these businesses and likewise for the other acquired entities

also if you could apprise us of what are your aspirations perhaps if not on a short one -year frame, but perhaps on a three -year frame and also give us your thoughts on the profitability matrices of these businesses going ahead ?
Amit Bakshi: Hi, Gagan . Amit here. Gagan, look , Dermatology is clearly emerging as our fourth largest therapy now . Typically , we were strong in Diabetes, Cardiovascular and VMN . These were three categories which used to be very dominant.
We are looking at Dermatology to now become our fourth largest therapy. If I am not wrong, we are already featuring in the top 10 in Dermatology. There is some movement , noise in the data of the AWACS which happens when you kind of buy brands from outside.
I am seeing a very good traction between Dermatology and Cosmetology. We are still doing better in Dermatology. Glenmark brand s were largely in Dermatology. That is one area where we are seeing a high -teens kind of growth. The Cosmetology piece hasn't done as well as the Derma piece. But I think we are learning the ropes there. Dermatology is a very large business - between Dermatology and Cosmetology, the clinical Dermatology is panning out well for us. We aspire to be one of the top 5 in Dermatology. It is a big ask, not a very big ask, it is a decent ask. But we think we have the wherewithal to achieve that. Because inside if you look at the major brands, our major brands are showing much bigger growth than the overall growth of

the business. That gives me a lot of confidence. I can tell you for sure that Dermatology will be one of our larg e plays .
Gagan Thareja: Is it possible to give us the numbers for Oaknet, Glenmark acquired and Reddy's acquired brands for FY24 , both top line and margins , if possible?
Amit Bakshi: Margins we know. Oaknet margins are almost at the company level margins. I can safely tell you the margins are at around 35%. If you look at the AWACS data, it is all over the place. That is reporting a triple digit kind of a number . Kruti, am I right?
Kruti Raval: Yes.
Amit Bakshi: In most of the brands. It went down and then it came up. But what I can tell you is, we see a healthy te en, higher teen growth in the next 2 years when it comes to our large brands.
Gagan Thareja: For the primary sales, I mean secondary sales might, as you say, be all over the place. But for the primary sales that you would report in your own income statement , what would be ...
Kruti Raval: All these pieces are now part of the DB F business and disclosing each brand

or each therapy separately is not a part of our guidance. You will have to go by the secondary numbers as far as each brand or each therapy is concerned.

Gagan Thareja: For the MJ Biopharm piece, how is that working out in terms of monthly sales numbers and are you at a breakeven on that business now or what are the margins looking like there?

Amit Bakshi: Yes, Gagan, we told you in the presentation that in Q4 we are almost at breakeven . The loss was limited to Rs. 1 crore for a quarter. We are up there now and we are run -rating at Rs. 60 crores. But you will have to wait for this

business because we are having two businesses in Insulin now. There is one large piece which has come from Biocon and then there is a n MJ piece. I will tell you after the first quarter how do we manage both these brands . Right now we are managing both the brands within the company . But you need to give me one quarter to make it more clear.

Largely , the large portion of the growth will be driven by the Biocon brands because they are very large size brands . Basalog being Rs. 100 crore s and Insugen being Rs. 100 crore s, large availability across the country. So , both brands have a lot of juice.

Gagan Thareja:

Also, could you perhaps clarify ? I think Mankind also has an in -licensing arrangement with Biocon for Glargine if I understand it correctly and obviously , you will be up against their fairly comprehensive distribution. In addition to that, my understanding is that with Dapag liflozin and Gliptin all now becoming generic, price points are lower, and penetration is much higher volume wise and they tend to sort of delay the onset of Insulin usage. So, between these two, do you see these two in some way sort of the challenges that you might have to face in growing your own Insulin business ?

Amit Bakshi: There is no science which says that these products will replace Insulin at any given point of time. Secondly, Insulin initiation in India has been very , very poor when compared to any of the western countries . That option has been very, very poor.

Even when we talk about developed countries like U .S. where the products have been available for a pretty long time, we really don't see a challenge for Insulin. So, Insulin markets in India are still very , very underp enetrated . When you look at the science, it actually doesn't at any point of time say that these OHAs ’ would substitute for Insulin. So, we don't find the Insulin market going down at any point of time.

Gagan Thareja: From a competitive standpoint, how do you see the market with Mankind also entering this business?

Amit Bakshi: We want to believe we are good at Diabetes then we are good at Insulin s. Insulin is a little bit more concentrated form in Diabetes. We believe we are good and up till this point of time, our two years of journey have actually been quite reasonably very good. Let's see where it goes from here.

Moderator: Thank you. The next question is from the line of Neelam Punjabi from Perpetuity. Please go ahead.

Neelam Punjabi: My first question is on the Swiss Parenterals portfolio. Have we launched anything from that portfolio in our Domestic Formulation segment?

Amit Bakshi: Yes, we have already. The idea was when we bought the Critical Care piece from Biocon, we wanted that to be shifted first to Swiss and then launch new products. I think that cycle has started and we believe by the end of this quarter, a large percentage, almost 60% of that portfolio should be manufactured with Swiss and there should be four to five new brands which should be launched manufactured by Swiss. So, that plan is on track.

Neelam Punjabi: Secondly, my question was on the net debt figures . So, Rs. 2,700 crores by 31st March 2024 that you all mentioned, that includes the potential pay -out for the Biocon acquisition, right?

V. Krishnakumar : Yes, just to clarify . The Biocon acquisition pay -out was completely factored into that and the Rs. 2,700 crores was as of 31st March , but for all practical purposes, we gave the debt figure at Rs. 3,000 because the Swiss Parenterals' augmentation of Eris' stakes from 51 % to 70%, that resulted in the debt figure going up to Rs. 3,000, but that happened in the month of April. While 31st March is 2 ,700, our starting point for the debt is 3 ,000 and this includes everything, nothing has been left out.

Moderator: Thank you. The next question is from the line of Harith Ahamed from Avend us Spark . Please go ahead.

Harith Ahamed: In one of your slides, you had called out a Rs. 21 crores non-recurring item in 4Q. I missed the details around that. Can you clarify that?

V. Krishnakumar : Harit h, is your question about the Rs. 21 crores non-recurring item?

Harith Ahamed: Yes.

V. Krishnakumar : As articulated earlier, this was a combination of factors including SAP implementation costs which is a one -time expense, deal related expense for the deals that we consummated in Q4 and some donation whi

ch is again of a one -time expense .

Harith Ahamed: You mentioned that the organic growth for the Branded Formulation business for the quarter is around 15 %. The adjustment that you have done to arrive at this would be the sales from Swiss Parenterals and the D erma, Nephro business from Biocon. Is that correct understanding?

V. Krishnakumar : Yes, this is on a like -to-like base. Whatever was part of the business in Q4 of last year, that forms the base. Clearly there is no Swiss Parenterals. There is no Biocon because these businesses were not with us then. In fact, even the Dr. Reddy's is not part of this. This only includes what was there with us in the Q4 of last year.

Harith Ahamed: Even if I ad just for the one-off, there has been a non -recurring item that you called out of Rs. 21 crores. There has been a decline sequentially in our margins for 4Q versus the first three quarters in FY24 . How should we think about this decline sequentially?

V. Krishnakumar : If we look at the quarter -on-quarter growth then I think the Q4 of last year versus Q4 of this year, the EBITDA margin growth is significantly good , right?

The growth is more than 30%. If you look at the legacy pattern, the data of the last two years also, you have seen that Q4 is a bit of a smallish quarter for the Domestic Formulation business. Q 2 and Q3 are the largest quarters . Most of the year is actually made in these quarters. Rather than looking at the Q4 margin on a sequential quarter basis, I would ask you to look at it on a year -on-year basis , which is more representative.

Moderator: Thank you. The next question is from the line of Rahul Jeewani from IIFL Securities. Please go ahead.

Rahul Jeewani: Sir, on this organic growth of 15%, which we called out for Q4, can you similarly call out the organic growth for the full fiscal year '24?

V. Krishnakumar : I think it would be to the tune of 9% to 10 %. Somewhere in that range.

Rahul Jeewani: We have started seeing some sort of a pickup happening in the Chronic segment recently with growth pickup in both Cardiac and Diabetes, which is where we seem to have benefited as far as organic growth during the quarter is concerned. Do you think that this momentum would sustain going into FY25 as well and that gives you confidence to deliver this 12 % to 14% organic growth going forward?

Amit Bakshi: Rahul , what you are saying is right. But also remember what happens when bigger brands sit on the portfolio. You don't actually integrate the bigger brands. There is some loss which happens when you don't get people. Then there is some loss which happens at the smaller brand level also.

For Dermatology, if the same division has got a large 30, 40 crore brand, then what happens? 3, 5, 6 crore brand s start getting into a little pressure on promotion there. From P1, P2, they get shifted to P4, P5.

While what you are saying at a larger level is right, but what is playing out is the time which we have spent and the promotion period which gets changed

and then gets stabilized. Two factors together . I will give the second factor a little more weightage, but this is how it plays out and that is why you are seeing the whole growth coming back.
Rahul Jeewani: On this debt reduction target of 400 crore and 600 crore for the next two years, what would be the key variables to track for the debt reduction which you are planning?
V. Krishnakumar : Rahul, it's starting with EBITDA, operating cash conversion, which we are reasonably confident will be in the 70 % to 75 % range. Then after that, we have called out a capex of Rs. 70 to 80 crores per annum and we have set this year Rs. 240 crores for the interest charge . Whatever is left after that goes towards debt re payment . These are t

he key variables.
Rahul Jeewani: This 70 , 80 crores capex which we are targeting for FY25, then ideally this number should come down next year, given that most of our capacity expansion plans would largely be over.
V. Krishnakumar : It all depends on how the next three units span out because we told you that we want to take the Biocon Injectables portfolio in-house, which has multiple components. One component is General Injectables, which is already gone into Swiss. Then you have Insulin, which is a specialized piece . You have Oncology . Then we have some Hormones. In order to bring these in -house, we have to create capacity in Ahmedabad . These are all units which require containment, and they are kind of different units. That is why we have called out a capex in '25 and '26. That is all that is there on the horizon for now.
Amit Bakshi : Rahul, if you look at the wheel, the therapy mix, while the newer therap ies look little smaller at this point of time, but if you look at the order of the portfolio, there is a lot of evolution happening there. Insulins, Nephrology, Cancer, these are three large markets and these three are the highest

growing markets also. Not Insulin, say Cancer, Oncology is growing by 17 - 18%, and Nephrology has also been growing at that level.
If you look at the whole wheel and you look at the newer addition s, the newer addition, also the Immunology piece which we put in Dermatology, but that is where the nibs are kind of taking up and we are seeing almost 100% growth in that category. It makes a lot of sense for us to put these things together because the margin delta which you achieve by getting a Glimepiride metformin from a third party to in -house manufacturing is very small when compared to these products.
We would like to believe that these are therapies which will become bigger, which will always have some amount of barrier where not everybody will be able to enter, are the therapies which will become very large.
Our manufacturing plant, as I told you in the past years also, that we are now becoming a little more of a product company. You will see the investment in the production keep on coming here and there.
Rahul Jeewani: Last question from my end before I join back the queue. Can you talk about your rep expansion plans as far as the organic business is concerned and what is the current productivity of the organic business?
Amit Bakshi: The productivity at this point of time without Biocon is 5.2, 5.3, right? When we integrate everything, it will go closer to 6. Because Rahul, this Oncology , these portfolios generally have a very high productivity. We have no plan for organic addition at this point of time because almost 600 people have come in, in the last year. We must integrate them and get productivity up. I don't see any expansion, significant expansion even in the organic.
Moderator: Thank you. The next question is from the line of Prashant Nair from Ambit Capital. Please go ahead.

Prashant Nair: Two questions. Firstly, a couple of quarters back, you had outlined a few products that you were working on internally as part of your R&D program.

Can you provide an update on how many of those you have launched in this fiscal and what is the pipeline for the next year?

Amit Bakshi: Yes. This fiscal, we have launched two products. We launched them in February, I think, in March. One of them is a combination of Gliclazide with Sitagliptin . We are waiting for the third triple drug approval; we need to do one more BE for that. That is in the process.

We have got another marketing authorization for the product , which is Dapagliflozin and Metoprolol . We see this as a very good drug for post -MI and for diabetic patients with CKD. That is one

thing which the MA has already come. We are waiting for the final licenses. The next product which is in line is Dapagliflozin with Bisoprolol . That goes more into heart failure . These three are something which we think we should be able to launch in Q1 and then , the Q2 is a little silent. Q3 will then pick up very well.

Prashant Nair: The second question is, so now you have had some time in the market with the Diabetes products that have gone off patent. Vilda, Dapa, Sitagliptin , Linagliptin , also Sacubitril -Valsartan. Could you provide a sense of where you are in these products currently in terms of ranking? After this period of time in the market?

Amit Bakshi: I won't remember all of them. We will have to come back to you. The largest market has become the triple drug market Sitagliptin . Sorry, Dapa with Sita. That has become the largest market and there I think we rank number 3 and number 4 respectively for double drug and triple drug . Sacubitril -Valsartan , Zayo I am not happy with the way we have performed . We are kind of ramping it up. That's something where w e have kind of not done well.

But Diabetes continues to do well. What we have done not exceptionally , but quite well is on the Linagliptin part. I think Linagliptin after the innovators, we are right up there. Linagliptin has worked us very well. Dapa combinations have worked very well for us. Sita, we didn't have a great start, but it picked up in between. I think we are now number three or number four. Vilda , we continue to be number one in the generic space.

That's how it's kind of stacked up, but we will be happy to provide you the latest numbers . We have not presented that data, but we ranked number two in overall value of new product launch. In MAT April data, we were ranked number two in overall new products launch.

Kruti Raval: If there are no more questions, can we close now?

Moderator: Yes, ma'am. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. V. Krishnakumar for closing comments. Over to you, sir.

V. Krishnakumar: In closing, we recorded a consolidated operating revenue of Rs. 2,009 crore rupees in FY24. Our consolidated EBITDA and PAT for the year were in line after adjusting for one -off on exceptional items. We clocked a 15% organic growth in our Domestic Branded Formulation business in Q4. With a significantly diversified therapy mix, we are well positioned to deliver a Domestic Formulation s organic growth of 12% to 15% in FY25 as well. Deleverag ing our balance sheet continues to be a priority and we expect to get to a de bt-to-EBITDA ratio of less than 2x by the end of September ’25 starting with a repayment of Rs. 400 crores from internal accruals this financial year. Thank you all and have a good evening.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Eris Lifesciences Limited , that concludes this conference. Thank you for joining us , and you may now exit the meeting.

This document has been revised to improve readability.

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“Eris Lifes ciences Limited
Q1 FY25 Earnings Conference Call ”

August 02, 202 4

MANAGEMENT :

MR. AMIT BAKSHI , CHAIRMAN AND MANAGING DIRECTOR
MR. V. KRISHNAKUMAR , CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH, CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL , INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of Eris Lifesciences Limited.
We have with us on the call today , Mr. Amit Bakshi - Chairman and Managing Director; Mr. V. Krishnakumar - Chief Operating Officer and Executive Director; Mr. Sachin Shah - Chief Financial Officer; and Ms. Kruti Raval – Head , Investor Relations.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note this call is being recorded.
I now hand the conference over to Mr. V. Krishnakumar - Chief Operating Officer and Executive Director of the Company. Thank you, and over to you, sir.
V. Krishnakumar : Good evening, everybody, and welcome to our Q1 conference call. Before we dive into the details, it is useful to take a couple of minutes to articulate how we think about our business and how the business is structured , since there has been a lot of change in the last few months. This also gives you a sense of how this presentation is organized. We have two strategic business units. One is Domestic Branded Formulations or DBF, which accounted for 90% of our Q1 revenue and then we have Swiss Parenterals, which is our exports focused business which accounts for 10% of Q1 revenue.
Now, within Domestic Branded Formulations, we are calling out two separate pieces, the Base business and the Biocon business. The Base business consists of everything that's been amalgamated, including all the Derma piece s and everything which is fully integrated and part of Eris. The Biocon business is being structured into Biocon -1 and Biocon -2. Biocon -1 is the portion that we acquired in November '23 and Biocon -2 is the portion that was acquired most recently in early April.

We are calling out these various segments in this presentation and are giving you a lot of color about how the Biocon 1st piece and the Biocon -2 piece have done in Q1, and we are also giving you a sense of how we expect these segments to perform through the year. It is probably useful to let you know at this stage that now we will revisit these pieces in Q4. Once we set out a guidance on how we expect them to perform, we'll come back to you in Q4 and tell you how they've performed vis-à-vis the expectations. But we won't necessarily be calling out this level of detail on these segments every quarter.
With that context, let's move ahead. We start with the base business. Happy to share with you that Eris now ranks among the Top 20 companies in the market. Just as a reminder, we went public in 2017 and at that time, we were ranked 29. So , the company has gained nine ranks since the IPO. Today, we have five brands with more than Rs. 100 crores of revenue. This includes Basalog and Insugen and we have 12 brands with revenues of Rs. 50 to Rs. 100 crores.
In terms of Q1, as per the AWACS report, our covered market grew at 8.1%, and we beat the covered market by 460 bps. So 12.7% is where we landed for Q1. Four out of six therapies saw market -beating growth. Oral Anti-Diabetes market share inch ed towards 6% with very good growth in all our big brands. Also, in terms of new product launch and scale up, we ranked number third in the market in terms of count and value for new products.
Moving on to the financial highlights for the Base business. We had an organic revenue growth of 10% in Q1. The gross margin in Q1 was 86%, which is up by nearly 300 basis points on a year -on-year basis. The EBITDA margin for Q1 was at 39%, which is up by 185 bps on a year -on-year basis. This was again due to a mix of productivity gain s, gross margin improvement and better fixed cost leverage.
It's als

o worthy calling out that our Derma portfolio gross margin was up 400 bps in 80%. You might recall that we told you that we started manufacturing

the Derma products in -house from January. This is s ome of that getting reflected. Fixed costs as a percentage of revenue are up by 97 bps year -on-year. (Pls note, in the call, this was erroneously read as “Fixed costs as a percentage of revenue are down by 97 bps year -on-year.”)
In terms of guidance for the year, we are looking at an organic revenue growth of 12 -14% with an EBITDA margin of 37%. This is for the base business.
Now moving to the Biocon -1 business segment. We saw a v ery strong start to business integration. This is a portfolio that we had acquired in November 2023 , Dermatology and Nephrology . It has been about six to seven months since acquisition. This portfolio clo cked a Q1 revenue growth of 16%, with a 40% growth being seen in the top seven power brands in both Derma and Nephro. The piece has a Q1 YPM of close to Rs. 7.5 lakhs. The teams are settled down. They are all well integrated. We augmented the Derma team to around 80 reps.
The gross margin for this segment has improved by 1,500 basis points in Q1. You might recall that at the time of acquiring, we had a 50% GC which is now at 65%, and we expect further upside. The Q1 EBITDA margin for this piece was at 39% versus 19% at the time of acquisition. Again a 2,000 bps gain in just six months to seven months from acquisition. In terms of guidance for the year, we are looking at a Rs. 125 crores revenue, which is a 25% growth on the acquired base with an EBITDA margin of 36%, which is up by 1,700 bps from the acquired base.

Moving forward to the second Biocon segment which was acquired in early April. This segment has Insulin, Oncology and Critical Care. Again, integrated well ahead of schedule. We saw a 13% revenue growth in Q1 with a YPM of close to Rs. 8 lakh s. Basalog and Insugen – very strong early traction. We now have t wo more Rs. 100 crores brands in the kitty. In Onco

and Critical Care, we have lined up a lot of new product launches. Swiss is manufacturing a good portion of the Critical Care portfolio.

In terms of gross margin and EBITDA margin, the Q1 numbers represent what we acquired the business at. So , 40% gross margin and 19% EBITDA margin is what the business came with, and that is where it is at the end of Q1. We expect a further upside of up to 1,000 bps in gross margin, driven by sourcing initiatives and in tandem with that an expected improvement in EBITDA margin as well.

In terms of outlook for the year, we are looking at Basalog and Insugen to do a combined revenue of R s. 280 crores, which represents a 40% growth over the acquired base. If I add the Xsulin and Xglar, which are our homegrown Insulin products, our Insulin franchise for this year should land at about R s. 340 crores to Rs. 350 crores. For the Biocon -2 segment, we expect a revenue of around R s. 460 crores in FY25 , which represents a 28% growth on the acquired base with an EBITDA margin of 28% which is an improvement of 900 bps from the acquired base.

This is the Domestic Branded Formulations Q1 financial summary. All three segments put together clocked a revenue of R s. 632 crores for the quarter, which is close to a 40% growth. EBITDA stood at Rs. 225 crores for the quarter. The EBITDA margin stood at 36% for the quarter, it was 39% excluding Biocon with a YPM of close to R s. 5.7 lakhs.

Dissecting this further, we now give you the P&L for the DBF segment. Same set of headline numbers as the previous slide , but the thing that really stands out here which we are happy to share is that the fixed cost synergies from integration have really started coming in. We saw a gross margin reductio

n

of close to 600 bps in Q1 because of a change in product mix - Biocon coming in - but we also saw a reduction of around 450 bps in fixed costs (as a percentage of sales) leading to a Q1 EBITDA margin dip of only around 140 bps. In terms of guidance for the year, we're looking at a total Domestic

Formulations revenue of Rs. 2,600 plus crores with an EBITDA margin of 36%.

There is something we would like to call out the way the DBF business has evolved . It has evolved from a “Specialty ” business to a “Specialty plus Super-specialty ” business. The addition of segments like Critical Care, Oncology and Nephrology, these are Super-specialty segments which are still growing at 10% -plus volume growth per annum. We are also happy about the fact that despite nearly doubling in size , this is still predominantly a Chronic / Sub-chronic business for more than 85% of the turnover. This is something that results in significant headroom for growth going forward.

Moving on to Swiss Parenterals Q1 financials . Revenue of R s. 73 crores with an EDITDA of R s. 26 crores. In terms of guidance for the year, we are looking at a revenue of Rs. 330 crores with an EBITDA of R s. 115 crores, which represents a top -line growth of around 14% and an EBITDA growth of around 30%. A lot of building blocks being have been put in place, new regulatory inspections and qualifications are taking place , and we continue to expand the product pipeline. They have an order book of nearly Rs. 130 crores for

delivery this year . Looking good as of now.
Now we move on to the consolidated P&L for the quarter . Total revenue of Rs. 720 crores, which represents a 54% growth. Again, Q1 margin movement at a consolidated level also reflects the fixed cost synergies. At a gross margin level, we are at 75%, which is down more than 800 bps, again due to business mix and product mix. But at the EBITDA margin level, we are down only 164 bps because fixed expenses as a percentage of revenue are down by more than 660 bps.
Q1 EBITDA of Rs. 250 crores consolidated, which represents a growth of 47%. Book tax rate has increased, as guided. We continue to pay cash tax at 17%. Also we have taken the full impact of all Amort and depreciation and finance costs in Q1. The Q1 PAT of Rs. 89 crores reflect all this cumulative

impact. Cash flow from operations for the quarter was at 70% of EBITDA. At a cash EPS level, we saw a growth of 10% and net debt as of 30th June stood at Rs. 2,700 -plus crores.
We'd like to share an update in terms of an acquisition of an approved LL site. LL stands for Loan License manufacturing. This is a site in Bhopal, which was built to Biocon quality specs – a very, very good quality fill -finish facility for Insulins . It was designed as a broad -spectrum Biosimilar fill -finish facility to handle a wide range of Biosimilar products. They have capacity which is operational for liquid vials, and we will also look to add cartridges and pre -filled syringes . It has attractive fiscal benefits under Section 115BAB.
Now, if you look at our thesis for this, we look at it from two perspective s. One is that this site is a key stepping stone to realize our Biotech vision. In a lot of ways, we are looking at this site to be a Biotech Hub for Eris with injectable manufacturing capability across a wide range of presentations, which is vials, cartridges and PFS, and across a wide range of product categories , namely Insulins, Analog ues, GLP1s, MABs and so on.
The second point is that this site really enables us to get GLP -ready, because an approved fill -finish site is the most critical component of the last mile in building competitive advantage for a scalable and profitable GLP play. In the GLP business, having a cartridge filling line of

this caliber is probably the
most valuable asset that one can have today.
We have a lot of plans for the site in terms of where it can potentially take us.
Now i n terms of the “Buy” versus “Build” rationale, we see that this site has reduced at least two years for us in terms of time to market compared to setting up a greenfield operation. We will immediately realize a margin improvement in our Insulin segment, which has significant scale now a revenue base of Rs. 340 crores to Rs. 350 crores is the outlook we have given for the year. We see that as soon as we move to the site, we will see

a margin bump of at least 1,000 bps. So in many ways this acquisition really sets the stage for our large molecules play.
Putting it all together, what does the year look like? We are looking at a DBF revenue of Rs. 2,600 crores with an EBITDA margin of 36%. This is how it breaks up between the organic piece and Biocon. At a consol level, we are looking at a revenue of R s. 3,000 -plus crores with an EBITDA margin of 35%.
In terms of capital expenditure for the year, the site acquisition will cost Rs. 105 crores and we envisage an additional capex of Rs. 100 crores to R s. 120 crores on the various Biotech segments that we spoke about. These numbers factor in everything as laid out in terms of Depri, Amort, Interest costs, Cash tax rate and Operating cash flow ratio.

We remain committed to rebuilding balance sheet strength. This is the balance sheet strategy that we had shared with you at the end of the last financial year that we would want to reduce the Debt to EBITDA ratio to less than 2x in 18 months. So, we are on track. By the end of fiscal '25, Net Debt of Rs. 2,600 crores or slightly below and by fiscal '26, Net Debt of around R s. 2,000 crores, that is where we see us going.

In closing, I will call out our five strategic priorities for the year. In the base business , we are looking at a 12 -14% organic growth with an EBITDA margin of 37%. In the Biocon business , we are looking at an overall revenue growth of 27% with a margin expansion of close to 1,000 bps. With Swiss Parenterals , we are looking to deliver a revenue of Rs. 330 crores with a 35% EBITDA margin. More importantly, build the base for accelerated growth in export markets as well as oral solid exports . We are looking to rebuild balance sheet strength as per our guidance and really take tangible next steps in terms of our large molecule play in terms of both manufacturing capability and product basket.

That brings us to the end of this presentation. Thank you.

Moderator: We'll take our first question from Dhruv Maheshwari from Perpetuity Ventures LLP. Please go ahead.

Dhruv Maheshwari: Hi. Thank you for the opportunity. I have a few questions. The first one is regarding the Cardiac portfolio, which has been constantly underperforming the IPM since the last few years. This trend has also continued for this year as well. If you can highlight the reason behind it and what are the initiatives being taken to get this segment back on track? My numbers are according to the IQVIA database.

Amit Bakshi: Yes. You are right. Even in AWAC S, the data kind of looks similar . But if I remember correctly, in June we had come very close to the market. We were still behind, but I think 100 -150 basis points. The basic reason, if you go into the detail, is Zayo. This was Sacubitril -Valsartan, which we launched, which actually got to a Rs. 5 crores monthly run rate and when the generalization happened and we actually ran short of stocks, so we couldn't service the market ; 3-4 months before the LOE happened. That is the loss which we created and which we have not been able to get back.

Primarily coming from one brand, which is Zayo ; reflection of Zayo now is m

ore like R s. 1.5 crores per month from a peak of R s. 5 crores. That's something which has hit us. But I am quite ok to say that from next quarter onwards, we would be hitting the market numbers and third quarter onwards, you will see us getting ahead of it. Primar y two reasons.

One is , we have got two of our products which have been approved, which you remember we told from our R&D basket. One is Dapagliflozin and Metoprolol, which has already been approved. We will be launching next month. The second is Dapagliflozin with Bisoprolol, which also has been approved. We should be launching it in the next month or the next month after that . So Q2 will see two solid launches in Cardiology, especially heart failure. So that's the plan from a Cardiology point of view.

Dhruv Maheshwari: Got it. The next one is regarding the D &A. During Q4 FY24, the guidance was about Rs. 285 crores for FY25, which has been revised to R s. 305 crores. What makes majority of the difference between these two numbers?

Dhruv Maheshwari: Depreciation. Yes. It was revised from R s. 285 crores to R s. 305 crores within this presentation?

V. Krishnakumar : Yes. What we put out in Q4 were estimates. Now what we have taken is the

actual Depri and Amort that has come in Q1, we have just annualized it and
given you the kind of what the year is looking like. It was basically an estimate
versus the actual accrual. Nothing major in this.
Dhruv Maheshwari: Got it. These were the two questions I had. Thank you.
Moderator: The next question is from Kunal Dhamesha from Macquarie. Please go
ahead.
Kunal Dhamesha: Thank you for the opportunity. If you can help me understand the clean base
of FY24 for our base business in terms of revenue and EBITDA, on which
we have provided guidance of revenue growth of 1 2-14% and EBITDA
margin of 37%, that would be great.
V. Krishnakumar : Kunal, the clean base is around Rs. 1,850 crores.
Kunal Dhamesha: Rs. 1,850 crores revenue, and EBITDA?
V. Krishnakumar : The base business EBITDA that we've given you, which was 37% last year.
Amit Bakshi: Why don't you check in the...
V. Krishnakumar : It's there in the chart.
Amit Bakshi: It's there in the chart.
V. Krishnakumar : Base business of 37%.
Kunal Dhamesha: So, 37% margin stays the same.

V. Krishnakumar : It's there on the Slide 7. Base business EBITDA of 37%. That's our reference
point.
Amit Bakshi: Which is Q1, or he's asking for the entire year?
V. Krishnakumar : Q1 was around about in the similar range.
Kunal Dhamesha: This is Q1 '24, right? I am asking about the full year FY24, sir.
Amit Bakshi: Kunal, let us kind of get this number and give it to you. It will be in that vicinity
what KK is saying.
V. Krishnakumar : Yes, but if you're looking at the basis point level kind of clarity, we can get
back to you. The revenue is in the range of R s. 1,850 crores.
Kunal Dhamesha: I'm just asking from a perspective as to what kind of EBITDA margin
improvement for the base business that we are baking in on a year -on-year
basis and then what would drive that? Since we are expecting strong growth
of 12 -14%, I naturally assume that there will be some gains on productivity,
etc., for the base business, right. Then that should also translate to the
improvement in margins?
V. Krishnakumar : Yes, very fair. We have called out 37% margin for the base business in FY25.
You're saying what is the equivalent number in FY24 . We'll come back to you
with the exact number. I think margin expansion will be a combination of the
three levers that we called out in Q1, which is productivity gains, gross
margin and fixed cost synergies.
Amit Bakshi: Yes, Kunal, you're right. It should happen. But at this point of time, we are
happy to call it at 37%.

Wait a while to see how it kind of comes up.
Kunal Dhamesha: This 1,850 - sorry to harp on this. R s. 1,850 crores include s Oaknet or
anything that we have bought one year before, right?
V. Krishnakumar : Yes. It includes the Oaknet, Glenmark, Reddy's, but it does not include any
Biocon.

Kunal Dhamesha: It does not include Biocon. The Swiss Parenterals revenue for this quarter is
entirely exports?
Moderator: I'm sorry, your voice is breaking, sir. Mr. Dhamesha?
Kunal Dhamesha: I'm saying that the Swiss Parenterals revenue, is it all exports in this quarter?
V. Krishnakumar : Yes, Kunal, whatever we have shared with you, R s. 73 crores, that's all
export s.
Kunal Dhamesha: Ok. When we say that we have started some Critical Care products, etc., that

would have been included in our DBF revenue, Domestic Business Revenue.
V. Krishnakumar : Yes. T he sale is included in Domestic Branded Formulation s and any intercompany is eliminated when we do the consolidation. Whatever you see, Rs. 73 crores in Swiss is clean revenue.
Kunal Dhamesha: Ok. Perfect.
Sachin Shah: Kunal. Hi, Sachin here. The standalone revenue of Swiss is R s. 92 crores. But what we have shown is R s. 73 crores. It is after elimination of intercompany transactions. There is only one counting which is sold forward by Eris. So Swiss sells to Eris, Eris sells forward.
Kunal Dhamesha: In domestic business. In the international business, the same whatever Swiss had business model that continues.
Sachin Shah : Yes.
Kunal Dhamesha: Ok. Perfect. At the end of quarter one, what would have been our MR strength? How should we look that over this year or maybe coming one or two years?
V. Krishnakumar : Kunal, our DBF MR strength is close to 3,700 -plus now. More than 560 reps added through the two Biocon deals. That's where we stand right now.

Amit Bakshi: We don't have any plans, Kunal, as of now to increase the headcounts for this year. Next year, of course, the re would be plan s. This year, we are looking to consolidate.
Kunal Dhamesha: Sure. This includes the first -line business managers ?
Amit Bakshi: No, these are representatives.
Kunal Dhamesha: Ok. Shall I add 10% more to that?
Amit Bakshi: That number will be bigger, Kunal. We'll get to you. B ut because we talk YPM, so we generally give the representative number.
Kunal Dhamesha: On the MR?
Amit Bakshi: On the M R.
Kunal Dhamesha: Ok. But my understanding is that ABM is also generally on the field only, right?
Amit Bakshi: Yes, of course, they're on the field. There are other managers also in the field. But YPM is derived from the representatives. The general practice is to get the MR number.
Kunal Dhamesha: Sure, sure. I have more question s. I'll join back the queue. Thank you, and all the best.
Kruti Raval: Thank you.
Moderator: Thank you. We have our next question from Kunal Randeria from Axis Capital. Please go ahead.
Kunal Randeria: Hi. Good evening and hope I'm audible. My first question is on the acquisition that you made. I think the entire reason for doing this JV with MJ Biopharm was to expand into Insulins and GLP1s where they would be responsible for supplying the products and manufacturing and things like that. Just wondering what prompted you to acquire this asset now.

Moderator: Mr. Randeria, can you self -mute whenever you're not asking a question? Thank you. Sir, please go ahead.
Amit Bakshi: What you are saying is absolutely right. The scale which we are now acquiring in Insulin, the scale is such that we will not be able to service that from MJ. We are looking at some Rs. 350-360 crores by the end of this year and the growth is quite good. Therefore, we had

to have a second parallel site available for us. Otherwise also, this business, as KK told you, we are looking for gross margin improvement and more control over the entire supply chain. These were the reason s, primarily becaus e the value and the

volumes were beyond MJ to kind of supply. That is the primary reason.
Kunal Randeria: Got it. Thanks. Secondly, on Biocon -2, margins today are like 19%. I mean, can they go back to company -level kind of margins in the next couple of years?
Amit Bakshi : We are giving a guidance of 28% for the Biocon -2 piece and overall, 33% for both Biocon put together.
Kunal Randeria: Fair enough, sir. What I meant was maybe the next two or three years, can they go to like mid -30s, late -30s?
Amit Bakshi: The day our plant starts functioning completely, we should be there.
Kunal Randeria: Got it. Which means that in the next couple of years, we should expect consolidated margin s to be somewhere in late -30s?
Amit Bakshi: Yes. Consol level margin even this year would be in late -30s. But if this happens, it has a chance to kind of beat that.
Kunal Randeria: Got it. I have a few more questions. I'll join back.
Amit Bakshi: Sure.
Moderator: The next question is from Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Good evening. Just a quick clarification on the tax rate. The cash tax rate you have mentioned is 17%. The reported rate for the quarter was 22.5% roughly. Would that be the rate for the full year as well?
Sachin Shah: We expect that to be around 25% tax rate. 24 -25%. The annual tax -rate.
Bino Pathiparampil : The annual tax rate.
Sachin Shah: Yes.
Bino Pathiparampil: Annualized. Ok, great. Thank you.
Amit Bakshi: What will happen is now, we were 80% manufacturing ourselves and now we are only doing 60% in -house, 40% has gone out and the major reason is the Biocon piece. So, w hen we build our plant, this is also under the same, what is it called, Kruti?
Kruti Raval: Section 115BAB.
Amit Bakshi: Yes. This is also 115BAB. Once the transfer happens, we'll get two kind s of runways. One is the margin expansion, and the other is a tax benefit. So going forward, we want to come back to that 80% and that's where the work is going on.
Bino Pathiparampil: Understood. When you shift manufacturing to that plant, the reported tax rate will come back to 17 -18%.
Amit Bakshi: Yes. At some point of time, yes. If we are able to achieve that 80%, this is work in progress. But incrementally, you will see that more and more things are coming inside.
Bino Pathiparampil: Understood. Ok. Thank you very much.
Moderator: We'll take the next question from Vijay Karpe from Shriram Life. Please go ahead.

Vijay Karpe: Yes. Thank you for the opportunity. I just have one question. I appreciate the rational e which has been given for the latest acquisition. But as per the management commentary which we had given in the fourth quarter, we had said that there will be no more acquisitions, and it will be all about putting the head down and focusing on execution. Can we expect some more acquisitions, or would this be the last acquisition?
Amit Bakshi: No. If you look at our commentary, we had put in Rs. 70-80 crores for the greenfield project. Actually, nothing has changed. That Rs. 70-80 crores of capex has moved here. The plan has not changed. The only thing which has changed is from a greenfield to a brownfield. Otherwise , it remains the same. I reiterate that it's again, heads down execution. No acquisition, unless and

until our balance sheet comes back in that order.
Vijay Karpe: Ok. Thank you.
Amit Bakshi: Sure.
Moderator: Thank you. We'll take a question from Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha

: Hi. Thank you for the opportunity again. One on the Ahmedabad plant. I think last quarter, we had said that there's some drag of about Rs. 30 crores on EBITDA. What's the current drag on the EBITDA from the plant and what's the current utilization?
V. Krishnakumar : Kunal, the plant is ramping up very well as we s peak . Just to give you a sense , this year we are looking at a 70% increase in throughput from the plant, but the operating cost increases 3% over last year. The un absorbed fixed costs which we had called out last year, I think it was to the tune of Rs. 17-18 crores, if I recall. That will be substantially lower. I mean Q4, it should go down to zero. But I think at an annual level, we'll probably be down to less than R s. 5 crores.

Kunal Dhamesha: Ok. This R s. 30 crores number that I have was for full year.
V. Krishnakumar : No, that was a combination of other factors also. Happy to get on to a separate call and go through that, but there were other items in the R s. 30 crores.
Amit Bakshi: Yes. I think, Kunal, it had some acquisition cost. It ha d some SAP cost.
V. Krishnakumar : And it had some one -time items, which came in Q4, which was a significant number.
Amit Bakshi: Yes.
Kunal Dhamesha: Sure. That is fine. On this debt reduction, we are expecting only around Rs. 400 crores debt reduction versus we should be generating OCF of at least around R s. 700 crores this year ?
V. Krishnakumar : Yes. This year, OCF, yes, you are right. Then we have to service the interest out of that, which is close to R s. 240 crores. Then you have the capex which we've called out between the acquisition and the organic capex. Net of that, whatever is left will go towards the debt servicing and that should get us to that 2,600 or slightly lower kind of a number by the end of the year.
Kunal Dhamesha: This beyond acquisition capex, is it just the maintenance or addition of lines or...
V. Krishnakumar : Yes. We have called out all the Biotechnology areas. I think Insulins is one piece which is this acquisition and then we have MABs and hormone. As we have called out, we would like to really build a strong packet to get into a Biotechnology play. This is all going towards that. Nothing maintenance nature here. This is all creating new capability.
Amit Bakshi: Kunal, if you...
Kunal Dhamesha: It will be fill -finish, right?

Amit Bakshi: Yes. There's no DS as of now. It's all fi ll-finish.
Kunal Dhamesha: Ok. How many lines we are putting?
Amit Bakshi: In which plant?
Kunal Dhamesha: Like the entire R s. 120 crores which we are using for our internal capex consumption. How many manufacturing lines will we have?
Amit Bakshi: Kunal, what happens . The final line is something which is only incremental cost. We have to actually make provision for lines. It depends upon how much sales we are anticipating. For example, in Insulin, we are putting four plus two, four for the vials and two for the cartridges. The hormone plant is very, very early days. We are just kind of digging it down. For MABs, we will

be putting only two lines, so depending upon that.
But important thing from my side is, Kunal, you look at the way the product mix is happening. We are shifting from a specialty to a little bit of a super - specialty also. We are becoming a little product company, a little tech company. With all this coming through, we will be participating in what some people call high resistance or whatever...
Kruti Raval: High entry barrier.
Amit Bakshi: High entry barrier businesses or low competition businesses or the future businesses. That's the mo ot point. We think that is what the Bhopal facility gives us . Because I don't agree with KK when he says two years, getting the licenses itself sometimes take

s 1.5 years, two years, so building plus the licenses. You know Biotech licenses are a little bit time -taking process in India. In my view, we are better off at least three to four years.
Kunal Dhamesha: Sure. This is the capex for this year. This is not the capex for the overall project. We just continue for next two years to three years, right?
Amit Bakshi: It will spill over, Kunal.

Kunal Dhamesha: Yes. Because my sense, if you are saying six lines, if you are even putting six lines plus hormone plus MAB, the capex would be much higher. That's what my sense is. I might be wrong.
V. Krishnakumar : Kunal, let me clarify. Over FY25 and F Y26, we called out a number of R s. 200 crores, which is between Insulin, MABs and Hormones. It'll be executed over FY25 and FY26 and the number we have called out is R s. 200 crores.
Kunal Dhamesha: Rs. 200 crores, ok, perfect. Last one on the tax rate. We expect the tax rate , effective tax rate to go from 25% to 18% as we ramp up from the new plant. What's the timeline? And how should we see the progression? Is it gradual , step jump, like stepdown in a way in terms of ETR?
Sachin Shah: Kunal, so gradually from 25%, I think in next year, we should be 23% then 21%. By that time, I think 2-3 years, it will take for us to finish our MAT . So, once we finish our MAT that is there in the ELL books, then we plan to go to 18%. That's how we'll reach there. It's our book tax rate. Cash tax will always be 17%.
Moderator: Sorry, we just lost his connection, sir. We'll take the next question from Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane : Sir, just on the site which has been acquired, can you help us know what's the gross block of the site?
Kruti Raval: Tushar, the gross block is about Rs. 65 crores. The net block is about R s. 56 crores.
Tushar Manudhane : Any particular reason they got incorporated in 2020. I understand they would have also taken two years to build the facility, but approvals and all are still to take time. For that matter, the sales is also yet to come. Anything you would like to highlight here?
Sachin Shah: Tushar, as far as we know, there was a date for the base. The moot point was to get it incorporated under the new law which allows the 15% tax rate.

That's how it was incorporated after 2019, around that time. They started their commercial man ufacturing before 31st March '24. That was the basic idea behind that.
Tushar Manudhane: Ok. Just on the comment , all approvals in place for Insulin manufacturing. So, you mean which geography -- is it like more of India or...
Amit Bakshi: Yes, only India. Tushar, only India and only the vials . We have the licenses for the vials line. The cartridges line, we don't have the licenses, and the line has also to be put up.

Tushar Manudhane: These at least for the India market, like at least we started through vials, cartridges and PFS. To start the commercial production in first place, what is the kind of timeline one should think of?
Amit Bakshi: Tushar, I think Q3, we should be there. Q 3, we should start the manufacturing of vials first and the cartridges would take another 1 to 1.5 years, depending upon how soon we are able to get the validation done.
Tushar Manudhane : Understood. I'm just asking on this particular aspect, how much subsequent further investment would be required in the form of capex?
Amit Bakshi: In this plant, for the Insulin piece alone, we require around Rs.20-25 crores and once we start the MAB lines, it will be an addition.
Tushar Manudhane: This is a part of the capex which you have already identified. This is not over and above the capex?
Amit Bakshi: Yes, same thing.
Tushar Manudhane: Broadly, how much opex would be t

here for this facility? Because I assume currently, it's already at least operational, if not, from a compliance point of view. But...
Amit Bakshi: Tushar, we do not like to give the opex number. Let us start the operation first, and then we will be in a better position to tell you about the opex.

Tushar Manudhane: And just -- my side, maybe you…
Moderator: Sorry, sir, you're sounding muffled, Mr. Manudhane.
Tushar Manudhane: Yes. We are already at Rs. 250 crores EBITDA as we stand on 1Q FY25 right…
Moderator: I'm sorry, you're sounding muffled again.
Tushar Manudhane: Yes. What I was trying to ask is that we are already at Rs. 250 crores EBITDA for first quarter FY25 and the guidance indicates that we would end FY25 by Rs. 1,050 crores. Just the kind of improvement in the operations of both base business as well as acquired units , isn't that too conservative? We are already at that number more or less, plus minus R s.10-12 crores as we stand today.
Amit Bakshi: Tushar, from a guidance point of view, we'll stick to R s. 1,050 crores, but we'll be happy, very happy if it goes up. The efforts are on the same side, but from a guidance point of view, we would like to stick there.
Moderator: Thank you. The next question is from Prashant Nair from Ambit Capital. Please go ahead.
Prashant Nair: Hi. Amit , in the past, you have mentioned that generally, you would like to keep your EBITDA margins in that 3 5-36% range and look for growth, reinvest anything over and above that for growth. Now, your margins seem to be, given your guidance, tracking a bit above those levels. Is there any change either in thinking or in the way the business has shaped up? Where do you see kind of peak EBITDA margins settling, say, if you take the next three, five years as a timeframe?
Amit Bakshi: Hi, Prashant , you are right. Look, we also had a little bit of surprise because we haven't done a business which gives 60% gross margins and 40% EBITDA. There was a little bit of uncertainty around that piece. But having spent some time with business, the productivities are very nice and there is

a tailwind in these businesses. Now I can see a chance of margins getting better with all that which is planned. So, certainly next year, it should be better if that changes. Now I can tell you that 35% in the next two, three years might not be the case. It should inch up .
Prashant Nair: Ok, great. Yes. That's it from me. Thank you.
Amit Bakshi: Thank you, Prashant.

Moderator: Thank you. We have a question from Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Hi. Thank you for the opportunity. One question for Amit. So now you have these pieces in place, you have been with this business for a quarter in FY25 . What's the kind of growth profile of this entire consolidated business that you are looking at? Beyond FY25, what will be the growth profile of the business?
Moderator: I'm sorry. Mr. Dhamesha, may I request you to repeat the entire question again, please?
Kunal Dhamesha: Sure. I'm saying that you have acquired a lot of these businesses and now we have spent some time with them. So, beyond FY25, what's the growth profile of this entire consolidated business look like and the investments which would be required to grow at that basis?
Amit Bakshi: Kunal, so how do I answer this? One thing which at this point of time looks clear is that the Insulin piece will see a growth going forward, and we are also investing in more Insulins. We are right now covering only two pieces. If everything goes well, we should be launching a GLP now, and then there are other Insulins which we are investing in. We are not present in Aspart. We are not present in Aspart mix. We are not present in Lispro. We are not present in Degl

udec , which is expiring in '26, if I'm not wrong.
The Insulin piece seems to have a lot of headroom from a growth perspective, both from the existing products and there is a possible new

product pipeline which is also very exciting. So , we continue to invest in them while we talk, and we will keep on informing you at the right time that how is it moving ahead. That is one piece which I'm quite reasonably confident.
The other piece, which is Oncology and Critical Care. Critical Care, again, the injectable s is a large business. We have promised you; we will be R s. 100 crores this year, which we will definitely be. But again, there is a lot of scope there. Once things start moving, that is one business which can also give us a better growth.
Simultaneously, Kunal, as I alluded to, for the Cardiovascular, there are new products also coming in. All that investment which we made last year in the R&D pipeline in the form of product s, they will also show up. Certainly, there is some kind of a chip in terms of new product and growth. This piece looks to me something which can grow beyond that routine 10 -12%. Hopefully, we should be in a trajectory for a couple of years which should be significantly beating the market.
Moderator: We'll take the next from Rahul Agrawal from Himalaya Investment Advisors. Please go ahead.
Rahul Agrawal: Thanks for the opportunity, and congratulations on a very good set of numbers with sharp turnaround in the Biocon businesses. My question is a version of what the previous participant was asking. From here on, if you look at the next three years, how do yo u see both growth and margins panning out? And if you can build up a little bit more on the numbers, like you said, the base may grow at 10 -12%, but what rate would you expect Insulin to grow at? And combining it all together, where do you think can we go on the margins?
Amit Bakshi : Yes. We are coming back to the same point. Largely what I can tell you is that we are better prepared for growth because of the organization moving from specialty to super -specialty. We are 100% better prepared for a better

growth. At the same point of time, we are better prepared for a margin expansion also , today.

But quantifying it for the next three years is something which is little difficult
for us at this point of time. But what we can tell you, the macros and the way
the second set of diversification has happened, clearly, kind of puts up there.
Then the execution happens, and everything happens. We are there, but
quantification would be a little difficult thing.
Rahul Agrawal: Understand. On the Swiss Parenterals business, when we had done the
acquisition, we had said that we may also look at starting with branded
formulation sales in emerging markets. Have we made up our mind around
that? Is that something we want to pursue? and second, how do you see
Swiss Parenterals shaping up over the next few years?
Amit Bakshi: Answering the first question, which is an important thing. There was a little
bit change in the plan. First, we thought that we will put in the injectable piece
directly into Swiss and we will run it from there. But then there was some
reason which we couldn't do this, so we actually b rought it in ELL itself. That's
why you see it is reflecting here in ELL. Swiss continuously supports the
domestic piece, but in an indirect way, not in a direct way.
From an export piece, there is a lot of stuff which is happening. At this point
of time, we have given you the guidance for this year. I hope you appreciate
the fact that export piece needs a little bit more time to kind of turn around
because of regulatory th ings. But if you look at the kind of approvals which
we are seeking in this year, they are quite significant, espec

ially the Brazil
piece and the Switzerland piece. We would need some more time to get back
to you on that. For this year, our guidance would be, more or less intact.
Rahul Agrawal: Got it. Thank you so much, and congratulations once again.
Amit Bakshi: Thank you.

Moderator: Thank you. We'll take a question from Prashant Nair from Ambit Capital.
Please go ahead.
Prashant Nair: Hi. Sorry, this is a repeat, probably. Sachin, I missed the comment you made
about your tax rate and how it could move over the next few years. Can you
just repeat that?
Sachin Shah: Prashant, we expect it to be around 25% at a consol level this year. With
products moving in -house in the Ahmedabad plant and also the new
acquisition that we had, gradually, I think every year it should go down by
2%. Because we also have a MAT credit in Eris, right? So, w e have to
consume that also in next three, four years. By that time, I think we should
be around 18 -19%. That's where we will reach.
Amit Bakshi : Yes. Fair enough.
Prashant Nair : Ok, great. Thank you.
Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for
today. I now hand the conference over to Mr. V. Krishnakumar for closing
comments. Over to you, sir.
V. Krishnakumar : Thank you all for your presence today. In summary, consolidated revenue
for the quarter was Rs. 720 crores, which represents a 54% growth.
Consolidated EBITDA for the quarter was at Rs. 250 crores, which
represents a growth of 47%. We've integrated the Biocon acquisitions well
ahead of schedule and started realizing significant synergies in our flagship
domestic branded business, which accounts for 90% of our revenue.
We expect to deliver a growth of over 25% in the Biocon segment in FY25
with a significant jump in operating margins. Our business model has evolved
from a “specialty ” model to a “specialty plus super -specialty ” model with the
addition of segments like Oncology, Critical Care and Nephrology. As a Top

20 company in the IPM, we are taking tangible initiatives to step up our game in the Biotech space as well. Thank you and have a good evening.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Eris Life sciences Limited, that concludes this conference. Thank you for joining us and you may now exit the meeting.

This document has been revised to improve readability.

Call: Nov 2024

"Eris Lifesciences Limited
Q2 FY25 Earnings Conference Call "

October 25, 2024

MANAGEMENT :

MR. AMIT BAKSHI – CHAIRMAN AND MANAGING DIRECTOR
MR. V. KRISHNAKUMAR – CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH – CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL – HEAD, INVESTOR RELATIONS

Moderator : Ladies and gentlemen , good day and welcome to the Q2 and H1 FY25 Earnings Conference Call of Eris Lifesciences Limited.

We have with us on the call today, Mr. Amit Bakshi - Chairman and Managing Director; Mr. V. Krishnakumar - Chief Operating Officer and Executive Director; Mr. Sachin Shah - Chief Financial Officer; and Ms. Kruti Raval – Head, Investor Relations.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the "Presentation " concludes. Please note this call is being recorded.

I now hand the conference over to Mr. V. Krishnakumar - Chief Operating Officer and Executive Director of the Company. Thank you, and over to you, sir.

V. Krishnakumar: Thank you. Good afternoon, everybody. Thank you for joining this call.

I am getting into the details right on , we will s tart with the overview of the Domestic Branded Formulations business , which is our largest piece.

The summary for Quarter 2 is that we have built on the trajectory of Quarter 1. The total branded formulations revenue is Rs. 644 crores in Quarter 2 , with the base business giving Rs. 510 crores and the Biocon segment giving Rs. 134 crores.

The base business is tracking at a 9% to 10% growth for FY '25 based on H1 actuals, excluding our new product pipeline. The base business has witnessed significant margin expansion in Quarter 2 . Quarter 2 gross margin was up by 359 bps year-on-year and Quarter 2 EBITDA margin was up by 374 bps year-on-year.

The second half of this financial year will be "new-launch heavy. " We have several ‘first-in-market ’ approvals in hand. In comparison, most new product launches in the last financial year were concentrated in the first half. We have launched ERLY , which is our brand of Liraglutide, last month.

With respect to the Biocon /Biologics business, we have seen supply shortages across segments in Quarter 2 . And this is expected to continue through to the end of FY25. Our Bhopal facility , which we recently acquired , is commencing the production of Insulin vials from next month , and the gross margin benefits will start accruing from Quarter 4 of this year / Quarter 1 of next year. Overall, we are on track to deliver our FY ‘25 guidance , Domestic Branded Formulations (“DBF”) revenue of Rs 2,600 crores with an EBITDA margin of 36%.

We have witnessed strong execution in the first 6 months of this year, which has led to a stronger balance sheet and higher returns. So , with respect to the FY ‘24 base, our return on capital has increased by 600 bps on an annualized basis at the end of the first half. And the adjusted ROCE, which excludes the impact of M&A related amortization has increased by 400 basis points from FY ‘24. ROCE stands at 17% and adjusted ROCE stands at 23%. Our operating cash flow stood at 119% of EBITDA in Quarter 2 and at 94% of EBITDA for the first half of the year.

We are also happy to share that we are ahead of schedule in terms of debt repayment. Net debt at the end of Q2 stood at Rs 2,500 crores vis -a-vis our year-end stated target of Rs. 2,600 crores.

Strong execution on manufacturing has been driving significant gross margin improvement in the DBF segment and there are two parts to this. Firstly, the ramp -up of our Ahmedabad site operations , which we have commented about in Quarter 4 . We have been steadily ramping up over the last two

quarters as you can see. The second very important lever we have been talking about is Derma in-house production , which we said we have started in January. You can also see the way that has ramped up - 30% of our Quarter 2 Derma business was produced in -house and this number is increasing month -on-

month. And the gross margin benefits are starting to accrue. So, on a serial basis , the base business has witnessed a gross margin expansion from 83% in Quarter 4 (of last year) to 86% in Quarter 2 . And the Derma business has seen a margin expansion from 76% in Quarter 4 (of last year) to 79% in Quarter 2 . And the additional benefit of doing more manufacturing operations in Ahmedabad is that we get fiscal benefits under section 115BAB .

So, overall , Q2 gross margin improved by 359 bps. And the Bhopal site , which we expect will start producing insulin vials from next month , will start delivering margin benefits over and above this.

Moving on to the post-merger integration, we are happy to share that the acquired businesses have been successfully integrated , and this has resulted in significant fixed cost synergies in the branded formulation segment. The first piece that I would like to call out here is the significant scale benefits in our diabetes business. Pre-Biocon, we were a 600 crore per annum predominantly OHA business with 900 MRs across four divisions , with an average YPM of around Rs. 5.5 lakhs. Post -Biocon, we are a Rs. 1,000 plus crore diabetes business with around 1 ,200 MRs across five divisions and a much higher YPM of 7 plus lakh.

The insulin business is deriving significant tailwinds from our credibility with the Specialist segment , which has been cultivated over the last 15 years. We are also witnessing a multiplier effect at the field level resulting from the fact that the OHA and the injectable teams are complementing each other in terms of market presence and hence recall. And at an overall DBF level, we

had 15 divisions prior to the Biocon acquisition . We now have 21 . So, we have better absorption of fixed costs. Accordingly , fixed cost as a percentage of revenue in Quarter 2 has reduced by 509 bps year -on-year.

Our investment in R&D has started yielding substantial results . This is a snapshot of our 'first-in-market ' pipeline , a lot of which we expect to come through in the near future. There are five products already approved for launch and many more in late stages of approval.
Moving on to Swiss Parenterals. Over the last six months , we have been focused on two aspects . One is strengthening the core business . And secondly , adding new business segments in terms of new growth engines .
In terms of strengthening the core business , we have been focused on business integration . We have significantly expanded the customer -facing team , which is business development and regulatory . We have added six senior level people here. We have also undertaken significant expansion of the R&D and Analytical team s. Pre-deal, the R&D team used to handle 80 to 90 projects at any point in time . Now their bandwidth has been doubled . They are handling about 170 projects at this point .
Systems , processes and compliance have been adequately strengthened and both facilities have been successfully inspected by EU-GMP and PIC/s in this quarter , both of these being repeat approvals.
We have also launched some interesting new business segments. We have spoken to you earlier about OSD exports. In terms of enabling this business , our Ahmedabad facility is awaiting EU -GMP and ANVISA inspections in Q4.
We have also launched an EU focus ed Injectable CDMO business. We are the only approved Indian injectable player in India with the entire suite of injectable dosage forms - liquid ampoules, liquid vials, dry powder, lyophilized, PFS – you name it and Swiss has it . The target audience for this

business is European Big-Pharma and large Generic companies , and the business model would be to look at 3-to-5-year manufacturing contracts for sale in the EU , and these come with higher customer stickine

ss and lower
price sensitivity given that these are injectables.
In terms of the "Financial Update" for the Swiss base business - Q2 revenue of Rs. 82 crores and first half revenue of Rs. 155 crores . Q2 EBITDA of Rs. 27 crores and first half EBITDA of Rs. 53 crores. The return on capital in this business is in excess of 50%. The base business is on track to deliver against our FY '25 guidance and we expect the new business segments to start contributing from financial year '26 onwards.
Moving on to our Biologics play. The Indian biologics market is a large market worth around Rs. 15,000 crores per annum with very , very strong growth trajectories. We have the whole MAB segment - a Rs. 9,000 crore market growing at 24 %-25%. We have the injectable anti -diabetes segment , which is on the threshold of major disruption from GLP -1. The whole IV F hormone space is also growing well. This is an oligopolistic market in terms of high entry barriers and what we have seen and understood is that vertical integration is key to profitable growth . All the stages and all the capabilities we need to have are outlined here in terms of (i) product development, (ii) bulk manufacturing, (iii) fill finish and (iv) marketing. We see that the domestic market has only a handful of vertically integrated and scaled up biologics players. As for us, w e have a dominant presence in insulin, a starting presence in Onco logy and no presence in any of the other segments.
So, with a view to build a strong position in biologics, we are looking at a strategic partnership with Levim Lifetech, which would give us a vertically integrated biologics presence and access to a very exciting biologics product pipeline. We started our Biologics journey with the acquisition of the Biocon Biologics business in quarter one. We complemented that with the addition

of the Bhopal site in Quarter 2 , which gives us the capability for biosimilars to fill finish manufacturing. We are commencing insulin vi als manufacturing starting from next month. And with Levim in this quarter , we get access to an asset which has a demonstrated track record of product development and commercialization in three products, Liraglutide, Streptokinase and

Pegaspargase .
Our Liraglutide brand is driven by the bulk active manufactured at the Levim facility. Their successful execution of Liraglutide builds confidence for a future GLP play. A large -scale bulk manufacturing facility at Levim that will be commissioned mid next year. And the R&D pipeline is something we expect to significantly expand post the deal. In terms of the deal contours, we plan to invest Rs. 54 crore for a 30% equity stake. This footprint strengthens our value proposition and business economics in the biologics market.
Moving on to the consolidated P&L for the quarter and the half year :
Consolidated operating revenue for Q2 grew by 47% to 741 crores. And H1 revenues stood at Rs. 1,461 crores , which is a 50% growth.
In terms of Q2 margin, gross margin was down by 641 bps due to changes in our product and business mix , which was almost entirely offset by the fixed cost leverage. So , the EBITDA margin of 35.7% is more or less in line with the prior period. Quarter 2 EBITDA stood at 265 crores , which is a year -on-year growth of 46%. H1 EBITDA stood at Rs. 515 crores , a year-on-year growth of 47%.
This year we are taking the full impact of all amortization and finance costs.
Book tax rate in Quarter 2 was 25% of PBT and cash tax rate was 22%.
Operating cash flow was 119% of EBITDA in Q2 and 94% in H1. Cash EPS stands at Rs. 20 in H1, same level as last year.

We are ahead of schedule in terms of rebuilding balance sheet strength.
These are the numbers that we ha d shared with you at the end of Quarter 4 when we

said we are looking to be at Rs. 2,600 crores net debt by the end of this year and we are presently at Rs. 2,500 crores . So, that puts us ahead of schedule.
In closing :
We reaffirm our business guidance for this financial year. DBF revenue of Rs. 2,600 crores with a 36% EBITDA margin. Swiss Parenterals ' revenue of Rs. 330 crores with a 35% margin. At a consolidated level, revenue of Rs.3,000 crores with a 35% margin, CAPEX of Rs.100 to 120 crores and a Rs. 54 crore s investment in Levim. All the other parameters remain the same as outlined before.
So, with this, we come to the end of the presentation. Thank you.
Moderator: Thank you very much , sir. We will now begin the question -and-answer session. The first question is from the line of Amlan Jyoti Das from Nomura . Please go ahead.
Amlan Jyoti Das: So, my question is regarding the base business. What is the base business growth in Q1 and Q2? Could you please help us know that ?
Amit Bakshi: So, Amlan, the H1 growth of the base business is 7% in H1, which is like 10% in Q1 and 4% in Q2 . So, those are the growth numbers.
Amlan Jyoti Das: So, to attain a growth of 9 % to 10%, what would be the levers for H2? Are there any particular levers?
Amit Bakshi: Yes, of course. So , Amlan, look, two things. One is the last year H1 was very heavy on new launches. This time we were integrating the Biocon business and most of the new launches planned in this year are DCGI approval, which

are from our R&D. So , we will see a flurry of launches in the second half. So, that should compensate for growth for the entire year. And anyway, if you look at our number H1 times two, we are tracking at more or less like 9 -10% already . And that has been the case now. We have been doing 50-50 between H1 -H2. This time w e expect to do 50-50 plus some new products in H2. So, that's how we are looking at that.
Amlan Jyoti Das: So, I just wanted clarification . This 9 % to 10% growth is excluding Biocon or including Biocon, you are saying?
Amit Bakshi: This is the DB F. This is the organic base.
Amlan Jyoti Das: Organic base, right? Okay.

Amit Bakshi: Yes.
Amlan Jyoti Das: So, it will be majorly led by the new product growth then.
Amit Bakshi: Absolutely. Majorly led by the new . But we had some shortages , Amlan , this
time, you know, MJ didn't supply us insulin. Insulin is a little bit of a problem.
I think globally we are having a little bit difficulty. So , those were minor things,
but majorly it 's going to be about new products, which we see a lot of them
being launched in the second half.
Moderator: Thank you. The next question is from Ashish Kanoje from Northbridge
Capital. Please go ahead.
Ashish Kanoje: I had two questions. First was, can you please talk about the growth
opportunities and trajectory for us in the injectable space in India? And
secondly, on the oral solids in Africa, what is the progress on that?
Amit Bakshi: Would you please repeat your question?

Ashish Kanoje: Can you talk about the growth opportunity and the trajectory for us in the
injectable space in India? And what about the oral solids in Africa? What is
the progress on that?
Amit Bakshi: So, you are talking about the export thing, or you are talking about the Indian
thing?
Ashish Kanoje: Firstly, you can , yes, the Indian thing. Firstly, the Indian thing.
Amit Bakshi: Okay. And this is injectable other than insulin s?
Ashish Kanoje: Yes.
Amit Bakshi: So, if I understand you correctly, you are talking about the piece we acquired
and we wanted to build up the India business, the injectable India business.
So, India injectable business is online. We are doing roughly 7 crores a
month at this point of time. We planned around 100 crores. We should be
nearing that number. Sti

ll integration is going on. That is one integration
which is still work in progress. So, y ou know, we have some new hires there.
So, I will say the India injectable is still work in progress. I don 't see this kind
of creating huge growth this year. Next year it should get better. So, that's
the domestic India injectable piece. The rest I think KK will answer.
V. Krishnakumar: So, the second part of your question was on the oral solid exports. And these
will be enabled by securing the approval of PIC/s and or EU-GMP for the
Ahmedabad plant. And the calendar for these inspections , I mean, given how
these regulatory agencies operate, you can 't predict it. But basis current
activity and communication, we are targeting a Q4 inspection. So , Q4 of '25
or Q1 of '26, that is when the inspection s are likely. And once we go through
successful inspection s, then I think it is a matter of two to three months before
you can start shipping product out. So, which is why oral solid exports from
the Ahmedabad facility is something we see happening in '26.

Ashish Kanoje: I had one more question. How do you see the GLP -1 transition changing our
business? What sort of scale is possible in GLP -1 and how would that affect
our existing brands?
Amit Bakshi: Ashish, this is like a long answer. But yes, look, GLP is going to be a game
changer therapy and it will cut across many more therapies than diabetes
because obesity, you know, is in the center of so many things. So, GLP,
whenever it comes in India, it will be a game changer.
We have just launched Liraglutide. The opportunity in Liraglutide is also
immense, but we are still not confident about the supplies. The supply is a
little bit cons trained. So , I will need three more months to tell you. The
opportunity is quite big, but we might have supply issues. So, you know, we
are just trying to work it out , how does it plays out .
And then, you know, Sema is due in 2026. Of course, Sema, everything
changes dramatically. Till that point of time, Lira is the game which we want
to play. And if everything goes well, Ashish, then, you know, we might have
the first GLP for obesity in India also. So , let's see how it pans out.
Moderator: Next question is from the line of Tushar Manudhane from Motilal Oswal
Financial Services. Please go ahead.

Tushar Manudhane: Sir, just continuing to the earlier participant 's question. Now with these products taking up or will be scaled up, let 's say, over the next two to three years , subsequently, what impact it would have, at least on our base business, which we might grow in FY '25 by 9 % to 10% , but will that have some cannibalizing impact, say in FY '26-'27?
Amit Bakshi: What are you talking about, Tushar? Diabetes -based business?
Tushar Manudhane: Yes.

Amit Bakshi: So, look, we have seen the data in U .S. and across where GLPs have been available for a long time. We can 't really say that it has put a break on something. But what we see is that more and more people are reaching their targets. You know, even U .S. data says that even after everything, the average U .S. diabetic was at 8.2 HbA1 c while the target is close to 7. So , these drugs will generally bring more people into the target range , not necessarily cannibalizing a couple of drugs .
But if you really want me to tell what the future is , so, guys , the future is Insulin s, GLPs , Dapa, and DPP -4 inhibitors globally , and India , we can 't get rid of Sulfonylureas. So, the top four picks would be GLP should come at number one . We believe we are at around Rs. 11,000 -12,000 crore market size of OAD , and Rs. 3,000 -4,000 crore market size of injectables . Once these GLP injectables come , the injectables ' market growth will be very substantial. But we don 't feel as of now that Or

als or Insulins will recede. The only thing is more people will attain their HbA1c target s. So, that's what we know at this point of time.
Tushar Manudhane: Sir, with respect to this Levim facility, does it have currently any regulatory approvals or this will now happen in the due course?
Amit Bakshi: So, they have been supplying , there is some ROW business they have, right? Their approvals, I will have to check. KK, any idea?
V. Krishnakumar: So, Tushar, you are talking of Indian approvals or international?
Tushar Manudhane: Both, sir, as in domestic as well , if at all we are going to utilize for exports.
V. Krishnakumar: Presently they have three commercial products, Liraglutide API, which we also use in our product. Then they have Streptokinase and Pegaspargase . These three are commercially manufactured bulk actives for them. They sell it in India, and they have a handful of export markets. And then they have an

additional product pipeline. So , they have a certain scale at which they produce these products now, which will be substantially enhanced by mid next year.
Amit Bakshi: Yes. So, Tushar, what we see in the Indian setup now, not many people are able to scale up to commercialization and scaling up from clone to commercialization is something which not many have achieved. So , we are very confident about their ability , and they have done it in Liraglutide , which is a little difficult to kind of get your arms around. So , we are quite confident about their capability. The whole game is how fast we kind of develop more products and scale up the entire production facility.
Tushar Manudhane: So, like 30% is with Eris. So, remaining 70% , is there any other customer also who 's got the stake in this or this is more like the promoter 's stake remaining 70%? And what 's your thought on for Eris to acquire, if at all, further stake in this?
Amit Bakshi: So, Tushar, there is no other investor . It's only promoters and us at this point of time, because the idea of getting into this business is not what they are selling today, but what they are capable of in the future. So, generally, when we go through in such businesses, we talk more about milestones. So , our investment will further increase . That is almost given , but that will happen with more milestones coming together . So, that's how we are trying to play this out .
Tushar Manudhane: I mean , was there a scope of getting an exclusive sort of manufacturing arrangement with them instead of taking th at.
Amit Bakshi: Yes, of course, there is a scope . There is a scope , but it will happen with

milestones . You know , one by one we will kind of it will start from the
development , the clone stage , the scale up stage , and so there are many

factors to it . So, as and when there will be a proof of concept , we will try and scale it up .

Moderator: The next question is from the line of Gautam Rajesh from Leo Capital. Please go ahead .

Gautam Rajesh: My first question was , how do you see the growth of the insulin business in the next two to three years?

Amit Bakshi: Gautam we are very positive in all the businesses which we have acquired from Biocon , it is the insulin which is leading the pack in terms of growth . And we are confident that the insulin business will keep on doing well in the next two, three years, we expect a very strong more than te en around 18 % to 20 % growth in two years ' time.

The only thing which we are a little worried is about the supply . So, that's the only thing which is a little bit of a problem . But we are trying to make sure that we don 't run out of insul in.

Gautam Rajesh: And my next question was what is your outlook on the Swiss Parenterals business growth both in exports and domestic injectables ?

Amit Baksh

i: KK, will you talk about this ?

V. Krishnakumar: Yes. So, the base business of Swiss Parenterals , which is the injectables exports business, we have guided to 330 crores revenue this year, which is around a 15% growth on last year's base . And as of now, we have very good visibility of that . This business is H2 heavy. In H1 we have done 155. So , we will keep updating as we go forward.

In terms of three -year outlook, we are very excited about the new lines of businesses that we have launched here. As mentioned earlier, we have launched a CDMO business which is focused on European injectable market.

The idea is , this is a complementary business to the ROW business. The ROW business has its own growth path. The CDMO business , which is a new business unit , will start contributing from FY '26 onwards. Then we have an Oral Solid Dose business, which again will start contributing from '26. So , that's the broad outlook.

Gautam Rajesh: Sir, what about domestic ? And I have just one more question after that.

Amit Bakshi: Gautam, we just talked about domestic . I will just repeat quickly. We are looking at around, we are run rating around 7 crores a month in domestic injectables , right? It is work in progress. It 's still taking off. We believe that next year will be far better than this year. This year, you know, still not on top of that. So , still work in progress.

Gautam Rajesh: The final question is on what is the supply problem in the insulin GLP -1 that you were referring to earlier? Is it an industry issue, like industry issue? Can you talk more about it just in India or like more on that?

Amit Bakshi: So, Gautam, that is a discussion for some other day , but globally insulin is going through a certain challenge, I think, because of the form and fill plant. But this is a transient and I think it will be overcome.

Gautam Rajesh: Due to what plant , sir?

Amit Bakshi: We will discuss it some other day . This, you know, it 's quite a long conversation.

Kruti Raval : Vishal, if there are no more questions, maybe we can close.

Moderator: Sure, ma 'am. Thank you very much. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. V. Krishnakumar for closing comments. Over to you, sir.

V. Krishnakumar: Thank you all for your presence today. To summarize, our consolidated Q2 revenue was 741 crores with a 47% growth. Consolidated Q2 EBITDA was

Rs. 265 crores with a 36% margin and a 46% growth. Robust execution and manufacturing ha ve led to a jump in branded formulations gross margin. Successful integration of acquisitions has led to a significant fixed cost synergies as well.

At the end of Q2, we have a stronger balance sheet and higher return ratios. Consolidated ROCE is up by 600 basis points to 17% and adjusted ROCE is up by 400 basis points to 23%. Operating cash flow for Q2 was 119% of EBITDA. We are ahead of schedule on d ebt repayment. Net debt at the end of Q2 stood at Rs. 2500 crores.

Our strategic investment in Levim will make us a vertically integrated biotech player with a strong new product pipeline. We are on track to deliver our guidance of Rs. 2,600 crore revenue in branded formulations with a 36% EBITDA margin and a consolidated revenue of Rs. 3,000 crores with a 35% EBITDA margin. Good evening , and I wish you all a happy Diwali in advance.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Eris Lifesciences Limited , that concludes this conference. Thank you for joining us , and you may now exit the meeting. Thank you.

This document has been revised to improve readability.

Call: Feb 2025

"Eris Lifesciences Limited
Q3 FY25 Earnings Conference Call "

February 04, 2025

MANAGEMENT :

MR. AMIT BAKSHI – CHAIRMAN AND MANAGING DIRECTOR
MR. V. KRISHNAKUMAR – CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH – CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL – HEAD, INVESTOR RELATIONS

Eris Lifesciences Limited
February 04, 2025

Moderator : Ladies and gentlemen , good day and welcome to the Q 3 and 9M FY25 Earnings Conference Call of Eris Lifesciences Limited.

We have with us on call today, Mr. Amit Bakshi - Chairman and Managing Director; Mr. V. Krishnakumar - Chief Operating Officer and Executive Director; Mr. Sachin Shah - Chief Financial Officer; and Ms. Kruti Raval – Head, Investor Relations.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note this call is being recorded.

I now hand the conference over to Mr. V. Krishnakumar – Chief Operating Officer and Executive Director of the Company. Thank you, and over to you, sir.

V. Krishnakumar: Good afternoon, and welcome to our earnings call for Q3 and 9M of this financial year.

Our flagship Domestic Branded Formulations business has delivered an organic growth of 12% in Q3, and this has been on the back of new product launches and price increases taking effect. The base business revenue for Q3 was Rs. 529 crores and for the 9 -month period, it is Rs. 1,540 crores . So, Q3 organic growth is 12% and YTD growth is 9%.

The base business EBITDA margin has expanded substantially to 39% in Q3 and 40% on a 9-month basis. The 9 -month margin of 40% represents an expansion of nearly 270 basis points. The margin was close to 37% for the same period last year.

We continue to witness strong momentum in business integration . We have a decline of around 518 bps in gross margin on a 9-month basis, which has been largely offset by a 460 basis points decline in the fixed expenses ratio.

We remain on track to deliver the numbers as per guidance in the Domestic Branded Formulations business.

This is the detail ed set of numbers for the Domestic Branded Formulations business in Q3 and 9 months . Total revenue from operations of Rs. 635 crores in this quarter, which represents a 35 % growth , and an EBITDA of Rs. 230 crores which is a 31 % growth. For the 9 -month period, we have Domestic Branded revenue of Rs. 1,911 crores, which is again a 35% growth , with an EBITDA of Rs. 695 crores , which is a growth of 36%.

As mentioned on the previous slide, the YTD gross margin is down by 518 bps due to change in the business mix, primarily the introduction of the Biocon segments. This has been largely offset by the fixed expense ratio coming down by nearly 460 bps year-on-year due to synergies from business integration.

Moving on , we are gearing up well to leverage the market opportunity in GLP -1. In terms of key updates, we have entered into a strategic partnership for the launch of Semaglutide. We expect Eris to be among the first to launch in India and given the capabilities that Swiss Parenterals has in the Form -Fill-Finish of synthetic peptides in cartridges, we are doing the necessary pre - work to initiate dosage -form manufacturing in due course.

We believe that after the initial launch, there is a strong economic case for the peptide to make way for the recombinant Sema , as in the innovator product. On this front, Levim has completed preclinical studies for recombinant Sema, and it has obtained the approval to go ahead with the application for human trials. In parallel, we are preparing our Bhopal facility to be ready for the Form -Fill-Finish of the recombinant Sema in the medium term.

In summary, we are taking all the actions required to have complete control over the supply chain in terms of bulk and formulation and also secure a good cost-position.

What makes us confident of our ability to win? It really comes down to our market leading position in Diabetes. We are among the top 3 companies by prescription rank among Diabetologists and Endocrinologists . We rank among the top 5 companies in the overall Diabetes therapy with a 6% market share , and we are the largest Indian Company in the Insulin segment with a 10% market share.

Our new product launches from our own R&D pipeline have started driving growth. We have been talking to you about this for a few quarters now . Happy to share that 3 first-in-market combinations of Dapagliflozin from our R&D stable were launched in Q3, which gives us a differentiated play in the fast-growing SGLT2 space. Dapa gliflozin -Bisoprolol , Dapagliflozin -Pioglitazone and Dapagliflozin -Metoprolol , were the three combinations that were launched.

Liraglutide, our first GLP 1 which we launched in September, has scaled up to nearly Rs. 1 crore per month sale.

In terms of Q4 pipeline, we have three more interesting FDCs coming through from our R&D pipeline ; combinations of Gliclazide - Dapagliflozin - Metformin , Gliclazide -Sitagliptin -Metformin and Dapagliflozin -Telmisartan . The Empagliflozin & combinations family represents a patent expiration opportunity which we will start realizing in this quarter . Esaxerenone, a novel antihypertensive , has been cleared for BEs and CT . The BE study is in progress right now and we will take up the CT subsequently.

A quick update in terms of what is happening at our Bhopal and Eris Ahmedabad manufacturing units. At Bhopal, we are on track for operationalizing the Form-Fill-Finish of Insulin vials from the 1st quarter . As

we have been discussing with you, the tech transfer from Biocon is underway. The validation of Insulin and glargine vials has already commenced and the margin benefits in vials because of insourcing will start accruing from Q1. What follows will be the insourcing of cartridge fill-finish operations and the consequent margin benefits which will start flowing in later in the financial year. We will subsequently target EU -GMP and R oW market approvals from this unit.

In terms of the key developments at Eris Ahmedabad unit for the quarter, we were inspected by two R oW regulatory agencies in Q3. The Brazilian ANVISA inspection is scheduled for the first week of May . On the back of these inspections and subsequent approvals, we are expecting OSD exports to kickstart from this unit in the later part of FY26.

What we would like to emphasise here is that in addition to giving us margin benefits in our DBF business, these facilities are opening up new revenue streams for us in terms of export markets.

Moving on to Swiss Parenterals , the base business which is the R oW injectable business is chugging along at a steady pace . The 9-month revenue stands at Rs. 232 crores with an EBITDA of Rs. 76 crores , and this business is on track to deliver its FY25 guidance of Rs. 330 crores . Concurrently, we have been building the foundation to accelerate the growth trajectory of this business by adding new revenue streams . Both Swiss sites were inspected by Halmed in Q3 on behalf of EU -GMP. The Brazilian ANVISA inspection is confirmed for Q1 and we have initiated the necessary groundwork to commercialize Levim's products across Swiss's channel – these products are Liraglutide , Pegasparg inase and Streptokinase . These products have substantially meaningful market sizes in the R oW space where Swiss has a good channel penetration . We have initiated the groundwork in terms of dossier preparation and filing so that these products can eventually get across to the R oW markets.

We are significantly ahead of guidance in debt reduction . We have two tables on this slide that compare the debt reduction plan that we shared with you at the start of this financial year and what is the o

utlook like at this point . We
told you that by the end of this financial year, we will have a net debt of Rs. 2,600 crores , and we are currently looking at being at Rs. 2,100 crores. This represents Rs. 500 crore s ahead of target. By mid of the next financial year, we will get to our target number of 1.5x debt-to-EBITDA since we are l ooking at a net debt of Rs. 1,750 crores by the end of September '25. The TTM debt-to-EBITDA ratios are also moving in tandem . Compared to an opening ratio of nearly 4x at the start of this year, we will be at around 2x by the close of this year and 1.5x by mid next financial year.

We are also happy to share with you that our acquisitions have started delivering and this will drive a very exciting EPS inflection point starting next financial year . On the left side of the slide, we have summarized the investment cycle of the last four years, which you are familiar with. Our asset base expanded from Rs. 921 crores to nearly Rs. 5,500 crores over the 4-year period substantially driven by acquisitions. The E PS trajectory during the same time is what has been reflected , and this was a mix of multiple factors playing out. One was that the acquisitions were in various stages of value creation, especially the ones acquired in February -24 and April -24. There was a significant increase in amortization and finance costs . The Guwahati facility fiscal benefits expired in FY24. So, we have a sharp increase in effective book tax rate to 25% in this financial year and all of that

has resulted in the EPS trajectory being what it is.
Now when we look at FY26, we are seeing an inflection point with an EPS growth estimated of more than 50% in FY26 due to three factors playing out.
One is growth and margin improvement in the acquired businesses.
Secondly, debt reduction in FY25 which is higher than expectation by Rs. 500 crores , thereby lowering the interest expenses next year , and thirdly tighter capital management. Post FY26, EPS growth will continue to get

amplified each year by quarter -on-quarter debt reduction and year -on-year declining book tax rate in addition to operating profit growth which will happen.
These factors also substantially change the ROC E trajectory over the next 3-4 years . Again, if I look at the two factors , EBIT and Invested Capital , a lot of initiatives have been taken on both fronts . Return on Capital Employed which was at 11% in FY24 will end up at 15% this year, we are looking at 18% next year and to exceed 20% in FY27. Adjusted ROCE , which excludes the impact of deal related amortization , stood at 19% last year , we are looking at 20% this year and 22% in FY26.
This is the Consolidated P &L for the quarter and 9-month period . Consol operating revenue of Rs. 727 crores , which represents a growth of 50 %, 9-month revenue of Rs. 2,188 crores, again a growth of 50%. In terms of the margin movement, gross margin was down by 600 bps due to significant changes in product and business mix. This is on account of Biocon as well as Swiss Parenterals . Fixed expenses ratio down by 436 bps year-on-year on account of continuing business integration .
EBITDA for the quarter was at Rs. 250 crores , which is a growth of 43% , and 9-month EBIDTA was at Rs. 765 crores , which is a growth of 45%. Book tax rate was 25.2 % for the quarter and 24.3 % YTD. The OCF to EBITDA ratio is 103% YTD and cash EPS is in -line with the previous year's numbers .
This brings us to the close of this quarter's presentation , and now we can move on to the Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. To ask a question, please click on the Raise Hand icon tab available on your toolbar or on the Q&A tab available on your screen. Kindly turn on your microphone when the operator announces yo

ur name. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We will take our first question from Kunal Randeria from A xis Capital. Please go ahead.
Kunal Randeria: Firstly, would it be fair to assume that excluding Biocon -1, the growth will be close to 8-9% for the quarter?
V. Krishnakumar: Excluding Biocon -1 the growth is 11% . Including Biocon –1, it is 12%.
Kunal Randeria: Okay . Which means the Biocon -1 hasn't grown or has it degrown over the years?
V. Krishnakumar: It's a smaller base , Kunal. It has grown much faster than 12% , but because its salience in the overall base is small , so the movement is 11% to 12%.
Kunal Randeria: So, then in that case , what would be our Biocon -1 plus 2 sales for the quarter ? I mean , I am just comparing to the disclosure that you made in the previous two quarters .
V. Krishnakumar: It's in line with the disclosures in the previous quarter . Around Rs. 135 crores per quarter after taking into account the insulin shortages . So, we continue to chug along at that pace.
Kunal Randeria: Okay. Got it. Secondly, again on the insulin business . Can you share what the market growth rate is today and what are your growth expectations going forward?

Amit Bakshi : Yes. Hi, Amit here . This is a very interesting question because there are two sides to it. One is the market growth , and the second we see some discontinuation, some shortage rather , my bad, some shortages which have been created by the largest player and these shortages have been there for quite some time . Those shortages are giving us and every other player actually a chance to grow better .

Our idea is that pla in human insulins, especially in the cartridges, will give us more room to grow going forward , and the only caveat is the suppl ies should get back to the right levels which we think should happen from March onwards.

Kunal Randeria: Right, and Amit thanks for that. Can you share why the biggest player has created the shortages? Does he himself have supply issues or is it some other factor?

Amit Bakshi: Kunal , I think you should find this out on yourself. But what I am telling you is what I am seeing in the market. But you should find this out because this is a big thing. This is around a Rs. 600-800 crore s market which I am talking about . Just do a channel check and see for yourself. What I can tell you is that we see shortages and we feel that we will see more of them in the coming time.

Kunal Randeria: Right, that's interesting. Okay, just one more if I can squeeze in. Swiss margins have actually gone down by around 500 bps in the last couple of quarters. Is it just quarterly variance or anything you would like to call out over here?

V. Krishnakumar: It is a function of product mix , Kunal . In whichever quarter you have more Betalactam sales , the mar gins will be lower . Swiss revenue and margin profile needs to be seen on a year-on-year basis .

Amit Bakshi: We are on track , Kunal. We can tell you that we are on track both at the top line and at the bottom -line level.

Kunal Randeria: Sure, sure. Thanks a lot. This is very helpful.

Amit Bakshi: Thank you.

Moderator: Thank you. We will take our next question from Harith Ahamed from Avend us Spark. Please go ahead.

Harith Ahamed: Yes. Your comment that synthetic Semaglutide will make way for recombinant Semaglutide . Can you give a bit more color on that? Because my understanding is that most generic companies are focused on the synthetic version. So, you know, trying to understand the rationale for that comment.

Amit Bakshi: Okay, rational e is very clear . Because , you know , the Bio piece is mad

e on
a large bed , and you don't need columns for that unlike synthetic . That is more like a physical thing which you have to do and Bio, once the yield comes in you know , it goes on . It's a given fact actually , Harith, that the Bio piece is less expensive and more scalable. Also, don't forget at some point in time the innovator is also at the same level.

Harith Ahamed: Okay. Then you also mentioned that you are targeting to be among the first wave of launches for Semaglutide . So, where exactly are we in terms of development? Have we completed clinical trials? Have we done the regulatory filings? And when exactly is the market formation in India that you are expecting?

Amit Bakshi: Harit h, you know, we are all aiming for the 1st quarter of the calendar year of next year, 26 that is , Calendar Year'2 6, and you can very well find out there are seven people who have already applied. There are a couple of people where the CT has already started . I think those are all in public domain now and we have tied up with one of them.

Harith Ahamed: Okay. And then the last one , with your permission . You know , last quarter I
think you talked about foraying into the broader Biologic segment in areas
other than insulins such as monoclonal antibodies . So, where are we on that
front, and if you can share some color on the kind of molecules that we will
be targeting and the timelines.
Amit Bakshi: Yes, Harith, we are actually dabbling into a lot of things. Most of them are in
a formation phase as of now, so I just can't comment on the timeline. But for

example, Pegasparg inase is one product which we are launching in the
domestic market next month , this current month, sorry . Our pipeline today is,
you know, we haven't seen this kind of pipeline for the company .
FY27, that is next year, when Sema is available, in that year particularly we
are targeting two more Anti-Diabetic injectables. But they are still a little far
off, so we are not comfortable telling you the timeline. But as per the planning,
we have those things ready by FY27.
Harith Ahamed: Okay, got it. Thank you , Amit. I will get back in the queue.
Amit Bakshi: Sure.
Moderator: Thank you. We will take our next question from Kunal Dhamesha from
Macquarie. Please go ahead.
Kunal Dhamesha: Sure. Amit, can you share your thoughts as to how this Semaglutide market
is going to evolve in India in your view ? And based on whatever you are
seeing in the Anti-Diabetic market , and India is definitely a large market
probably for Anti-Obesity use as well . But there is nothing available . There is
no addressable market as of now, which we, let's say, had in Dapagliflozin
or Sitagliptin, r ight. So, how are we going to tackle it? Looks more like a
market creation , right. What are your thoughts here?
Amit Bakshi: Kunal, thoughts are very clear. I don't know why you are asking this because
if you go through 2025 guidelines, there are three indications where GLP is
indicated as the number one drug now . So, diabetes with obesity and
diabetes with ASCVD risk .
If you look at the addressable patient population , that is diabetes with obesity ,
60%-70% of times it is fatty liver and there is hypertension and some amount
of ASCVD. Actually we feel as per the guidelines evolving , that GLP will
become the first line of treatment .

Where not to give GLP is actually, if you look at the guidelines, that is the
question and in diabetes, we don't talk of obesity . We talk about adiposity . If
you look at the entire population of ours, we are all thin fat Indians . What
happens to GLP in obesity, non -diabetes is something which we are also
waiting to see , right . But when it comes to diabetes, it's quite clear how things
would shape up .
In

I think 2025 ADA guidelines or any other guidelines, maybe AST
guidelines also, GLP is now getting indicated. In fact, the big man of diabetes
is now saying that future of diabetes is GLP, Dapa , Pio and Metformin , in that
order actually when it c omes to patient with type -2 diabetes .
Kunal Dhamesha: What's the patient's willingness or what are you hearing from, let's say, key
opinion leaders in terms of moving towards more injectable form of diabetes
treatment versus type -2 diabetes typically has been oral form ? Obviously,
U.S. is a very different market, right?
Amit Bakshi: Kunal , I feel the adoption will be great. I am only worried about, we are very
conscious about our GI , right . We are hypersensitive and hyper reactive in a
manner with how the GI behaves . That's one thing which we will wait and
see.
But injectable should not be a problem. We have been with Lira now, I think
two months, right? We are now clocking Rs. 1 crore per month . It's no great

shakes in itself , but it's the adoption that is happening better and because everybody knows it's a matter of time you get a once a week product . So, I don't feel there is a prick -phobia and please understand , the phobia with insulin is more of hypoglycemia than of prick. If you remove hypoglycemia from insulin, the prick is not as painful from a patient point of view.
Now imagine a product which has no risk of hypoglycemia. If you over -inject, no issues other than the GI side effects or some other side effects . In my view, patients will have a good adoption. People love to see their weight

going down and once the weight goes down , all the parameters start behaving well.
If I put, Kunal , for a moment weigh t loss into the center, and then see the periphery , so, there is diabetes . There is hypertension . There is ASCVD . There is PCOD . There is IVF from PCOD. There is joint pain . There is joint replacement. I mean , quite a big portion of all these things. In all these cases, it is significantly documented that 5 to 10% of the body weight will give huge advantages.
We don't know how would a person who doesn't have any metabolic issue, how would they look at obesity alone from the jab point of view . But when it comes to this population (diabetes) , adoption is going to be quite good.
Kunal Dhamesha: One for KK on the expectation for our Swiss Parenterals export revenue of around Rs. 330 crore s for full year that kind of puts the last quarter at almost around Rs. 100 crore s. Is there a seasonality there, which we should be aware of, that business is typically stronger in Q4 or how should we think about that? Because it's a sizable ramp -up.
V. Krishnakumar: Yes, Kunal, this is a seasonal business. Q4 is always their heaviest quarter. It has been so for the last two, three years in succession. I think even outside Swiss Parenterals , wherever there is an export business, typically our fiscal Q4 is Q1 of the fiscal/ calendar year in those markets . So, because of that, the Jan -Feb-March quarter always tends to be heavy for these kind of businesses .
Kunal Dhamesha: Is it because of some purchase orders that comes in or is it the seasonality of portfolio that kind of you know , works out for us?
V. Krishnakumar: PO driven . As I explained , Q4 of our fiscal year is Q1 of their fiscal year.

Kunal Dhamesha: Sure, and in that case if there is a meaningful ramp -up on sequential basis , that should take care of profitability due to the operating leverage kicking in. Is that fair understanding?
V. Krishnakumar: Yes. So, profitability is a function of operating leverage and product mix . Product mix varies quarter -on-quarter which I have mentioned before and the other point is on fixed cost leverage .
Kunal Dhamesha: S

ure . And for these two facilities where a lot of work is going on - the Bhopal facility and the Ahmedabad unit , are these facilities currently a drag on your EBITDA ? And if yes, what's the quantum of that drag? We expect that your next couple of years to kind of...
Amit Bakshi : Yes, it is , Kunal . What happened last year? The Ahmedabad facility was a drag because our utilization was 20 %. This time it is the Bhopal facility wherein the whole thing is . This is how the game will be played out . Till the time it becomes functional and start s producing , there will be a drag , but it seems , it's like an every year thing . So, we didn't make a point to kind of separate the expenditure out , but what you are saying is right .
Kunal Dhamesha: Sure. And l et's say , you know, 2-3 years down the line, when both these facilities are in full swing in terms of manufacturing and production, what kind of gross margin delta that you expect for the company as a whole?
Amit Bakshi: I can tell you about Bhopal because Bhopal in the short term will be producing

all our ins ulins. That's what the case is. Insulin at this point of time would be
more like a 60% gross margin. KK, g ive and take something ?
V. Krishnakumar: Slightly lesser than 60 .
Amit Bakshi: Yes, 60% around , and we expect this to be at around 72 %. So, we expect
1,200 basis point increase in the gross margins.

Kunal Dhamesha: Sure. And is there a portfolio? Let's say maybe the other way to look at it,
with your permission, last question from my end, what proportion of portfolio
you think or the proportion of revenue right now you think will be in -housed
over, let's say , next two to three years?
Amit Bakshi: 80% in -house. We are aiming for 80% in -house.
Kunal Dhamesha: And currently how much it is?
Amit Bakshi: It is in 60s.
Kunal Dhamesha: 60.
Amit Bakshi: Yes, but the objective is to take it back to 80s.
Kunal Dhamesha: Okay. Perfect. Thank you and all the best.
Amit Bakshi: Thank you , Kunal .
Moderator: Thank you. Before we take the next question, we would like to remind
participants to ask a question , please click on the Raise Hand icon tab
available on your toolbar. We will take our next question from Ritika
Khandelwal from Perpetuity Ventures. Please go ahead.
Ritika Khandelwal: Hi. So, you have mentioned that your OSD exports will kick -start in FY26.
So, we have largely been a domestic focused formulation company . So, what
will your strategy be behind this OSD export? And what is the size we are
targeting for this business ? And three years out , you know , what will be your
ballpark export ? If you can, throw some light on that .
V. Krishnakumar: Today we are 90% domestic formulations, 10% exports in terms of revenue
composition. This might move a little bit here and there in three years , but
three years out I don't see a substantial swing because all pieces of our

business are on a good trajectory. As far as the addressable market for OSD
exports is concerned, it's a huge market.
Amit Bakshi: I think KK it's too early for us to even talk about it.
V. Krishnakumar: It's a huge market and suffice to say that we at Eris have always gone for
good quality business, that is good margin business . I think that ethos will
stay with us even as we foray into Exports .
Amit Bakshi: Ritika, it's too early for this, you know, how much we do in OSD , when do we
do it? You need to give us some time to really wrap our head around that.
Till this point of time, we are just doing the procedural part and still dabbling
with the market. This is not something which we have done in the past. So,
give us some time to really comment on this.
Ritika Khandelwal: Yes, I understood. Thank you.
Moderator: Thank you. Nex

t question is from Prashant Nair from Ambit Capital. Please
go ahead.
Prashant Nair: Yes, just one question on the cash conversion side . So, this year , it has been
a lot stronger than in the past and this is a year where you also started
international sales, where we typically see a slightly longer working capital
intensity . Can you elaborate on what has driven this? Is it mostly your own
internal efforts to tighten up things or is there any other factor here ? And is
this sustainable as we go into the next two years?
Amit Bakshi: The easier answer is the second question , Prashant. No, it is not sustainable.
But we are now looking at more like 80% OCF. This year it has been because
of tightening of things, internal efforts. But this is more like one time . We will
come back to that 80% from the next year.
Prashant Nair: All right . Yes, thanks. That's it f rom me. Thank you.

Amit Bakshi: Thank you.
Moderator: Thank you. Ladies and gentlemen, to ask a question, please click on the Raise Hand icon tab available on your toolbar. Next question is from Gagan Thareja from ASK Investment Managers. Please go ahead .
Gagan Thareja: Yes. So, the first question is on the debt repayments . While you have given some guidance in the presentation up to the mid of next year , by when do you target to become completely debt free? How should we think of leverage on the balance sheet?
V. Krishnakumar: I am not sure if being completely debt free is an objective for us or that it is even a good thing to pursue . Having said that, I think in terms of leverage we have indicated INR 1,750 crore net debt by the end of next financial year. Post that , I think we will be below Rs. 1,000 crore in FY27 based on organic cash flows . So I think we will be completely debt free by the end of FY28. But I am not sure that is a desirable objective - I reiterate.
Gagan Thareja: And what's the current gross debt?
Kruti Raval: Gagan, we actually only give out the net debt numbers. But if gross debt is something that you really need to understand, then we will come back later.
Gagan Thareja: Okay .
Bharat Shah: Why that coyness in giving gro ss and cash separately? I mean, what 's so significant about it not to reveal?
Kruti Raval: Sorry sir, I did not understand your question. Can you please repeat?
Bharat Shah: You said you do not reveal, this is Bharat Shah . My colleague Gaga n also is on the call with me . This is Bharat raising the question . You say you do not give gross . You give only net debt figure. So, I said, why being so coy about giving gross debt and cash and then the net debt?

Amit Bakshi: No, Bharat Bhai, there is nothing, Bharat Bhai. We will tell the gross . Just give us some time.
Kruti Raval: It's just that it's been a practice for us and most of our peers also to give ne t debt numbers because they give a more ...But …
Amit Bakshi: We will give them.
Kruti Raval: Yes.
Amit Bakshi: It takes two minutes.
Bharat Shah: It's just a question of time required. Okay, that's fine. I thought you are just being bit coy about it . That's all.
Amit Bakshi: No, Bharat Bhai , what is there in that . We will get the numbers out.
Bharat Shah: Okay, thank you.
Amit Bakshi: Okay.
Gagan Thareja: Sir, I have one more question. Is it possible to give us an idea of how sales in all of your acquired businesses starting from Oaknet and thereafter have evolved from '24 to '25 and how are they, you know, currently for 9 months to 9 months if it's possible to give an idea?
Amit Bakshi: Gagan, we have stopped doing that for ourselves also now. It's been two years. Everything has now come together. You know, it's all come together and the integrated piece has grown by 12% in this quarter. Anyway,

the new business which we have acquired last year, we are giving the numbers separately . And in Q4 also, we will give everything in terms of the new business. Let it be like that. I mean, it's all integrated now.
Gagan Thareja: Right, sir. Thank you.

Bharat Shah: Yes, Bha rat again . In terms of your own assessment qualitatively of the acquisition s made , what are the things which have more than met with your expectations and are there any things that might have underwhelmed you?
Amit Bakshi: Bharat Bhai, taking the cue from Gagan, Oak net with combination of Glenmark and Dr . Reddy 's has been very good. Last year, Kruti, we gave an EBITDA of 46% at some point of time for the Derma business. So, the derma business has done very well for us.
But if you ask me , it's the Biocon business which has opened a lot of growth passages for us. Now how much we do in that, when do we do is something which we are working on. But you know , the way we think about the business has in a way changed significantly after Biocon and with all the biotech and the new , you know , the complex product.
At a personal level while on the cash register, Oaknet, Glenmark and Reddy 's has done very well , but from a growth perspective and the future of the organization, I think Biocon has given us a lot of way forward.
Bharat Shah: So, strategically , it has expanded your reach and capability and depth .
Amit Bakshi: Correct. Absolutely. Absolutely.
Bharat Shah: Okay. So, I presume based on what you have said that you have more reasons to be pleased with the acquisition speaking in entirety which may or may not be fully met with expectations.
Amit Bakshi: Yes, I cannot deny that , Bharat Bhai. This has been quite gratifying. Both of these acquisitions with Glenmark have been quite gratifying.
Bharat Shah: Thank you.
Amit Bakshi: Thank you , Bharat .

Moderator: Thank you. Next question is from Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.
Prolin Nandu: Yes, hi, Amit. A couple of questions from my end. One is on the organic growth rate. Now, you know, 12% and if you remove Biocon -1, it's at 11%. So, you have always been saying in the past couple of quarters that Q2 or H2 would be launch heavy, right? So , I just wanted to understand and you gave some color on what will happen in FY27 when Sema comes in and couple of more products also come in? So , from here on till FY27, is our pipeline robust enough to help us with this kind of organic growth numbers or will we see some volatility going ahead? How do you want to give some color on the pipeline till the launch of Sema and couple of more products that you highlighted previously on the call?
Amit Bakshi: Yes. This organic growth of 12% in Q3 and 9% in 9 months, this is not something which we are very happy about. We haven't delivered th at number , but we had always aspired for 14 -15% growth. So, we have been working, we are still working on the same path.
The only thing is if you look at how the portfolio has changed in the last one year, maybe last couple of years , we are now getting more and more confident of achieving that range , especially from the newer products which we are talking about. So, is 10 -12% something which will bring a lot of ups and downs . I don't think so. But the new product s which we are talking about is more about taking the growth rate ahead of 12%.
Prolin Nandu: So, this is a good baseline to work with, right , going ahead ? Is that a fair comment to probably make?
Amit Bakshi: Yes, d efinitely.
Prolin Nandu: Sure. Great. That's good to hear. One more question will be on your Bhopal facility and the insourcing there, right, in terms of technology transfer. Are

there any delays? Because I thought some of the benefits were to accrue Q4

onwards. Now you are saying that Q1. So , are we largely on track or are
there some delays in insourcing and some of the margin benefits that we are
about to see from that insourcing ?
Amit Bakshi: Yes, there ha ve been delays and we actually expected delays , but it has
gone a little beyond but still in control. Our original thought was that in Q4 we
will be able to do vials , which is now shifted to Q1. We still feel that we will
be able to do cartridges in the second half of the next year .
At this point of time , it seems to be in-line, but the caveat with all these things
is there are too many moving parts . There are licenses . There are multiple
permissions . Especially in Biotech , there are PV batches , stability testing , all
those things . There is always a chance of some here and there in terms of
timeline.
Prolin Nandu: Understood. Thanks a lot , Amit. That's it from my side. Thank you so much.
Amit Bakshi: Thank you.
Moderator: Thank you. Next question is from Tushar Manudhane from Motilal Oswal
Financial Services. Please go ahead.
Tushar Manudhane: Yes, thanks for the opportunity . Just on this Levim where we have completed
preclinical studies, I am not sure if you have answered this , but just to
understand how long will it take for human trials?
Amit Bakshi: Human trials, so the initial trials will start early. Maybe in the 1st Quarter of
the next year, the human trials will start , but those will be Phase 1 . Then you
will have to go through the entire process. Tushar, this is a process . So, our
best-case scenario is the calendar year '26 end or '27 early. KK, am I right?
V. Krishnakumar: Yes c ommercial launch by end CY26 or early CY27 .

Amit Bakshi: But please don't confuse this with our launch. Our launch is separate ,
domestic launch is separate , and this is separate.
Tushar Manudhane: Yes, this is for the recombinant Semaglutide.
Amit Bakshi: Yes.
Tushar Manudhane: And the synthetic Semaglutide is the separate, right? That's what you are
trying to indicate.
Amit Bakshi: Yes, absolutely.
Tushar Manudhane: Sir, given that the innovat or's product is biological, so the acceptability of the
synthetic peptide in different markets, what is your sense?
Amit Bakshi: No, Tushar, at the end of the day , the bioequivalence studies have been
conducted across . It will be completely unfair to say that at the last mile, there
might be people who would like to use this . That's a different thing. But
technically speaking, the products are on par.
Tushar Manudhane: Okay. As acceptable by the regulatory as well?
Amit Bakshi: Of course , that's where the whole , I mean , the licenses have already come .
The drug licenses have already been received.
Tushar Manudhane: Okay. Secondly, on this insulin Bhopal facility, because of insourcing at least
as far as vials is concerned, for that particular business what kind of large
improvement is sort of expected?
Amit Bakshi: I have told you, Tushar . I just told the last caller that putting a timeline is
difficult. But when all of this is in -housed, which I think should happen in
August, September, October , when all of this is in -housed, it will be 12%
points which we see and once the vials come in, so there are vials, 40 IU
vials, 100 IU vials, there are around 9 iterations into that . This will take its

own sweet time. But we expect September -October kind of time that
everything will come together. Once that happens, I have given you the
numbers.
Tushar Manudhane: September -October next year , I mean coming September -October you are
saying?
Amit Bakshi: Coming September.

V. Krishnakumar: This calendar yea

r.
Amit Bakshi: This calendar year.
Tushar Manudhane: Only on account of vials, right ? Here we are not considering this cartridge fill - finish or we are also factoring cartridge fill -finish as well?
Amit Bakshi: Also. Also , Tushar, everything.
Tushar Manudhane: Okay, I meant , just only on vials if it's possible to share.
Amit Bakshi: Yes, we will gain some . Vials are 40% of our sales as of now , but it is the cartridges which are growing . Vials are also , you know , there are too many SKUs in vial . So, that will be little , you know , too much of a detail , but yes , you will see the improvement coming from Q1 , but the whole impact will be seen by the end of September, October kind of timeline.
Tushar Manudhane: Got it. Thank you.
Amit Bakshi: Thank you.
Moderator: Thank you. Next question is from Harith Ahamed from Avendus Spark. Please go ahead.
Harith Ahamed: Hi, thanks for the follow -up opportunity . Your comment that you expect GLP - 1s to become first -line treatment in diabetes . Should we expect a decline or

cannibalization of your insulin business as GLP -1s gain more traction in diabetes indication and it's been significant business for us ?
Amit Bakshi: Yes, Harit h. Technically what you are saying , one of the indications approved by the ADA is before the initiation of insulin , right? But Harith, what is happening simultaneously even insulin is very underpenetrated in our country . We have been talking about Sulfonylurea going down since last 10 - 12 years now, since the time Dapa had come in. But you look at what has happened . It is still sustaining . It is still sustaining well . The larger point , Harith, here is that as a population , we are at 8.5 HbA1c.
Now understand what is going to happen. The target of 7% HbA1c was not made because below 7% there was no benefit. The problem was when you go below 7, you had more hyp oglycemia, morbidity and mortality because the drugs which were used when the guidelines were formed were hypoglycemic drugs .
There is a whole new set of people. I will appeal to anybody of our age who is seeing diabetes. Now your goal is not 7%. We should look at medical remission, which is say 5.7 -5.8 H bA1c. This is where GLP will take you . You can start from 0.25 and take it to 2.4, 8x the initial dose and no hypoglycemia .
So, what I am saying is that insulin still is under -penetrated.
Technically what you are saying has a merit. But because there is so much under -penetration, the Glargine today is very underpenetrated. I see a trend in the future that Glargine will overtake pre -mixed insulin. That is what has happened globally, and we also are poised in that direction . So, I am positive for ins ulins as well over the medium term at least.
Harith Ahamed: Okay. Got it. That's very helpful. Thanks a lot.
Amit Bakshi: Thank you.

Moderator: Next question is from the line of Kunal Dhamesha from Macquarie . Please go ahead.
Kunal Dhamesha: Hi, thanks for the opportunity again. One on the, you know, basically on FY25 guidance, we had put out detailed guidance last quarter . So, where do we stand on that? Is there any change in terms of consol revenue , EBITDA expectations?
Amit Bakshi: Right now, no change. Kunal, right now we are on it.
Kunal Dhamesha: So, we should assume that Rs. 3,000 crore s kind of revenue run rate, right?
Amit Bakshi: Yes, yes, more or less.
Kunal Dhamesha: Okay. Sure. Just one on the GLP -1. While we discuss a lot of stuff , what is

your estimate of this market would be in , let's say , next, you know , where
does it start in CY26 and then by CY30, you know , how big it can get ?
Amit Bakshi: Kunal , '30, I don't know , but my idea is that we will have 1 million patients . I have

said this already . My feel is first year would be Rs. 2,500 to 3 ,000
crores.
Kunal Dhamesha: Okay.
Amit Bakshi: First full year.
Kunal Dhamesha: Sure . That would assume how many patients ? 1 million roughly .
Amit Bakshi: A million patients and then we have done , you know , you take three months , and there is a dropout rate and all those things . Considering that on different dosages , we feel that 1 milligram will be a dose which will be taken by a very large population . All those things , but this is an internal assumption based on whatever understanding , experience and channel check we d id.
Kunal Dhamesha: Sure.

Amit Bakshi: Do you have some other idea, Ku nal?
Kunal Dhamesha: No, I didn't have, in fact, I am just trying to triangulate what this could be because it doesn't look very straightforward in terms of India being a slightly different market. It's out of pocket. And I think pricing might also play an important role. But let's say , since we are primarily into Anti-Diabetes and we have done , what in your view would be the average cost of Anti-Diabetic medication ?
Amit Bakshi: I am not answering that , Kunal . Kunal, I am not answering that.
Kunal Dhamesha: No, I am saying t he prescription costs for a week or something. Ye s, on average .
Amit Bakshi: It's the same question, Kunal. I am not answering that. It's a foot in the mouth kind of a thing. I am not answering that, but yes, we will be very, very, very, very economical. India, you know, all Indian offering would be very economical and in reach of a significant number of patients.
Kunal Dhamesha: Sure . Great. That's great to hear. Thank you.
Amit Bakshi: Thank you.
Moderator: Thank you. Next question is from Gagan T hareja from ASK Investment Managers. Please go ahead.
Gagan Thareja: No, my questions are answered. Thank you.
Moderator: Thank you.
Amit Bakshi: Thank you.
Moderator: We will take our next question from Rahul Agrawal from Himalaya Investment Advisors. Please go ahead.

Rahul Agrawal: Thanks for the opportunity , and congratulations on strong execution across the acquisitions and organic growth. My question is more around the organic growth guidance that you just shared, Amit, which is that your aspiration is much higher than 12%. Is that factoring in the opportunity from GLP -1 or is that more driven by these new combinations that you are launching in H2 of this year, which you expect to take you over the 12% line?
Amit Bakshi: Yes, more driven by , I am not even counting GLP as of now because , it's a little far away . It's driven by injectable insulin s. It is driven by cardio , the cardio -diabetes space, the mixed space between cardio -diabet o and it is driven by D erma. These are the three top picks .
Rahul Agrawal: Got it . So, that Rs. 2,500 to 3 ,000 crore s market opportunity for GLP -1, that comes in one year like you said , that will be on top . Whatever share you can win on that , that will be on top as a big driver in FY27.
Amit Bakshi: Yes, that's the aspiration , man, but I am using the word very carefully . That's the aspiration .
Rahul Agrawal: Got it . And from a margin profile , we obviously have had good expansion in

margin across the acquisitions we have done, but over the next year or two, how much more room do we see in terms of EBITDA margin improvement at a broad level? If you look at it two years out, what sort of EBITDA margin do you see the overall business at?
Amit Bakshi: Yes, EBITDA we are doing quite okay with EBITDA. The only thing which we now see in the next year is the Bhopal si te starting into production and then the gain which comes in gross margin. Beyond that , we don't see any great thing . We are happy with the EBITDA margins.

It might expand a bit , but that's not the idea.

Rahul Agrawal: Got it. Yes, no, it's a very healthy margin anyway . So, from here on , you are expecting a lot of organic growth coming in and GLP -1 should be a fillip.
That's the growth path you have taken the company from here.
Amit Bakshi: Yes, I think so. I think so.
Rahul Agrawal: Got it. Thank you so much.
Amit Bakshi: Thanks.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. V. Krishnakumar for closing comments. Over to you, sir.
V. Krishnakumar: Thank you for your participation. To summarize, our Branded Formulations Business has delivered a 12% organic growth in Q3. The base business EBITDA margin for 9 months has increased to 40%, up from 37% for the same period last year. Consolidated YTD revenue stands at Rs . 2,188 crores , which is a 50% growth. Consolidated YTD EBITDA stands at Rs . 765 crores with a 35% margin and 45% growth.
On the back of strong cash flows and capital efficiency, we are more than 6 months ahead of schedule on debt repayment. This combined with several operating levers will soon take us to an exciting inflection point in EPS growth . Starting FY26, EPS growth will get amplified each year by quarter - on-quarter debt reduction and year -on-year declining book tax rate.
We are confident that our market leading position in Diabetes combined with our strategic investments in biologics and injectables will enable us to create significant value in the GLP space. We reaffirm our business guidance for the current financial year. Thank you and a good evening to all.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Eris Lifesciences Limited , that concludes this conference. Thank you for joining us , and you may now exit the meeting.

This document has been revised to improve readability.

Call: May 2025

“Eris Lifes ciences Limited
Q4 FY25 Earnings Conference Call ”
May 19, 202 5

MANAGEMENT :

MR. AMIT BAKSHI – CHAIRMAN AND MANAGING DIRECTOR
MR. V. KRISHNAKUMAR – CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH – CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY25 Earnings Conference Call of Eris Lifesciences Limited.
We have with us on the call today , Mr. Amit Bakshi, Chairman and Managing Director; Mr. V. Krishnakumar, Chief Operating Officer and Executive Director; Mr. Sachin Shah, Chief Financial Officer; and Ms. Kruti Raval, Head, Investor Relations. Please note that this conference is being record ed.
I now hand the conference over to Mr. V. Krishnakumar, Chief Operating Officer and Executive Director of the company. Thank you, and over to you, sir.
V. Krishnakumar: Good afternoon, and welcome to our Q4 business results update. We start off with the summary of consolidated financial results for the fourth quarter.
Consolidated operating revenue for the fourth quarter was Rs. 705 crores, which represents a 28% growth year -on-year. Consolidated EBITDA stood at Rs. 252 crores, which is a 70% growth year -on-year. And consol profit after tax stood at Rs. 102 crores, which is a 28% growth yoy.
In Q4, our margin and fixed cost synergies continue to accrue. So gross margin was down by 269 bps in Q4, which was more than offset by a fixed expense reduction of more than 1,000 bps year -on-year.
The Q4 EBITDA of Rs. 252 crores represents an EBITDA margin of 36%.
Operating cash flow to EBITDA ratio in Q4 was 111%. The ROCE for FY25 stands at 15%, up from 11% in FY24. And adjusted ROCE, which excludes the impact of M&A -related amortization stood at 20%, up from 19% last year.
Now we'll go into each of the segments, starting with Domestic Branded Formulations. Our DBF segment delivered a 10% organic growth in Q4. Q4 revenue stood at Rs. 529 crores for the organic base and Rs. 73 crores for the Biocon -2 segment, resulting in a total DBF revenue of Rs. 602 crores for the quarter . And total DBF revenue for the year stands at Rs. 2,513 crores, which represents a 32% growth. This number represents 97% of our revenue guidance and 98% of our EBITDA guidance.

The Biocon business has delivered 11% organic growth in its first year with us. This is driven by a mix of multiple factors. We got a 30% growth in key power brands of the Biocon -1 portfolio, which are the Immunology and the

Nephrology business es. We registered a 21% growth in the Insulin power brands, namely Insugen and Basalog. And we took a 20% planned decline in Critical Care, which is the lowest margin business in that portfolio.
We are also happy to share that we clocked a 22% organic growth in the overall Insulins revenue with a total of Rs. 300 crores. This includes our home -grown Insulin brands, Xsulin and Xglar . We would like to share that there was significant product shortage in Human Insulin throughout the year, which we've been talking to you about. Our estimated sale loss on account of this across the two brands, Insugen and Xsulin amounts to around Rs. 50 crores, which is about 2% of our revenue guidance.
Moving on to Branded Formulations EBITDA. The total EBITDA of the Branded Formulations segment stood at Rs. 918 crores in FY25, which represents a 40% growth year -on-year. We have witnessed margin expansion across all segments. In FY25, the base business ex -Biocon clocked an EBITDA margin of nearly 40%, which is an expansion of more than 500 bps year -on-year.
And the Biocon business, which we picked up for an EBITDA margin of 19%, ended FY25 with a 24% EBITDA margin, which is an expansion of again, nearly 500 bps year -on-year. The EBITDA margin of the Biocon segment in Q4 was 25 -plus percent and we look forward to further margin expansion in this segment in the current financial year on account of Insulin in -sourcing into our Bhopal facility.
Let us take a look at how the Biocon -2 business, which was acquired in April 2024 - what does it lo

ok like at the end of one year post acquisition. In terms of financial performance, the two Insulin brands, Basalog and Insugen delivered a revenue of Rs. 242 crores, which represents a growth of 21% after taking a sale loss of Rs. 38 crores because of RHI shortages.

The total revenue across Insulins, Oncology and Critical Care stood at Rs. 386 crores and the EBITDA from this business stood at Rs. 76 crores. If I were to recap what has worked really well, I think what worked best was the strategy that we had of becoming a dominant player in the Insulin space with the backing of the best supply agreement with a marquee global Insulin player - that has worked out as per our expectations.
The business integration has been very smooth. The stock ist transition has been managed successfully. We got a 22% growth in the Insulin franchise despite the shortage s and the vial operations have already been commenced at Bhopal and the cartridges will follow in the later part of this financial year.
In terms of what could have gone better, on the Critical Care piece, we got a lot of gross margin improvement because Swiss Parenterals has started manufacturing a good part of the Critical Care portfolio. Where we got delayed was in building out the domestic go -to-market strategy. We'll talk about this more in later.
In the Oncology business, we had a significant learning in terms of the product mix and now we are in a better position in the current financial year with new launches lined up. Insulin fill -finish, we have spoken to you about this before. It took longer than anticipated, but we are glad that finally, it is rolling. So , in summary, we look at this acquisition as something that has given us a perfect capability platform with a marquee strategic partner for our Diabetes journey.
Moving on, we are very excited to share with you this launch pipeline consisting of Insulins, Analogs, GLP -1 and combinations. We have generic Saxenda and a very important Insulin Analog slated for launch in the first half of this financial year. We have got a premixed version of the same Analog and a GLP slated for launch in the first half of FY27. And we have one more Analog and GLP combination in the pipeline, which we expect will come through in FY28.

Our Diabesity strategy is progressing in line with our expectation. We ha d launched Liraglutide back in September 2024 for Diabetes. In this quarter, we are targeting the first generic launch in India in the obesity segment. Specifically, we are talking about Liraglutide for obesity , which is the obesity formulation of Liraglutide.

It is worth noting that unlike the Western world, Indian obesity is moderate in nature. So most obese Indians don't need more than 10% -15% weight loss, and even this gives huge dividends on metabolic health. If you look at safety data, Saxenda has the best safety data among GLPs, and it is the only GLP approved for adolescents. It is the m ost affordable therapy versus innovator alternatives . The marketing authorization for this product is owned by Eris and backed by an exclusive supply agreement with Biocon . As far as Semaglutide is concerned, all work streams are on schedule for an FY27 launch.

We'd like to recap that we have invested significant time and effort in creating our so-called “right to win ” in GLPs. We have seen world over that an Insulin company is the logical owner of the GLP segment because physicians and patients have stronger affinity for Insulin brands and companies versus orals. And selling insulins and GLPs is not akin to selling oral products. There is a significant component of Patient Service and Care. And this is where we believe that we have pioneered and we stand out from the rest of the market. There is significant upside to be had in

the current and the subsequent financial year from the disruption in the Human Insulin market. None of us are strangers to these headlines. There is a Human Insulin cartridges market worth more than Rs. 450 crores per annum in revenue, which is being vacated by the innovator and we are positioned with two large Insulin brands with a monthly revenue run rate of Rs. 23 crores.

We have bulk supply commitment at the highest level from our strategic partner, Biocon. We are tracking to commission our own cartridge facility at Bhopal by the end of this year. We believe that we can take Rs. 200 crores

to Rs. 300 crores per annum of this opportunity starting the second half of this financial year.

Anti-Diabetes remains a huge, huge focus for us. We are targeting a market rank of #3 in the next 3 financial years. We have the full portfolio in oral and now building up in injectables. Presently, we are at market rank 5, and we have doubled our market share f rom 3% to 6% in the last 3 years. We have a share of 10% in Insulins.

Our oral solid combination pipeline has been gathering momentum. We have novel products like Esaxerenone in the pipeline, which will come through for a Q2 launch. We have a formidable commercial engine consisting of a field team of 1,200 MRs across 5 divisions, one of the largest diabetes -focused field team in the country.

We have made several investments to recharge our base business. We have created 3 new divisions this year, two of them in the VMN therapy called RISE and STRIDES. The objective is to create more focus on VMN power brands through greater penetration, more coverage of doctors and expanding the product portfolio.

We have launched a new division called Bio ART, which is our play in the rapidly growing IVF therapy market. The business excluding Diabetes has been aligned into two SBUs with several senior hires to strengthen leadership and this is probably the first instance in the last 5 years of significant people investment in our base business ex Diabetes .

Happy to share that there has been rapid progress in in -sourcing, which provides additional tailwinds to margins. On the leftmost side, we are showing you the picture in F Y22, where we used to produce 80% of whatever we sell in -house, and this ratio declined to less than 50% in April '24 following multiple acquisitions. But through the last financial year, we have been diligently taking products in house . The in -house production stood at 66% as of March and by the end of Q4 of this year, we'll be back at 80%.

Coming to our DBF guidance for this financial year, we are guiding to an organic revenue growth of 15% to 21%, depending on the gains in Human Insulin, which will start in the second half of this financial year.

So, to recap our FY25 base was Rs. 2,513 crores and our FY26 guidance is in the range of Rs. 2,900 crores to Rs. 3,050 crores. This is after absorbing returns of around Rs. 60 crores because of certain FDCs, which have been banned and there is an at -risk launch product Linares E, where there will be some returns. We are guiding to a DBF EBITDA margin of 37%, and there will be a significant margin expansion in our Insulin segment, as we've discussed before.

Some of the key drivers of organic growth would be the first -in-market launch pipeline of more than 10 products, which have formulation innovations . Key new launches in Diabetes includ e Liraglutide for obesity , the Insulin Analog, Empa, etcetera. The VMN expansion, the new division in IVF, we have our Super-specialty hospital segments, which will start firing this year, and we are looking at a Critical Care reset in the second year post deal, where our strategic vision remains to create a large injectable f ranchise ex Diabetes, and we have several interesting

products in the pipeline for launch this year.

So, against FY25 revenue of Rs. 2,513 crores with an EBITDA of Rs. 918 crores, we are guiding to FY26 revenues of Rs. 2,900 crores to Rs. 3,050 crores and EBITDA of Rs. 1,070 crores to Rs.1,130 crores.

Moving on to Swiss Parenterals business update at the end of one year. Financial performance is largely in line. We got 99% of our revenue guidance and 95% of our EBITDA guidance. Swiss has already started manufacturing the Eris portfolio. Critical Care range began very early on in the year, and we are currently having the validation ongoing for GLPs.

We have created 2 new business units to leverage the global distribution reach of Swiss . One is the OSD exports from Eris Ahmedabad site to R oW, PICs and L atam markets. We are building a CDMO business targeted at EU

customers. Both Eris and Swiss facilities have been inspected by Anvisa in April and May this year, and we are targeting to commence shipments from the last quarter.

The organization has been strengthened both in terms of the front -end customer -facing side and the R&D side. And we have started investing for the future in terms of a Unit -3, which is an injectable block we are creating at Eris Ahmedabad campus. So, net-net, our take at the end of one year is that, this is a significantly under -appreciated business in which we have made several investments whose full potential will be realized starting FY27.

Some more color on the financials for Swiss. Q4 revenue of R s. 93 crores and Q4 EBITDA of R s. 34 crores, taking the annual total to R s. 326 crores of revenue, which represents a 12% growth and an EBITDA of Rs. 109 crores, which represents a 40% growth . The business continues to do well on return ratios, and we spoke to you about the expansion that we have planned in Eris Ahmedabad site. We are guiding to a 15% to 20% revenue growth this year. So R s. 375 crores to R s. 390 crores revenue with an EBITDA margi n of 35%.

We continue to remain ahead of guidance in debt reduction. We declared a dividend of R s. 100 crores in Q3. Post that, Net Debt at the end of the year stood at around R s. 2,200 odd crores. From here on, we are looking at getting to Rs. 1,800 crores of Net Debt, which would be around 1.5x Debt to EBITDA by the end of the current financial year.

There will be an exponential EPS growth over the FY26 to FY28 period, driven by multiple factors, including revenue growth, margin improvement, debt reduction, better working capital management and higher operating cash flow. This will be accompanied by a corresponding increase in our return metrics as well. So, for FY26, we are looking at an ROCE of 17% and an adjusted ROCE of 22%.

This brings us to the consol P&L for the financial year. So R s. 705 crores consol revenue for the quarter and R s. 2,894 crores for the full financial year. Q4 EBITDA of Rs. 252 crores and FY EBITDA of R s. 1,117 crores, representing a growth of 51%. Q4 PAT of R s. 102 crores and full year PAT of Rs. 375 crores.

We incurred a capex of R s. 263 crores in the financial year, including R s. 100 crores paid for the Bhopal site acquisition. We had a book tax rate of 23.4% for the financial year. Operating cash flow stood at 105% of EBITDA for the financial year and the cash EPS for the year stood at R s. 40, up from Rs. 38 last year.

Summing up our key business priorities for this year, the first priority being Anti-Diabetes, we would like to make sure that we are well positioned to leverage the market opportunity in RHI cartridges, secure all building blocks for Diabesity, make sure we achieve our regulatory milestones on our Insulin s, Analog s, GLP pipeline, complete the Insulin in -sourcing and continue driving our distinctive pipeline of first -in-market

OSD combinations.

On the base business, we would look forward to scale up the new divisions and deliver market -leading growth with sustained margin expansion. On the international side, we target securing Anvisa approval for Eris Ahmedabad and Swiss facilities, strengthen o ur CDMO pipeline and commercialize starting Q4 from both the sites. We look forward to commercialize our injectable expansion and initiate GLP validation from Bhopal starting Q4. On the balance sheet, we look to achieve our target Net Debt-to-EBITDA ratio of 1.5x by the end of the financial year.

Closing up, our business guidance for FY26. Consolidated revenue in the range of R s. 3,325 crores to R s. 3,500 crores, which represents a growth of 15% to 21%. Consolidated EBITDA of R s. 1,190 crores to R s. 1,255 crores, which represents a 36% margin.

We are guiding to a consolidated EPS growth of 50% and a Return on Capital of 22% adjusted. At this point, we are looking at a capex of R s. 200 crores in this financial year. The key items would be in the new injectables block and GLP validation.

That brings us to the close of this presentation. Thank you for your time. We can now move to Q&A.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: The first one on the Insulin business. Correct me if my understanding is right or not here because I believe we lost around R s. 50 crores of sales because of supply shortage of which R s. 38 crores was within Biocon -1 business. Is that correct understanding?

Amit Bakshi: It's Biocon -2.

V. Krishnakumar: Yes. R s. 38 crores on Biocon -2.

Kunal Dhamesha: Okay. And we expect now that whatever market is being vacated, we'll be able to capture maybe one -third to one -half of that in the same segment. So, what is our confidence level? What is going to change here in terms of supply? I know there is a Bhopal capacity coming up, but if you can share the numbers as to what is our capacity in terms of number of vials and eventually number of cartridges would b e great?

Amit Bakshi: So, Kunal, what we have done is that, while all this was going on we had been asking for a large onetime supply, which happened in March, which was in the DS. So, we have reasonable quantity of DS as of now.

Now, we are only sorting for the DP, which is the finished product. So, we are trying to get to certain things in DP. We feel that the markets would be able to sustain till July, August with current inventory . Post that, we will see the shortfall coming in. I was talking to you that the DS has been secured

this time. Last year, we had been struggling for the DS also. So, we made
enough effort to secure the DS. So, we are well secured .
Kunal Dhamesha: And this DS that we have secured, you said will run us through maybe June,
July. Is what we are saying and then we'll need another DS supply?
Amit Bakshi: So, Kunal, we have actually secured the DS this time. Right now, I can give
you some confidence on 50% to 60% of the demand we would be able to
supply from this DS and some of it is still work in progress.
Kunal Dhamesha: Okay. And then second one, just more clarity on the Critical Care business,
the planned reduction of 20%. And I think KK also mentioned that there will
be more details on this. So, I just want to understand, did we plan to get some
of the Swiss product into the channel, but we were not able to -- how should
we think about this 20% plan ned reduction in Critical Care business? And
what is the plan ahead to kind of get back the lost sale here?
Amit Bakshi: So, Kunal, it was not these products which was the problem. Our go -to
market didn't wor k. We had a little bit of a bandwidth

issue. And this is
something new for us. So, we are trying to figure out. Even today, I think we
will take another one quarter to kick up, kick start that.
But I have been telling you in the past and I'm telling you again that the
injectable piece is a very important thing for us - the non -insulin injectable.
So, there was a little bit of a learning curve , which we are kind of going
through. Say, a quarter from here, we should be better off.
Kunal Dhamesha: Okay. And lastly, if I may just squeeze in one more. The domestic business
margin guidance of 37% versus -- so which basically means around 50 basis
point expansion on FY25, right? But we are expecting almost around 800 to
1,000 basis point improvement in Insulin business, which is roughly R s. 242
crores out of R s. 2,500 crores.
So what is the gap? Ideally, our margins at a consol level just because of
Insulin should also improve by 80 to 100 basis points and then maybe some

operating leverage benefit. So, what is some impact or a drag, which I'm
missing here?
Amit Bakshi: Kunal, a couple of things. Look, number one, this 800 to 1,000 basis points,
which you see, the large part is the cartridges, and the cartridges will kick in,
in Q4. That's the commentary. Number two, you see we have added 300
people this year and initially, this is a strain to the EBITDA line. Keeping all
these together, we think 37% is a safer number. Can we do a little more than
37%? The answer is yes. But right now, we would commit to 37%.
Moderator: The next question is from the line of Abhigyan Srivastav from Marcellus
Investment Managers.
Abhigyan Srivastav: Yes, sir. With Novo leaving the market for Insulin cartridges, there are several
products in Novo's portfolio, which are substitutes for the products which they
are removing. In this regard, why do you, as Eris' management believe that
you can fill in that gap and Novo already has substitutes in its portfolio?
Amit Bakshi: It's a very simple answer. Substitutes are either going back to the vials or it's
around 4x of the monthly therapy cost of a premixed Insulin or a Human RHI
Insulin. So, which we think is a stress to the patient . This was happening for
quite some time actually. Our belief is whatever shift had to happen would
have most likely happened. So those are the numbers.
Moderator: The next question is from the line of Prashant Nair from Ambit Capital.
Prashant Nair: My question relates to Swiss Parenterals. So, you mentioned that Anvisa ha d
inspected the Swiss Parenterals plant as well as your Ahmedabad unit. So,
when we look at the exports opportunity for you, what are the next steps?
Have you already started filing registrations for the Eris products in emerging
markets? Or is that yet to happen? And how should we see this over the
next, say, 2 to 3 years?
Amit Bakshi: Yes. So, Prashant, it is -- I'll speak for the OSD piece first, and then we'll
come to Swiss. So, for Swiss, it is more like a continuation at this point of

time, and we have said whatever we wanted to say. The OSD piece is a very large piece. And we are hopeful that in the next couple of months, we should be through with Anvisa, which will open up very large markets for us, especially through the distribution channel of Swiss.

We are planning some products, but we haven't taken any of them as of now. So that process will start once we start -- once the approval is in place and we start getting people, but there are prospective customers, clients to whom we are talking.

Prashant Nair: Right. And when you mentioned CDMO opportunities in Swiss, so what kind of contracts would these be?

Amit Bakshi: KK?

V. Krishnakumar: Prashant, these are contracts for specialty products. We started off with injectable s because that's where there is

a legacy of Swiss. So, these are typically 3 to 5 year contracts for specialty products with EU clients, large generic companies or generic divisions of innovator companies and for supply in the EU markets.

That is what we are starting with. And now these discussions have progressed where those clients are asking for some oral solid products as well. So that we are starting to develop those at our Eris R&D site and eventually, that will be used to trigger the EU inspection for Eris Ahmedabad. So that is the trajectory.

Moderator: The next question is from the line of Amlan Jyoti Das from Nomura.

Amlan Jyoti Das: Sir, my question is regarding generic Liraglutide. So, I just wanted to understand what market size you are thinking for this launch, Q1 FY26 launch? And how do you think this particular product will ramp up in the next year? That is my first question.

Amit Bakshi: Yes. So, look, we find the generic Saxenda being very apt for the Indian market. That is what we have spoken in the slides also. But at the same point

of time, we don't find this opportunity to last for long. We feel once the generic Sema comes in at the price point which people are anticipating, then the generics Saxenda will not be as acceptable as it is today.

But for the meantime, what it does is basically bridges a huge gap for a low - cost Indian patient kind of a product and it actually helps us to kind of warm ourselves for the big GLP storm. So that's how we see it. In the first year of launch, we are considering it largely till March and then it might start tapering off a bit. So that's how the market is.

Amlan Das Okay. So, you think when Sema comes, then this will see a cli ff as of now?

Amit Bakshi: Yes, I believe when generics Saxenda comes the way we are -- sorry, generic Sema comes, this should taper off.

Amlan Das Okay, sir. Thank you.

Moderator: Thank you. We will move on to the next question which is from the line of Yash Mehta from Malabar. Please go ahead.

Yash Mehta: Hi. Thank you for the opportunity. On the Biocon -2 acquisition, we -- the base of -- at the time of acquisition, the base of revenues was around R s. 360 crores. In the presentation, we have written, we accomplished like 11% odd growth in the acquired franchise, but the revenue number is R s. 386. Can you help me understand the reconciliation for the same?

V. Krishnakumar: Yes. Hi, Yash. The 11% revenue growth that we've shown is for the overall Biocon Biologics business, which includes Biocon -1 and Biocon -2 because the base for that business was of the order of R s. 450 crores. On Biocon -2 in isolation, you're right, the growth is R s. 386 upon R s. 360, that is 7%.

Yash Mehta: Understood. And sir, in terms of, let's say, the drug product and drug substance question that was asked earlier, I understand the drug substance is being supplied by Biocon, and which is a 10 -year supply arrangement, sorry, 3 -year supply arrangement. I'm just wondering why is it a shortage till

July or August? I'm not completely sure of the market dynamics. It would be helpful if you can help me understand it.

Amit Bakshi: Yes. So, it's a 10 -year supply agreement. That's the starting point. And we

went through shortage because -- I mean, I think it's in the public domain now that last year, there were some countries where there was a little bit of a chaos for Insulin like Malaysia being one of them. So, a lot of supplies had to be managed between a couple of countries because what we might see in India now was witnessed in some of the other markets globally and Biocon is a global player. It's one of the largest suppliers of Insulin. So probably that was the reason we went through a couple of months of poor supply.
Yash Mehta: Understood. But they are in a position

to continue delivering this to us over
the next 10 years, right?
Amit Bakshi: Yes, that's the assumption which we are making. We are quite confident of that.
Yash Mehta: So, the shortage of -- my question, sir, was that R s. 38 crores was not because Biocon failed to supply. It was related to the drug product. Is that a fair assumption to make? Or am I wrong?
Amit Bakshi: It was a mix of both the thing s. Look, right now, we are getting the drug substance from Biocon, and we are also using their LL for manufacturing. So, it's like both are connected together. But primarily, there was a drug substance shortage issue, and then there was a bit of a drug product issue. So, it was a mix of both of them.
Yash Mehta: Okay. Understood. And sir, if you can help us understand this drug product in terms of -- we are moving from an LL to kind of having our own facilities. There's a Bhopal facility and there's obviously Levim and Chemman both. Just to understand the full integration would be helpful to understand from you as well.

Amit Bakshi: Yes. So right now, Levim is something -- somebody who is developing the newer products, the newer Analogs and other GLPs for us. Let us keep it separate. The substance in the products, the chemistry is like this that because this is Biotechnology, there is a rigorous regulatory process which is involved. So, what happens when you start a new plant, you have to take PV batches first, then put it into stability, then they go for testing, then there is an audit. And after subsequent to the audit, the licenses are released. So that's the entire process.
So, in Bhopal, what we have achieved so far is, we are very near to the licensing stage for the final manufacturing for vials. So, this is the first thing. Once we achieve the vial, then it will start coming from Bhopal licenses. The next round will come when the cartridges will happen. The same thing will repeat for cartridges. We'll have to take the PV batches, have stability, then it will go for testing and then the licenses would come. So, this is the entire process.
Yash Mehta: Fair enough. And if I can ask one more question with your permission. Then I would like to kind of understand, sir, Critical Care, you said the problems with the go -to-market side. Sir, can you just elaborate on what kind of issues there were? And in terms of your focus on this vertical, is it an India focus? Or is it largely through the Swiss Parenterals export focus? That would be helpful.
Amit Bakshi: No problem. So, all of this Critical Care segment is India focused . There's nothing like export there. So, we were dealing with a couple of issues. Guys, look what happens when this business was almost zero EBITDA and a very low GC margin as per our standards. So, at one hand, we had to improve the margins. We had to take out the products which were not giving us a lot of gross margins out and then develop the newer products with higher margins. So that is -- this cycle was not -- we are not ab le to complete this cycle in FY25 .

So going through this year, the idea is to bring -- build up brands which have a relatively high gross margin so that we could get a fair bit of EBITDA. So, the juggle between the product, the EBITDA and the gross margin, that is something which we are solving for, for the last year, and we haven't been

right up there.
Yash Mehta: Fair enough. That clarified a lot. Thank you very much for answering the questions.
Moderator: The next question is from the line of Ashish Kumar from Ampersand Capital Investment Advisors. Please go ahead.
Ashish Kumar: Hi. Thanks for taking my question. My first question is, if we look at the IPM data for April month, our value growth is below 5% and volume actually has declined. So, when can we e

xpect this to pick up going forward given the mix of the strategy that you have highlighted? And second question is, our cash generation for this year as well as next year is projected to be strong. So, can we see a more accelerated reduction in debt compared to what you have currently guided for? Thank you.
Amit Bakshi: So, the answer for question number one is that, this is a caveat. Please don't look at the market reflection at this point of time. It's a little all over the place. And I feel largely it is happening because when you acquire a company, you change the distrib utor set. And once you change the distributor set, it takes a certain time for the new algorithm to set up.
So, we have also raised similar issues but I think it might take some time to settle. So, what you are seeing in the data might not be the right reflection of what is actually happening. So, every quarter, we anyway give our results. So please bear with us for a couple of quarters till we reset the whole thing.
Number two, yes, the cash generation this year has been good, but we still guide for that 75%, 80% OCF. And right now, whatever we have showed you in the slide in terms of debt reduction, we stick to that.

Ashish Kumar: Thank you. That's all from my side.
Moderator: Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to Mr. V Krishnakumar for closing comments. Thank you, and over to you, sir.
V. Krishnakumar: Thank you all for your participation today. In summary, we've delivered a Q4 consol revenue of R s. 705 crores with a 28% growth. Q4 consol EBITDA of Rs. 252 crores with a 70% growth and a 36% margin. Q4 profit after tax of Rs. 102 crores with a 28% growth. Operating cash flow stood at 105% of EBITDA in Q4. The business delivered a ROCE of 15% in ‘25, up from 11% last year. Net debt as on 31st Marc h'25 was R s. 2,200 -odd crores, almost Rs. 400 crores lower than our guidance. We expect to achi eve a net debt -to-EBITDA ratio of 1.5x by the end of FY26.
Our DBF business has delivered an F Y25 revenue of R s. 2,500 -plus crores, growing 32% year -on-year with an organic growth of 9%. DBF EBITDA margin is 36.5%, up by more than 200 bps year -on-year and the base business EBITDA margin is nearly 40%. Swiss Parenterals has delivered a revenue of R s. 326 crores with an EBITDA of R s. 109 crores. For FY26, we are guiding to a 15% to 21% organic revenue growth with a consolidated EBITDA margin of 36% and a 50% growth in EPS. Thank you, and a good evening to all.
Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Eris Lifesciences Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting.
Thank you.

This document has been revised to improve readability.

Call: Aug 2025

“Eris Lifesciences Limited
Q1 FY26 Earnings Conference Call”
August 05, 2025

MANAGEMENT :

MR. AMIT BAKSHI – CHAIRMAN AND MANAGING DIRECTOR
MR. V. KRISHNAKUMAR – CHIEF OPERATING OFFICER & EXECUTIVE DIRECTOR
MR. SACHIN SHAH – CHIEF FINANCIAL OFFICER
MS. KRUTI RAVAL – VP-M&A AND INVESTOR RELATIONS

Moderator

Ladies and gentlemen, good day and welcome to the Q1 FY26 Earnings Conference Call of Eris Lifesciences Limited. Today we have with us on the call Mr. Amit Bakshi, Chairman and Managing Director; Mr. V. Krishnakumar, Chief Operating officer and Executive Director; Mr. Sachin Shah, Chief Financial Officer; and Ms. Kruti Raval , VP - M&A and Investor Relations.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note this call is being recorded.

I would now like to hand the conference over to Mr. V. Krishnakumar, Chief Operating Officer and Executive Director of the company. Thank you and over to you, sir.

V. Krishnakumar

Thank you. Good evening, everybody and welcome to our Q1 earnings call. To get started, the key highlights of the quarter, the Domestic Branded business segment, which is now representing the fully integrated segment consisting of all acquisitions , has grown 11% this quarter, thereby outperforming the IPM by 330 basis points and i f we exclude the impact from discontinued FDCs and some insulin shortages we've seen this quarter, the segment growth was 13-14%.

The operating margin of the DB F segment has expanded to 37% despite the addition of 300 MRs this year. The value creation in the Biocon segment continues. The Q1 operating margin for this segment was at 30%, which is up from 19% at the time of acquisition. The EPS acceleration has kicke d off as per our guidance. We recorded a 41% growth in PAT / EPS in the quarter. We've taken a decision to ramp down the Trade Generics business. We took an EBITDA loss ex -DBF of around INR 5 crores in this quarter.

After significant delays, we are happy to share that we have commenced the manufacturing of insulin vials at Bhopal, and we expect the production of insulin cartridges to commence from Q4. We expect the upside from the RHI cartridge market opportunity to accrue starting November, December of this year . The OCF to EBITDA ratio from routine operations came in at 65% this quarter, and post adjustment for strategic stocking up of Biocon products inventory , stood at 40%. We'll talk more about this going forward.

The key numbers for the quarter, DBF revenue of INR 702 crores versus INR 632 crores, so 11% growth yoy. DBF EBITDA margin, 37.2%, an expansion of 155 bps yoy. Biocon segment margin of 30% versus 19% at acquisition. Consolidated revenue of INR 773 crores, up 7.4% yoy. Consol EBITDA margin of nearly 36%, up from 35% in Q1 of last year. And consolidated profit after tax of INR 125 crores in the quarter, up from INR 89 crores in Q1 of last year.

Some key updates on the insulin business. The DS shortage is by and large behind us. However, the DP shortages continue to persist, so we took a revenue hit of around INR 10 crores in this quarter on that account. In response to that, we have created a strategic stockpile of insulins to help us in the subsequent quarters. This has created a working capital increase of INR 73 crores in this quarter with a consequent impact on OCF.

Bhopal vial manufacturing commissioned as already articulated, and we have also initiated the supply of Insugen vials from MJ Bio pharm site as an additional source. The cartridge operation in Bhopal is expected to be commissioned in Q4, and we are on track to leverage the market opportunity in RHI pen-fills starting November, December. On the slide, you can see a visual of the vials line, which is operational at Bhopal, which is capable of handling liquid as well as lyophilized biologicals.

Key updates on the GLP front. The cartridge line from Bausch and Str öbel is under installation. It is the latest KFM series line, which is built to regulated market

standards, and we will be using this for RHI, Glargine, as well as GLP -1.

In terms of the market front, we see a significant uptick in the market activity and the market buzz around the weight loss therapy. This is more or less in -line with our expectation that there would be a large GLP -1 market formation in India post L oE. In terms of driving DP self-sufficiency , we have initiated the validation of synthetic Semaglutide at our Swiss Parent erals facility in Ahmedabad. We have the cartridge line under installation as discussed, and we are planning to take validation batches of our recombinant Semaglutide at the Bhopal site in Q4. Also , happy to share that the recombinant Sema candidate is on track to enter Phase -1 in Q4. So, we retain our position that we expect to be among the first launches in India post L oE.

Moving to our small molecule R&D pipeline, we have shared with you before that we have 25 candidates that went into development this year. This is a combination of oral solids as well as injectables products. Some of the launches where we have clarity on calling them out for Q2 and Q3 are as outlined on the slide, including, several combinations of Dapagliflozin, Sitagliptin , and Esaxerenone .

Cutting over to international business, glad to share that most of the investments that have gone in over the last 12 to 15 months , we can see clear line of sight now. Just to give a bit of recap, at the time of acquisition, Swiss had a 20-year legacy in injectables, but largely from the ROW markets. Despite having two EU -approved plants, Europe accounted for less than 3% of their revenue and this revenue mix was carried forward in FY25, and the current year is also likely to be similar.

One of the biggest decisions we took post deal was to pivot the business so that we deepen our EU presence. We consciously chose the CDMO model so that we would have proprietary contracts with mar quee Generic companies. We have been able to leverage our advantage of having the widest range of dosage forms among all the EU -approved injectable manufacturers in India and what we essentially sought to do was to migrate the business to the “Top of the Pyramid” in terms of clients as well as market. This has been our strategy in our DBF business as well, and this is something that we sought to mirror in international.

Happy to share that this business is on the cusp of exciting growth starting the next financial year. We have confirmed contracts of more than INR 100 crores revenue per annum, which are in various stages of execution. This is just to give you a flavor of what some of those contracts look like. We have a contract for a range of Corticosteroids across several EU countries. We have some niche betalactam DPI. The whole EU accreditation has opened up Canada and ANZ for us as well because the same GMP is adequate to supply to these markets.

The client mix consists of global and regional generic players. Starting with less than 3%, in FY28 we expect that at least three out of the top five European countries will rank among our top 10 international markets.

The quarter one update . Export revenue of INR 68 crores versus INR 74 crores yoy and EBITDA consequently of INR 22 crores. In terms of the regulatory updates, we received the EU -GMP approval for both the injectable sites as well as a bunch of additional approvals.

In terms of the key inspections done during the quarter, the Latin American inspections are among the top in terms of commercial significance. Our new product development approach has also been pivoted with a n EU-centric approach. We added a very interesting L oE opportunity to our injectable pipeline. We a re targeting to be among the first generic launches in Europe. We also added several niche products in Critical care , Women's health where there are only one or two players in Europe. These are all products that we will look forward to la

unching in subsequent
quarters. We are on track to deliver the guidance. Swiss is a lumpy business. Q1 is the lowest quarter for them. Though growth over the next 18 months, as we have called out, will be driven by migrating to the “Top of the P yramid”

in terms of markets and clients. We do have some capacity constraints in a couple of lines, which will ease up once the new unit gets commissioned.

Summary of consolidated financials. Revenue of INR 773 crores for the quarter with a growth of 7. 4%. Couple of things dragging it down. One is exports, which is lumpy as we've called out and the second piece is the trade generics business, which we have started ramping down. We got revenue of INR 3 crores this quarter versus INR 13 crores in the quarter one of last year. This has also led to an EBITDA loss of INR 5 crores at a consolidated level.

EBITDA margin for Q1 has expanded from 35% to 36% at a consolidated level, and we got around a 20% interest expense reduction yoy. So Q1 PAT stands at INR 125 crores, which is a yoy growth of 41%.

Q1 net debt stood at INR 2,300 odd crores, which is INR 100 crores over what we closed FY25 at. This has been on account of a couple of factors ; capex of INR 66 crores and the inventory buildup of Biocon products. Having said that, we reaffirm our net debt guidance of INR 1,800 crores by the end of the year, which will bring us to a net debt to EBITDA of around 1.5x.

The details of our consolidated financials, I think we've covered all the major points on the earlier slide. EPS for the quarter came in at around 9 rupees and cash EPS at around INR 12.5 rupees.

In summary, we are on track to execute all our strategic priorities for the year in the Anti-Diabetes segment, in the base business, in the international business, as well as with respect to our balance sheet. We reaffirm our consolidated guidance for the year as called out in the previous quarter.

This brings us to the end of the presentation, and now we can take questions.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. Participants who wish to ask questions may do so by clicking the raise hand icon at the bottom of your screen and wait for your turn to speak. When prompted, you can accept the prompt on your screen, unmute your audio, and ask your questions. We' ll wait for a moment while the question queue assembles.

The first question comes from Harit h Ahamed. Please go ahead with your questions, sir.

Harit h Ahamed: My first question is on Liraglutide . In the past, you had said that this should be an interesting opportunity for us. But when I look at A IOCD data, we don't see much traction for us for our brands. So given that this is the only GLP -1 drug approved for obesity indication that's launched in India till date, the slower ramp up is a bit of a surprise. So, any color here?

Amit Bakshi : Harit h, little bit of a check there. We have two products which have been approved for obesity in India now. The first one, we all know was Mounjaro, and then subsequently, Wegovy also got approved with similar indication. The last thing is we haven't yet got our obesity Lira, which is a 3 milligram Lira commonly called S axenda. We haven't got permission yet, so we are just waiting. There's little bit hiccup there. That's on the obesity approval in India.

Second, why is L ira not picking up? Now the competition is stiff. What we believe is that till the time the higher cost GLPs are available, the patient would logically get one L ira as a follow -up. But that will take some time. That will take a lag, another three months roughly. Our plan was to kind of ramp up our generic Saxenda, which hasn't been launched yet and we were not expecting so much of action from two brands which have come in.

We were thinking about one brand which would have come by this point in time. Our expectation from generic Saxenda , internally, we have lowered it for the remaining part of this year. But I think Lira should ramp up. Give us another three months, it should ramp up. But please remember, we've always talked about post S ema patent expiry , Lira would have a limited run.

Harit h Ahamed: Ok. And second one on S ema, you confirmed that you're planning to be there at market formation. Just to confirm whether this is for both indications, diabetes and obesity, and if you could give some color on the status of development for your partner. Have they completed the trials ? Any indication on their filing timelines etcetera , just to get more comfort around the launch.

Amit Bakshi : I completely agree with you. Yes, we maintain that we should be among the first off the block in Sema . As far as the regulatory approvals are concerned , we would be having our last patient in by the end of August. The randomization has been done. The larger part of the patients have already been recruited. We will have the last patient in by the end of August, which makes it six months from there for the final report, which is December -Jan, and then another two months for approval on a higher side. That's how we are placed. As of now, it looks safe to say that we should be there.

Harit h Ahamed: Your comment that shortages persist in drug product. So, you know, while the opportunity in human insulin due to No vo's exit is going to open up later this year, will the shortage of capacities for the product be a constraint for us in terms of capturing a share of that opportunity?

Amit Bakshi : I indicated earlier that there will be a little touch and go when it comes to DP. But the situation is getting actually a little better. The thing which we were expecting to happen earlier in terms of shortages will now take a while longer. If you would have seen the presentation, there's a picture which we show of Bausch and Str öbel machine being installed. We received the machine late in July, and the ramp up is starting.

Now if we are lucky and both of these thing’s kind of coincide, then it will be a huge amount of supply which we will have. And if it takes one month or two months , we will have to struggle for that time. Our struggle is limited to 20% of what we wanted. If we were planning for 10, we are good at eight. So , that 20% gap still persist s. We have added another site for insulin, but that is again for vials because vials is also something which we were kind of having a little bit of a shortage.

As of now, the plans which we have given has been keeping in mind the kind of supply we had. But because it has got delayed and this is also coming, so if it happens together, then we are actually in a better position. But we'll wait it out for the next quarter to be really on top of that.

Harit h Ahamed: Amit, specifically on the cartridge front because that's where the opportunity is opening up. Right?

Amit Bakshi : Yes.

Harit h Ahamed: How's our readiness on that front?

Amit Bakshi : Readiness in terms of the new facility you're talking Harith ?

Harit h Ahamed: Yeah. Will we be ready with the new capacities, or will the shortages on the cartridge front ease by the time, you know, towards the end of the year, which is what you indicated?

Amit Bakshi : That's the calculation which we are doing as of now. This is the calculation. Our machine has already arrived. It will now start the whole process, then we will take the validation batches and all those things. As of now, it looks good. We are still saying that Q4 is the time when we will get it out and we are also saying that November,

December, is the time when the shortages will actually kick in. If these two coincide, then we are better

than what we
think. If there is a deviation , then, again we have a 20% kind of a risk which lingers.

Moderator : The next question comes from Kunal Dhamesha, Mr. Kunal you can unmute the prompt on your screen, unmute your audio, and ask your question.

Kunal Dhamesha : The first one on the current GLP -1 market. So both Lilly and Novo are in the market. Do we have any view as to the current market size? Whether these medications are finally being prescribed for Type-2 diabetes or for obesity or any proportion in -between?

Amit Bakshi : It's early, but you remember, maybe we were one of the first to call out that we expect this market post LoE to be INR 2,000 to 3,000 crores. At that point of time, we had a discussion on this. But as things are getting clear, as we can see more of it now, our confidence is only going up. Let's get the first thing which we spoke last time, maybe a quarter earlier, that the market formation is very encouraging. Right? The pent-up demand was there for weight loss, and we see the pent-up demand being met. The first off the hook is weight loss guys. They are more motivated with the current prices. Their readiness is bigger. Until the prices come down, which happens after L oE, I feel it would be more like 70:30. But once it opens up, I believe it will be 30:70 . 30 for weight loss and 70 for diabetes.

Kunal Dhamesha : Which is what it is globally now. Right? For the innovator also. Instead of say 70 for diabete s?

Amit Bakshi : You are right. This has what has happened after a decade of these drugs being available. For us, it will happen a little early. This is what I estimate Kunal . It's very interesting, we are working on the adjacencies also, and we find even that is very interesting. We'll talk about it later, but the adjacenc ies to GLP seems to be very interesting.

Kunal Dhamesha : Sure. That's great. Second one on the export business, I mean, obviously, year on year it has come off, and you have suggested that it was the timing of shipment, etcetera. But is there any change in the outlook for that business for FY26 or we stick to it? There's been deferred shipment which would come in Q2 or something ?

Amit Bakshi : Right now, we don't believe that there's any change in what we have said and the business has been like this. Look , 30-35% has always been in H1 historically. So, nothing changes from that point of view. In fact, we have tried to convey on the slide how we are trying to improve . The only problem which we see in the export business injectable is a little bit of a capacity problem, and this would remain for at least one and a half years. Most of the growth or all of the growth will come from a higher ticket size of what we have been preparing in the last one and a half years. We showed you in the slides that we have some deals jotted down already, and some of them are in the pipeline. But all in all , we got the EU approval, which was a good thing for us to get, and the other approvals are also work -in-progress.

Our belief is that we will be able to rack up the ticket size, but the volume will remain a little bit of a problem unless we have the new capacity coming up, which will take a year and a half from where we are. Right? And this is not conservative, so it can be 1.5 to 2 years on the other side. But once it comes up, Kunal, we are t hen preparing for a 3x capacity of what we are. Because there's a lot of rationing which is happening ; not being able to supply the lower margin products and concentrating on the h igher margins. What it also takes once you get into EU markets and bigger clients, then what happens, you have to call the companies also for an inspection. So , those guys also come for inspection, and that causes a little bit delay on the average production time.

All put together, we believe numbers will be done in this year, and the ticket size would improve. Once the capacity comes

in, this business might see a better -than-expected ramp up.

Kunal Dhamesha : And what should be the steady state profitability of this business, let's say, without taking into account the new capacity, the current existing capacity? How should this start.

V. Krishnakumar : Kunal, the base R OW business, has always been a 34 %-35% operating margin business, and there's no reason to believe that it should change. I think from a Q1 perspective, you see a slightly low number because it is carrying the cost of some investments which we have made, which will start seeing results in ‘27 onwards. But there's no reason to believe that the profitability of the business is going to change substantially. If anything, with the product mix and the market mix and the client mix improvement, which Amit spoke about, it should only improve.

Amit Bakshi : We are also inducting a lot of people.

V. Krishnakumar : CDMO is a whole new team. Because a CDMO business is a very different business as it is a solution selling business, not a product selling business. It's a different ecosystem altogether. All those costs are being carried by the business, but the revenues are not here yet.

Kunal Dhamesha : Right. And CDMO revenue, we are expecting it to start from FY28.

V. Krishnakumar : FY 27. Q1 of FY 27 .

Kunal Dhamesha : And so then in that case, some of these products should already be in a tech transfer state. Is it fair to assume?

V. Krishnakumar : Tech transfer , validation, multiple stages. We have outlined five contracts on a no -name basis. Those are illustrations of the kind of products we are dealing with. As you rightly pointed out, they are in various stages of development.

Kunal Dhamesha : And just a last clarification. What does DPI stand for?

V. Krishnakumar : A Dry Powder Injection.

Kunal Dhamesha : Betalactam is an Antibiotic.

V. Krishnakumar : Yes.

Kunal Dhamesha : There are DP Is for.... I'm surprised. Ok. I can take that off line.

V. Krishnakumar : Yes. There are DPIs which are non -betalactam , which is part of Unit-I. And then we have...

Kunal Dhamesha : Ok. Got it. Right. Dry powder injection. I thought inhaler.

Moderator : Next question comes from Tushar Manudhane. Please go ahead with your question. Mr . Tushar, I request you to accept the prompt on your screen and ask your question. There seems to be no response. Now the next question from Bino Pathiparampil.

Bino Pathiparampil : Couple of questions. One, I was looking at the depreciation and amortization number compared to last year's quarter, it has come down by INR 7 -8 crores at INR 70 crores. From your notes to accounts, I see that you have done some reclassification in the Swiss Parent eral's assets. Is that the only reason or any other reason?

Sachin Shah : Hi, I'm Sachin. The reclassification is because of PPA. The impact is only INR 0.13 crores. That's the general timeline that happens, that we do the initial PPA based on basic numbers, and then the final report comes in

and we do that. That impact is only INR 0.13 crore. The impact that you see in depreciation is because of the assets. Large number of assets were capitalized last year. This year, that number is lesser. You see there's no change in amortization . The change is in depreciation.

Bino Pathiparampil : Ok. That I understood. But if I look at your intangible asse ts of FY24, and FY25. FY25 has gone up o ver FY24. So why would the depreciation sorry -- amortization number come down this year?

Sachin Shah : Amortization has not come down. Depreciation has come down. That's what I'm saying.

V. Krishnakumar : Amortization has been INR 56 crores for both the quarters, current quarter as well as quarter one of last year.

Bino Pathiparampil : Ok. So , your fixed ass

ets have gotten depreciated. So, this INR 70 crore is the number we should assume is the sustainable number for the near future?

Sachin Shah : Yes. At a basic level, yes. But more and more assets coming in and we are doing a lot of capital investment this year. As and when they capitalize, the depreciation will go up.

Kruti Raval : Bino, Hi, Kruti here. So , in Q4 we had guided that for FY26, the depreciation and amortization for the full year will be about INR 335 crores . So, I would request you to not go for a quarterly trend but look at this number more as an annual figure.

Bino Pathiparampil : Got it. No. That's fine . INR 335 crore is fine. Perfect. Second question on this insulin shortage. Could you elaborate on the nature of the shortage? Because you said that you lost some sales because of shortage, but then you also said you have taken some strategic reserves. So how can both these happen? You know, you need some access to take a strategic reserve. Right? Is it a different product or could you elaborate on that, please?

Amit Bakshi : Yes, sir. I will. There are two different things . One is the drug substance, which is the API, and the second is the drug product, which is the formulation. It is the API which we have bulked up considering that our own facility will start soon. The problem which we kind of were talking about was more from the formulation point. So, we typically call it in our parlance , drug product. That's the difference.

Bino Pathiparampil : Understood. Ok. But API, there is no shortage per se. Right? And then how does this strateg ic buildup help?

Amit Bakshi : API is a challenging thing in insulin s because our dependency is only on Biocon . So, we would always like to maintain a large reserve as far as possible. The reserve will always be much higher than the other products, which are easy to get. This is a more complex product and there's only one supplier, which we completely depend upon. So , we would generally also build a larger inventory, and this time, we just kind of exceeded that number also.

Bino Pathiparampil : Understood. Last on your guidance. So, if I remember correctly, your original guidance was a growth in the range of 15% to 21%. First quarter is a bit low at 7% or 7.5%. So, would you be revising that or for the time being you will maintain it?

Amit Bakshi : Yes. For the time being, we will maintain it other than the caveat that there was an INR 50 crore number last year. Bino let's talk about DBF, which is very a large part of the sales and also a larger part of the profits. So, within the DBF, we maintain our guidance, and that's the guidance which we have given. At a consolidated level, the only moving part as of now looks like the generic piece, which we want to ramp down. That did almost INR 50 crores last year. We don't expect more than, say, INR 7 -8 crores this year. That is the gap which might come in the consol

numbers, but it was never profitable. That's the reason we are ramping it down. So, because of that reason, EBITDA might not have any impact.

Moderator : The next question comes from Madhav Marda. I would request you to accept the prompt on your screen, unmute your audio, introduce the firm you represent, and ask your question.

Madhav Marda : Hi, my name is Madhav. I'm with Fidelity International. My question was on the generic Semaglutide opportunity. You said that the opportunity could be larger than what we earlier thought, which is INR 2,000 -3,000 crores. I think that's what we had indicated earlier. Could you give some sense in terms of how you all are thinking in terms of the market opportunity for the first year? And if you could break it down in terms of, you know, what could be the price point at which the generics could b e launched as well, that would be very helpful. Thank you.

Amit Bakshi : Madhav th

is is something which we've already stated in one of our calls. I was just trying to reiterate that. We were confident that this can be INR 2,500 -3,000 crores in the first year of L oE and now we're more confident about that looking at how the market is accepting the whole thing. The price point, you'll have to wait it out. We have a certain price point in mind, but that is little strategic in nature. So not being able to tell, but it will be very, very significantly lower tha n what you see the inno vator product at this point of time.

Regarding how do we see that playing out in the market? The acceptance is really going up, and we feel a lot of people are now ready to adopt. We have been selling Liraglutide for quite some time now, and we were seeing it slowly kind of building up. But then as soon as these products were launched, it just ramped up to a different level. And the kind of awareness which is happening today in the marketplace, the number of education programs which are going up, the amount of stock which is there and the kind of confidence I see among the practitioners . That gives me more confidence that this is going to be a large market creation.

Madhav Marda : Ok. Got it. And just a second question was on the domestic -- the DBF business. Could you help us with how much was the Biocon business? I think you usually use to split that up, but I'm not sure if I saw it in the presentation.

Amit Bakshi : Madhav, we split it up for one year's time. That's been the standard practice. Once the 12 months or four quarters are over, then everything comes together.

Madhav Marda : Sure. Makes sense. But what I just want to check is the, I guess, this business was facing some issue with the supply side, which you said will take a bit of time to resolve. So, when do we see traction building up for this? I don't know if you already answered that, but when do you see sort of this ramping up again sir?

Amit Bakshi : There are two parts. If you isolate the whole thing from the opportunity which we are getting from the discontinuation piece, th e ramp up is quite nice. The growth is very good. Everything is in line. We are more or less in line of what we had thought. But if we take that opportunity, which is a large opportunity that is still to come. So that we think we have mentioned in the slides, we think that November, December is the time when that particul ar piece kicks in. If we are ready by that time with our own facility, we will be having enough and more capacities. If there is a gap, then we will have a little bit of here and there as far as cap acities are concerned. That's where we stand as of.

Moderator : The next question comes from Kunal Randeria. I would request you to accept the prompt on your screen, unmute your audio, introduce the firm you represent, and ask your question.

Kunal Randeria : Kunal from Axis Capital. Amit sir, just a clarification on this human insulin opportunity. Is Novo exiting all the human insulin brands that it has in the country, or is it just Mixtard ? And even in Mixtard , is it an entire exit, or is it just a few forms like a cartridge or a vial or a pen? If you can just elaborate on that.

Amit Bakshi : Kunal, the information which we got from the press release was that all human insulin cartridges will be discontinued. All human insulin cartridges will be discontinued. They would still play in the vials category.

Kunal Randeria : Right. So, India was largely a vials market. Right? So, cartridge opportunity would be how big? Mixtard would be, like, an INR 800-crore brand. So how big would the cartridge be?

Amit Bakshi : What I remember, the whole cartridge was more like INR 500 -600 crore. The entire cartridge piece which according to us will get discontinued is more like INR 600 to INR 800 crores.

Kunal Randeria : Correct. Right. So t

hat includes Mixtard and other brands that it has in the country. Yes. Like, --
and all this.

Amit Bakshi : Yeah. Absolutely.

Kunal Randeria : Right. That was helpful. Second question, just on your CDMO opportunity. Right? You said that you have a visibility of an INR 100 crore plus order. So, you know, if you hope to have, let's say, three of the top five players, I'm wondering what's the kind of investment you are looking to make? Because I'm sure you would like to make this business a big one in the next five years. So, the kind of capex you would be doing, what's the current gross block, and what's the five-year kind of a revenue opportunity?

Amit Bakshi : Kunal at this point of time, we are not very fancied about CDMO and all those kinds of things . This is a natural progression which we are leading the business to because the plant is EU approved. It was always EU approved, and we are getting more approvals. Right now, what I can tell you is that in the next two years, the capacity is a constraint. Post the capacity opening up, the ramp up could be very significant. But what clarity we had till this point of time, we have put it in the slides. We feel in the next financial year, we would create an INR 100-crore opportunity from the CDMO business. Beyond that, everything will work out depending upon how fast we are able to put our new facility and how fast we are able to ramp it up.

Now revenue, if you remember, we have talked about that there is a good possibility of the international businesses going up to INR 1000 crore s in FY28 , '29. That was the number , KK? And that would also include our OS D business where we've already had the inspection, and we are expecting the Anvisa approval to come at any point of time, which, of course, we will inform.

Kunal Randeria : Right. So, it's more of a longer -term post FY28 is something that, you know, you would be keen to explore. As of now, it would be largely DB F driven by insulin and then GLP -1.

Amit Bakshi : Yes.

Moderator : Participants who wish to ask questions may do so by clicking the raise an icon at the bottom of your screen and wait for your turn to speak. The next question comes from Nirali Shah. I would request you to accept the prompt on your screen , unmute your audio, introduce the firm you represent and ask a question.

Nirali Shah : I just wanted to continue on the CDMO question. So, we have mentioned about INR 30 crore plus CDMO pipeline, which is set up to ramp up from FY27. Could you give some more color on this? Basically, wanting to know how much of it is formed up via binding agreements and how much of it is in soft commitment s.

V. Krishnakumar : Hi. First, the number we called out is INR 100 crores, not INR 30 crores.

Nirali Shah : I mentioned INR 100 crores.

V. Krishnakumar : Ok. Sorry. I must have misheard. This INR 100 crores is basically what we put out based on confirmed assignments. We've also given you disguised examples of some of the contracts that are under execution. This is not a prospective number. This is a number based on confirmed contracts.

Nirali Shah : Understood. And one more question I had on the Biocon margin. So, it has improved from 19% to 30%. Just wanted to know what's the steady state margin that you can expect for this vertical once cartridge volumes normalize, and how much is the further scope that we see for FY26 and onwards, so '27, '28?

V. Krishnakumar : It's a little difficult to put a specific answer to that, but I'll try to answer it in a different way. You've seen how our acquisitions have played out. What I would say about the Eris system is that it automatically rejects anything which is not high margin or does not have the potential to become high margin. So, our DBF aggregate margins are at 37%. I would say that is the kind of aspiration we would have at the very least.

Moderator : The next question comes from Pragati Lunawat. I would request you to accept the prompt on your screen, unmute your audio, introduce the firm you represent and ask a question.

Pragati Lunawat : What are the reasons for the ramp down in trade generic s segment?

Amit Bakshi : I think, our ability to ramp up that business didn't come through. We couldn't have kind of thought about good margins in this business. We kind of did our work, and we found even if we scale up to, say, four times where it is today, the margin will still be very scratchy. We have so much on the plate at this point of time, and a lot more is happening actually. We just wanted to preserve ourselves to get to the core of the business. Did I answer your question?

Moderator : The next question comes from Tushar M anudhane. I would request you to accept the prompt on your screen , unmute your audio , introduce the firm you represent and ask the question. Mr. Tusha r your voice is not audible. Please unmute yourself and ask a question. There seems to be no response. Now the next question is from Rahul Agarwal. I would request you to accept the prompt on your screen, unmute your audio, introduce the firm you represent, and ask a question.

Rahul Agarwal : This is Rahul from EverFlow Partners. My question is that on the insulin side with the exit of Novo, what's the current run rate that you are at? And once all of the stocks are out from the market over the next three, four quarters, what sort of a run rate are you targeting?

V. Krishnakumar : Rahul, Hi. We've called out earlier that this market opportunity is something where we can get an upside of INR 200 plus crore per annum on a steady state basis once all the stocks are exhausted.

Rahul Agarwal : INR 200 crores on top of what we have today?

V. Krishnakumar : Yes. I'm assuming you're talking about the RH I Pen-Fill opportunity.

Rahul Agarwal : Exactly. Yes. INR 200 crores per annum incremental to our current base.

V. Krishnakumar : Yes. Because the current market that is being vacated is of the order of INR 500 crores per annum.

Rahul Agarwal : Got it. And on regulated markets, I think Amit made a comment that you're talking about 1,000 crores by FY29. So, I'm assuming Swiss today is around INR 350 -400 crores. INR 100 crores from the CDMO in Europe next year. And the balance INR 500 -550 crores from other semi -regulated markets and as the new capacity comes up. And that happen s over FY28, '29. Is that understanding broadly, correct?

V. Krishnakumar : Yes, Rahul. INR 1000 crores is a number for all international put together, which is regulated and RoW, which will be a combination of all of these things coming together, which is the R oW base business, the CDMO business, the OSD exports business. There is also a B2C piece, which we are working on . We can talk about it to you in a few quarters. So , all of this coming together will get us to that INR 1000 cr ores number.

Rahul Agarwal : Got it. And today base is only about INR 350 -400 crores. Right?

V. Krishnakumar : That is right.

Rahul Agarwal : Got it. And on GLP -1, your presentation mentions that the line is going to be in -line with regulated market standards. Do we have plans to potentially go beyond just a branded generic opportunity in GLP -1 to export, or we'll just stick to the domestic market?

Amit Bakshi : There are some things which we are exploring at this point of time. Largely, how I would like to put it in a manner that having a ca rt facility , a bio car t facility at this point of time is quiet a good thing, and our capacities are good at this point of time. There are people who are talking about different things, including export because both our line and our setup, we think is completely doable for regulated market like EU . We don't talk about US at thi

s
point of time. So, a lot of things are happening, but we will not be able to put a finger on that. But, yes, we are open, and we are talking.

Moderator : As there are no further questions, I would now like to hand the conference over to Mr. V Krishnakumar for the closing comments. Over to you, sir.

V. Krishnakumar : Thank you all for your participation today. In summary, we delivered a DBF revenue growth of 11% in the quarter with an EBITDA margin of 37% and a yoy growth of 16%. We continue to create value in the Biocon segment, which clo cked a 30% EBITDA margin in Q1 even before we bring the insulin production in -house.

Q1 consol revenue stood at INR 773 crores with an EBITDA of INR 277 crores. Yoy consol EBITDA margin has expanded from 35% to 36%. Q1, PAT came in at INR 125 crores, which represent s 41% yoy growth. OCF from routine operations came in at 65%. We incurred a capex of INR 66 crores largely towards insulin , GLP-1 and general injectables in the quarter.

Net debt stood at INR 2,300 odd crores, and we reaffirm our net debt guidance of INR 1,800 crores by the end of the year. The international business delivered a Q1 revenue of INR 68 crores, and the European CDMO segment is well on track for commercialization in FY27 with significant contribution expected from the top five European markets. We are well on track to execute the strategic priorities outlined for the year in the areas o f insulins, GLP -1, our R&D pipeline and international operations. Thank you, and a good evening to all.

Moderator

Thank you very much, sir, and thank you members of the management. Ladies and gentlemen, on behalf of Eris Lifesciences Limited, that concludes this conference.

This document has been revised to improve readability .

Call: Nov 2025

Eris Lifesciences Limited
Q2 and H1 FY26 Earnings Conference Call
November 12, 2025

MANAGEMENT

Mr. Amit Bakshi
Chairman and Managing Director

Mr. V. Krishnakumar
Chief Operating Officer and Executive Director

Mr. Sachin Shah
Chief Financial Officer

Ms. Kruti Raval
VP – M&A and Investor Relations

Moderator

Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY26 Earnings Conference Call of Eris Lifesciences Limited. Today, we have with us on the call, Mr. Amit Bakshi, Chairman and Managing Director; Mr. V. Krishna kumar, Chief Operating Officer and Executive Director; Mr. Sachin Shah, Chief Financial Officer and Ms. Kruti Raval , VP, M&A and Invest or Relations . As a reminder, all part icipant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note, this call is being recorded.

I would now like to hand over the conferen ce to Mr. V. Krishna kumar, Chief Operating Officer and Executive Director of the company.

Thank you, and over to you, sir.

V. Krishnakumar

Good afternoon, everybody. Welcome to our Q2 investor presentation. We'll structure it in three parts. We'll first talk about the domestic branded formulations business. So , here are the business highlights for the quarter. We saw a Q2 domestic formulations revenue growth of 10% YoY, which i s 30% over the PM growth of 7.7%; H1 domestic formulations revenue growth was 11%, which is stood at 42% over IPM growth. The re were a couple of key misses in respect of delivering 50% growth over market, one being the delay in gSaxenda approval, which resulted in our decision to cancel the launch . There was also a delay in taking price increase s in H1, which k gives us a tailwind for H2 because the full impact of the price increases will come in H2, along with the monetisation of the RHI cartridge opportunity, which we expect to see starting December 25.

In terms of EBITDA, we sa w an 11% yoy growth in Q2 and a 13% growth yoy in H1 with margin expansion in Q2 as well as H1 . Q2 also saw an EBITDA hit of INR ~5 crores on account of the ramp down of Trade Generics. We have c ontinued good news on the Biocon front, with a Q2 EBIDTA margin of 32%, up from 30% in Q1 and 19% at the time of acquisition . In-house manufacturing of insulin will lead to further margin expansion.

In terms of key numbers for DBF , revenue was INR 708 crores for the quarter and 1,410 crores for the first half. EBITDA was INR 266 crores for the quarter, INR 527 crores for the first half. Basis H1 run rate, we have a visibility of 12% revenue growth for this year, which will be 50% over the expected market growth, and we expect EBITDA growth to be in the range of 15%. Any upside from the RHI cartridges opportunity in H2 will be over and above these numbers.

Coming to the insulins segment, we are well positioned for success in this market. We will talk about this in two parts, firstly size of the opportunity and secondly our capability to leverage the opportunity. In the table , we've outlined the various segments of the market showing RHI, Glargine, Aspart, etc. . It is an INR 3,700 -crore market in totality , which has traditionally been dominated by innovators and now is opening up for Indian companies.

In terms of our capability to leverage this opportunity, our vial production is already operational and stable . We went live in August, and we have produce d ~2 million vials since then. And post commissioning of cart manufacturing, we would be one of the very few Indian Insulin players having fully interchangeable products as well as domestic backward integration in DS as well as DP . We see the RH I vials business as something that offers the potential for quick scalability because there is significant inpatient usage in institutional setups for shorter durations. So , this gives us a better opportunity to switch usage from competi ng brands . As far as Glarg ine is concerned, given its interchangeability credentials from the USFDA and the current growth momentum, we expect to double our market share in the next few years.

We are also adding Aspart to the Biocon insulin partnership and I will talk more about that later.

We are expanding th e Biocon partnership on three fronts. Firstly , we are adding Aspart to the scope of the collaboration which presently consists of RHI and Glargine . This product was recently approved by the USFDA as the first and only inter changeable biosimilar.

Secondly, Biocon is assigning select ROW markets to Eris for direct marketing of RHI, Glargine and Aspart by leveraging the global distribution of Swiss Parenterals . And thirdly, Biocon seeks to expand its own ROW footprint in select markets by leveraging the Insulin capacity at our Bhopal facility, which we had acquired in November last year and upgraded at a capex of INR 80+ crores.

With these developments, the in stalled insulin capacity at Bhopal will be fully utilized, and hence we have greenlighted a project to double the insulin capacity both in vials and cartridges . The expected capex is ~150 crores, and we see an additional EBITDA potential of at least INR 50 crores per annum from this opportunity.

GLP continues to be an exciting market opportunity for us . It is good to see that our early hypothesis of a large and fast emerging GLP market is being validated now. There are close to 100,000 active GLP users today, and once the cheaper generic alternatives become available, we will see exponential growth in the segment. We are highly optimistic about the market opportunity as well as our capability to leverage this opportunity . All key workstreams for first-wave launch readiness remain on track. Our Insulin market share has grown from 10 % to 15 % in the last 18 months . And we are confident that as a dominant Insulin company, we have a logical "right -to-win" in the G LP segmen t as evident from the global examples of Eli Lilly and Novo Nordisk .

Our Di abesity product pipeline remains on track both on the Insulin analog ues front and on the Semaglutide Synthetic and Recomb inant .

Moving on to the international business, I wanted to revisit our thesis of why we got into Swiss Parenterals in the first place . There were four key value drivers that we saw. It was a pure-play injectables business with very strong regulatory accreditations namely from the EU and PIC/s authorities. It came in with the widest dosage forms in ster iles and a very large dossier bank. M ost importantly we saw that Swiss was the only ROW-focused Indian pharma company with this kind of operating margins and 60%+ ROCE with a strong reputation for quality.

It was and remains a predominantly tender -driven business b ut is well diversified across more than 80 markets. Most importantly for us, we saw this as a viable platform for “moving up the pyramid ” in the international markets, which we've spoken to you earlier .

So, in the l ast 18 months, we have been taking focused action to expand capabilities on the technology front, on the manufacturing front, and on the go -to-market front. On the Technology front we r ecently we onboarded a new Head -R&D from a Top 10 Indian Pharmaco and expanded our R&D team from 50 to 80 FTEs. M ost importantly we developed centr es of excellence in key segments because this is something that every company aspire s for - to be known for certain products or certain technologies. Our emerging Centres of Excellence in Injectables are in the segments of Corticosteroids, Monobactams, Complex Carbohydrates, Controlled Substances and Anaesthetics.

On the manufacturing side, we got the EU-GMP approval for both sites for the second time , got the Brazilian Anvisa approval s for the first time . Now Swiss ranks among the very few Indian Injectable companies to have received both EU and ANVISA regulatory approvals . We

also on

boarded a Head -Quality Assurance from a Top 10 Indian pharmaco to strengthen the team.

On the go -to-market side, our efforts were focused on strengthening our customer facing teams with several senior lateral hires in Business Development and Regulatory . Thereby expanding momentum on customer outreach and business building in "higher entry barrier" markets including Europe, Canada, Australia /New Zealand, South Africa and Latin America.

We see significant impact and revenue visibility from these actions . We received our first Purchase Order from a European client on an Injectable CDMO projec t. I am happy to share that Swiss will exclusively manufacture for the innovator brand of the product. The first leg of this project covers only 6 countries in Europe. Based on this, we have a revenue visibility of INR 125-150 crores in the next financial year with EBITDA margins similar to the business average and we have discussions underway to expand the scope to 17 countries.

In addition, we have discussions underway with a handful of marquee Gx companies on some of our COEs both for innovator brand s and loss of exclusivity opportunities which would imply that we would support the early generic entrants to the market. The total book of business in EU-CDMO has also expanded manifold . We have been guiding for a while that this business will see significant inflection starting FY 27. So, happy to share that we have the visibility now.

In terms of overall business transformation, the EU -CDMO book stood at INR 100 crores at the end of Q1, and now we are at INR 700 - 800 crores at the end of Q2. In terms of what it does to the quality of the business and stickiness of the revenue, we have a details laid out on this slide.

■ In FY27 , we expect that percentage of revenue from Regulated markets will be close to 30%, up fro m less than 2% in FY24 .
■ We expect that the private market component of the business will go up to 50% in FY27 starting with 30% at present
■ And starting from a business which was doing 100% generics, we expect start to having a reasonable exposure in RL Ds starting with a 20% revenue composition in FY27

Accordingly, a s previously updated, we have initiated the expansion for a Unit -3 at a Capex of INR 130 crores for general injectables and we are targeting commercial production from FY28.

In terms of financ ial highlights of the international business , we clocked INR 83 crores of revenue in Q2 and INR 152 crores in H1. We saw a revenue dip in both Q1 and Q2 compared to last year because of dry powder capacity being occupied for validation batches for EU - CDMO projects . Notwithstanding that, H2 is looking better compared to H1 and we have good visibility to deliver on revenue guidance of Rs. 375 -390 Cr for FY26. The Eris Ahmedabad unit, which received Anvisa approval for one block in August is again planning to host the Anvisa team in January for the remainder of the facility.

Moving on to the consolidated business, consol revenue for the quarter was INR 792 crores and for the half year was INR 1,565 crores. Consol EBITDA for the quarter was INR 288 crores and EBITDA for the first half was INR 565 crores. EPS acceleration continues as guided. So , Q2 PAT was INR 134 crores , up 39% and H1 PAT was INR 260 crores with a growth of 40%. Net debt stood at INR 2,278 crores at the end of Q2.

Putting all of this together, there are lucrative market opportunities which are driving the front loading of our capex plans. We had guided you to a total capex of INR 750 crores to INR 800 crores over FY26 to FY28, a three -year period. There is no change in this guidance. There is a change in the timing because there is a Bhopal Phase 2 expansion of INR 150 crores , there

is a Unit -3 for Swiss which will take up INR 130 crores and our Di abesity pi

peline and DS
manufactu ring at Levi m also requires a second round of investment of Rs. 100 cr . So, we see the capex outlay over the next three quarters to be at around INR 380-400 crores. Consequently, the debt -to-EBITDA guidance that we had given gets pushed out slightly.

In the last 18 months, the net debt -to-EBITDA ratio has reduced from 4x to 2x and without any change in our total 3yr capex guidance, now we expect to get to the Net debt -to-EBITDA ratio of less than 1.5x by December 2026.

Other h ighlights of the consolidat ed financials - we had a capex of INR 50 crores in Q2, largely towards insulin and general injectables, bringing up H1 capex to INR 117 crore . We had a book tax rate of 22% in Q2. OCF to EBITDA ratio stood at 47% in Q2. It was predominantly because of an increase in GST receivables which took about 25% points off the ratio . EPS for the quarter stood at INR 10 and cash EPS at INR 13.

This brings us to the end of the presentation, and we can open up for Q &A.

Moderator : Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. Participants who wish to ask questions may do so by clicking the raise -hand icon on the bottom of your screen and wait for your turn to speak. When prompted, you can accept the prompt on your screen, unmute your audio, introduce the firm you represent, and ask your questions. We'll wait for a moment while the question queue assembles. Participants who wish to ask questions may do so by clicking the raise -hand icon on the bottom of your screen and wait for your turn to speak. We'll wait for a moment while the question queue assembles.

We have the first question from the line of Devang Shah. I request you to accept the prompt on your screen, unmute your audio, introduce the firm you represent and ask you r questions.

Devang Shah : Devang Shah . My firm name is DD Enterprise. I have only one question to the management regarding what are the key triggers to look into the company for the next three - four quarters? Is it going to come from Biocon JV or it is from Semaglutide, or from which product line or from which of the things we can consider, the next three -four quarters can be looked at?

Amit Bakshi: Devang , we divide this into three things. DBF is the largest business as of now and also has the largest opp ortunity . Within DBF, there is insulins and GLP. GLP will start hopefully by the end of this fiscal year. And insulins we are seeing traction because of the withdrawal of the innovator. So , clearly insulins and GLPs in the DBF will be the front runners.

And the second trigger is going to come from the Bhopal plant which is the bio tech plant . This will help us in two ways . One would be by decreasing the cost of our production substantially. You saw that the Biocon business now is at 32% Ebitda margin . With in this Biocon , insulin margins would be higher. And when the manufacturing of insulins is fully stabilised in our own manufacturing unit, we see a substantial reduction in COGS there.

The international business which you see is at a point of inflection . Now, we have a good visibility on revenue of INR 125 -150 Cr from CDMO t hat we have guided . The remaining revenue from the book INR 700- 800 crore will accrue over a period of time , say over the next three to four years.

So these are typical ly the three, four key growth drivers that we look at .

Devang Shah : Okay. So now, there would be no raising of debt in the next two, three years, by acquisitions or is there any plan to do some acquisitions also?

Amit Bakshi: No. We don't have a plan as such. But, what I can tell you for sure is that we will be mindful about the debt-to-EBITDA ratio. But if there is an opportunity, which is a good opportunity, but also doesn't really take away from our E

BITDA -debt ratio, then we might do it. But if you're askin g a straight question today about acquisitions , the answer is no.

Moderator : Thank you. The next question comes from the line of Harith Ahamed . I request you to accept the prompt on your screen , unmute your audio, introduce the firm you represent and ask your question.

Harith Ahamed : Hi. Good evening. Thanks for the opportunity. So , my first question is on the insulin aspart product which you mentioned is a targeted launch for the second half of FY 26. So, trying to understand the status of this product fr om a regulatory standpoint, has it been filed? When are we expecting the approval? And is this an exclusive arrangement that Biocon will have with Eris for the Indian market?

Amit Bakshi: Hi Harith , the second question is an easy one – yes, it is an exclusive arrangement with Biocon for India n markets. As for the first question – the work has just started on the filing etc, but since this is an interchangeable product as per its USFDA approval, hence as per the guidelines, this project should move faster which gives us visibility on second half of this year. But Harith, you know regulat ory timelines are unpredictable so I would not like to put a finger on that, but that's where we stand.

Harith Ahamed : Okay. And the Cartridge capacity expansion at Bhopal, what is the status there, and what are the timelines that we're looking at now?

Amit Bakshi: So, we have started Vials production in August and w e just told you in the slides that we already have ~2 million production done . We have not pushed it into market yet. Going through the stability once again. Our first round of commercial production of Cartridge s now shifts to say April -May next year. The n the new line of vials will come onstream about September -October next year. The car tridges will go to the first quarter of CY27 or somewhere in that zone .

Harith Ahamed : And how does this impact, there's a bit of a delay there. How does this impact the providers to capture this opportunity when the exit happen ?

Amit Bakshi: Harith, that is something that you already have from a production point. Because I mis -anticipated this thinking that the Novo opportunity will start from more like August. And it is now looks to be in the month of November that we are starting to see the real thing happening on the ground. So , the disadvantage what that the revenue opportunity got shifted as our initial estimate went wrong. But the advantage is we were able to build up a lot of inventory in the meantime . So whatever we are expecting out of that vacated market to be captured – we seem to be good for now. Plus from our own plant , the production will start in April-May.

Harith Ahamed : Okay. And the last one, this INR 100 crore investment in Levim , so what will be our stake in this entity after this additional investment? Will it become entity that's controlled by Eris?

Amit Bakshi: Harith, shall we talk about this next time, please? We don't have any clarity at this point. Yeah. Right now, we are 30% equity sta ke with an agreement to enhance it to 49% .

But how will it exactly work is something we'll tell you later .

Harith Ahamed : Sure. Thanks for taking my question s.

Moderator : Thank you. The next question comes from the line of Umesh La ddha. I request you to accept the prompt on your screen, unmute your audio, introduce the firm you represent and ask your questions.

Umesh Laddha : Hi. Thank you for the opportunity. S ir, I just wanted to know in our domestic branded business, what is our base business growth ex cluding the Biocon insulin products and also if you could just bifurcate the growth in volum e, price and maybe new launches?

Amit Bakshi: Okay. So , I'll do the second one. The first one we will not do because now we are

completely integrated. So , the seco nd piece is we had a very small price revision in the first half. We missed the price revision impact in H1 and generally we expect it to be better in the second half. So , we are expecting a large part of price revision to happen in the second half. And as for the volume growth, it is around 2.1%.

Umesh Laddha : Okay, and the rest 5% is majorly because of new launches or how should I look at it?

Amit Bakshi: So, you look at it, it's more like 2% from volume , 2.5% from price and rest from the new laun ches.

Umesh Laddha : Okay, and also sir , are we having a few products in the pipeline for the domestic branded business to be launched in second half like excluding the insulin ones?

Amit Bakshi: Yeah, we have a couple of big products. So, those are due to launch I think in the third quarter or early fourth quarter.

Umesh Laddha : Okay, got it sir. And also sir, coming to our insulin opportunity, like Novo is exiting. So , do we have enough supply? Sorry, I missed that part. So , do we have enough supplies promised from Biocon to suffice this demand?

Amit Bakshi: Yeah. We have looked at the possible demand number , and our existing inventory and potential additional supplies and overall it looks good. And as I explained earlier , I had estimated this to happen a little early in this year. But though the monetisation is a little delayed , it has given us the opportunity to build up the inventory. So right now , the numbers which we have for ourselves, the stocks look sufficient.

Umesh Laddha : Got it sir. And so just a last one on the EBITDA guidance. So , it's at the consol level or only for the domestic branded business , 36% for this year?

Amit Bakshi : So, we've guided to 37% plus for the domestic base and the Swiss Parenterals is in the 34% zone which is a current number.

Umesh Laddha : Okay. Got it, sir. Thank you so much.

Moderator : Thank you . Ladies and gentlemen, if you have a question, you may please click on the raise -hand icon on the bottom of your screen and wait for your turn to speak. When prompted, you can accept the prompt on your screen, unmute your audio, introduce a firm you represent and ask your questions. Ladies and gentlemen, if you wish to ask a question, you may do so by clicking the raise -hand icon on the bottom of your screen.

The next question comes from Karan Surana. I request you to accept the prompt on your screen, unmute your audio and ask a question. Mr . Karan, I request you to unmute and speak. So, there seems to be no response.

The next question comes from the line of Kunal Rand eria. I request you to accept the prompt on your screen, unmute your audio and ask your question, Mr. Kunal.

Kunal Randeria : Hi. Good evening. Thank you for the opportunity. Sir, I understand you're not giving that Biocon business growth and all, but would it be kind of fair to assume that the insulin business growth would be slightly lower than the 10% growth that you did in the overall DBF business?

Amit Bakshi : No. It's the other way around.

Kunal Randeria : Okay .

Amit Bakshi : Yeah.

Kunal Randeria : All right. And so but the market is not growing. I mean, from volume perspective, the market growth is actually very muted. So , just want to unders tand how you are growing faster?

Amit Bakshi : So, this is all shift which is happening. Please don't look at the market volume growth indicated , this is my view. This is more of a shift which is happening from one brand to the other brand. And the shift, we see the whole gain for Eris coming from shift, not from the expansion of the market. And any which ways now just to add up on that point, we feel that the human insulin's reflection / consumption is going more into hospitals. Right? Hospit als, nursing homes. I made two points, Kunal . One was

that, the growth which you see, for people
like us , would be from the shift rather from the expansion of the market. Number two is the expansion of the market will not be very visible in the data set. T his is my view. Because more and more human insulin is being shifting to short -term usages also. So, institution, hospitals. That has always been a little bit challenge to pick up from a data point of view.

Kunal Randeria : Right. And Amit sir, is this the institutional opportunity that KK earlier spoke of, that you wish to tap in future? And how big would this potentially be?

Amit Bakshi: Yeah. So , that's a very big opportunity. I will not be able to size it, but I can give you some colour on that . The public health spend is growing. Right? And most of the people who have diabetes, the highest spend in public spending is happening in cardiology and oncology. So, we are talking of the adult population, relatively adult population. And relatively adult pop ulation, at least 25% to 30% of them do have diabetes. And these people at any stress ed times have to be taken out of O AHs and have to be put on insulins, maybe for a couple of months, I don't know that. So, that side of the market is showing a very good t raction. So, that is why we pointed it out that we see INR 500 crores in the public market. Right? This is our estimate, but relatively logical. And then comes the large institutes, large hospital chains. So, these two represent a very strong opportunity.

Kunal Randeria : Got it. So , that's helpful. And just, do you see a risk of, let's say, GLP ones picking up, having any impact on insulin business or it will be used more than adjunct to insulin in future?

Amit Bakshi : Yeah. I think that is out already because US has been selling both of them from the last ten years. And technically, if you look at it, insulin is very different from GLP. GLP only works when there is insuli n present in that case. So , there's no problem.

Kunal Randeria : Right. And just one more if, if I may . Sometime back, you had shared some FY28 aspirational numbers. Just want to understand of that number, how much have you baked in GLP 1s?

Amit Bakshi : I will not be able to answer. One thing what has ha ppened is it's changing very rapidly. So , two things have happened. The good thing is well, Kunal, if you remember, I was probably one of the few first people to say this is a very big opportunity. I said this is like a billion dollar in first year. And at that point of time, we were kind of, wrapping our head around that. So the good news is that, the size which I was thinking, this will cross that. Right? The estimation that I am now rethinking is that I thought that post LOE, 80%, 90% of the market would shift to generics. But now when I look at the market, the way people are responding, I think that the Indian players are looking more like 50%, 60% of the market. My view today is that, 30%, 40% of the market will be with the MNCs.

So, on one level, the market size has gone up it was , I call it a billion dollar. It seems to be going ahead of that. On the other side, we see the Indian players have a 60% kind of headroom available. So, that's how it is changing. So , let's see what we are talking about. What happens? But we would be a significant player. That is something which we are working towards.

Kunal Randeria : Well, that's a very interesting point, sir, but I didn't perhaps didn't catch. Why do you think the generics or Indian players will have a lower share?

Amit Bakshi : Okay. So, two things. Well, you see that there has been a price decrease in some of the data. And I don't think this is the final . My estimate is this is not the final thing. It might go down. So, at the end of the day, the difference will be huge, but relatively it would be less, number one. Number two, tir

zepatide now has a position of its own. So, my calculation earlier was that the most of it will be kind of eaten away with generics. Now, I feel that it establish ed itself as o ne of the strong anti-obesity drug.

Amit Bakshi : Yeah, Kunal, we'll discuss a bit more next time . The opportunity is still big. Lately, I'm just telling how I think -- how I see the market changing.

Moderator : Thank you. Next question comes from the line of Madhav Mar da. I request you to accept the prompt on the screen, unmute your audio and ask your question.

Madhav Marda : Hi. Good evening. My name is Madhav. I am from Fidelity International. Am I audible?

Amit Bakshi : Yes, you are audible .

Madhav Marda : Sir, I wanted to understand on similar lines on the GLP -1 opportunity. I wanted to -- first question was, what do you think will determine right to win once the generic semaglutide products start coming in the market? Like, who do you think has best right to win in India? Is it going to be more distribution and doctor a ccess? Is it going to be supply -chain? Or what will determine who kind of gets more market share versus the other? That was one part. And second thing I want to understand is, do y ou think this market will be more dominated by the larger players like yourself who have a good positioning in, let's say, with the specialty doctors? Like, will they have a better share o r do you see a lot of smaller players also getting a good toehold in this market?

Amit Bakshi : Look, Madhav, I'll try and answer this but, a lot of things are still up in the air. So, what is the clarity which we have till this point of time, right? So, initially, when we were all talking, I don't want to blabber, but just to make a point that I was the person who raised my hand saying that in the long term this is diabetes first and weight loss next. And today, when you look at prescription, 66% is coming from diabetes, right? So, that is one thing, which kinds of make s a point and the dominance of endocrinologist , diab etologist is quite if you look at the prescription share between these two categories is very high. So , that means it will start from the top of the pyramid. And by the way, we have always seen in India's context, a drug peaking at four to fifth year. It is not like US where it changes overnight once the data comes in because

there is no insurance. Here, pe ople are careful kind of shifting and then taking them along. So , the real peak happens between three years to five years, whether it was dapagliflozin or any other product for that matter. So, number one is it will start from top of the top of the pyramid . By the time everybody kinds of gets comfortable with it and uses it, the way it is indicated, it is like three years to five years. Therefore, people who have a better access and a better positioning among the specialists initially should be more benefit ed and here the insulin selling experience comes in very handy because there is a lot of hand -holding which is done to the patient. So, again the same thing, which we've been speaking from the last couple of quarters. Nothing major changes. Only, it's gett ing more clear now.

Madhav Marda : Got it. And so , when you mentioned that, if I understood right, you said the market opportunity can be more than a billion dollars. That is in, like, certain number of years you're saying , right?

Amit Bakshi : First year, Madhav.

Madhav Marda : First year, $1 billion GLP-1 opportunity in India?

Amit Bakshi : Yeah. I think so.

Madhav Marda : Sir, reason I just trying to understand because once the generics come in, the price point itself should be much lower, right? Like, I mean, it's public news that Tirzepatide is selling for, let's say, INR 16,000, INR 17,000 per month. And they are trackin g may be INR 1,200 crores odd sale if my da

ta is right. So, I'm just trying to understand the price point if it's gets cut by a decent percent. So , you're saying volum es can really explode basically?

Amit Bakshi : Yeah. So what I'm doing now, I am only tal king about 1 million stable patient s, Madhav . Right? Right now, we think we have 100,000 patients whatever data we can get hold of. We are taking 100,000 patient s. And you look at the month -on-month growth that is what we call, adoption in our markets. Our markets have always been -- it will adopt slowly. That is why you see the peak happening in third or fifth year. So right now, have 100,000 patients. And while it is good to say it is INR 16,000, INR 17,000 , but a lot of patients are on a higher dosage al so. It should be more than that. And thirdly, 1 million stable patient s is easy thing. Look at the data which is coming in. Look at the indications which are coming in . And there's a lot of enthusiasm. So , my calculation is more like a million patients and that is where my numbers come.

Madhav Marda : So, you're saying to arrive at the $1 billion market, you're assuming 1 million as the patients in that. So , that's the broad approximation.

Amit Bakshi : Yeah. One million patients, right, on the generic piece and the multinational piece will continue to grow. You can see that happening. Both put together, I see it more like a billion dollar. INR 6,000 crores, we said INR 6,000 crores. So, give and take.

Madhav Marda : INR 6,000 crores. Okay. Understood. And sir, just a second question was on our guidance for FY26. Is there any change to our revenue and EBITDA guidance for FY26? Yeah. Thank you.

Amit Bakshi : I don't know the numbers, but we have broadly guided for 50% ahead of the market. Kruti will, of co urse, tell you the numbers. 50% ahead of the market and our assumption was 9% to 10% market. The market is more like 8%. So , I think that is where it is tracking at this point. If the market catches up and the insulin catches up , we might be a tad good. But as of now, that's the visibility.

Madhav Marda : Okay. Al l right. Thank you.

Amit Bakshi : Thank you.

Moderator : Thank you. We have the next question from the line of Neelam Punjabi. I request you to accept the prompt on your screen, introduce the firm you represent and ask your question.

Neelam Punjabi : Thanks for the opportunity. So , my first question is on the insulin opportunities. For the RHI cartridge market, what is the market share that we are targeting once the in novator is out?

Amit Bakshi : Neelam, look if we just multiply our current market share into the opportunity, which is getting available, means, we basically look at around INR 200 crores of additional sales. So , that is what we are thinking. It's a very technical answer which I'm giving you. I'm just extrapolating our current market share to the available opportunities.

Neelam Punjabi : Got it. Okay. And the second question is, you all have mentioned that the lower OCF to EBITDA ratio on account of an increase in GST receivables and statutory liabilities. So , could you please provide some more clarity on this?

V. Krishnakumar : Yeah. Okay. Good. Sachin, would you like to chip in?

Sachin Shah : Yeah. So , these are basically intercompany transactions that happen because of the change in distribution structure. So , because one X company was selling to the Y company within the group.

Neelam Punjabi : Can't hear you at all.

Kruti Raval : Neelam, part of the GST is because of what Sachin explained the intercompany, but a large part o f it is also because of the GST -related disruptions. So , we have seen some GST receivables go up. If you want more details, of course, let's talk next time on this. There's also a statutory liability piece to the OCF, which has contributed, OCF being lower .

Neelam Punjabi : All right. I'll connect next time . Thank you.

Moderator : Thank you. The next question comes from the line of Rahul Agarwal. I request you to accept the prompt on your screen , unmute your audio , introduce the firm you represent and ask your question.

Rahul Agarwal : Thanks for the opportunity. This is Rahul Agarwal from Everflow Capital. On the international business, you ment ioned that the EU -CDM O order b ook is going from INR 100 crores to INR 700 crores to INR 800 crores. Is this the total cumulative number or is this an annualized number you are targeting over the next few years? And what sort of scale do you see in the international business over the ne xt three years to four years?

V. Krishnakumar : Okay. To answer your first question, INR 700 crores to INR 800 crores is the annualized revenue potential from the order book. And as Amit explained earlier, it will ramp up over a period of time depending on which dossier gets approved at what time. And second question was, what is the kind of outlook for the int ernational business? So , we had outlined two aspirations a few months . - INR 700 crores revenue by FY 28 and INR 1,000 crores revenue by FY 30. So, we retain those aspirations. And from the current momentum, it looks like we are well on our way.

Rahul Agarw al: Got it. We seem to have made significant investments on GLP -1 manufacturing and now making more with Levim , which is a different route. For GLP -1, will we

look at manufacturing only for India or are we also potentially go ing to use the manufacturing base for international markets?

Amit Bakshi : Right now, we have only permission for India. So , we don't have permission for outside. But over a period of time, can it happen? Yes. Of course. But not at this point. That's all the GLP -1. And the investment in GLP haven't been very high, the investment for Levim is for the entire pipeline, which we showed you in the slide. So, these products are on the line. These investments are needed and these investment s are going in the infrastruct ure largely. Almost 70% of it is going into infrastructure. So , once the infrastructure is spent, it serves you for a long period of time. So , that's where the idea is.

Rahul Agarwal : Got it. And one last question on the insulin bit. You mentioned that th ere's been a bit of a delay in the estimates, but you'd expect the numbers to start coming in from November. Did we hear that right? And so the full impact should be visible in Q4 with the innovator locating that market?

Amit Bakshi : Yeah. So , I can now tell you with more confidence that the market intelligence tells us that, the shortage has started building up. So , you will see from November -- we feel there'll be a little uptick in November. And then December onwards, it will start peaking, and we expect the peak to happen between April to June.

Rahul Agarwal : Got it. Thank you so much for those. Those were the questions. Thank you.

Amit Bakshi : Thank you.

Moderator : Thank you. Participants who wish to ask questions may do so by clicking the raise -hand icon on the bottom of your screen and wait for your turn to speak. As there are no further questions, I would now like to hand the conference over to Mr. V. Krishnakumar for the closing comments.

Over to you, sir.

V. Krishnakumar : Thank yo u all for your participation today. In summary, we delivered a 10% domestic formulations revenue growth in Q2, outperforming the market by over 30%. EBITDA margin stood at 37.5% in Q2 with 11% YoY growth. The turnaround in the Biocon segment continues with a Q2 margin of 32% versus 30% in Q1. We are significantly expanding our collaboration with Biocon in India and overseas and adding Aspart to the scope of the partnership.

We remain excited about the GLP opportunity and are trac

king well on first wave lau nch
readiness and profitable scale up thereafter. The international business delivered a revenue of INR 83 crores in Q2 and INR 152 crores in H1 with a 33% margin. We've made significant strides in building our European CDMO business with a INR 700 crore to INR 800 crore order book at the end of Q2.

Our international business is on the threshold of an inflection point starting FY27 with good revenue visibility from our first set of European orders. Interest expense was down 17% YoY in Q2 with a book tax ra te of 22.2%. EPS acceleration has kicked in as guided with a 39% growth in Q2 and a 40% growth in H1. On the back of lucrative market opportunities in diabetes and injectables, we have front loaded all our capex plans and we'll invest INR 380 to INR 400 crores over the next three quarters. This will be funded from internal accruals. Net debt stands at INR 2,278 crores with the net debt -to-EBITDA ratio having declined from 4x to 2x in the last 18 months. We expect to get this ratio down to 1.3x by December '26. We remain on track to execute our strategic priorities across all segments of our business. Thank you, and wish you all a good evening.

Moderator : Thank you very much, sir, and thank you, members of the management. Ladies and gentlemen, on behalf of Eris Lifesciences Limited, that concludes this conference. Thank you for joining us and you may now exit the meeting.

Note: This document has been edited to improve readability

Call: Feb 2026

Eris Lifesciences Limited
Q3 and 9M FY26 Earnings Conference Call
February 13, 2026

Management Representative:

Mr. Amit Bakshi
Chairman and Managing Director

Mr. V. Krishnakuma r
Chief Operating Officer and Executive Director

Mr. Sachin Shah
Chief Financial Officer

Ms. Kruti Raval
VP - Investor Relations & M&A

Moderator

Ladies and gentlemen, good day, and welcome to the Q3 and 9MFY26 Earnings Conference Call of Eris Lifesciences Limited. Today, we have with us on the call, Mr. Amit Bakshi, Chairman and Managing Director ; Mr. V. Krishna Kumar, Chief Operating Officer and Executive Director ; Mr. Sachin Shah, Chief Financial Officer ; and Ms. Kruti Raval, VP -Investor Relations & M&A.

As a reminder, all participant lines will be in listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Please note, this call is being recorded.

I would now like to hand over the conference to Mr. V. Krishna Kumar, Chief Operating Officer and Executive Director of the company. Thank you, and over to you sir.

V. Krishna Kumar

Thank you. Good evening to everybody. Welcome to our results discussion for Q3 and 9M of the financial year. We will talk about this in three parts as usual: Domestic Branded Formulations (DBF) , International Business, and Consolidated. So, straight off based on the Q3 trend, we're happy to share that we have strong visibility to deliver a revenue growth of 12% in Branded Formulation s this year with a 37% operating margin. In Q4 we will see the impact of price increases accruing to the fullest extent.

In Q3, DBF revenue stood at INR 696 crore s, and for the nine-month period stood at INR 2,106 crore s, both representing a 10% growth YoY. DBF EBITDA stood at INR 254 crore for the quarter and INR 781 crore for the nine-month period, representing a 12% growth for 9M . YoY margin for the nine-month period is up by 70 basis points.

Speaking of DBF revenue composition, we would like to highlight the impact of some non -core tail-end products. We have identified a basket of tail -end brands, primarily within general injectables and select other categories that exhibit a few common characteristics - a lack of alignment with our core therapies, low profits and profitability, and limited growth prospects. We've decided to discontinue these non -core brands, which will result in a n approx. 2% impact on DBF revenue next year while improving ope rating profit at an absolute level as well as improving the operating profit margin. Excluding these non -core brands, our FY26 nine-month growth was 12%, and we expect to close the year at 13 -14% growth with an EBITDA margin of 39% plus.

Moving on to the next topic, we have been discussing for a few months about the R HI cartridges market following the exit of innovator, and we had called out that we expect to see an acceleration in our market share starting December. So, we are happy to share that the uptick has come through starting December where we hit a market share of 25% for the month, and it increased slightly since then - we closed January at close to 26% market share .

It is worthwhile to reflect that when we acquired t his business from Biocon, this product had a market share of 8%. So, we have tripled its market share in less than 2 years since, which is the highest ever gain seen in the Insulin segment by any player. Prescription share is trending close to 30% now, which is a good harbinger of the direction in which the revenue market share is progressing. We take this as a strong tailwind for the next financial year.

When we closed the Biocon deal, we had articulated that we have an objective of taking 25% market share in Insulin. We have achieved that with R HI cartridges, and we are on course to replicate this in the overall RHI plus Glargine market as well .

Sharing some more color on that on the next slide . On the left slide (slide 6 of the Investor PPT for Q3 FY 26) , we have the R HI plus Glargine picture ; this is a INR 3,000 crore market ; where at the time of acquisition, the products had a 9% market share, which now stands at 16% and growing. So, we've nearly doubled the market share in less than 2 years , and we are confident of getting to 25% in this segment .

The next segment is the Insulin Analog s, which is close to an INR 1,800 crore market with a 3 - year CAGR of 10%, and controlled by the innovator. We have been working on this segment as shared in previous conversations. Aspart and Aspart Mix will be launched next year , and for Degludec Plain and Degludec -Liraglutide combination, we have scheduled process validation batches in the next couple of months.

In summary, o ur Insulin strategy would be to take a 25% market share in our core RH I and Glargine market and build a strong position in the adjacent market of INR 1,800 crores which is presently dominated by the innovator.

Insulin manufacturing at Bhopal is on course despite delays. RHI vials have already been internalized and stabilized. We have manufacture d more than 5 million vials since we took the production in -house in Aug -25. For Glargine vials, the commercial manufacturing is being initiated this month. On the cartridges front, for both the RHI and Glargine, we are taking process validation batches this quarter, and we will initiate commercial manufacturing from the second quarter of next finan cial year . For Degludec Plain and Degludec Liraglutide combination, we're taking process validation batches in the next couple of months.

When we look at IQVIA data, this is the summary of Eris vs. CVM in our top four therap ies, which are OAD, Cardiac Care, Insulin, and Dermatology.

- On OAD, our portfolio growth is still lagging market growth. We've been hit by FDC bans in important SKU’s, and we believe that we will continue to lag the market for the next 2 -3 quarters, post which we will stabilize.
- On Cardiac Care, the gap in our growth vis -à-vis market has narrowed, as you can see from the last four months’ data. From being significant ly behind market in Oct -25, we have steadily closed the gap and are slightly ahead of market growth in Jan-26. We have a n exciting new product launch - Esaxerenone - which we believe will add to this momentum ; more on that later.
- On Insulin s and Dermatology, we've been consistently ahead of market, in Insulin by a huge margin because of two things playing out in parallel – firstly the innovator exit of a product at a higher price point is impacting market growth, and we are exponentially gaining market share, which is driving our growth.
- Hence in summary , we are happy about our progress in Cardiac, Insulin s and Dermatology . In OHA we expect to be back on track in another two - three quarters .

On the topic of GLP, we are very excited about the upcoming launch. Endocrinologists and Diabetologists continue to drive the lion's share of prescriptions with a close to 70% share, which is an area of strong presence for us . More importantly, recent trials demonstrate that even though there are other GLP alternatives in the market, Semaglutide delivers significant benefits in respect of cardiovascular outcomes, and this is extremely encouraging for the Indian market given our CVD burden .

In terms of go-to-market readiness , our supply partnership is already in place. The decks are cleared for the final approval, and we have also made significant progress in internalizing the

Semaglutide manufacturing at our Ahmedabad site. Process validation batches have been taken and they are presently on stability. We have created adequate manufacturing capacity, and we have the ability to double this with minimal investment.

Elaborating on Esaxerenone, which we believe will be a game -changer in Hypertension management. This is a disease -modifying drug in its true sense of the term. So, whether it is a 2.5 mg product or the 5 mg product, there's very good clinical data in terms of not only reduction in Hypertension, but also in terms of benefits on the kidney side of things . This has been successfully formulated by our own R&D team. This is a Japanese molecule. We were the first company to develop this in India , put it through c linical trial s, and get it approved by the drug controller. We're very excited about the launch of this product.

This was a summary o f Domestic B randed Formulations.

Now, moving on to our international business. We clocked our highest ever quarter in the international business, with a revenue of INR 111 crore, which represents a 45% growth, and a corresponding 46% growth in EBITDA. For the nine -month period, international revenue stands at INR 259 crore, which represents 11% YoY growth, with a n EBITDA of INR 81 crore. Q3, EBITDA margin was at 30% and nine months at 31%. You will notice a margin compression relative to FY25 , when the operating margin was 33%. This compression is due to significant investment ahead of revenue in people and EU CDMO capabilities, and the full impact of these will be realized starting next year. Visibility for revenue for this year is in the zone of INR 370 crore to INR 375 crore, with an EBITDA of 1 15-odd crore.

We had called this out in the previous quarter that FY26 -27 looks like a breakout year for the international business , and we have been able to quantify it for you now. We have strong visibility of FY27 revenue of INR 550 -600 crores, with an EBITDA of INR 180 -200 crores. And just to remind you, when we had acquired this business back in FY24 , the revenue was sub 300 crores with an EBITDA of INR 80 crores. So, this trajectory represents a substantial growth in both revenue and profits over a three -year period. Key drivers of this projected growth are the EU CDMO segment where c onsistently the order book is building up. We're standing at more than 1,000 crores of book at the end of Q3. We have some tailwinds in the base business in terms of our Corticosteroids and Latin American acceleration, and we have new business opportunities which have not been quantified. We have a third injectable unit set to be commissioned starting 2028. Around a year ago, we had articulated an aspiration that we would like our international business to achieve INR 1,000 crore in revenue by 2029 -2030. And from whatever is happening, we are confident that we are well on course for that, with a significant part of the INR 1 ,000 crore revenue coming from CDMO and regulated markets.

On the consolidated front, we recorded our highest ever quarterly revenue. Revenue for the quarter was at INR 807 crore, which represents a 11% growth, and revenue for the nine -month period was INR 2,373 crore. We have been winding down the Trade Generics business this year. Excluding Trade Generics, quarterly revenue stood at the same INR 807 crore, but represents a YoY growth of 13% , and YTD revenue was INR 2,369 crore, with a YoY growth of 10%. Operating profit for the quarter was INR 282 crore, which is 13% growth, and excluding the impact of Trade Generics, quarterly profit was INR 286 crore, which is a YoY growth of 14%. YTD EBITDA was INR 847 crore, and excluding the impact of Trade Generics, INR 861 crore, which is a YoY growth of 12%.

In terms of the visibility for the year, we are looking at INR 3,200

crore revenue, which will be 12%
growth excluding Trade Generics. EBITDA of around INR 1,150 crore, which would be a 15%

growth, excluding Trade Generics, and EBITDA margin moving up from 35% last year to 36% this year.

Consolidated Profit after Tax from continuing operations came in close to INR 120 crore, which is nearly a 40% growth. Key drivers were a 15% YoY reduction in interest cost and more than a 200 bps reduction in tax rate. We took a one -time adjustment of INR 17 crore as an exceptional item in conjunction with the new labor code.

On Debt reduction, we reiterate our guidance. Net debt at the end of the quarter stood at INR 2,270 crore, and our CapEx guidance for the next 3 years remains what it was. So, we expect to get to a net debt to EBITDA ratio of 1.5 x by the end of this calendar year. Q3 CapEx was close to INR 80 crore, again, largely towards the projects we have called out before. Nine-month CapEx, close to INR 200 crore. So, we'll be in that range of INR 200 -250 crore per annum CapEx on the Insulin , GLP-1, and Injectable side .

OCF came in at 50% this quarter versus 120% in the same quarter last year. And Q3 EPS came in at INR 9, and nine-month EPS at INR 28 in tandem with the growth reported in profit after tax.

This brings us to the end of this presentation, and we can now open for Q &A. And before we get started with the Q &A, I am very happy to report that today has been a very lucky day for us because we just got to know that our partner, Natco , has received CDSCO approval for Generic Semaglutide. And so, the stage is set for a launch, and we're very excited and look forward to it.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. Participants who wish to ask questions may do so by clicking the Raise Hand icon at the bottom of your screen and wait for your turn to speak. When prompted, you can accept the prompt on your screen, unmute your audio, and ask a question. Please introduce yourself by providing your name and your organization name and limit you rself to a maximum of two questions so we can accommodate as many participants as possible.

Ladies and gentlemen, we'll wait for a moment while the question queue assembles. We have the first question from the line of Nitin Gosar. I would request you to access the prompt on your screen, unmute your audio, introduce the firm you represent, and ask a question.

Nitin Gosar

Hi. I am Nitin, from Bank of India Mutual Fund. Sir, I just witnessed some change in the debt repayment schedule on the slide number 19. Could you run through us, is there any change because I believe CapEx programs are not changing. Then what could be the reason for outstanding debt to see a year delay in terms of reaching at INR 1,800 crore?

V. Krishna Kumar

Nitin, let me respond to that. This slide is pretty much consistent with what we showed you last quarter. So, there is no change. We ha d shared in the previous quarter that because of the attractiveness of certain strategic opportunities that have presented themselves on the Injectable Insulin and GLP side, we have decided to pre pone or front -load the capital investment. The CapEx guidance for the 3 -year period from '26 to '28 was outlined as around INR 750 crore. There is no

change in the total number except that it is being front loaded. So that is what causes the delay in the debt repayment. So, there is no change whatsoever.

Nitin Gosar

Got it. Second question is with regard to the Hypertension product, Esaxerenone. Could you broadly highlight, what is the target audience we're looking at or what is the potential market size we're talking about, what kind of line of treatment we are going to have here. Is it going to be the first line of treatment, broadly outlining how the product should be seen going forward?

Amit Bakshi

Yeah, Nitin. So, the drug is called Esaxerenone, which is basically an MRA, and we call it a nonsteroidal MRA. The approval which we have got in India is for hypertension, resistant hypertension. And this drug comes under a new category of drug, which basically are called disease -modifying drugs. So, what it does , is very interesting that it not only reduces hypertension, but it also reduces proteinuria.

So, proteinuria, basically, patients who start on CKD, early CKD, you call it. So, it reduces hypertension as good as other MRAs but has a very profound effect on kidney protection and can be used at a very low GFR also. So, I'm repeating this is a disease -modifying drug. We find a lot of hypertension patients moving on to this drug, especially patients who are on resistant hypertension, which needs three drugs to control hypertension, which is almost 30% of the universe . And then because it has an added advanta ge, a big advantage to reverse microalbuminuria, it will be used a lot in patients with diabetes who also have early CKD . So, this is a very well kind of known phenomenon.

So, this we have got it in Japan. Japan, it has become number one in its category. I don't remember the sale, but it's number one. It basically is managing hypertension, so it will be difficult for me to put a market size, but if you want to ask me the market size of MRA, they are close to INR 800 – 1,000 crore. So MRA plus non -steroidal MRA in India are close to INR 800 - 1,000 crore. But it goes beyond that. It also goes into the realm of ARB combination, so it's pretty large opportunity.

Moderator

The next question comes from the line of Pragati Lunawat. I would request you to accept the prompt on your screen, unmute your audio, introduce the firm you represent, and ask a question.

Pragati Lunawat

Okay. So, my question is, why has cash flow conversion been low for Q3, like Q3 is 50%, compared to last year Q3 was 120%. And how do we expect the same going forward?

Amit Bakshi

Yeah. Pragati, we understand that we have gone down as far as OCF is concerned. We are looking at where we are today, we see that by the end of Q1 and Q2, we will be able to reduce our debtor days by at least 10 -14 days going ahead , which will drive an improvement in OCF . And why has it change d from what it used to be, now we have a lot of Injectables, Insulins , Hospital supplies and all those things, because last couple of our acquisitions were on that side. So, it will

not get to what it used to be at some point in time, which was close to 40 -42 days . Having said that, I expect this it to be lower by around 10 -15 days in the two quarter s.

Moderator

Next question comes from the line of Gaurav T. I would request you to accept the prompt on your screen, unmute your audio, introduce the firm you represent, and ask your question.

Gaurav

Yeah. Hi. Thank you, and good evening. I'm Gaurav from Ambit Capital. Just initially on the gross margin this quarter, I believe there was some softness. So, any particular reason for that?

Amit Bakshi

I think it's more of a product mix. Nothing else.

Gaurav

Got it. Okay. So, Semaglutide , congratulations on your partner's approval. And I believe since this will be a partner product , initial days, this will be, relatively lower gross margin product for us versus the other portfolio. So, in terms of gross margin guidance for the India business, can we expect some softness in the initial year till it comes in house ? Would that be a fair assumption?

Amit Bakshi

Yeah , Gaurav, t hat will be a fair assumption. It is not because of because of the partnership, because there, you know, we have invested in equal quantity. It is all about the first couple of batches to get the approvals right. So, therefore, in my view, this will be a phenomen on across, but that is my view. But you are right, initial days, the gross margins would be lower. And as soon as we shift to a better, which is our own site, then it will have a significant impact.

Gaurav

Got it.

Amit Bakshi

Gaurav, the other part is, will it make a difference on the overall number - no, b ecause now our denominator is close to INR 3,000 crore of D BF. So, will that make a significant material difference? The answer is no.

Gaurav

Fair enough. Thank you for that. Just to follow on to our partnership with N ATCO . Did I hear you right? You know, you spent on it , you know , and is it fair to assume, like, you will have a n exclusive relationship with N ATCO for the product supply?

Amit Bakshi

Yeah. These relationships are exclusive at some level.

Gaurav

Got it. Coming to the marketing part for Sema, your employee spend has stayed here. Do we envisage field force expansion in this quarter and a higher increase in MR strength going forward for this product?

Amit Bakshi

So, Gaurav, because we already ha ve around seven to eight teams doing Diabetes and Metabolics as the largest part of our portfolio. And in the last couple of years, we have added two teams for Insulin. So, we are actually putting our best people, you know, within , for the GLP launch.

So, for us, there is on one side G LP and the other side is the entire Insulin which has kind of come back. So, Insulin is also as exciting for us as a company as other opportunities like G LP. So , going forward, we would need a team, but I can't see it in the first two quarters at least.

Gaurav

Got it. So, you don't, because initially, when a new team comes on and we see a launch, there can be some lower productivity and some margin. So given our synergies with the Insulin franchise, I think that doesn't seem to be the case for us.

Amit Bakshi

Yeah, Gaurav. Moreover than that, we wanted to take the people who have been with the company for a longer period of time. Because it's not only about resources. It's about alignment also. So, align new people, alignment with the company, with the product, with the cultu re takes time. So, we didn't want it to get through that. So that's why we have got our best people doing this.

Gaurav

Fair. Going back to our relationship with N ATCO , they just had a n Earnings Call yesterday, and we now understand, they're doing a trial for the obesity indication as well. So, will that be an extension of our relationship, or is it fair to assume?

Amit Bakshi

Yes, that would be Gaurav . But please understand, Gaurav, the kind of trends we have already seen , it is my opinion that these strengths put together will have a more than 80% market share in India. You know, India as a country is not morbidly obese, and whatever data we have seen till this point of time, it will be very difficult for our population to take up more than 1.7 milligrams. So that will happen very far and very few. So, while that is more of filling the portfolio and having it you know, but tha t is more ornamental than the real stuff.

Gaurav

That's a very interesting insight for me. Thank you so much for that. Just one last question. Since, you know, you're now getting into the innovative launches as well in India, did you call out the R&D spent that we have currently in FY26 versus FY25? And how do you see that going forward?

Amit Bakshi

Gaur av, we will report it from the next year . This year, we're not reporting it, but it's quite a big amount , so Gaur av, look, expenses have been all around. Today, you see us at 37% EBITDA, but the kind of money which has gone into OpEx, especially in these new planned technologies and the R&D, has been very significant. And till this point in time, we haven't had any return s or revenues from all these projects. But all these projects as of now seem to be firing up in the coming year. So, once that starts , we will see a lot of cooling off of the OpEx also. I mean, you know, they will be countered by the revenue. But you are right. We are planning that next year, we will call out the R&D expenses separately. This year, we haven't done it.

Gaurav

Thank you for your responses. Wish you all the best. That's all from my side.

Amit Bakshi

Thank you.

Moderator

The next question comes from the line of Kunal Dhamesh a. I would request you to acce pt the prompt on your screen, unmute your audio, introduce or form your request, ask your question.

Kunal Dhamesh a, your line is unmuted. Please go ahead with your question .

Kunal Dhamesh a

Hey, this is Kunal here from Macquire. Amit, can you explain the details we saw in presentation about discontinuing some of the brands, I mean, our thought process, some of the threshold level, the KPI’s for those brands that you would have looked at, and how often you do this exercise and why now?

Amit Bakshi

Too many questions together, Kunal. So, how many times we have done this, I don't remember too many times that we have done this. So, look, Kunal, there have been two reasons. One is that we've been ac quisitive and when we buy something, we also buy a team .

But we are very easy to call this off because this is our simple business philosophy that we don't want to continue businesses which do not either have EBITDA today or is not on the line of getting a higher EBITDA, and it's not worth of kind of realigning our supply chain. So, for example, the same problem with insulin is not a problem because it's strategic, and we are going ahead.

So, generally, it's like, if I give you a parallel, you remember we discontinued trade generics this year. Again, we had the same problem. So, all these products have similar issues. Number one, they are low EBITDA, and we don't find that scaling up will add EBITDA either from any which way. Number two, they are too outside our strength area. So, it's a combination of that. Now put together, it is more like INR 60 -70 crores, and I think that should be taken away.

Do I see anything more than that? Now we are two years, three years with all our acquisitions. We see nothing else which could fit this bill in the foreseeable future.

Kunal Dhamesh a

And are we also taking out some of the infrastructure, like the divisions which would be supporting this brand or optimizing those divisions so the cost would also come out at the same time as the revenue?

Amit Bakshi

Yeah, Kunal, that is naturally. So, if you do the product , then we have to realign people. So, you know, a short answer to that is that we will be lifting some people on the metabolic side. So, wherever there is excess of people, we'll shift it to more productive and more strategic side.

Kunal Dhamesh a

One on the GLP -1 opportunity, some of your peers have already started with the base work in terms of building additional divisions, are we also doing similar things this year? How many MRs are dedicating to that or how are we looking at this opportunity which will open up next month, and what's our preparation level?

Amit Bakshi

Kunal, we are very excited about this, and we have been excited about this from a long time. We have put our best people together. We already have around seven, eight teams working in the metabolics, so we didn't find the need of putting another team at th is point of time because we didn't want to start new relationships, new understanding, culture setting in the last two, three months. We find that as not a very good idea. So that's number one.

Number two, from the day one, our take has been very simple. We find this as Diabesity , and we are very clinical about . So, there's a lot of work which is going on. I mean, of course, I can't share on the call, but we are prepa ring ourselves for the most exciting launch which we have ever done in terms of how are we going about it. Let's see how it shapes up.

Kunal Dhamesh a

So, and lastly to an earlier question, you alluded that some of our manufacturing initiatives are currently not generating revenue, but there is an operational cost. Can you quantify the drag on the EBITDA currently for us?

Amit Bakshi

At a yearly level, it would be around INR 60 -90 crore.

Kunal Dhamesh a

Okay, a nnually. And then when do you see this breaking even, next year?

Amit Bakshi

Look, as soon as Bhopal starts, Bhopal has started up with the Vials, which is a good move . So, this year, that number comes down. Then, you know, if, like, ETL starts doing something more than the India business, which we expect it to start doing, say, by April, May, June in that quarter. So, these are the two areas. If these two areas get up. Bhopal, we are very sure. We're just waiting, it's a matter of time. ETL, it's still work in progress. I can't tell you anything solid which we have, but that's how it is.

Moderator

The next question comes from the line of Madhav Marda..

Madhav Marda

Hi. My name is Madhav. I'm from Fidelity. My question was firstly on the gross margin. I'm not sure if it's already been addressed, but if I'm understanding right, the gross margin went down by about 300 to 350 basis points. Any reason for the contraction YoY?

Amit Bakshi

Yeah, Madhav it's the product mix thing. Some of it is domestic, So, I really look at it on a nine-month basis. Nothing to call out per se in Q3.

Madhav Marda

So, even if I look at it on a YTD basis, it's down about 100 basis points. So that's just a product mix impact is it, YoY?

Amit Bakshi

Yes, Madhav. Largely broad based and largely the insulin piece. So as soon as we shifted, it will reverse.

Madhav Marda

Understood. And then if we think about FY27 for the domestic branded business, how do we see growth for the company, especially, it's a very interesting year with the Semaglutide generics coming in. So , any sort of outlook in terms of the diabetes franchise and then the other businesses as well ? And then also, how do you see margin trending next year given this major product that gets launched for us? Thank you.

Amit Bakshi

So, Madhav, your second question is easier to answer at this point of time. The first question we'll answer, you know, we'll get to you when we close the year. That's in the next couple of months. Look, margins initially for G LP will be contracted, but at the company level, I don't think it will make a difference because the top line in the DBF segment would be approximately INR 3,000 crore. So it doesn't really move the needle there. And the second thing is once the insulin at Bhopa l catches up, then that is one area where we get a significant amount of production. So , I'm not worried about the gross margin for the next year.

Madhav Marda

The EBITDA level, sir, like, I think on a year -to-date basis, we are probably at closer to 36% EBITDA margin. If you have to think about FY27, you're saying Semaglutide initially could be margin dilutive. And then anything else, like, which, when does the Bhopal start ramping up for us, the unit which could help margins?

Amit Bakshi

So, we have already started doing the Vials. The vial is already coming in, which will give us a good cushion in the first quarter. And in the next quarter, we are hopeful that the Cartridges also start coming in. So, once the cart also comes in, then we will be, like, almost 100% through. And then we see a good, very significant jump from where we are. So, that would be enough to make for any small things which we'll lose here and there.

Madhav Marda

So, we think margins can be stable or could be lower or higher next year given how we see the business shifting?

Amit Bakshi

I would say it would be stable. I don't think any movement in the ma rgin.

Madhav Marda

Okay. And just last question from my side. On every con call, you know, you've been kind enough to give us your view on how you see the Semaglutide first year market shaping up. Any updated thoughts in terms of, you know, how it's evolving and how the year one opportunity could be? I know it's a bit of a guesswork, but just how are you looking at it?

Amit Bakshi

Yeah. So, Madhav, nothing changes. I would be more repetitive because my belief from the earlier time was that this is a metabolic drug which is made to look like an obesity drug ; while it will reduce weight, but it does far more than reducing weight if you look at the metabolic thing. And, you know, in India, people who wanted to lose weight and could afford are more or less done with it. So now the real game will start where we'll talk about a large population of diabetes.

And if you look at the indication, Madhav, they're just growing by the day. As we speak, you know, a couple of months back, we got the cardiovascular data, which is very interesting because tirzepatide doesn't seem to have any cardiovascular benefit , and the treatment of diabetes is for prevent ing cardiovascular events. So that is something which has happened very good for semaglutide as a market. It seems that the G IP piece somewhere is coming in between and not, you know, giving the cardiovascular benefit, which is the mainstay for a diabetes treatment in today's world. So, we find that it will be more for the metabolic thing. And now if you look at the approval or the data between the two, now we are covering the whole gamut of metabolic issue, whether it is obstructive sleep apnea or fatty liver has also come in.

So this is going to be very big, extremely big. We just need to see how harsh it is on the GI and how does our population kind of cope with the GI side effects. That's the only thing that we need

to see. Otherwise, from an indication point of view, obesity without a metabolic disorder is just like the tip of the iceberg. The real game is diabetes, fatty liver, PCOD, sleep apnea, which is a huge population, of course, with some overweight.

And remember, India is a thin fat population , we call ourselves as a thin fat India. So very large population of ours will be at the target in between 10 -12% of weight loss. We are not the morbid obesity, which US is, like, 44% people there have that obesity where I think cut off is more than 30 BMI. So, in India, it is a metabolic drug first and a weight loss drug to get the metabolism right, and that is where our focus would be .

Madhav Marda

Okay. Alright. Great. Thanks so much.

Moderator

Thank you. The next question comes from the line of Rahul Agarwal.

Rahul Agarwal

Thanks for the opportunity. This is Rahul Agarwal from Everflow Capital Partners . Cartridge market, you mentioned that you have reached a 20% market share in December. What is the market share of the innovator in December, and what sort of incremental market share do you expect over the next few quarters here? And when do you expect to get 25% in the overall RHI plus Glargine segment, which you have set out as your target?

Amit Bakshi

So overall, 25% in Glargine and RHI over the next 3 years. We have now got to 25 -26% market share in RHI carts. What we see in the data, we don't know how much stock is lying with the retailer, but whatever we see in the data, it seems the innovator's relevant SKU is now only 15 -20% of what it was. And we feel that this is also going to taper off either this month or in the next month. So, we expect that we move from 25% to 27-28%, and that is where the windfall will stop. And then it will start gaining mar ket share as usual. It is important to note, my friend, that you will see insulin market degrowing because our price is 40% less than the lead brand.

That is why our volume share would be much higher than the value share. And then because we are so low priced, and this has been historically done, we see that there is a good price increment also almost every year for the next 4 -5 years. So, it's a similar drug. Correct. We run a campaign called 40 nil where we are 40% lesser in price, and there is no difference in quality.

It's the same quality which, you know, the innovator ha s, they are interchangeable. And if you look at the prescription data , so basically, in our industry, we say prescription s precede sales . So, our prescription data, prescription share, and prescription growth has been highest in the category. So, we believe that the tailwinds would continue for the next 1 year.

Rahul Agarwal

Got it. And how much market share have the other competitors gained as the innovator exited? How has our relative growth been versus them?

Amit Bakshi

So, our relative growth has been higher because we have been on a lower market share. But largely, when we settle down, I think it will be more like two players. right? Lupin and we would be sharing a market share of around, you know, 60 :27-65:27 crore, that kind of a number.

Rahul Agarwal

Got it. Thank you. And shifting to the export opportunity that you have called out, you said that the EU C DMO book is now, order book is now INR 1 ,000 crore annualized at the end of Q3. So, if I add that to your current bas e, it is about INR 350 -odd crore, you're looking at a much higher number on exports than was in your original plan. Am I reading it right, or is this INR 1 ,000 crore including the current base?

V. Krishna Kumar

Rahul, you're right. INR 1 ,000 crore is the annualized size of the book. What we are trying to explain is that last year, we ha d set an aspiration of INR 1 ,000 crores international revenue by the turn of the decade, and we are well on our way to achieve that. And, yeah, if things go as per plan, then it could be even higher. But, yeah, that's what we're trying to clarify.

Rahul Agarwal

Got it. So as of now, the INR 1 ,000 crore is on top of the existing base of Swiss, which is very little in EU as of now. Right?

V. Krishna Kumar

In the EU CDMO book, yes. But the INR 1 ,000 crore aspiration that we outlined for FY29 -30 includes the base business as well.

Rahul Agarwal

Got it and you have also mentioned that you may look at the Sema CMO opportunity, and that may be on top. So, my guess is that would depend on once the approvals come in, and then you may evaluate that for both domestic and export, or do you only want to do that for a particular market?

Amit Bakshi

So, Rahul, look, we are not sure at this point of time -- it is a very potential opportunity, but we have not been able to pencil it down because we don't know how many people are there, what the preparations are . But from an opportunity point of view, it's very interesting.

Rahul Agarwal

Got it. So that's something that you'll take a call on as you go along depending on how successful the Sema generic launch would be.

Amit Bakshi

Absolutely. But the good thing is that our validation has been done. So, we presume that it's a matter of time we will be in the market.

Rahul Agarwal

Got it. Thank you so much.

Moderator

The next question comes from Sud arshan Agarwal .

Sudarshan Agarwal

Yeah. So, coming back to the CDMO question that the last participant asked, the INR 1 ,000 crore order book that you have as of Q3, you expect this to continue growing? And the execution, this is expected to be kind of executed in one year, two years. What is the visibility that we have in terms of timelines of this order book getting executed?

V. Krishna Kumar

Sudarshan there are two questions there. One is the rate at which the order book will grow? I think only time will tell because this is lumpy business addition. So, we'll see how it comes.

Regarding commercialization , very straightforward because these are products you develop, take stability, file a dossier , and then there is the timeline for EU approval. So, we've called out a definite amount of CDMO revenue, which is INR 125 -160 crore that we expect to come in next year. And the full commercialization of the INR 1 ,000 crore is more like a three -year job.

Sudarshan Agarwal

Okay. Got it. And in terms of the plant capacities, etc, I think you are using the Swiss and Ahmedabad facility for this. We have more than enough capacity for any future expansion over here right, for the CDMO piece ?

V. Krishna Kumar

Swiss is currently operating 2 facilities, which will do us well for FY27. And then Unit 3, which we are building at Swiss, will get commissioned in FY28. With the third unit coming on stream, we'll be more than sorted because the new facility is much larger than the first two put together.

Sudarshan Agarwall

Got it. Yeah. That's it from my side. Thanks for this.

Moderator

Thank you. As there are no further questions, I would now like to hand the conference over to Mr. V. Krishna Kumar for the closing comments. Over to you, sir.

V. Krishna Kumar

Thank you all for your participation today. In closing, our D BF business delivered a 10% revenue growth this quarter, and we have clear visibility of 12% growth for this year with a 37% margin. In line with the expectations articulated, we've started seeing an acceleration in our RH I cartridges from Dec -25, and we achieved over 25% market share, which has been growing since. The stage is set for our G LP launch with our partner Natco receiving CDSCO approval to day.

On a consolidated basis, Q3 was the highest quarter yet with a revenue of INR 807 crores and an 11 % growth.Excluding the impact of trade generics, Q3 revenue stood at the same INR 807 crores but with 13% YoY growth. Consolidated margin has expanded 80 bps to 36% YTD.

PAT growth from operations stood at close to 39% in Q3. Interest expenses were down 15% YoY, and book tax rate was down by over 200 bps YoY. Our international business delivered a Q3 revenue of INR 111 crores with a 45% growth. We have strong visibility on FY27 shaping up as a breakout year with total international revenues of INR 550 -600 crore and a significant contribution from our CDMO clients in regulated market s.

Our capital investments in Injectables, Insulin, MABs and GLP -1 continue in line with our guidance and so does the leverage ratio. Thank you all and wish you a good evening.

Moderator

Thank you very much, sir, and thank you members of the management. Ladies and gentlemen, on behalf of Eris Lifesciences Limited , concludes this conference. Thank you for joining us, and you may now exit the meeting.

Note: This document has been edited to improve readability

Call: May 2026

Eris Lifesciences Limited
Q4 and FY2026 Earnings Conference Call
May 20, 2026
Management Representative:
Mr. Amit Bakshi
Chairman and Managing Director
Mr. V. Krishnakumar
Chief Operating Officer and Executive Director
Mr. Sachin Shah
Chief Financial Officer
Ms. Kruti Raval
VP - Investor Relations & M&A

Moderator
Ladies and gentlemen, good day, and welcome to the Q4 and FY2026 Earnings Conference Call of Eris Lifesciences Limited. Today, we have with us on the call, Mr. Amit Bakshi, Chairman and Managing Director ;Mr. V. Krishna Kumar, Chief Operating Officer and Executive Director ;Mr. Sachin Shah, Chief Financial Officer ;and Ms. Kruti Raval, VP-Investor Relations & M&A.
As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Please note, this call is being recorded.
I would now like to hand over the conference to Mr. V. Krishna Kumar, Chief Operating Officer and Executive Director of the company. Thank you, and over to you sir.
V. Krishnakumar
Welcome to the Q4 and the full year results' presentation. We will structure the discussion in three parts as usual: Domestic Formulations, International Business, and Consolidated Statements.
So, first with the domestic business results. In Q4, our domestic business grew by 12% and EBITDA grew by 10% with a margin of 37%. For the full year, our DBF revenue growth was 11% and EBITDA growth of 12% with a 37% margin. EBITDA margin expanded from 36.5% in FY25 to 37% in FY26. In terms of absolute numbers, Q4 DBF revenue was at INR 671 crores and the full year DBF revenue was at INR 2,778 crores. The Q4 DBF EBITDA was at INR 246 crores, 10% margin, slightly depressed because of the Semaglutide prelaunch expenses.
Full year EBITDA for DBF was INR 1,026 crores, which is a 12% growth YoY and EBITDA margin expanded from 36.5% in FY25 to 37% in FY26.
Looking back at the key hits and misses during the year, the key misses were largely threefold:
1. Firstly, there was a revenue loss of INR 55-60 crores because of significant new launches that were planned, but then they had to be abandoned or delayed. gSaxenda was a weight-loss SKU of Liraglutide, we had to abandon that due to a delay in regulatory approval. Aspart and Esaxerenone ,which were two important launches planned for FY26, got deferred to FY27 on account of regulatory delays.
2. Secondly, on the Insulin front, we incurred a sale loss of around INR 50 crores in FY26, on the back of a similar number in FY25 because the in-sourcing of the products and the commercial manufacturing from Bhopal was delayed by nearly a year, again, on account of regulatory delays. So, while we continued to be dependent on third-party supplies in FY26, we had to take this revenue loss because the supplies were not commensurate with the demand second year running.
3. Thirdly, our critical care business did not take off as expected.
Looking at the things that worked well for us:
1. Firstly, the Insulin segment performance, where the numbers speak for themselves. Our market share in RHI cartridges increased from 13% to 24% during the year. Our market share in the overall Insulin segment, which is RHI plus Glargine, increased from 12% to

16% during the year and the growth in Insulins for us outpaced the covered market growth by nearly five-fold. The CVM growth was 6.7% and the Eris growth was 32%.
2. Secondly, the Derma segment consistently outperformed its covered market in all four quarters. For the financial year, Eris' growth was 14.2% versus the covered market growth of 8.6%, with EBITDA margin well above the DBF average of 37%.
Our Semaglutide brand, Sundae , has taken off to a robust start. We launched the product in two

presentations, Vial and Pen, For the first full month, that is April ‘26, as per the reflection in IQVIA, Eris is ranked number one in Injectable Semaglutide by sale volume, number two in Injectable Semaglutide by sale value. We take this as a strong reflection of the present strength of the Eris injectable diabesity platform.

Moving on to the key numbers as per IQVIA, Eris market share in Injectable SEMA by units started at 13% in March and stood at 22% in April. Eris market share by sale value started at 5% in March and stood at 13% in April. By way of prescription share, Eris market share in Injectable SEMA stands at 22% in May, having started at 8% in March and 18% in April. The most noteworthy point here is that we launched the Vials in March, and we launched our Pens only in mid-April with just one SKU, which was the 2 MG. But despite that, we clocked a market share in the pen segment of 11% by volume and 6% by value for the month of April.

Recapping the salient features of our Semaglutide launch:

1. The market size and structure is evolving in line with our expectation. So, the market size estimate in the first month was 1.5 - 2 lakh active users of generic Semaglutide. Over 75% of the prescriptions are being driven by diabetes rather than obesity.
2. Vials, as a percentage of the overall Injectable market, stood at 21% in April. This is by volume. And we expect this number to settle down at 25-30% on a steady state basis.
3. Our SEMA launch was in a phased manner post the loss of exclusivity. We launched Sundae Vials in March. Sundae Pen 2 mg came in mid-April. We launched the 4 mg Sundae Pen in early May, and we expect the Obesity SKU to be launched in July.
4. Our products are priced lower than competition. We believe that these are more sustainable price points in the long term. Our Vials are priced at INR 1,290 per unit, and our pens are priced at INR 3,200 per unit for both the 2 mg and the 4 mg SKUs.
5. Happy to note that our first month performance validates our ongoing thesis of being able to take a leading position in SEMA based on the strength of our Insulins franchise. Three aspects of this which we would like to recap. One is our Patient Care platform, which is focused on developing and nurturing long-term relationships with patients. Secondly, our credibility and market share with the key opinion leaders in Diabetes-Endo space and thirdly, our long-standing experience of handling cold chain products.
6. We expect tailwinds for Sundae Pens starting Q2 of this year because we would have insourced the manufacturing of Sundae Pens with a phase 1 installed capacity of 5 million units per annum. This will ease out any beating supply issues alongside considerable margin improvement.

Moving on to our DBF business guidance for the current FY26-27. The FY26 base revenue was INR 2,778 crores, and we guide to a growth of 1.3x of covered market growth for the current financial year. We expect DBF EBITDA for the current year to come in at 37%, which is a similar level as FY26. We expect the H2 margin to be higher than H1.

Moving on to the International business. As against the Q4 revenue plan of INR 115 crores, we ended the quarter at INR 86 crores. We could not ship out almost INR 30 crores of finished goods due to supply chain disruptions, which resulted from a situation that we are all aware of. Versus the INR 375 crores revenue targeted revenue for the year, we closed the year at INR 348 crores revenue with a growth of 7%. Q4 EBITDA came in at INR 28 crores with a margin of 32.4% and FY26 EBITDA came in at INR 110 crores with a margin of 32%.

We got the outcome of the EU GMP inspection last month, and we have a list of noncompliance observations, which we need to remediate. These are largely procedural in nature with minimal impact on the existing business. Remediation of these observations remains a priority for us. On the existing business, we are guiding a revenue growth of 18-20% this year with EBITDA margin at similar levels as FY26. The EU CDMO products will get commercialized post the re-inspection and re-approval of the facilities.

Moving on to the Consolidated picture. Consol Q4 revenue growth came in at 7% and EBITDA growth at 8%. And for the full year, the revenue growth came in at 8% and EBITDA growth at 10%. Let's look at these numbers in detail.

1. Consol revenue for Q4 was INR 757 crores and for the full year was INR 3,129 crores. Consol EBITDA for the full year was INR 1,120 crores.
2. I'd like to call out a couple of things. If we look at the core business, which excludes trade generics, (which we discontinued in FY26) and the low margin DBF injectables, which we have spoken about before, FY26 revenue growth came in at 10And FY26 EBITDA came in at INR 1,146 crores - higher by INR 26 crores over a reported EBITDA of INR 1,120 crores. This represents a YoY EBITDA growth of 13%, which is reflective of what is happening in the Core business. The consolidated EBITDA margin also comes out to be 37.5% for the core business.

Looking at the consolidated P&L for the year, I'll call out the highlights. The profit after tax from continuing operations came in at INR 132 crores in Q4, which is a 29% growth. And for the full year, PAT came in at INR 498 crores, which is a 34% YoY growth. So, this is the EPS acceleration, which we spoke about earlier, wherein a 10% growth in EBITDA has led to a 34% growth in PAT. The reported PAT came in at INR 279 crores for the quarter and INR 648 crores for the full year. This is because of a one-off upside of INR 150 crores from a deferred tax adjustment. EPS from continuing operations came in at INR 36 in FY26.

The effective book tax rate for the year was 22%, excluding the DTL impact. It's down by 140 bps from last year. Finance cost for FY26 was down 17% from last year. CapEx for the financial year came close to INR 300 crores, largely on Biologics and Sterile Injectables. The closing net debt for the year was INR 2,255 crores, which is at 2x of EBITDA and down two turns over the last two

years. OCF to EBITDA ratio came in at close to 50% for the financial year versus 105% for the last financial year. This brings us to the end of this presentation, and we can now open for Q&A.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. Participants who wish to ask questions may do so by clicking the Raise Hand icon at the bottom of your screen and wait for your turn to speak. When prompted, you can accept the prompt on your screen, unmute your audio, introduce the firm you represent, and ask your questions or give comments. We'll wait for a moment while the question queue assembles.

The first question comes from the line of Kunal Randeria.

Kunal Randeria

Yeah. Hi, good afternoon, and thanks for taking my question. Sir, the DBF growth of 12% looks pretty solid. And in insulins also you have done pretty well. But it also indicates that the X-Insulin business growth would have been maybe around 8-9% only. So, is my understanding correct? And this is how the growth will shape in the next couple of years also?

Amit Bakshi

No, Kunal, I don't think. I think, you know, when you see this data, the biggest drag on this data is OAD. The OAD growth has been a minimal, I think, 2%, 3%, 4%. Now OAD, we had a Glimisave MV banned last year, which was INR 30 crore in revenue for us, which internally is, like 4.5%. So, what will you see is that that ban happened in the month of April last year.

It looks. So, by May, what will you see that the base correction would happen. So that is only one thing. But, you know, the way April, May is shaping up, we can tell you that, you know, your logic might not be correct. We are seeing a little bit of a, you know, rebound in OAD, and then we are launching a couple of more products, the Esaxerenone, which I spoke about later. So, I think ex-Insulin double digit growth is something which could be easily achieved.

Kunal Randeria

Wow. That's good to hear, sir. Second comment, maybe related to the first one, is on Semaglutide. Interesting comment you have made, but diabetes seems to be the driver in the market. But can you tell us which current therapies or the line of treatment is it replacing? And do you think it can maybe pose a threat to the entire OAD space also? Maybe let's say instead of DPP4, doctors are now giving a GLP-1. So, will it hit your DPP-4 possibly in future?

Amit Bakshi

So, Kunal, what you're saying is technically right. It's basic science that, you know, what GLP gives you is, like, 100 times of what DPP-4 gives you. So, in the presence of GLP, DPP-4 doesn't really, you know, moves the needle. But, look, DPP-4 is like every day it's a first-line treatment for everyday diabetes. And GLP, I expect, say, a million and a one and a half million patient by the end of the year, stable patient.

So, while what you're saying is correct, but out of the overall universe of diabetes patient, these should be, you know, this one to one-and-a-half million patient is too less to really, you know, move the needle. But, yes, there could be a slowdown in the growth rate. But please do not consider at this point of time that we will see any kind of a downturn in any OADs, not because of any technical reason, just because the denominator is very high, and the number of patient we expect on GLP is not going to be that high in the first year, comparatively. Right?

Kunal Randeria

Correct. Right, sir. Got it. And just one more financial question, if I can. Sir, receivables and inventory have gone up substantially, especially receivables, you know, from INR 450 crores to somewhere around INR 680 crores. So maybe care to shed some light on this?

Amit Bakshi

Yeah. So, I think large inventory has gone up because of our international business. That is because of, you know, early on, when we saw this disturbance, we piled up a lot of inventory in the international business. And because last quarter, we could not ship it out, so it's showing up.

We did a similar exercise for our domestic business also, wherein you do some key APIs prices of ours are moving as much as 70-80%, you know, higher. So, we created a large inventory there. So that is inventory. The second is the debtor days. Now revenue days is something which we need to correct. Right?
I think a good target number for debtor days, you know, more like 60 days. And that is what we are aiming for. I think within two quarters, we should be there.
Kunal Randeria
I got that, sir. But why would it go up so much in one year from INR 458 crores to INR 680 crores? I mean, there has to be some reason behind this, right?
V. Krishnakumar
Yeah, yeah. So, Kunal, just to, you know, build on what Amit was saying, the strategic stock up A, and then we had finished goods which we could not ship out in Q4. So, this is a significant magnitude. I mean, there is no point in calling out these numbers, but we have taken, like, you know, almost nine months of inventory buildup as far as RM and PM are concerned. So, this is a considerable amount, and this was a conscious call.
Amit Bakshi
And for Debtor days international business has really contributed.
V. Krishnakumar
Yes. We didn't collect much in Q4 because of all these hurdles.

Amit Bakshi
So, Kunal, what we hear is because, you know, the dollar is moving here and there, and, you know, it was delivered at a time when it was here. So, you know, there's a little bit of things which are going. But my team tells me that, you know, the international piece will be fixed.
V. Krishnakumar
Yeah. Simple because as of today, we are on 20th May, so the international debtors are lower by 25% already from the 31stMarch number. What you're seeing is the 31st of March number. Right? But I'm just talking about ongoing operations. So, we've already started collecting this quarter, which is why Amit made that comment that in a couple of quarters, we are confident that debtor days will come back to normal.
Kunal Randeria
Sure, sir. So as long as, I mean, there is no risk of a bad debt, right? I mean, that's the takeaway.
Amit Bakshi
No, no, no. It doesn’t look like.
Kunal Randeria
Perfect, sir. Thank you. Thank you very much and all the best.
Moderator
Thank you. The next question comes from the line of Kunal Dhamesha.
Kunal Dhamesha
Hi, good evening. This is Kunal from Macquaire Capital. Just one for Amit on, you know, the uptake of SEMA in diabetes. Amit, what kind of trend are you witnessing? Is it used for existing patients more or let's say the new patients which are being started on Semaglutide? And if it is existing patient, then I believe that the risk to the existing therapies would be much lower, right? Because existing therapies would continue for that same patient. So, some color would be helpful. And the second aspect of this question is, in terms of dose titration, how it works? How much time does it take for a patient to stabilize on a particular dose of Semaglutide? That's my first question.
Amit Bakshi
Yeah, Kunal. I think the first month generics sales reflected around INR 40 to 45 crores. And there had been some number crunching, which is being done that, you know, 50,000 to 1,00,000 patients have been added. So, I see a lot of, you know, enthusiasm, but it is a conscious enthusiasm. Right? I feel that many doctors are taking their own time. You know, they would come onboard in a while.

Now, yes, we are seeing – look, if you look at the usage, 70% of the patient on diabetes should require GLP from a guideline perspective. But we have just started. So, the first level of patients which we are seeing, are the patients who have diabetes uncontrolled and have a visceral fat. So, right now, if I tell you my own numbers, we have been looking into because our people services the patient, so we get an access. We can tell you BMI less than 30, the prescription is only 10%. So, 90% of the prescription even in diabetes is BMI more than 30. So that is where the starting point is. The second thing we see that BMI more than 30 and fatty liver. Right? Again, so that is where it has started.

And, you know, it's been one to one and a half month. Right? Patients start with 0.25, and 0.25 is generally a warm up kind of thing. So, in the next month onwards, we will have patients coming back also. But, Kunal, it's going to be a good therapy. It's going to be a big breakout therapy. People who are using that are very happy. And patient resistance is still there because, you know, I think outside voices, you know, there's too much voice outside our ecosystem, which over a period of time will get little toned down. So, this is one.
Now, what will it replace? Kunal, look, again, I'm sorry. I'm repeating, but we expect 1 to 1.5 million patient in the first year. So, diabetes denominator, this is a very small number. So, I once again repeat that we might not find any slowdown particular in any OADs. Right? At least this year. Now, if this goes to 20-30% of diabetes, which should go over a period of time, then we will see some slowdown in other OADs.
Kunal Dhamesha
Sure. Sure. I'm in the same camp that it would not slow down OADs, but, yeah, let's see.
Amit Bakshi
Yeah. It looks like that. It's a good start, Kunal. It's a good start. Our brand has taken up well. We are number one in prescription also. And the good thing is we started with Vials, and typically Vials for a little bit, you know, in today's time, general thinking is that it's a little difficult to sell. But once again, it is people who have been selling Insulin has come -- you know, they have been the real, you know, change for us. Because we see doctors and patient needs a lot of support here, lot of hand holding they need. And I think that is what is picking out. And it seems that our brand name is also liked, which is a nice thing to do.
Kunal Dhamesha
Sure. Second question on our FY27 Domestic Formulation Business growth guidance, of around 1.3 times in covered market rate, right? So, what are your assumption regarding the growth for our covered market for FY27?
Amit Bakshi

It has always been double digit, Kunal. So, I don't think anything changing there. And whatever SEMA adds, adds; SEMA is a different story. But I think the covered market has always been double digit.
Kunal Dhamesha
Sure. So basically, then at a consol level, we should expect around mid-teens plus kind of top line growth because export we are expecting a high teens growth, right?
Amit Bakshi
Yeah. Technically, yes.
Kunal Dhamesha
Okay. And, we know, for the EBITDA margin, I know we have been launching SEMA and there'll be launch expenses, etc. But do you see any upside to the profitability in FY27 from what we have guided? Any drivers that you see which you are currently reluctant given all the, you know, geopolitical headwinds, etc., but any driver you can highlight?
Amit Bakshi
So, Kunal, we feel the H1 would be a little bit of a drag, you know, on the gross margins because of, you know, all that we know. And especially, SEMA, initially, you know, we have been talking about that, would not be a very profitable thing. But in the H2, look, we have a lot of what we have missed is also because our Bhopal plan didn't start on time. And now that seems to be, you know, up close there. So, the Vial SKUs are already started. The Pen fill should start sooner. So, for us, what will save us in terms of gross margins even if the price relatively remain high is the second half of Bhopal manufacturing and the incoming of Sundae, which is semaglutide. So, I would not say that we can, you know, increase the margins. I would like that to be the way it is put up. But you will see an H1 being softer than an H2. That is what we assume.
Kunal Dhamesha
Sure. Sure. I have more questions. I'll join back the queue. Thank you and all the best.
Moderator
Thank you. Participants who wish to ask questions may do so by clicking the Raise Hand icon at the bottom of your screen and wait for your turn to speak.
Next question comes from the line of Harith Ahamed. Please go ahead.
Harith Ahamed
Hi. This is Harit from Avendus. So, Amit sir, you touched on the Bhopal facility and the expectation around completion of the Cartridge line there. So, if I heard correctly, we are expecting that to come online by the second half of 2027. So, post that, can we expect a further ramp up in our market share for RHI Cartridges from the current level.

Amit Bakshi
So, Harith, we are in a good space as far as the Insulins are concerned, whether it is the Cartridges, Vials, or Glargine. So, you would see us ramping up all along. Right? Even when we look at the April data, Insulin GLP put together had a 35% growth, if I'm not wrong, in the IQVIA numbers. So, the base was set last year, and now it will ramp up. So, Insulins, we have been quite confident, and that is how it will show up. So that's about Insulin.
Also remember, last week, around 15 days back, we took the first engineering batch of Bio SEMA in the Bhopal plant. So, we received the PCT, and we took the first batch, engineering batch, then we took a PV batch also. And this month end, we will be taking two more batches. One is Degludec Plain, and the other is Degludec Lira. So, what happens? You will see a ramp up happening in Insulins from the tailwind of last year. And then by the time we enter next year, we will have two more, you know, big markets open for us.
So strategically, our insulins and analogs and GLP piece is quite well set, both from, you know, how they are today and what kind of addition will happen to that basket. So, all put together, we are very happy with Insulin, and we feel that we could really ramp it up there.
Harith Ahamed
Got it, sir. And then, specifically on Insulin Aspart, you touched on, some regulatory delays there. So, I'm just wondering what exactly the cause of this delay, because this is a US FDA approved product for our partner Biocon, and it is part of our expectation for FY27. And just to follow-up on the analog Insulin part, you know, you touched on Degludec. So, Degludec and Lispro, I know these are for a bit later, but, you know, when can we expect these and, you know, do we have a partner for these products? Because as far as I understand, Biocon doesn't have these in in their portfolio.
Amit Bakshi
Harith, my friend, please understand. We have been doing the DS ourselves now. It's been two years since we are speaking to you that, you know, we have our own DS setup level, which made the Liraglutide, right? Which now also is doing Romiplostim, which is in phase 3 already. We have 50% of phase 3 patients have already been done. So, all these products, the entire Degludec family and the Recombinant SEMA are coming from our own DS. And we are further investing and expanding the DS capacity. We have already, you know, put INR 150-180 crores by this time.
Amit Bakshi
Right? So, we have already put some INR 150-180 crores, Capex which you see also goes up there. So now we have a DS and a DP both lines internally. So, Romiplostim, I told you, other than Insulin, Teriparatide is going into phase 3. So, we've already got approval now for the phase 3 trial. So, we will start putting patients together.
So, Biotech, once again, I'll be reiterating, and I'm sorry, we were not able to communicate this well. Our Biocon platform, right from when we entered Insulins has been in work. And today, if

you look at our platform, we have four commercialized products and four products which are cleared PCT, are either in phase 1 or in phase 3.
Harith Ahamed
Got it, sir. And just to confirm, Aspart, both the Plain As part as well as the Premix, we can expect an effect on --
Amit Bakshi
No, Aspart is not there. Harith, Aspart is not there with us. As part has to be taken from outside. And, you know, there were some concerns regarding Aspart, not from the quality and regulatory, but there were some other concerns regarding Aspart, that's why it gets delayed. So, we are launching it in FY27.
Harith Ahamed
Got it, sir. Thanks for taking my question.
Amit Bakshi
Thank you.
Moderator
We have the next question from Nilay Parekh.
Nilay Parekh
Hello this is Nilay Parekh from Perpetuity. My question is regarding the EU GMP regarding this inspection. Can you please deep dive in more details about the strategy and the remediation timeline? Also, what will be the approx. quantifiable impact in FY27 in the EU CDMO product segment?
V. Krishnakumar
Answering the first question, we've already shared that most of the observations are procedural in nature. So, they require remediation in terms of training and ensuring adherence to SOPs. Those initiatives are already underway in full swing. In fact, we've already had an audit from an

important customer last week, and they are satisfied with what is going on.
Hence, I would say that the remediation initiatives are well on way, and we should get there soon enough to a point where we can invite the agency for a second inspection. In terms of impact of the CDMO products, we had outlined to you last quarter that, you know, between the CDMO and the base business, we can look at a revenue of INR 550-600 crores in FY27. And now we are guiding you to an 18-20% growth rate, which comes only from the existing business. So, the delta, which is, to the tune of INR 120 crores to INR 140 crores, that is the CDMO component, which is pretty much intact, but it will get commercialised once the facility gets reapproved.

Nilay Parekh
Okay, sir. Thanks a lot.
Moderator
Thank you. The next question comes from Rahul Agarwal. Mr. Rahul Agarwal, your line is unmuted. Please go ahead.
Rahul Agarwal
Thanks for the opportunity. In terms of the Semaglutide Pens, how has the market share trended in May in terms of prescriptions? You indicated a 22% prescription market share. Is that for Pens and Vials combined, and would you have a broad brush split there?
Amit Bakshi
Yeah. It's a Pen and Vial combined. Until this point of time when we speak, that has actually gone up. In May, our market share has gone up in prescriptions.
Rahul Agarwal
Got it. And how is the split, Amit, between Pens versus Vials broadly?
Amit Bakshi
So, look, the Vials, we've launched early on by, you know, by the time the LOE was instituted. And then it took some time for us to launch the Pen. Pen was launched mid-April, and then we have one SKU, so there was a little bit of a drag there. So, right now, in my prescription, I am reporting -- let me just do a math. So almost 60% coming from Vials and 40% coming from Pens. That's how the split is in prescription. And the units -- we expect units to be more like 50-50 or 60-40 in that zone.
Rahul Agarwal
Got it. That's helpful. And on the EU CDMO bit, KK, just following up on the last participant's question. You mentioned that there was a customer audit last weekend that, kind of, went well. So overall, in the long term, you guys had indicated INR 800 to 1000 crores EU CDMO opportunity. Do you see that being affected significantly because of these regulatory issues? And how are the discussions with the customers been? Is that just a postponement, or do you expect meaningful impact there?
V. Krishnakumar
These are valid concerns. Firstly, I am happy to report that there is no impact on that book of business. All the key contracts that were part of the book continue to be part of the book. And the timeline impact is only in respect of this one product, which was due to be commercialised in Q1, is making this revenue dent in the current financial. Barring that, we don't see any long-term impact to the CDMO business.

Rahul Agarwal
Got it. And this facility that we had this impact for, I'm assuming, is the old Swiss facility?
V. Krishnakumar
Yes.
Rahul Agarwal
Would we also be triggering a separate approval for the Eris facility that we had put up CapEx for, or will this now only be part of the combined facility and have the same approval process?
V. Krishnakumar
The said EU inspection was conducted for the two injectable units, which are under Swiss Parenterals. The Eris unit is for Oral Solids and Dermatology and did not get inspected in March. The only two units that got inspected were the two units of Swiss, which have been carrying EU approvals since the year 2020.
Rahul Agarwal
Got it. And when do you expect to trigger the reinspection and remediation, KK, on this?
V. Krishnakumar
So, the trigger will be soon enough because we are doing the CAPA, which is the Corrective Action Preventive Action plan, and will submit it to the agency, which I see happening soon

enough. We are unable to tell you when we can expect the agency to come back again for inspection because that is a subject matter of their calendaring and scheduling.
Rahul Agarwal
Got it. Thank you so much, and good luck.
Moderator
Thank you. The next question comes from the line of Tushar Manudhane. Mr. Tushar Manudhane, you can go ahead with your question
Tushar Manudhane
Thanks for the opportunity. Sir, just on this EU reinspection and the growth guidance, just clarification again here. Like, 18-20% revenue growth guidance is considering CDMO, EU clearance, and then incremental business from that or without that?
V. Krishnakumar
Without that.

Tushar Manudhane
And how much was the impact of this EU CDMO business, which has sort of postponed because of the reinspection?
V. Krishnakumar
As explained earlier, we had cancelled about INR 120 crores to INR 140 crores of revenue coming in from the EU CDMO from our FY27 guidance, which is the piece that has been postponed.
Tushar Manudhane
All right. Just as a clarification, have the customer utilized maybe, like, as a full supplier in terms of this so that -- and which is why probably that business is lost or that business is postponed?
V. Krishnakumar
That business is postponed, Tushar. It is not lost because, fortunately, for us, this product is in short supply in the target markets. So, the customer is working alongside us to see how the remediation and how the reapproval can happen ASAP.
Tushar Manudhane
And is this the product which triggered this inspection or some other product triggered the inspection?
V. Krishnakumar
This was not triggered, Tushar. These two facilities have been approved since 2020 as we've been telling you in the past. EU comes for inspection every two years. OSD facilities get a three-year approval, and Injectable facilities get a two-year approval. So, this was part of the normal two-year inspection cycle.
Tushar Manudhane
Understood. And, sir, if you could also sort of break down the DBF growth therapy wise, maybe for FY26 or for Q4FY26.
Amit Bakshi
Tushar, you can find that in the data. But largely, I tell you that the whole drag is coming from the OAD, which I explained. OADs were, you know, a very small 2-3% growth, and that is where the whole drag is coming. Other than that, Insulin was right upfront there. Cardiology, we have caught up. You know, it's like almost at the market now. Traveled quite a distance in the last year. Dermatology, we had been ahead. So, the drag which you see is largely coming from OADs

Tushar Manudhane
Got it. And, sir, if you could share SEMA that you've already shared, let's say, the market share, if you could, at least in the month of April, how much sales we made, that just to get an idea in terms of what the industry size is, maybe for the month of April?
Amit Bakshi
Oh, of course. Yeah, so Tushar, April, our reflection was INR 4 crores, which is, like, more or less, which we are there. So, we started at 4 crores, and this is going to be a month-on-month buildup for the entire year. That's how this new market will operate.
Tushar Manudhane
And the way this market has built up, is that in line with terms of the industry size. For example, INR 30 crore a month approximately in April, effectively taking the market size, opposite scaling up, so can't annualize it. But do you think the industry is scaling up in line with your expectation?
Amit Bakshi
Tushar, very early. Very early. Just two, three more months. Look, patient onboarding is not bad. Right? But, you know, these are all numbers which we divide and, you know, these are assumptions which we made. Lot of stuff sits in the, you know, in the shelf also. So, I don't really

believe that number of 1.5 lakhs, 2 lakhs. What we can tell you in the Healthplix data, which covers, you know, a decent part of the doctor that reports around 25,000 to 27,000 patients. Right? Real data, monthly. So, 25,000 monthly from Healthplix cohort is a good start. But the large physician community is still not, kind of, you know, it's still not there. And that happens every time there's a new drug, there's a new molecule, which is launched. But this will be a good market, Tushar. We are quite confident, and it's a very good drug also.

Tushar Manudhane

And, sir, this INR 4 crore in April, by your judgment, what that number is in month of May

Amit Bakshi

Yeah, we expect around 20% movement between April and May.

Tushar Manudhane

Got it, sir. Thanks.

Moderator

Thank you. Participants who wish to ask questions may do so by clicking the Raise Hand icon at the bottom of your screen and wait for your turn to speak. Next, we have a follow-up question from Kunal Dhamesha. Please go ahead.

Kunal Dhamesha

Hi. Thanks for the opportunity again. Just on the SEMA generic market, has the competitive intensity, which you are witnessing, is in line with what you had expected or is it better? And then what is the impact on potential pricing in that market? Let's say, you know, one year forward, do we expect prices to start increasing from here? Or do we still see that there will be continuous pressure on keeping our prices, you know, very affordable in this segment?

Amit Bakshi

So, Kunal, look. Contrary to what everybody thought, the competition is not very fragmented here. We don't see, you know, as you know, we're reading a lot of reports, media, 100 people, 50 people. But, you know, because this is a little bit of a complex selling, I don't find this going to that level. I think this is the brand where very initially, you will see the top five, top six gaining 65-70-75% market share. And I don't think that will change, you know, in the near future also because of the supply chain, because of the complexity, and all those things.

So contrary to, you know, what was written all over, I believe that this is going to be a five-six player game, and you will see a 13-15% market share person being there as number one. So, this is what it looks like today. Now price, look, prices going up in India is something which I haven't, kind of, you know, seen. We only talk about prices going down, and then do we make a profitable, you know, will it be a profitable state?

So we actually priced our product 30% lower than, you know, most of the companies. Generally, if you look at largely everybody is INR 4,200 for a 2 mg pen. We are at INR 3,200. So, we've already taken a little bit of a price cut because we feel that this might be a little more sustainable. So, instead of price rise, I will see some price correction happening over the next year. And then it gets stable.

Kunal Dhamesha

Sure. And then let's say once our capacity kicks in for pens, etc., right, do you see that once scaled up this could be as good as a profit generator as our current business?

Amit Bakshi

Look, at an EBITDA level, there is a good possibility. At the gross margin level, no. So, will we ever see it getting to 80% gross margin? I don't think ever. But can that be, you know, because it will not be as competitive, blah blah blah. Can it give us the same EBITDA? I am hopeful for that.

Kunal Dhamesha

Okay. Sure. And then on the European, you know, this entire plant issue, generally, I have not seen any companies struggling with the EU GMP, right? So, what is it that they found out even if those were procedural? My view is that EU GMP is generally very -- they are very open to dialogue and understanding your perspective, right?

So, what actually transpired in a way that we are basically left with the issue? And while we continue to say it's procedural, but it would be great if you could highlight couple of key observation that they have highlighted and what's the corrective plan. Have we kind of, employed any consultancy agency to, kind of, carry out that plan? And will it require some form of infrastructure changes in the plant or maybe a shutdown of particular lines to carry out remediation plans? Those details would be helpful.

Amit Bakshi

So, Kunal, look, when we told you it's all procedural, right, and, you know, KK will kind of, you know, enhance that. What I remember seeing that there is no QA, no QC, no data integrity issue. Now what I remember reading is the flow of, you know, people movement. Right? The SOP is all the movement, especially around the microbial, you know, product, the antimicrobials. So largely in that zone. So, we have discussed this, so I can tell you that we do not expect any CapEx for remedial. It is more about procedural. So, agency hiring, training is already done. So that is what I know, KK, if I'm missing on something, please.

V. Krishnakumar

Yeah. I mean, that that sums up the situation very well. And since you wanted a little more color, Kunal, A, I beg to differ when you said that EU usually doesn't disqualify facilities because there is enough press out there in terms of larger companies who have faced similar issues from the EU agencies in the recent past. But be that as it may, in our situation, we are not looking at any major CapEx. I'll be very clear about that. We are also not looking at shutting down any line. We don't have the liberty of shutting down any lines because our existing customers are being serviced from these plants. So, there is no question of any shutdowns being taken. The situation that we are dealing with right now is only the lack of ability to ship product to the EU. Hence alongside normal operations, we are investing time and effort in remediation actions - for example, there are a couple of instances wherein non-classified areas must be converted into classified areas. That is one example of an observation which we are addressing.

Most of the observations are on, you know, operator behavior. You know, simple things like they're standing too close to each other. They're not behaving in a sterile area in the way they are supposed to behave. So that must be addressed through training. And in cases where we do have to install some hardware, you know, we are talking about basic stuff like pass boxes for RM dispensing. So that is the level at which the actions are. So, it is not something that has any cause for concern, neither for us, nor for you.

Kunal Dhamesha

Sure. And lastly, the way I understand for our EBITDA margin guidance for FY27 is more or less would be in the similar lines to FY26. Is it the correct way to understand? And H1 being lower than H2, right?

V. Krishnakumar

Yes, Kunal. 37% DBF and 36% consolidated are right for the same FY27.

Amit Bakshi

Yeah. Even if there is no equity attached to that, still we maintain 36-37% margin.

Kunal Dhamesha

Okay. Perfect. Thank you and all the best.

Moderator

Thank you. The next question comes from the line of Bharat Shah.

Bharat Shah

Yeah. Hi. This is Bharat Shah from BCS Capital Ideas Limited. So, my first question is about overall capital efficiency and the capital intensity of the business. So, this is not for this quarter or this year. But when I see it over the period of time, let us say if I think about last four years, our turnover, which was four years back, a little less than INR 1700 crores, about INR 1685 odd crores, It's now touched about a little over INR 3100 crores. The capital employed, in terms of the networth and only debt I'm including. I'm not including any other form of liability. But net worth and the debt, which was INR 3100 crore gain in the current year. I don't have the final figures of the networth and all that. But on a ballpark basis, the total networth and rate would be INR 5600. And throughout this period, almost the capital behind and capital deployed of net worth and debt is little less than two times the turnover. Therefore, my question is about capital efficiency. While your margins are healthy at 36-37%, but those, kind of, margins cannot forever be assumed at least even if it is maintained. And net of depreciation, if I see, depreciation and amortization about 28 odd percent margins, that means if the capital takes two times the turn, I mean, two times the capital of the turnover, then I'm forever stuck in 14-15% return on capital employed bracket. Is that a realistic way to describe business? Or is this current situation, but hopefully, it will improve?

V. Krishnakumar

It is current situation. Our return on capital employed for the year was 15%. And adjusted return on capital, which excludes the impact of M&A related amortization is 20%. So that is where the FY26 numbers stand. And as we have called out number of times, this is a transient phenomenon because in FY25, we took the impact of the highest ever amortization. Our asset base increased by six times, as you currently pointed out in a very short span of time. But the gains from this expansion have started coming in from FY26 onwards.

So, EPS acceleration is the first thing that you see come through, where for a 10% growth in EBITDA, you saw 35% growth in EPS, which will be sustained. In the next three years, so over the FY26 to FY28 period, we expect the return on capital employed to go from 15% to somewhere in the 23-25% range, which is what, you know, we have called out and which is what we expect to happen.

Amit Bakshi
But he also talked about capital expenditure.
V. Krishnakumar
The capital base.
Amit Bakshi
So whereby also there is something which, you know, which we have been doing since the last three to four years because we decided to move up into a little bit of a complex manufacturing, little bit tech-based manufacturing. And these things generally have a gestation time of between three to four years. So, if you look at our investment thesis, and I'm not talking about acquisition and amortization, I'm talking about the capital which we are employing in hard assets. So, if you look at how we have been thinking through it that we have been putting money in a very, you know, in a very strategic manner from our side that is to develop a large biotech play. And for that biotech play itself, we would have invested around INR 160 crores to INR 180 crores on our DS. And another INR 250 crores in Bhopal. So, INR 250 crores in Bhopal, which is a fill and finish site, which has a very large capacity, once it is approved and done. Now, nothing has started coming out from both of these. So, Bharat bhai, we feel that once our Bhopal is ready, it will be one of its kind from a scale perspective. And that will give us a very good pickup in margins and will open up a lot of new markets for us, you know, including new products.
And we also have made a map facility there, which we think is the future. But we have been delayed by almost a year or a year and a half by putting this together. So, our expenditure has been very strategic in nature. And the second big expenditure which we have put is in another plant for Swiss Parenterals, which should be completed by this --
V. Krishnakumar
Looking at commissioning in April.
Amit Bakshi
Commissioning in April, which will be 2x of what current capacities are. So, then what happens, the parenteral capacities increases 2x, and the biotech capacities is like 80 million Cart and, you know, similar Vials and then utilize in the other thing. So once this is commissioned, and Bharat Bhai, we also see a lot of traction when it comes to Insulin, not only for India, but also, you know, shipping them outside once the regulatory things are in place. So that has been the direction of our, you know, capital allocation.
Bharat Shah
Right. No, I appreciate that. I definitely believe that the direction which we take and what we choose to buy into is quite strategic. That reflects in the kind of strong margins that you always earn. But ultimately margin is only one part of the capital efficiency. Ultimately, how much capital is turned over also has a very deep impact on capital efficiency.

And in your case, while hard assets behind biotech and all that maybe INR 170 crores to INR 180 crores, but acquisition of the brand or the intangibles is the real large asset play that you have got into because that's where the amortization comes by. So, while Krishnakumar mentioned that without amortization, return on capital employed is higher, but I would respectfully submit that we can't do that because the amortization stems from intangible assets that we have acquired, and the benefit of that is reflected in the turnover and profit. And therefore, amortization is very much like any other hard asset that is there. So, KK, just to be clear, that 15% ROCE after charging amortization is what you expect to climb to 23-25% in three years. Right?
V. Krishnakumar
Yes. That is what I meant. I take your point that, you know, adjusted ROCE is one thing. The accounting ROCE is 15% as is the Return on Equity. And this is a number that we expect to get from 23-25% once everything starts firing the way we expect it.
Bharat Shah
Yeah. Because the point about accelerated EPS is well taken, but accelerated EPS is a function of operating leverage and financial leverage. So, I'm not really going into that. The core capital efficiency is critical to drive long term sustainable capability to invest and grow the business. It was from that perspective, I will say take it.
Bharat Shah
And sir, one last question, very quick one. What will be the ETR, KK, in the current year? 26-27?
V. Krishnakumar
For FY26, the effective book tax rate was 22%. It's also part of the presentation, and we expect this to be 21% zone for FY27.

Bharat Shah
Okay. Perfect. Thank you so much, and all the very best.
Moderator
Thank you. The last question comes from Mr. Mohammed Patel.
Mohammed Patel
Yeah. This is Mohammed Patel from Edelweiss Public Alternatives. So, I have a few questions on international business. I wanted to ask what is the geographical mix for the international business for FY26?
V. Krishnakumar
Our geographic mix has been quite stable in the last two years. We typically get about 30% from Africa, about 30% from Asia, about 25% from LatAm, and the rest of it is all diversified. So, this

year, we expect the LatAm component to grow faster because there are a lot more new product approvals. But broadly, these three will continue to be our key geographies.
Mohammed Patel
Okay. And you talked about supply chain disruption in Q4 for international business. Is it going to impact H1 also?
V. Krishnakumar
We don't expect it to be of a similar magnitude. I think we are all following the same press. So, you know, unless we have any difference of information, Q4 was way worse than what it is looking like today. So, we are hoping that we'll be able to recoup at least some of that in Q1.
Amit Bakshi
But April was okay?
V. Krishnakumar
It's way better than what was in March. So, okay.
Mohammed Patel
And on the EU CDMO, should we expect some revenues in FY27, or we should expect major revenues in FY28 in base case?
V. Krishnakumar
In the base case, your guess is as good as mine. I am not counting any revenue from CDMO in FY27, which is why we've given a guidance of 18-20% growth. So, anything that comes from the EU CDMO in FY27, let's take it as an upside.
Mohammed Patel
Okay. One last question on the DBF business. So, if I go therapy by therapy, do we expect to outperform majority of our therapy by therapy in FY27?
V. Krishnakumar
Amit already spoke in detail about the four major therapies, which is Insulins, Cardiovascular, Derma, and OAD. So, insulins and derma are already outperforming, and that's expected to continue. CVD, we have caught up on a QoQ basis. So, by Q4, we are almost on par with the covered market. And with, you know, some good product launches like Esaxerenone, we expect that should fire well. So that leaves the OAD piece where we'll need a little more bit of time to catch up.
Mohammed Patel
Thank you.

Moderator
Thank you. Due to time constraints, that would be the last question for the day. Thank you very much, sir, and thank you, members of the management.
Ladies and gentlemen, on behalf of Eris Lifesciences Limited, concludes this conference. Thank you for joining us, and you may now exit the meeting.
Note: This document has been edited to improve readability